

Navin Fluorine International Ltd. (NAVINFLUOR)

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Call: May 2023

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May 17, 2023

BSE Limited
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Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter and financial year ended March 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on May 13, 2023 regarding discussion on operational and financial performance for the quarter and financial year ended March 31, 2023 (Q4 and FY 2022-23) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q4 & FY '23 Earnings Conference Call "
May 13, 2023

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q4 and FY '23 Earnings Conference Call. Today on this call, we have Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra , Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward - looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbor statement is given on Page number 2 of investor presentation of company which has been uploaded on the stock exchange and company's website as well.

With this, I now hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, sir.

Radhesh Welling: Hello. Thank you very much. Good evening, and a warm welcome to all the participants. I want to take a moment to acknowledge the inconvenience of calling you all on a Saturday evening for earnings call as I had to travel for some business from tomorrow onwards. We understand that this may disrupt your weekend plan and we sincerely appreciate your flexibility and consideration in joining us on short notice. Thank you for your continued support and commitment to Navin Fluorine.

On this call today, I'm joined by Mr. Anish Ganatra , Chief Financial Officer, and our Investor Relations partner, Orient Capital. I hope all of you got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchanges as well as on the company's website.

Let me now start with key highlights for the quarter and year ending FY '23, followed by business segment -wise updates, and then we'll take you through financial highlights for the period under review.

I'm pleased to announce that our performance in FY '23 has achieved several new milestones. For full year FY '23, we achieved a key milestone of revenues from the operations exceeding INR2,000 crores. Operating EBITDA crossed INR550 crores and Operating PBT crossed INR460 crores. For Q4 FY '23, we have reported quarterly revenue of INR697 crores. Operating EBITDA has more than doubled at INR202 crores on Y -o-Y basis. EBITDA margin stood at 28.9%, an expansion of 586 basis points.

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Commercial production at 3 of our new plants, HPP, MPP and Agro -Intermediate plant has commenced successfully in the last fiscal. We have begun commercial production of two new molecules at our MPP plant in Q4 FY '23 and expect to launch at least 1 new molecule in FY '24. R32 capex of INR80 crores in Surat will be commissioned as per schedule, and the sales should start from Q2 FY '24. This demonstrates the strength of our business model and execution capabilities developed over the years. We improved our performance in uncertain times, captured growth opportunities, executed multiple projects successfully and accelerated our journey towards becoming the company we want to become in the future.

Now some refresh and some additional updates. In line with our growth plan in March 2023, Navin Fluorine Advanced Sciences Limited, our wholly owned

new subsidiary, announced a capital

expenditure of INR450 crores of setting up a new 40,000 metric tons per annum hydrochloric acid plant at Dahej. The new capacity is expected to come onstream in 2 years. The capex is starting to progress well and is expected to be commissioned on schedule. With this capacity, we will be prepared to address rising demand in the pharmaceutical and agrochemical sector as well as in the emerging areas like EV battery chemicals, solar, etcetera.

Apart from the ongoing expansions, which are scheduled to be completed by FY '25, we are in the process of finalizing business plans for two projects to be presented to the Board for approval in calendar year 2023. These two projects are CDMO and cGMP4 and another project we have been working on the specialty sector, the specialty business unit. We have taken our annual plant shutdown for HFO in Dahej, along with annual plant shutdown of 1 of the HF plants in Surat in the month of April.

We are pleased to inform you the Board of Directors have recommended a final dividend of INR7 per equity share of face value of INR2 each, subject to approval of shareholders. With this, the total dividend for the last year will be INR12 for the face value of INR2 each. I would now like to discuss the operating performance of each business units.

Happy to report that all our business units, Specialty, HPP and CDMO delivered highest ever quarterly revenues and profitability. Specialty business continues to deliver strong performance, driven by strong partnerships and new technology platforms. We reported revenue growth of 28% on a Y-o-Y basis at INR204 crores for Q4 FY '23. In the fourth quarter of FY '23, introduction of new products has made impact on our performance. These innovative offerings are designated positively with customers contributing to our overall growth. Agrochemical Intermediate plant achieved optimal capacity utilization in the last quarter.

Our HPP business generated revenue of INR289 crores, growth of 92% in Q4 FY '23 as compared to the same period last year. The recent increase in sales can be attributed primarily on account of increased volume from NFASL, our subsidiary. We are pleased to report that our client is currently operating at optimal capacity resulted in desired units. Furthermore, we are excited to announce that the commissioning of R32 project in Surat is progressing as scheduled, and we anticipate commencing production from beginning of Q2 FY '24. We remain committed

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to driving profitability, enhancing operational excellence, and seizing opportunities for further success.

Our CDMO business has reported highest ever quarterly revenue of INR203 crores reflecting Y-o-Y growth of 106% as compared to the same period last year. Business is on strong footing and trying for further capacity expansion. Our revenue in Q4 FY '23 has doubled surpassing our stated guidance of approximately \$10 million quarterly run rate on an annualized basis. This exceptional performance is testament to the dedication and hard work of our team as well as to our strong partnerships. This places our CDMO business a robust position and in an opportune space to pursue further expansion in the future. We are confident in our ability to capitalize on these market opportunities and are actively exploring options for further capacity expansion to meet the increasing demands.

I'll now hand over the line to our CFO, Mr. Anish Ganatra, to give you a brief on the financial performance of the company. Thank you, very much.

Anish Ganatra: Thank you, Radhesh. Good evening to all the participants. I will share the highlights of our performance for FY '23 and Q4 FY '23, post which we'll be happy to take questions.

For FY '23 on a consolidated basis, the company reported revenue from operations of INR2,077 crores, as against INR1,453 crore

es in FY '22, a growth of 43% year-on-year. Operating EBITDA

stood at INR550 crores as against INR355 crores in FY '22, up by 55%. Operating EBITDA margin stood at 26.5% as against 24.4% in FY '22, an increase of 207 basis points.

Operating PBT was up 51% at INR460 crores for FY '23 as against INR305 crores in FY '22.

Operating PBT margin was at 22.2% in FY '23 as against 21% in FY '22, a jump of 116 basis points year-on-year. Profit after tax stood at INR375 crores for FY '23 as against INR263 crores in FY '22, a growth of 43% year-on-year. PAT margin was at 18.1% for FY '23 and remain constant against FY '22.

Now coming to the quarter performance for Q4 FY '23. Company reported a growth of 70% in net revenue from operations to INR697 crores against INR409 crores in Q4 FY '22. Operating EBITDA grew by about 114% year-on-year to INR202 crores as against INR94 crores in Q4 FY '22. EBITDA margin stood at 28.9% for Q4 FY '23, an increase of 586 basis points. Operating PBT stood at INR180 crores, growth of 120% as compared to the same period last year. PAT stood at INR136 crores for Q4 FY '23 as against INR75 crores in Q4 FY '22 with a growth of 81%.

Before we start with the question and answers, I would like to refer to a couple of items in the financials of this quarter and year-end. During the year, the company initiated an exercise to assess the estimated useful life of assets, plant and machinery and buildings with the help of external technical consultants, the exercise covered assets at Dahej, our greenfield development, which started commercial operations during the year and at Dewas, the CDMO assets.

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Consequently, the depreciation charge for the quarter and year-end 31st March 2023 is lower by approximately INR20.4 crores on a consolidated basis. In NFA SL, the impact is about INR15.1

crores. And in NFIL, it is INR5.3 crores. ESOP charges for the quarter stood at INR9.31 crores and INR16.79 crores for the full year FY '23. Consolidated net cash flow from operations at negative INR63.6 crores primarily reflects initial working capital outlay following the start-up of commercial operations at Dahej. No further infusion of working capital is expected during FY '24. Rather, actions are in play to secure reduction of net working capital. So that is from my side.

We will now open the floor for question and answers. Thank you very much.

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Yes, thank for taking my question and congratulations on great set of numbers. Sir, my question is, you know if I look at the specialty chemicals, you have done fantastically well. And if I look at the last -- a few commentaries from some of our peers, it seems to be a little mixed specifically on this agrochemical side. I mean some of them talking about higher inventory and prices coming down. Just wanted your thoughts on this, even if that we have done extremely well hitherto and what do we expect going forward?

Radhesh Welling: Yes. Thank you very much for that question. I hope you are able to hear me properly. So we are really not seeing any impact on the pricing because as you know, these are all contracted -- most of it is contracted business and we primarily work with the innovators, on the new molecules, molecules which are just about to be launched or have just recently been launched. We don't really have much business on the generic side. Your commentary or your question is very relevant for the generic molecules. Not so much on the innovative side. Having said that, we have seen some impact, and we expect that for the rest of the year, that is calendar year '23, we will see some impact on one of the molecules. But that's not really that significant in our specialty business.

And if you look at on a calendar

year '23 basis, the maximum impact was probably -- in the quarter, we just got over, which is Q4 FY '23. That impact will actually keep reducing as we move along. But we have been able to develop new opportunities to compensate for the volume that we lost in the last quarter, and that will continue to happen. So overall, we really don't see a significant impact on the inventory in the specialty business, right, because our business is not so much on the generic side.

Sudarshan Padmanabhan: Sure, sir. And sir, but in the specialty side, I mean, what would be the mix of pharma, agri and non-pharma, non-agri at this point? Has there been any major change seen in the fourth quarter versus what we have done in the past?

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Radhesh Welling: No. So the guidance that I gave last quarter continues to remain the same. Our Specialty business is actually tilting a lot more on the agrochemical side. And as you know, within the specialty chemicals, the pharma business was primarily supplying to the Indian generic pharma companies, and we have consciously taken a decision to reduce that particular business. So that quarter-on-quarter actually keeps reducing. And our industrial business and our agrochemical business keeps increasing.

Sudarshan Padmanabhan: Sure, sir. Second question from my side is on the HPP side. I mean, specifically on the HFOs and the Honeywell contract. Given that over a period of time, I mean, you are going to see the newer gases, which are much better from an environment perspective. I mean, it's heartening to know that we have achieved a fair amount of scale here in the short span of time. Number one, is there an option of scalability, say, assuming the third quarter or the fourth quarter the coming year? And is there a possibility of more such molecules getting into the pipeline, I mean from the Honeywell contract or anybody else?

Radhesh Welling: No. So our commentary on this remains same. As we had mentioned, our first priority would be to ensure that we stabilize this plant achieve optimal capacity. And this is what we are currently doing. We'll continue to do that in the calendar year '23. Priority number 2 would be to do the debottlenecking that I had mentioned to you, so we are actually working on that. So that will actually give us additional capacity of at least 20% immediately, that is from the next financial year onwards. And as we speak, we have actually identified a few newer molecules to work with Honeywell on, and that's basically at a very initial stage, that would be our Phase III -- priority number 3.

Sudarshan Padmanabhan: Sure, sir. And one question before I join back the queue is on the CDMO part. I mean we have achieved another highest sales you have done until now. I mean, this sales is driven by newer molecules coming into the fold or scale-up of existing molecule, some of them hitting the commercials. What is the outlook over here, sir? I mean I'm not looking at quarter-on-quarter. But even at some year-- if I'm assuming, say, in the next couple of years, what is the kind of outlook that you are seeing here?

Radhesh Welling: So I think on the CDMO side, we're actually getting very good traction with our key accounts. So there are existing molecules. Molecules that we have been working on for the past few years have been scaling very well. Second, we are actually getting a lot of new opportunities with these key accounts. And I'm happy to tell you that some of these opportunities are now even outside of fluorination because these key accounts have actually started trusting us for manufacturing and delivering products, which even outside our core value proposition. So it's primarily driven by this key account relationship and there is a repeat business and the new opportunities. And new opportunities include fluorinated intermediate as well as non-fluorinated

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intermediate.

Having said that, we've actually continued to bring on board and qualify new customers. But the contribution to the overall sales of these new customers is relatively on the lower side because

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as you can imagine, when the relationship starts, it typically starts at a very low -- on a very low volume. But we believe that these relationships will then help us scale up opportunities over a period of time with these customers. So overall, if I look at the pipeline from all these perspectives, gives us a lot of confidence now to start working on the cGMP4, which is going to be a significantly larger plant than 1, 2 or 3.

Sudarshan Padmanabhan: Sure sir, thanks a lot sir.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Yes, good evening and thank you so much for taking my questions. First question is actually on two, three financial aspects of the results. So one is, with regard to the depreciation amount, if there's any indication you could give us on what the normalized depreciation and amortization number should be going forward now that we've sort of taken a fresh look at the useful life of these assets?

Second was just with regard to the sharp increase in other expenses. Are there any one-off items there? Or is this a good run rate to work with going forward? And the third one was with regard to the tax rate, which seems to be a little bit on the higher side, given that NFASL should be on a concessional tax rate. So if you could please just elaborate a bit on these three aspects?

Anish Ganatra: Abhijit, thanks for the question. So on your first question regarding the normalized depreciation, this is kind of -- so you're looking for an annualized number, I suppose. I mean, if I was to give you a guidance, it would be in the range of INR80 crores to INR90 crores. But that would be sort of based on the current capitalization that we have, yes. So it's -- what you see on the financials, those financials are effectively considering the depreciation based on when the assets have been put into use. But I guess your question was more on the forward kind of -- what could be the annualized impact if the new rates were in play, yes?

Abhijit Akella: Sure.

Anish Ganatra: And the other expenses. I mean, if you compare last year to this year, in some sense, it is not a comparable number because last year did not include NFASL. This being the first year of operationalization, right, and startup of commissioning, you're seeing the entire NFASL expenses coming in there. Now some of the expenses that we have there are already a focus area, but those items are being worked. But frankly, like I said, if you're comparing between the two, it's not the right comparison just because it's the first year of operation on a consolidated basis.

Radhesh Welling: Abhijit, I would just like to add to that. On the other expenses in Q4, there were two charges there, which you will actually not see going forward. There was one consulting assignment that we had actually undertaken in Q4. So that's approximately about INR5 crores, which basically has been expensed in Q4 and will not come in again. And there were some issues with respect to some of our OSBL in Dahej because of which there were two line items which actually came in Q4, that's approximately around INR10 crores which will not come in again. So about INR15

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crores, I would say, is an expense item, which actually came in Q4, which will not future going forward.

Anish Ganatra: And Abhijit, your final question was on the tax rates. Now again, bear in mind that NFASL does not have a full year of operations. So from a tax point of view, it would not really have a tax impact. Most of the tax number that

you see on the consolidated basis is actually from the NFIL point of view, that's why you see a higher number.

Abhijit Akella: Okay. Got it. That's very helpful. And the second question I had was, Radhesh, if you could talk a little bit about the growth outlook for the three business units for the upcoming year? And also specifically, just wanted to check. Number one, whether we should expect any impact on 1Q sales, etcetera, because of the annual shutdown that you spoke about in HFO and, I guess, Specialty.

And second, with the R32 unit getting commissioned within a couple of quarters. And I guess, the competition's capacity also is coming up sometime fairly soon. So how do you expect pricing in that segment to sort of perform in the near term or maybe slightly medium term as well, 3 - to 5-year kind of outlook?

Radhesh Welling: Yes. So as far as the outlook for FY '24, currently, we have no reason to believe that there is any change in the overall guidance, qualitative guidance that we have given to you before on each of the three businesses. As I mentioned to you -- as I mentioned earlier, the issue with respect to inventory, etcetera, on the agrochemical side has not been seen by us to that extent. It's more happening on the generic side. There is some impact with respect to one product, but we have actually identified some other opportunities, etcetera, which will help compensate -- more than compensate that downside.

So we have not really have any reason to change the guidance -- overall guidance that we have given for any of our three businesses. Specifically with respect to Q1, you are absolutely right. On a sequential basis, you will actually see some drop because our HPP plant in Dahej was shut for a month. This is a planned annual shutdown. And what we did was to ensure that it aligns with our HF thing.

We actually took the HF shutdown in Surat also. One of the lines was actually taken down for our planned annual shutdown during the same time. So that was down for about 3 weeks. And our Orchid plant was down for almost a month. So the HF plant has already started and HPP plant will be starting very soon. So -- because of it, you will actually see slightly light Q1, but we expect that from Q2 onwards, again, the sales, etcetera, will again get to a normalized level.

And your third question was related to R32. See, if you actually look at our R32 capacity, it's not that high, that we should actually be worried about the pricing, etcetera. Also, we already have a lot of interest from our existing customers, some of the domestic existing customer as well as some of these partners in the international market to actually buy R32 from us on a long -

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term basis. So we are trying to understand which of the customers, we should probably tie up with on a long-term basis, which of these we should work on as a spot basis, etcetera.

But as we move forward, we believe that the demand for R32 will continue to increase, not only as a single ingredient, but also as a part of a blend. And I'm not only talking about HFC blend, but also HFC, HFO blend, some of these conversations are already going on with some of our partners. So if you ask me from a, let's say, 2 - to 3-year perspective, we believe that the pricing for R32, given the fact that our capacity is relatively limited, we believe that the pricing would remain strong.

Abhijit Akella: Thank you so much sir. All the best.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Thanks for the opportunity and congrats on a great set of numbers. So my first question, a little curious about the comments made in the investor presentation about the new products that we have added in HPP. So just wanted to check if this is in HFO, in organic fluorides or the ref gas unit?

Radhesh

Welling: No, this is basically -- the commentary that you see in the investor presentation is the sale of the new product. That's primarily we are talking about the same molecule from Dahej, the Honeywell product. There are some other new molecules that we have in the pipeline, but that has not really made any material impact to the numbers in Q4. The Q4 numbers are primarily because of the Honeywell product.

Archit Joshi: Got it, sir. Sir, second question, again, on the HFC 32 bit. since competition also is adding, as the previous participant mentioned, one of the reasons could it be that we haven't had a near drop replacement to HFC 32 within the HFO series and a lot of global conversions that are happening from maybe 1, 3, 4 or in R125 are already kind of getting displaced into the HFO segment or the fourth gen ref gases. Would that be a fair assumption that HFC 32 demand will be fairly buoyant and is one of the reasons why as to a lot of companies are adding capacity?

Radhesh Welling: Yes. So first of all, there are not many companies who are adding capacity. I mean first of all, the only country where you can add capacity is India. And that also beyond December, you cannot do that. So even if you see in India, there are not many companies who are adding capacity. There's a limited capacity addition, which is actually coming up. But in terms of demand, you're absolutely right, 134 primarily actually goes into mobile air recommissioning,

R32 primarily goes into stationary air conditioning.

And there, in India market, as you know, the penetration is also increasing. And globally, there is a transition happening where we believe at least for quite a few years to go, there will be demand for R32 as a single ingredient as well as a part of a blend initially as HFC, HFC blend and then as HFC, HFO blend. And as I mentioned to you, we are currently in discussion with our partners to develop those specific HFC, HFO's blend wherein we will supply HFC to them

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for supply to the global market, and we will actually look at supplying those blends in the Indian market.

Archit Joshi: Understood, sir. So basically, sir, there are no new capacity additions globally that are happening for R32 and so that is kind of a benefit to us. And sir, just an addendum to the same thing. For the HFO business that we have currently, it seems that the fourth quarter looks to be like a very strong quarter that you have reported in the subsidiary's performance. And I just remember from the plant's big takeaways that we've had, we had kind of indicated that will most likely clock somewhere between INR500 crores, INR550 crores. And I can already see INR450 crores in FY '23 financials from the subsidiary.

Was there anything particularly exceptional about the fourth quarter that we were able to clock a significantly higher revenue. And going ahead, do things remain the same or they are slightly improved a bit?

Radhesh Welling: No. So there was nothing exceptional per se about Q4. I think the only point I can make there is that we were able to achieve optimal capacity fairly quickly. Typically, what we were expecting to get in year 2, we were able to achieve in year 1 itself. Having said that, in our current plan, there is still capacity headroom available.

So if you look at in Q4, we were not operating the plant to 100% capacity utilization. So there is still capacity headroom available. In the quarters to come, we believe that we should be able to get close to the full capacity utilization. And then this debottlenecking that I was talking about earlier, will also start coming into play from the next year onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Congratulations on a very strong result. Sir, last quarter, you'd mentioned that you will s

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further upside to your volumes as your new projects ramp up to optimal levels. And after that, you should see better margins as you benefit from the operational efficiencies. Would it be fair to say that you started to see that in this quarter and that we should work with these margin that was to be a sort of a new normal for you going forward?

And the second question was more of a clarification from some of the earlier questions that came to you. Would it be possible to give some colour with respect to the one molecule that you mentioned where you're seeing some slowdown. How big is that in your overall portfolio? And secondly, beyond that molecule, is there any area within the overall portfolio, which you're monitoring closely from a risk perspective for F '24 and F '25? Thank you so much.

Radhesh Welling: Yes. So I actually didn't get your question properly. But let me try to answer as much as I understood. The first question that you had on the margin, which specific molecule you were talking about?

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Vivek Rajamani: No, sir. It was more related to the specialty business. I think you were saying the last quarter, you should, yes...

Radhesh Welling: Yes. So as you know that the margin that we saw in Q4 its combination is basically because of the performance that we saw across the 3 BUs, right? And the right way to look at that, if you look -- you should look at our annualized margins and as we have said before, this annualized margin on an annualized basis will keep improving as we add on this new capacities, new plants, etcetera. But it will be difficult for me to comment on a quarter -on-quarter basis if you ask me specifically to comment on Q4. And as we move forward, if the margins will increase, etcetera? I think the right way to look at it to look at the annualized margins.

On the second question, as I mentioned to you, there is this one particular molecule in Specialty, which actually saw the impact in Q4. But we believe the maximum impact in the calendar year '23 was actually seen in Q4. So going forward, actually, the impact will actually start going down because we actually sold almost zero of that product in Q4. So that impact already is seen in the results. Going forward, we have actually already started seeing the demand coming back. And it's not -- so whatever the significance of that molecule is, we have already seen the impact of

that in the last quarter.

Vivek Rajamani: Got it, sir. Really helpful. You did answer both my questions. Just one small clarification.

Beyond this particular molecule, is there any other part of the portfolio that you've been monitoring with respect to any possible slowdown that may come through over the next couple of years? Or this is the only molecule where you see some risk? Thank you.

Radhesh Welling: No, it's very difficult for us to really comment on it. We continue to engage with our customers.

One of the molecules, which obviously is of a lot of interest to us is the one that we supply to Honeywell because of two reasons. One, it goes into the housing market. It goes into multiple industries, but housing is one of its end application and also because it has a significant impact on our financial performance.

Currently, the forecast that we have received from our customers basically tells us that H2 continues to be in line with what the earlier forecast they have actually given to us. So currently, we don't have any reason to believe that is going to be significantly impacted in Q2 -- sorry, in H2 of calendar year '23, but we continue to closely monitor that.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: A brief view from my side. First on the stand-alone business, if I see x of the CDMO business is like declined by 20% Y-o-Y. Can you help us understand what are the business

ess erstwhile

specialty, ref gas, inorganic, which is a business causing a 20% decline in the revenue on the stand-alone basis excluding NFASL? That's my first question.

Radhesh Welling: No, I'm not able to understand. You're talking about Q4 or FY '23?

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Sanjesh Jain: No. I'm talking about Q4, in the stand-alone business, if you look at the revenue, excluding the CDMO business, which again is included in the stand-alone revenue, if I take that off, this is a decline of 20% Y-o-Y in the underlying revenue. These are the non-contracted or the erstwhile before these contracts, these are the revenue from those products and lines, and it appears that, that has declined by 20% Y-o-Y?

Radhesh Welling: I'm not able to see that, but we just completed the board meeting. So -- but I think let me try to answer that question. If you actually look at the three businesses that we supply from NFIL, there is Specialty, there is HPP and HPP is primarily inorganic and ref gas and the third is the CDMO piece. CDMO obviously has increased significantly on a Y-o-Y basis. But I think your question is primarily NFIL on a stand-alone minus CDMO, right?

Sanjesh Jain: Correct. Correct.

Radhesh Welling: So it's -- on the inorganic and ref gas side, we are almost flat. It is -- there is a slight increase there. On the specialty, you are right, there is a reduction. I don't know exactly how much the reduction is, but it's primarily because of two reasons. One, there is a molecule that we have actually taken out of NFASL from NFIL. So there is a small impact on that. The second impact -- the second reason why you see that impact is because of that other molecule that I was talking to you about where we have actually seen that inventory issue and most of that was actually seen in Q4, which was actually supplied from Surat.

Sanjesh Jain: Got it. Because that number appears fairly big, it appears almost INR50 crores, because refrigerant gases and inorganic has not fallen, if I attribute everything to that, close to INR 60 crores impact?

Radhesh Welling: Yes, I think the right way of looking at that, if you look at the Specialty business specifically, I think you should primarily look at NFIL and NFASL together. You should look at the Specialty business on whole. And I'll tell you why? We, for a lot of these molecules, especially that we are doing with the global agrochemical measures, we have now developed capability to do a lot of these molecules both out of Surat as well as out of Dahej.

And typically, depending on what new opportunities we get because, as you know, the plant that we have in Dahej is a slightly higher capacity, higher scale, whereas the plant that we have in Surat is relatively smaller scale. So suppose if we get enough offer and opportunity to do a new molecule, which we can do only out of Surat, not out of Dahej because of the scale, then we move that molecule to Dahej and then we actually put this new molecule out of Surat.

Also, there is one molecule that we were earlier supplying on a continued basis out of Surat, in Q4, we have actually done downstream of that. So what has happened is that molecule has actually gone from Navin's NFIL, that is Surat to Dahej, and we have done the downstream processing there and sold the customer out of NFASL. But these kind of things are going to

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happen on a regular basis. So the right way of looking at it would be to look at it on a consolidated basis on a business-to-business basis.

Sanjesh Jain: Right. But just a small clarification from a product moving from Surat to Dahej, I thought NFASL falls under new tax regime of 15% which says that the new facility should have a new product for the eligibility of that. So moving a product from Surat to Dahej, is it possible thing?
Ra

Radhesh Welling: Yes, absolutely. The product that we used to sell out of Surat, that's a molecule we continue to sell. And that product is actually going to the other customers as well as to NFASL. Now when we transfer it from NFIL to NFASL, it actually goes at a transfer pricing and the NFASL is not selling that molecule to the customer. There are four, five steps -- additional steps that are actually done in NFASL and the molecules that we are supplying from NFASL are the different ones from the ones that were supplied out of NFIL.

Sanjesh Jain: Now it's very clear. Thanks, Radhesh, for that effort to make us understand. Second, on the CDMO side, phenomenal performance. Did this include the 16 million contract revenue, also have you started supplying that? And for FY '24, what should be the revenue guidance for the segment should we again achieve a 30% -plus kind of growth from the debottlenecking which unlocked another 25% capacity?

Radhesh Welling: What was the first question you asked, Sanjesh?

Sanjesh Jain: So we have announced a 16 million contract in the CDMO business in the Q3. We said that we'll start supplying from the April onwards. Just wanted to understand have we started that? Is there any impact of that in the CDMO business of Q4? And a follow-up question is on the revenue growth guidance for FY '24. Now that we have debottleneck in '23, which adds close to 25% capacity. So 20% -plus growth is doable in FY '24, is that a right assumption?

Radhesh Welling: Yes. So that agreement that I talked to you about or that order that we have talked to you about, we've actually supplied a significant part of that in Q4 and there is still balance quantity, which we will be supplying in FY '24.

On the second question that you have, yes, we are extremely confident of our growth in FY '24 and in the years to come. And we believe that -- and which is what gives us confidence to actually go for cGMP4 because a lot of these molecules that we are actually currently working are, the projections that we have received from the customers look to be very positive and hence it's necessary for us to have a larger scale plant to do higher volumes of those molecules. So to your question specifically related to FY '24, my answer would be, yes.

Sanjesh Jain: Got it. One last, sorry, for squeezing, just on the margin. We have earlier said that we will gradually move towards 28 and 30. But surprisingly, that gradual was just a quarter. For the full year, do you think this kind of margin is sustainable, which is 29% and do we improve on this?

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Radhesh Welling: No. So as I've mentioned earlier to another question, I think the way to look at it, if you look at the annualized margin, annualized basis, what we delivered in FY '23 and as I've mentioned before, because there are a lot of things that happened in quarter-to-quarter, there are some new projects that we undertake, etcetera, which could skew margin in a particular quarter, either upward or downward, so let us -- I think the best way to look at is you look at the annualized margin of FY '23. And you'll actually see that, that margin has actually improved over FY '22, and that is the overall trajectory that we will continue to see on an annualized basis.

Sanjesh Jain: Clear. Thanks for answering all the question and best of luck for the future quarters.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats. Sir, on the HF capacity, so last time, we had indicated that we'll be doubling the capacity and debottlenecking is going on. So effectively, our capacity after two years will get doubled. So are we currently sufficient for the next two years? And based on the new capacity that we are planning, how much time we are expecting that

this new 40,000

tons capacity will be utilized after two years once it gets commissioned? Thank you.

Radhesh Welling: Yes. So first of all, as far as the capacity is concerned, we have announced 40,000 metric ton new plant that we are setting up. It's going to take us about 24 months to get that plant ready and with that coming in, our capacity would be -- we are actually significantly -- we will have significantly more than twice capacity that we have today. And to your question, will we be of deficit? We will have adequate capacity of HF for our own requirement. We probably will not have enough HF to be able to sell in the merchant market. We are actually seeing a lot more opportunities to sell in the merchant market and we would have got those opportunities if we had more HF available. But for our own consumption, we have enough HF.

And we believe that we're continuously working on a lot of these other projects. There are some

projects which will get commissioned later this year. There are some other opportunities we are working on in our existing three BUs as well as some of the newer opportunities. A lot of them are actually going to need HF. So this 40,000 metric tons capacity that we are adding, it's mainly driven by our own requirement of HF versus selling it into the merchant market.

So we believe that at least half of the capacity, we should be able to use fairly quickly as soon as that plant is ready. And then over a period of time, initially, the rest of it we'll be selling in the merchant market. But we believe that in the next -- the following three to four years, even that capacity would actually get utilized by us for the downstream opportunities.

Rohit Nagraj: Yes. That's fairly clear. Just one clarification on this. In terms of the Fluorspar sourcing, have we gotten into any arrangements with any of those suppliers?

Radhesh Welling : Yes.

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Rohit Nagraj: Sure. That's -- second question is on the ESOP plans. So after FY '23, ESOP charge during the year, how much of it is left and will come in FY '24 and if any for FY '25? Thank you.

Anish Ganatra: So, Rohit, thanks for the question. I mean you know how this ESOP works, right? I mean, essentially, you're doing a Black Scholes model and then taking the cost into the books, right.

And the ESOP, the way it was structured was over a four -year period. So you will essentially see that the first two years of that, the charges will go up. And then the third and the fourth year, the charges obviously come down because what happens is in year 1, you get the charge for the kind of the first year and the second And then the second , again, you get for second, third and fourth. So each progressive year, the charge comes down. So if you had to sort of ask me what charge should we expect for the full year? I mean you should probably take 16.79 was for half year. I would take about 31 for the FY '24 and then it will progressively come down significantly.

Rohit Nagraj: Sure, this is very helpful. Thanks and best of luck, sir.

Anish Ganatra: Yes.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes. Hi, Radhesh ji. Congrats on a good set of numbers. Thanks for taking my question. So I have like two. The first is on the molecule that you said there was almost zero volume in the fourth quarter. So is it the -- I mean, is it the -- is this product the one that where we face the competition from the domestic player?

Radhesh Welling: No. This has got nothing to do with the domestic -- nothing to do with domestic competition. This is basically because the same issue that we are actually seeing everywhere. There was some inventory build -up at the customer then. The demand for this molecule continues to remain extremely strong. This is actually a blo

ckbuster molecule. And as we speak, we are actually looking at opportunities to not only expand the capacity in this particular molecule, but also do the downstream AI for this particular molecule. So the overall demand outlook for this molecule continues to be extremely robust.

It's a blockbuster molecule and it is expected to remain blockbuster for at least quite a few years.

It's just that there was a significant inventory build -up in the pipeline. So it is just a question of destocking and restocking, that's about it. And most of that impact, we believe, is behind that now because a lot of that was actually done in the Q1 calendar year, which is Q4 FY '23.

Krishan Parwani: Understood, Radhesh ji. So the second one is on the CDMO front, given we have seen a sharp jump as you already highlighted that some part of the PO is already affected in 4Q. So on a full year basis, more like probably 25%, 30% kind of a growth run rate that is fair, or how do we see it?

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Radhesh Welling: No, So I think as we have indicated earlier, you should basically take the FY '23 annualized number. And you should be able to see a 20% -plus growth on that number. But take annualized for FY '23 because unfortunately, and it basically impacts us on a positive as well as negative side. That this business tends to be lumpy, right? I mean you saw that in Q1 and Q2, we are little softer in H2, and I have indicated this right at the beginning of the financial year that we feel -- we believe that H1 will be softer and H2 will be stronger, which is exactly what has happened. So if you look at the numbers on an annualized basis, we should be able to show a growth of 20%-plus in FY '24.

Krishan Parwani: Understood. And if I can squeeze the last small clarification. So on the R&D front, are we like

looking at products like, I mean, derivatives or triflic acids or triflic anhydrides or something like that, or where are we with our R&D focus in terms of that?

Radhesh Welling: No. So we actually just invested a significant amount in our R&D for not only expansion but a significant upgradation in our R&D setup in Surat. Now I will not be able to comment on the specific molecule's etcetera. Typically, these molecules or these opportunities typically get developed in our engagement with the customers.

But our focus continues to be in identification and development of new technology platforms, platforms which typically the customers are not able to get from other organizations, either in India or outside of India. So our focus is on identification and development of new technology platforms and once we have those platforms, then those platforms can be used to develop number of molecules based on those platforms. So that is how we typically approach the R&D exercise.

Krishan Parwani: Fair enough, Radhesh ji. Thank you for patiently answering my question. All the best.

Radhesh Welling: Thank you.

Moderator: Thank you. The next question is from the line of Bhaskar Chakraborty from Jefferies. Please go ahead.

Bhaskar Chakraborty: Thank you, Mr. Welling. I just wanted to understand what all items apart from HPP are contributing to the difference in revenues between the consolidated line and the stand-alone line?

Radhesh Welling: No. So very simply, Dahej is under NFASL and Surat and De was are under NFIL. But as I mentioned earlier, I would just like to repeat that again. I think the right way to look at our business would be to look at on a consolidated basis.

Bhaskar Chakraborty: So basically, the new agrochem dedicated plant that has come up where you have achieved optimum utilization, where does that figure in these numbers?

Radhesh Welling: No, that's not in HPP. That's in Specialty, and that's in Dahej.

Bhaskar Chakraborty: Understood. Thank you very much, sir.

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Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: First of all, congratulations to the team for great results. Sir, first question is on the HPP side, the Honeywell product, in the past conference call, you have mentioned that there may be possibly some slowdown depending on how the demand is in the Western markets. So just your thoughts on how you see HPP Honeywell product ramping up the trajectory of growth and optimum utilization before you go for debottlenecking? That is the first question.

Radhesh Welling: Yes. I think I already have talked about this while answering some of the earlier questions. As I said, we continue to engage with Honeywell to understand how the demand outlook looks for the rest of the year. Currently, our expectation is that -- if you -- as I mentioned to you, in Q4, also, we were not running the plant to full capacity. There is headroom available. And we believe that for the rest of the year, that is rest of the calendar year, we'll probably run to the similar kind of a capacity. And while we do that, we will also work on the debottlenecking project. So that, that particular capacity comes on stream before end of the current financial year.

Keyur: Okay. Understood. Sir, second question is on the two new plants commissioned, first is dedicated and second is MPP. So just clarification dedicated is now on a quarterly basis, this was fully utilized and the MPP. So we have, as of now, commercialized total three products of total five plants. So how will the journey from here on, to commercialization of fourth and fifth molecules. So when will we see optimum utilization?

Radhesh Welling: No, there is another molecule, as I mentioned to you earlier, but actually, you're talking specifically related to MPP, right?

Keyur: Correct.

Radhesh Welling: Yes. So earlier, if you remember, we had actually talked about five molecules in MPP. Four of them were Agro, one was pharma. We actually had said that pharma is something that we will look at later on. Out of the four, we produced three in Q4, not to the full capacity, but we produced three and supplied these molecules to the customer. We will continue to produce these three and a lot of these are campaign, etcetera. So they're not going to be -- the volumes are not going to be constant quarter-on-quarter.

The fourth molecule, we have actually -- we will be starting later this year. And what we have also done is we have actually identified another opportunity for another molecule to be supplied to another global agrochemical company and we're actually undertaking a very small capex to modify our MPP to actually put that molecule. So that will be a completely new molecule, which we will be doing in the second half of the coming financial year.

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So three we have already done. Fourth we will be doing in the coming year. There's another completely new, which we have not indicated earlier, we are going to be doing in the second half of the current financial year. And the final one, Pharma, we currently don't have any immediate plan of doing in MPP.

Keyur: Okay. The clarification that dedicated has seen the full utilization for this quarter on a quarterly basis, correct?

Radhesh Welling: Yes, almost. There is little headroom available, but yes. It's a fairly optimized capacity utilization.

Keyur: Okay. Thanks a lot and all the very best. Thank you.

Radhesh Welling: Thank you.

Moderator: Thank you. The next question is from the line of Bhavesh Jain from Enam AMC. Please go ahead.

Bhavesh Jain: Sir, on working capital, that seems to have gone up in this year end. So anything specific or we have done planning for this maintenance shutdown?

Anish Ganatra: No, Bhavesh, I mean, see, the wor

king capital, if you look at, this is the first year of NFASL

operations, right? So you will see a big jump in working capital as the plants get into operations and we engage with customers for selling products as well as having inventories. So it's got nothing to do with shutdown.

Bhavesh Jain: So, that will normalize by second or third year of the operation, how do we see that, or how should we build in enough...

Anish Ganatra: So Bhavesh, see, there's a lot of actions we are already taking in play to look at the working capital. Now that doesn't mean that's kind of ongoing business in some sense. Because obviously, as new assets come up, the working capital starts kind of going up. But then you kind of have actions around focusing on each component of working capital to bring it down.

We are also looking at several vendor financing, supply chain financing programs so that we can optimize the working capital further. All I can say actually is that, at this level, we are not looking to increase the working capital. So it will remain at this or go lower actually. That's what we should expect to see and the benefits won't come as a kind of switch on and off, but they will be progressively seen over the year.

Bhavesh Jain: Okay. And sir, lastly, on the capex side, what should we build in for FY '24 and FY '25?

Anish Ganatra: For FY '24 and FY '25. I mean, we've already -- so there's already nectar in the pipeline as you are so...

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Radhesh Welling: No. So I think there are two capexes that we have already announced. One is the agrochemical capex and then there is an AHF capex. So those are the two big capexes that we have announced, as you know. And there are some minor capexes that are going on in Dewas, in Surat as well as in Dahej. Apart from that, we will be able to let you know about any other capex as and when we get approval from the Board. But it will primarily be some on the capexes that I indicated in my opening remarks.

Bhavesh Jain: Okay. And sir, lastly, any interest costs we are capitalizing?

Anish Ganatra: So on pre-operating basis, it does that. So we follow the accounting standard in that regard.

Bhavesh Jain: Okay. But Q4, the majority of the finance costs will cover that, right?

Anish Ganatra: No. Once the plants are operational, we can't capitalize it.

Bhavesh Jain: Okay. Thanks a lot. Thank you. All the best.

Anish Ganatra: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to the management for the closing comments.

Radhesh Welling: Yes. I would like to thank everyone for taking time out on Saturday evening and joining on the call. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relations partner, Orient Capital. Thank you very much and have a great weekend. Thank you.

Anish Ganatra: Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference call. We thank you for joining us, and you can now disconnect your lines. Thank you.

Call: Aug 2023

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August 04 , 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on August 01, 2023 regarding discussion on operational and financial performance for the quarter ended June 30, 2023 (Q1 of FY 2023-24) is enclosed herewith .

This intimation is also being made available on the Company's website at www.nfil.in .

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q1 FY '24 Earnings Conference Call "
August 01, 2023

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day and welcome to Navin Fluorine International Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, Mr. Shah.

Bhavya Shah: Thank you and welcome to the Q1 FY '24 Earnings Conference Call . Today, on this call, we have Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward -looking statements about the Company, which are based on beliefs, opinions, and expectation as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on page number two of Investor Presentation of Company, which has been uploaded on the stock exchange and Company 's website as well.

With this, now, I hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, sir.

Radhesh Welling: Thank you. Good morning and a warm welcome to all the participants. On this call today, I'm joined by Mr. Anish Ganatra, our Chief Financial Officer, and our Investor Relations partner, Orient Capital. I hope all of you got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange, as well as on the Company's website.

Let me now start with key highlights for the first quarter of FY '24 followed by business segment - wise updates, and then we'll take you through financial highlights for the period under review. I'm pleased to report our quarterly revenue of INR491 crores , marking a growth of 24% on year - on-year basis. All our businesses continue to perform well. Despite some product -specific demand headwinds, overall, our resilient business model performed well in this quarter, but more importantly, is positioned well for future profitable growth.

We saw strong Y -o-Y revenue growth in specialty and CDMO business units, whereas revenue growth in HPP business unit fell short of our initial expectations primarily due to shutdowns in AHF and HFO plants. These being one -off events, we expect business to run on normalized basis from Q2 onwards. Demand for R22 in Q1 was muted. Weak summer impacted refrigerant gas sales in domestic as well as export markets. Our operating EBITDA registered growth of 15% Y -o-Y at INR114 crores. EBITDA margin stood at 23.3%. We are optimistic about higher capacity utilization in the coming quarters, and this will positively impact our operating margins. Higher depreciation and interest expenses were charged due to capitalization of the new capacities in NFASL and the associated financing. We have shown remarkable progress even during unpredictable periods, capitalizing on opportunities for expansion, executing numerous

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projects parallelly, but in a very disciplined manner and expediting our overall profitable progress.

I'm pleased to inform you all that the Board of Directors held at a meeting yesterday approved capex of INR30 crores towards development of a completely new capability in Surat. We are happy to inform you all signing of a material supplies agreement with Fermion for a set of patented commercial stage molecules in our CDMO division. This initial agreement spans over three years commencing

from calendar year 2025 and is expected to create new growth opportunities for us.

I now like to quickly brief you on the status of various ongoing capexes. Our AHF project for adding 40,000 metric tons of hydrofluoric acid capacity at Dahej is progressing as per schedule. We have signed basic engineering technology and equipment agreement with global leader in

this space. As a reminder, this capacity allows us to address the rising demand in the pharmaceutical and agrochemical sectors as well as in the emerging areas like EV battery chemicals, solar, etc. Our agro specialty capex is progressing well so far and is scheduled for commissioning end of this calendar year. R32 plant stabilization is in progress and sales expected to start in Q2 FY '24.

I would now like to discuss operating performance of each of the business units. Our Specialty Chemicals business continued to perform extremely well. In Q1 FY '24, we reported highest -ever quarterly sales with revenue growth of 31% on a year -on-year basis, amounting to INR230 crores . Strong order flow continues to strengthen long -term growth visibility in this division. Our HPP business demonstrated steady growth in Q1 FY '24 with revenue reaching INR169 crores , representing an 11% increase compared to the corresponding period last year. This growth was primarily driven by expanded capacities in NFASL. However, it is important to note that the overall growth was somewhat restrained due to shutdown at our plants. The plants are now back to normalcy and running at optimal capacities. Our CDMO business reported strong year-over-year revenue growth in Q1 FY '24 with a revenue of INR93 crores reflecting Y -o-Y growth of 33% as compared to the same period last year.

Also, we are pleased to share that we have identified several promising late -stage opportunities and development work is currently in progress, positioning us for continued growth in this segment. Detailed engineering work for cGMP4 is progressing well and will be taken to the Board for approval in the coming quarters.

I'll now hand over the line to Mr. Anish Ganatra to give you a brief on the financial performance of the Company. Thank you very much.

Anish Ganatra: Thank you, Radhesh. Good morning to all the participants.

I will share the highlights of our performance for quarter one FY '24, post which we'll be happy to take questions from all of you. The Company reported growth of 24% in net revenue from operations to INR491 crores against INR398 crores in Q1 FY '23. Operating EBITDA grew by about 15% year -on-year to INR114 crores as against INR99 crores in Q1 FY '23. EBITDA margin stood at 23.3% for Q1 FY '24. Operating PBT stood at INR73 crores and PAT stood at Navin Fluorine International Limited

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INR62 crores, lower by 15% and 17% year -on-year, respectively , primarily due to depreciation for Dahej assets and interest charge associated with the financing thereof.

So that's all from my side. We will now open the floor for Q&A. Thank you very much.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have the first question from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan P. : Yes. So what I would like to understand is on the plant shutdown that we had taken because this is relatively a new plant. So, I mean what has basically triggered the shutdown operationally?

And second is with respect to the volumes that we are supposed to supply to Honeywell, is the volumes for the full year on track, I mean, whether we can basically capitalize on higher volumes in the second, third and fourth quarter to make up for the first quarter?

Radhesh Welling: So as we had mentioned before, in this particular quarter, we had planned a plant shutdown for our HFO plant, which was basically in the month of April and hence, we also had planned a plant shutdown

for our AHF plant in Surat so that it coincides with the HFO plant shutdown.

Accordingly, the plant basically started by end of April beginning of May. And we were ramping up capacity, but we had some issues in the plant in June. As we have mentioned before, there are two sets of manufacturing plants there, and there are obviously a lot of ancillary plants. So in one of the plants, we had some issue in the downstream section, the purification section, not in the main, the reactions section. Because of which we had to take a shutdown and we had to actually do some changes in the equipment, etc. Some of the columns, etc, had to be changed because of which the shutdown actually went down for a little longer than what we had expected initially. So that was the reason, and in the process, we lost almost close to four weeks of production.

To your question in terms of demand, as you know, given what's going on in the market, the demand for the year has changed quite a few times. The actual volume requests that we have received from Honeywell has changed a few times, but whatever volume we have missed out in Q1, we expect that in Q2 and Q3, we should be able to make up that volume. Just to give you some idea, the plant has now started and we'll be running to optimal capacity and we expect that the plant will do so for the following months in this quarter and whatever we produce in the month of whatever was produced in the month of July and whatever will be produced in the month of August, all of that we will be required to supply immediately, just to take care of that backlog that we saw in Q1. So overall, to your question, we don't think that this particular gap that we saw in production in Q1 because of this unplanned shutdown will have any significant

negative impact on the overall volume taken by Honeywell in the year.

Sudarshan P. : And with respect to the volumes that was renegotiated, any idea what would be the quantum of change, I mean, downwards?

Radhesh Welling: No, there is no volume negotiated per se. There is a volume forecast, which they typically sent to us for the following six months and we have actually constantly seen that change. And this is not something, which is only relevant to this product and Honeywell. This is actually across the Board, we are actually seeing a lot of demand volatility. So there are times when the numbers

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have gone down, there are times in fact in the month of June, the sell of the final product was extremely strong, and the numbers then got further revised a little upward. So there is a constant revision that is going on, given the overall demand uncertainty that our customers are also seeing in the market.

Sudarshan P. : Sure. And one final question before I join back the queue is on the refrigerant gas. We are seeing again very low demand as you mentioned in the press release as well due to the summer, and even the prices have kind of trended down. Do we see things improving say, probably from the second quarter or whatever that we are seeing both in the volumes and prices probably would impact us for the full year versus what we had initially thought?

Radhesh Welling: So, it's a little difficult for us to comment on that because as you know, R22, the business tends to be a little seasonal. Q4 and Q1, that is typically February, March, April, May tend to be the high seasons because of summer, etc. Now if you actually miss out on that summer season, it's a little difficult to make up that quantum in the month of Q2 or Q3. But typically what happens is these refrigerators, these air conditioners, which are there in the market require servicing, and hence, they require gas.

We expect some of that loss in volume to actually come back from end of Q3 onwards. But we don't see that gap being bridged in the Q2 quarter but we expect that towards end of

Q3, we will

actually see demand uptick and the overall volume that we will sell in Q3 and Q4, we expect it to be higher than what we sold last year in the same quarters. And this is specifically related to R22 going into emissive applications.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: On the CDMO business, if you could please offer us an outlook for this year and next year, I believe the Fermion contract kicks in only from CY '25. So should we expect that to start meaningful contributions only from '26? And if so, how significant could it be potentially? But in the meantime, for '24 and '25, do we believe we are well placed for say 20% plus growth for the CDMO business in the meantime?

Radhesh Welling: Yes. So the agreement that we have signed with Fermion are for multiple late-stage molecules. One of them is already commercial. And the first commercial supply and when I talk about commercial supply, I mean major quantity will be supplied from beginning of calendar year '25, but the supply has already started. So we have already supplied qualification batches for the first molecule, the product has been approved, and now they have actually placed order for slightly larger quantity, which we are required to supply by end of Q3. And also, now we've actually received request from them to forward samples for qualification for the other two molecules, which are there as a part of the agreement.

So in this year, calendar year '23 and calendar year '24, we will be supplying some quantity, but those will be limited volume, primarily meant for qualification, etc. And the actual commercial supply will start from FY '26, and some of that will actually go from our cGMP4 as that gets ready. The overall outlook for CDMO pretty much remains the same as we have provided in the past quarter. We're actually seeing pretty strong order flow. In the following quarters, we are

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actually not seeing significant sales from larger repeat business. So for example, towards end of calendar year '22, beginning of '23, we had actually supplied a larger volumes for three of our customers. So the next batch will be required by them from beginning of '24 onwards.

Having said that, currently, we are actually doing a lot of first-time molecules. Now these are either Phase 1 or a lot of these are actually late-stage molecules. So we expect that the scale-up, which typically takes about five to six years as the molecule goes from Phase 1 to Phase 3 to commercial, typically, it takes longer period. In this case, it will basically take significantly shorter period because though these are first-time customers and first-time supplies, these are for late-stage molecules and hence the scale-up will happen much quicker now. So we are

actually seeing a lot of good traction on late -stage opportunities that we have decided to focus on as a part of our strategy from last year onwards. So that is where we are seeing pretty good traction now.

Abhijit Akella: And just the other question I had was with regard to the specialty chemicals business, in particular, the multi -purpose plant, has it sort of ramped up to the kind of revenue potential that you might have had in mind at the outset? Also, are the other projects within specialty chemicals now running at full? And is there any sign of demand softness from say the agrochemical sector or any other given the kind of market environment we're going through?

Radhesh Welling: So on specialty, as you know, in Dahej, we have two new plants. There is one dedicated plant for agrochemicals, and then there is a multipurpose plant. The agrochemical plant is actually, which is a dedicated agrochemical plant is running to full capacity. The MPP is not yet running to full capacity. We expect that as we had indicated before, we

expect that it will basically start

getting to full capacity from year two onwards, so which is from next year onwards. Overall, on the demand side, there are a few molecules where we are seeing issue.

Primarily, there is one large molecule as I had indicated in the month of May when we met to discuss Q4 performance, I had actually talked about one large molecule, which was been supplied from Surat where the demand had actually come down almost to zero in calendar year Q1 and Q2. That is what we were seeing significant headwind because we actually supplied almost zero volume in Q1 and Q2 of calendar year '23, which is why actually, when you look at the standalone Navin Fluorine numbers, you see a gap because that molecule didn't supply from Surat.

Now, there, the good news is that we have actually received our forecast for second half of calendar year '23 and the supply has restarted, and the plant will again now start running to full capacity from Q3 onwards. So that is what is expected given the demand forecast that we have received from the customer. So there was one particular molecule where there was a significant downturn but there, from H2 onwards, we expect the volume to again come back.

This is as per the forecast that we have received from the customers as of today. These numbers are changing almost on a monthly basis. They go down, they go up. We were actually not expecting this uptick to happen so quickly. We were actually expecting it to start from only end of Q4 calendar year '23, but we have actually received that almost two quarters ahead. So as I said before also, the numbers are changing almost month -on-month basis. Sometimes they are Navin Fluorine International Limited

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going down. Sometimes they are actually going up. In some of our main products, we've actually seen -- the forecast has actually been taken up by some of our customers.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sir, first question was on the Specialty Chemicals side. Just for this quarter, would it be possible to give some color, whether it was more of a volume story or did you also see some margin expansion? And just for going forward for FY '24. Do you still think it's going to be more of a volume story, given that some of your capacities are ramping up or do you also expect to see some of the margin tailwinds to start coming through from next couple of quarters? That was the first question.

Radhesh Welling: You are going to ask second question or do you want me to answer the first question before you go to the second?

Vivek Rajamani: Ok. I'll just ask the second question itself. Sir, you've given a lot of detail in terms of the outlook that you've mentioned. Obviously, it's very dynamic. Just wanted to get your thoughts. We've obviously been hearing that we've seen some corrections in the raw material prices, and there's, obviously, some risks that other players have been flagging that margins could compress as some of these prices come down. Obviously, you don't give a lot of sense on the demand side. If you could just speak on the margin trends as well, that would be really helpful.

Radhesh Welling: Sure. So I think on your first question on specialty, the growth that we are seeing, primarily coming from the new product introductions and the volume. It's not so much from pricing or the margins. It's primarily volume and that is what we will continue to see in the coming quarters also.

Now if you look at a lot of these new molecules that we have either introduced or are working on, a lot of them have higher margins than the molecules that we've had in our legacy portfolio. So directionally, the margins will keep expanding as we move forward. Having said that, the margins of the products that we have in our portfolio, some of them actually vary from product to products

significantly.

And hence, margin also gets impacted by product mix. So for example, I earlier talked about

this particular product that we were selling from Surat where H1 of calendar year '23, we did not sell anything. That product is a very high margin product. So if you actually don't have any volume of that product, it clearly impacts the margin. Now that the supply will now start of that particular product, it will positively impact the margin of the specialty business, as well as the overall business.

At an overall Company level, I think it's a very similar story. Our contribution margins in different businesses are very different. So I think I've mentioned this before as well. I'm talking about the contribution margin or a gross margin. Of course, EBITDA margins are very, very similar because some of these higher contribution margin businesses also have a higher fixed cost load, but overall, the operating margins are very similar, but then quarter-to-quarter, our overall margins change depending on which business is actually selling more and which businesses selling less. So I don't know if that helps you.

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Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got two questions. First on the Honeywell contract, last year, we got a 15% to 20% price hike because of significant inflation in the raw material. This year, we are probably in the exactly opposite side of it, where the prices have fallen very sharply. When is this reset of prices going to happen? That's number one. And number two, an attached question to that, is that a right understanding we had earlier that our margins in Honeywell contract is the percentage of revenue? That's the first question.

Second question is for Anish. On the operating cost, this quarter, the other expenses have dropped by INR43 crores quarter-on-quarter. What has led to such a sharp drop? I thought it's largely a fixed cost, probably some freight cost and power cost would be saving because of plant shutdown, but the drop looks quite steep there. And a related question on depreciation, what is the impact of changes that we did last year on this quarter, can you quantify that number?

Radhesh Welling: Yes. So on the Honeywell contract, we have a true-up mechanism and as per the earlier agreement, we were required to do that true-up or true-down once a year. But given the volatility in the market right now, what we are trying to do is that we try to do a true-up or a true-down on a quarterly basis. So end of quarter, we actually estimate what the cost is likely to be for the following quarter, we accordingly change the pricing, and then whatever has actually happened, whatever that delta is which typically is not significant, we adjust in the following quarter's pricing. So whatever you are currently seeing, whatever is getting reflected in the revenue is actually the true-up pricing, true-up or true-down pricing. So that is one.

Second is in terms of margin, I think it will be difficult for me to comment because there is a lot of confidentiality, this one, attached to it. It will be difficult for me to comment on how that margin piece works as far as the Honeywell contract is concerned.

Anish Ganatra: On the other expenses, you're absolutely right. There is a quarter-on-quarter drop from INR138 crores to INR95 crores. If you look at that, we can sort of analyse it into two buckets. The INR138 crores has certain one-offs. These were related to consultancy charges. I think as we have spoken to you, even in the last quarter, there's also some exceptionally high repair costs that also goes into it and there were some provisions.

Now all of that put together is about INR15 crores. So one-offs included in the INR138 crores are about INR15 crores, the balance INR28 crores is related to activities.

If you look at the

quarter-on-quarter activity, our CDMO numbers for last quarter were about INR180 crores. This quarter, we are talking INR70 crores. So there is an activity drop from CDMO that leads to some reduction of that cost and also the shutdowns as you rightly mentioned in our case.

So that's on the other expenses. On the depreciation, as we said last time, our guidance continues similarly, which is about INR20 crores to INR22 crores of depreciation charge per quarter. If you look at the split of the depreciation, that is about INR11.5 crores in NFIL and about INR9 crores - INR10 crores in NFASL.

Sanjesh Jain: Just one thing on the depreciation, what is the impact of the change of the life on this INR22 crores?

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Anish Ganatra: So last time, last quarter, we did the estimate change and last quarter, we had quantified the number as INR20 crores for the quarter. Now, of course, the way that gets calculated in the financials is you look at the full year depreciation for the new method and the old method. So there is a double dip in the Q4. But if you had to get a number, that would be about INR15

crores. So last quarter, what you saw was about INR22 crores should have been the hit in FY '23.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: So the first question on the CDMO side. The Fermion contract, is this the same that we had discussed upon earlier, the \$16 million opportunity or is it an incremental to that?

Radhesh Welling: No, this is a new one. That was with a different customer.

Ankur Periwal: Sure. So if I got it right, so this Fermion contract is incremental, which will drive growth for us. The \$16 million is one which has already come into the numbers or it is another opportunity that will come in this calendar year?

Radhesh Welling: No. So \$16 million was not an agreement. It was the PO that we had actually received, that has been supplied in the last financial year but that molecule is actually doing extremely well, that is with another large biopharma company. And as I had indicated before, we are actually expecting a further scale-up of that in the calendar year '24. So you will actually see a repeat of that happening in the calendar year '24 and the volume actually will be even higher. We expect the quantum of the PO at that point in time to be even higher. We're just trying to understand how much would that be because that is also going to be the basis for our cGMP4. This particular contract is a completely different contract with a completely different customer for different molecules.

Ankur Periwal: And another follow-up there. Since you mentioned most of this growth is led by the new late stage molecules that we are reporting now, while the older ones are yet to pitch in, should one factor in that this number can grow at a much faster pace going ahead once the older ones also start contributing with maybe macro stabilizing?

Radhesh Welling: Yes. So, the distinction between old and new, when I say old, these are the molecules, see the traditionally the business our business was engaging with the customers right from clinical stage or Phase 1 stage and continue to work on those molecules as they scale up. Now, as those molecules scale up, get to Phase 3 or commercial stage, the volume increases but typically what we have seen is that there is an order that is placed by the customer. We supply that quantity to them. Then they convert it into the API formulation, etc

And lot of times, this entire piece happens on a campaign basis and the campaign typically is run by the customers once in every two years. And that is why we see a significant chunk coming this year; then the following year, nothing; and then again the following year. So now, if you basically run a business where a lot of these engagements

all typically start at Phase 1, then the business tends to be extremely lumpy.

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And hence what we had decided last year was to consciously focus on lot more late-stage opportunities and position yourself as an alternate supplier for those late-stage opportunities and which is what now, we've actually started doing. So, these are late-stage opportunities but new to us. So we are just supplying them the qualification batches, etc. So to your question, the answer is absolutely because as these qualification batches get approved and the demand continues to be there for those molecules, the scale-up will be much faster than what we have seen traditionally because the entry point itself is either late stage Phase 2 or Phase 3.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Sir, I have a few. The first one, you did mention about some sort of demand volatility that you're experiencing in some of the businesses. And now that we are hearing a lot of talk on inventory destocking, especially on the agri side and the fact that two of our plants in Dahej are dedicated towards the agrochemical sector, are you seeing some sort of weakness there?

And number two. Sir, in the HFO plant, I think we had signed a contract for seven years and the INR400 crores annual number that one would have anticipated earlier, there were some cost escalations and the revenue number seem to be a little higher because of the past, would there be any change to that number?

Radhesh Welling: Sorry, what was the number you talked about for the second question? I wasn't able to get part of your question.

Archit Joshi: Yes. So sir, it was a INR2,800 crores contract for seven years. So approximately, INR400 crores figure, that's how I calculated. But I think during the plant visit, you mentioned that because of some adjacent forays and some costs going up a little upwards of INR400 crores. What would be the outlook for this year to that account?

Radhesh Welling: Yes. So, I think to your first question, I think I have already mentioned that we have two plants. There is a dedicated agro plant in Dahej, which is running to full capacity, that has been running.

In Q4, it ran full capacity; Q1, it ran trying to full capacity. We expect that Q2 also, it will run to full capacity. It's a little difficult for me to give you this one for Q3 and Q4. But right now, it is running to full capacity. MPP, we expect that the capacity utilization will be lower this year,

but that is how it was planned, and we expect the capacity utilization to get to optimal level from the next year.

So basically, I'm talking about calendar year '24 onwards. Of the four molecules that we have planned in MPP, we are seeing some issues on the two molecule, but that is not really resulting into any downturn in terms of sales for us this year. Next year, when we've actually earlier expected for the volume ramp -up to happen, we believe that this destocking process would have actually got done, and we expect that the demand to be back as per our earlier expectation. The good news is that for all the molecules, this four plus one molecule, that we mapped in these new assets in the Dahej, the end market demand continues to be very strong. So whatever volatility that we are seeing is primarily from the perspective of destocking. And hence, one point of view that we are looking at is that next year, if the demand continues to be as strong -- the end consumer demand continues to be as strong as it is today or as strong as it is this year.

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And some of that destocking start reversing into restocking, what would that really mean for the demand from our intermediates because we expect that there will be a significant uptick

in

demand next year, at least basis on the start of the initial conversations that we've had with our customer.

On the second point, it will be difficult for me to give you an outlook for this particular year for the HFO, but overall, your understanding is absolutely right. So that has happened because of two main reasons. I mean obviously, the cost keeps having impact. On a quarter -to-quarter basis, it's different, but primarily because of two reasons, one, as you know, it's a dollar -denominated contract, and as the dollar appreciates, it has impact on the rupee revenue that we generate from the contract. And the second, there was some cost escalation, which was within the prescribed limit of 10% and there was a pass -through mechanism, which was defined in the agreement. So because of that, there is an increase in the pricing and hence the increase in the realization.

Archit Joshi: I have two more. I'll just squeeze in quickly. Sir, one on the working capital. In FY '23, we saw some jump in our receivable and inventory days and supplementarily, that we are adding new customers. Would you allude that to the fact that newer customers are having slightly higher days in terms of credit and what would be the sustainable level of working capital days that we see going ahead?

And sir, if you can also comment on the recent resignation by one of our CEO in CDMO, what was his contribution like and how are we looking at this with respect to replacement of in the current existing hierarchy?

Radhesh Welling: So let me take to second question first and then I will let Anish respond to your question on working capital. So you're referring to resignation of Ravi, who was the CEO of our CDMO business. As you know, he joined the Company last year. He actually decided that he wanted to do something of his own and hence he basically expressed his desire to leave to start his own entrepreneurial venture, which we respect a lot. We have identified two internal candidates for this position and we are in the final stages of deciding between these two candidates. In the next few weeks, we would decide among these two candidates. But to your question, in all likelihood, it would be an internal candidate and not an external search.

Anish Ganatra: Archit, so on your question on working capital, I mean, compared to last year, as we've said, the numbers, if I remember correctly were about 137 - 138 days of sales. And as we mentioned last time, we have already initiated actions to bring that down to more of a normal level. Of course, last year also, had the effect of one -time investment in working capital, following the commercialization of Dahej assets. Yes. so kind of looking forward, I mean, our target is to hold the working capital to between 90 to 100 days, that is our sort of intent, and we have started to make headway into that area. And you will obviously see the numbers when we report the first half of the financial September along with the working capital and cash flow. But you should expect to see it within that range as I said.

Moderator: The next question is from the line of Anubhav Sahu from McPro Research .

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Anubhav Sahu: Yes, a couple of questions. One is regarding the supply agreement with Fermion. So if I got it right, we would be supplying molecules for three products. Two late -stage and one which is already commercial. If you could talk about any indication on the size of the contract or if there is any exclusivity in the contract? And are we here dealing with the non -fluorination chemistry as far as this contract is concerned?

Radhesh Welling: Yes. So they have actually talked about supply of intermediates for multiple molecules. And as you rightly said, one of them is a commercial molecule and some others are late-stage molecules, and there are multiple molecules that had been identified

in the agreement. The commercial molecule that we have already started supplying qualification batches for, etc, is a non-fluorinated molecule. So that has actually got nothing to do with fluorination. Out of the other two, one of them will be fluorination, other one will not be a fluorination molecule again. And there is no exclusivity there. They are free to obtain from other suppliers. Currently, they are sourcing from another supplier in Europe. So we will actually be the second supplier because as I mentioned, these are all late-stage opportunities. So they have already sourced this intermediate till now from another supplier in Europe. So there is no question of exclusivity.

And the material supply agreement that typically gets signed in CDMO because it doesn't have a take or pay or it doesn't require a dedicated investment, so what typically the way it is framed is they give an indicative volume and the indicative pricing gets negotiated and agreed upon. And as per that, we believe that over the three years period, the agreement should basically give a revenue of approximately about \$40 million. I think more than the revenue per se, what it really does for us is, a, it proves our credibility now to supply molecules outside of our core fluorination value proposition.

The second is it actually gives us certain baseload and hence a certain revenue and earning visibility because one of the issues that this business has faced is that of a lumpiness. And through these late-stage opportunities and through these agreements, that is one of the points that we are trying to address. So that is where this really adds significant value that through contracts like these, we will actually bring in certain steadiness to our business. It's not going to happen from this quarter or next quarter, but we expect that from the next year onwards, we will actually start seeing a certain baseload, which will actually come every quarter.

Anubhav Sahu: And sir, secondly on the launch pipeline from the MPP, I believe we have launched three agro intermediates and fourth one is still to be launched, right?

Radhesh Welling: No, we've actually supplied all four. We supplied all four. We already have three of them already approved. The fourth is currently in the process of getting approval.

Moderator: We have the next question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: First question is again on Honeywell. We had indicated last year that during 2023, we will be again putting up discussions with them for a new HFO facility. So any further work on this? And apart from this, whether there are any other opportunities on which we are currently discussing with Honeywell?

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Radhesh Welling: Yes. So what I had mentioned was the first step would be -- there would be a kind of a debottlenecking capex, which will increase the current capacity by about 25%. So that is in advanced stage of discussion and closure. We expect that within this calendar year, we would close that. And once that happens, it will entail a small capex, which it will take us about a year to do that.

So we expect that capex to get done by end of calendar year '24, which means that we will have that additional 25% capacity available to us from beginning of calendar year '26. And then post that, we will look at possibly adding another line for the same product. Other than that, there are two other projects that we are currently in discussion with Honeywell and both of those are progressing extremely well. One of them is on HFO, another HFO, and the second one is a completely different application.

Rohit Nagraj: So that application is not a ref gas, but other than ref gas application?

Radhesh Welling: There is one HFO. I don't want to talk about the specific application for that HFO because of the confidential

reason. But the other one has got nothing to do with refrigerant gas or anything. It's basically in the advance material -- it's under advance material business that we are incubating.

Rohit Nagraj: And second question is that now we have done the maintenance shutdown, what is the next shutdown that we will undertake on the Honeywell plant shutdown?

Radhesh Welling: If you had asked me this question in the month of May, I would have said that the next shutdown should be next year in around in April, but immediately a month after that unfortunately, we experienced a breakdown. So if you ask me, when is the next planned shutdown, it should happen in Q1 of FY '25. But as you know, this is a new plant, this is a new technology. So as we go, we are also learning more on this technology, et cetera. So that is not what we expect, but there could be some unforeseen issues but notwithstanding, the next plant shutdown will happen in Q1 of FY '25.

Moderator: The next question is from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak: To the extent you can share, what new capability built up you're doing within the firm? You mentioned INR30 crores in Surat. And apart from that, any other capability build-up that you're doing in the organization?

Radhesh Welling: Yes. So, there are a number of new capabilities that we continue to work on. We actually do the piloting in those and then scale up these capabilities. This is one very important technology platform that we have been working on and that is where we are actually investing to set up this particular platform now. It will be ready by -- it will take us approximately about 15 months to 18 months to have this plant ready.

It will be ready by end of next year, calendar year '24 and this is a very unique capability. It basically strengthens and expands our existing value proposition. This specific capability or the specific investment was actually done for one particular molecule upon which we have a very strong outlook and should get converted into revenue of approximately about INR45 crores on annualized basis. But more importantly, this capability actually will position us very, very

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strongly for future growth. So it will actually help us attract lot of new projects, not only in agrochemical business, but in other businesses as well, it positions us extremely strongly to get new projects moving forward.

Dheeresh Pathak: Okay. Anything else apart from this in the recent past that we've been focusing on?

Radhesh Welling: Yes. As I mentioned, there are a lot of other capabilities that we keep developing and bringing on board. Not all new capabilities require completely fresh investments. So some of these capabilities can easily be mapped within the current set of assets because of which it doesn't actually get announced. But typically, what we do is that we have identified as I've discussed earlier about our business model around three pieces. So, one of the pieces is that of a platform. So there are chemistry and technology platforms that we continue to develop and typically what we do is these get developed in R&D, then they are taken to a pilot and then we either map them in our existing assets or we have to invest in completely new set of assets. So this one was the first one, which required a completely new set of assets. But we've actually developed multiple such platforms, which got mapped in our existing assets. But this is an ongoing exercise, and this is what we believe will continue to differentiate us from other players in India and globally.

Moderator: We'll take the next question from the line of Dhvaneet Savla, from DN Trading.

Dhvaneet Savla: I just got a question with regard to the interest cost in our balance sheet, I just wanted to know that what is the average cost of the debt we are paying on?

And is there any provision to

prepay our debt or is it primarily going to be used to fund further capex?

And just one more point that, there has been a significant increase in depreciation. Is there any particular reason or is it just because of our new facilities, which we have brought in this quarter?

Anish Ganatra: Let me take those questions. So your question on depreciation is exactly right. It's all related to new capacities coming on stream and those are also reflected in the standalone numbers and the consolidated numbers. So the difference you can see relates largely to Dahej assets, yes. On the interest costs, see, our sort of philosophy on funding these assets, and of course, all of the interest costs relates to the new assets that have been commissioned in Dahej and the philosophy around funding these.

We ensure that they are taken on a term loan with sufficient space to allow for the assets to fund for those interest costs by themselves. So if you see our intent is that any new asset that we fund, we essentially ensure that the asset is self-paying on the interest and the principal components thereof. So we take some moratorium for the principal side but the interests are funded regularly.

The average cost of borrowing for us is in the range of about 8.3%.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Sir, I had a limited question as per se, we're seeing a lot of weakness in the global agrochemical chain and what we've come to understand is that there is a lot of dumping from China as well, where they're driving down prices of intermediates, a category where we compete as well, probably not in the same value chain, but we do compete in there. And so basically intermediates

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prices are getting driven down as well as finished goods. So I understand we have contracted volumes and our margin would be stable probably since we have contracted volumes. But I just wanted to understand from you, is that best to the absolute EBITDA or EBITDA per tonne, however, you calculate it for our intermediates in terms of contract divergence or something in

light of these falling prices and this inventory destocking?

Radhesh Welling: So, if you actually read my commentary over the last, let's say, two years, one of the things that I have constantly been saying whenever there was a question related to China plus one, I have always mentioned that China will be back, and China will be back with vengeance, hence it is extremely important to select the value chains that you want to play in very, very carefully because there are certain value chains where the SOEs are extremely strong, and those are the value chains, which are going to get impacted severely. Some of that we have already started seeing this particular year.

We have been very careful in selecting opportunities in value chains, where we don't see a direct competition from China, and hence no straight threat coming in from China. So in most of our new molecules, so molecules which are mapped in let's say Dahej or some of the new opportunities that we have been working on in agro or otherwise, we are not really seeing any immediate threat from China, at least not at this point in time.

Having said that, there are some old molecules in our portfolio, there, where we actually don't even have any long-term agreements or things like that. That is where we are actually seeing some pressure, but that as a percentage of our total portfolio, that's a very small percentage. And hence, it doesn't have any material impact on our overall margins.

Jason Soans: And sir, my next question is, just wanted to touch upon in terms of SpecChem, you have highlighted before that the contribution is broadly 40% pharma, 40% agrochem and 20% are the emerging areas of industrial. So, what is the current prop

ortion and how do you see this mix

changing? And probably you can just give me some color on how the outlook for pharma or other emerging areas is in terms of specialty chemicals.

Radhesh Welling: Yes. So I think just one point before I can answer that question. To your earlier question, my commentary was specifically related to specialty, yes, because the question that you were asking whether we have been impacted by some of that dumping, etc, actually holds true for HPP where I have already provided the commentary around R22. So my commentary was specific to your question, which was around specialty. So I just want to make that clear. That is it's not related to R22 or other products that we have in other business units.

As far as the breakup is concerned, you're absolutely right. Earlier, it was 40-40-20. 40% from pharma, 40% from agro and 20% from industrial. And as I have mentioned from last year onwards, we have actually started reducing our pharma business because we believe that that's not really a long-term sustainable and profitable business for us. Hence, we have consciously been reducing that particular business getting out of low-margin products and not really actively working on any new opportunities on the pharma side within the specialty.

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As you might know, specialty business focuses on generic pharma business, primarily working with the Indian pharmaceutical companies as against CDMO business where we work with innovators on patented molecules. So that's a very fundamental difference between the pharma business that we target under these two business units. So, currently, a significant portion actually comes from agrochemicals and industrial, and there is a very small percentage, which comes from performance material. As we move forward, we believe that the performance material, a percentage of sales coming from performance material will go up, agrochemical will continue to remain same as an overall percentage of the business.

Moderator: The next question is from the line of Ranvir Singh from Nuvama.

Ranvir Singh: My question relates to the Honeywell contract. That \$410 million contract initially we talked about, of that, what portion we have already supplied and what remains now?

Radhesh Welling: No, I think as I had indicated, it's a seven-year contract. So we've actually just in the first year of supply of that particular contract. So we've just started. We're really at the starting point right now at that contract.

Ranvir Singh: So some portion was captured in FY '23 and in Q1 FY '24, right?

Radhesh Welling: That's correct.

Ranvir Singh: Okay. And so this may not be evenly spread across the year. So if you could just indicate that whether this is concentrated towards initial years, or the larger part will come in later years of this contract?

Radhesh Welling: No. So once the plant ramp-up happens, it was supposed to be almost even across the year. It has not been because of some of these challenges that we have faced in Q1 as I mentioned to you, which were primarily from the supply side. But otherwise, the supply under the contract was supposed to be even post-ramp-up of the plant.

Ranvir Singh: Okay. And you talked about 25% capacity expansion through debottlenecking. So, this is towards the same \$410 million contract or the contract size is also expected to increase from here?

Radhesh Welling: No, that will be over and above that contract because that was for the 100% capacity, and now we will actually increase that by another 25% . So that will be over and above the original agreement and which is what we are currently in negotiation with them to revise that initial contract to add on the volume, this particular 25% volume to that initial contract.

Ranvir Singh : And so, in FY '23, can you attribute any percentage, what percentage we have supplied so far?

Radhesh Welling: No. That will be very difficult for us to do.

Moderator: Ladies and gentlemen, this would be the last question for today, which is from the line of Nitin Agarwal from DAM Capital.

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Nitin Agarwal Radhesh, on the specialty business, when you look through the next say 12 months to 18 odd months, the drivers of the business will be what, will it be the scale -up of the MPP contract and the new specialty chemical project, which is likely to come up in FY '25? Beyond these, what other drivers would be there for this business?

Radhesh Welling: So, I think there'll be four or five drivers. One, there are plants in Surat right now, which are not running to full capacity as I had indicated earlier. So Surat will actually ramp up almost to full capacity. So that's point number one. Point number two, the MPP that we have invested in Dahej , that we will actually ramp up the capacity utilization in that. Number three, the dedicated agro project that we have invested in, where the plant is supposed to be commissioned by end of this year.

So that will add a significant number to our revenue, this one. And fourth, there are other projects that we're working on, which don't require large new capexes , which require minor debottlenecking here and there. Some of that will happen in Surat, some of that will happen in Dahej. So these are the four growth drivers, which will more or less happen given the current capex announcement that have happened.

Over and above that, there are number of new molecules and opportunities that we are currently working on, which are in the pipeline, but those have to be then converted into specific capex es, then we'll have to go to the Board and get approval on, but these are the four sets of growth opportunities with the current set of capex es.

Nitin Agarwal: And just on the four points that you mentioned, is it fair to assume that the new multi -year contract scale -up probably would be the largest contributor of these four in terms of significance?

Radhesh Welling: Yes. I would imagine so.

Nitin Agarwal: And secondly, on the CDMO business, you mentioned that the \$16 million contract been pretty much serviced out last year and this year and this fresh sort of supplies come in next fresh PO comes in only in FY '25. So from a FY '24 perspective, will CDMO be like possibly a decline year versus last year?

Radhesh Welling: No, we hope it will not be a declining year. We are still trying to track the similar kind of a growth trajectory. As I had mentioned to you, the sales split will probably change. Last year, there was a significant percentage of our total sales, which came from , late-stage repeat business whereas here, there will be a significant percentage of the total sales will come from new business, so the split will be different, but we expect that there will be a nominal increase in -- that is what is expected, there'll be a nominal increase in this particular year, but we will see a significant uptick in the following year.

Nitin Agarwal: Right. And lastly on CDMO, in the shift in strategy you talked about, does it also imply differentiated margins versus do you make more margins in products where you work through the initial development phases versus products that you take on in the late development phases?

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Radhesh Welling: No. So at contribution margin levels, they differ. But I think what you'll have to look at is that if they are at an initial stage, though the contribution margin is high, typically, the fixed costs required to service that business is also significantly high. So if we look at it at our operating margin level, they almost even out.

Nitin Agarwal: Okay. And obviously the late stage molecules come with a much higher volumes.

Radhesh Welling: That's correct.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Radhesh Welling: Thank you. So I'd like to thank everyone for taking time out and joining on the call today. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relation partner, Orient Capital. Thank you very much and have a good day.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

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November 06, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR EQ

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 31, 2023 regarding discussion on operational and financial performance of the Company for the Quarter and Half Year ended September 30, 2023 (Q2 & H1 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q2 & H1 FY24 Earnings Conference Call"
October 31, 2023

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Navin Fluorine International Limited Q2 and H1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q2 and H1 FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbour statement is given on Page number two of investor presentation of the company, which has been uploaded on the stock exchange and company's website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you to Q2 and H1 Financial '24 Year's Earnings Call. As we delve into the financial and operational performance of the half year gone by, I'd like to emphasize that our unwavering commitment remains firmly rooted in delivering the utmost value to our stakeholders. Over the past few months, we have intensified our focus on enhancing customer interactions and forging stronger partnerships, initiatives that have already yielded positive results.

As we navigate the complex landscape of our industry, my priorities to the team remain crystal clear. Paramount importance is placed on safety and well-being of our workforce and the operational resilience of our facilities. While continuing to drive efficiency across the organization, we are steadfastly building a robust and diverse business pipeline that positions us for sustainable growth and success in the future.

Our focus is to improve the quality of revenues that is more predictable, diverse and preferably backed by multiyear supply contract. The trust and support from our customers will make our business more resilient and sustainable. We will continue our focus on growth within a strong financial framework, including management of working capital and cash flows.

We are currently working on multiple new projects which will translate into new capex programs and new growth opportunities for Navin Fluorine. We will take these projects to our Board for approval as we complete technical, commercial and financial due diligence. I am currently spending my time and shall continue to do so in meeting with CEOs and senior leadership teams of all key global customers across the three business units.

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Our founder late Shri Arvind Bhai foresaw that for Navin Fluorine to succeed across market cycles, trust and inclusion would need to be more than attributes. They remain the pillars of Navin Fluorine's ecosystem. I am pleased to announce that in the commemoration of the centenary birth year of our esteemed founder, Shri Arvind Bhai Mafatlal, the Board has approved a onetime special dividend of INR3 a share in addition to an interim dividend of INR5 per share. This momentous occasion provides us with a unique opportunity to honour the visionary leader whose dedication and passion laid the foundation for our success.

Our founder's unwavering commitment to excellence has guided us through a century of growth and achievement. And this special dividend reflects our gratitude to our shareholders who have supported us on this

remarkable journey. We look forward to continuing our founder's legacy of innovation and leadership in the years to come.

With this, now I hand over the call to Radhesh and Anish to provide an update on the operational and financial performance.

Radhesh Welling: Good evening and thank you for attending the earnings call. The revenues and profitability in the quarter Q2 FY '24 were below our expectations. Though our order books across businesses remained strong, our actual production was lower than our planned. Let me take you through the business-wise performance for the quarter.

Our specialty business performance was impacted due to deferment of sales of two products from Q2 to Q3 due to certain production-related issues in the Dahej. On the positive side, we are expected to launch two new molecules from our Dahej plant and three new molecules from Surat facility in the coming quarter.

We are confident, with the strong partnerships and technology platform, we'll continue to deliver innovative offerings to our customers. This business will continue to remain a high-growth business for us in the future as well. Capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25. Agro specialty capex in Dahej is also progressing well and is estimated to commission at the end of this financial year.

We have already secured POs covering the dedicated portion of the capacity for calendar year '24. This will contribute significantly to growth in revenues in Specialty starting next year. Our HPP business was impacted due to unexpected breakdown in the plant during June, July at Dahej.

The plant is now operational and is progressively ramping up. We are also working with our partners to further improve and enhance productivity and reliability of the plant. We commissioned our R32 plant in past quarter and stabilized the production by middle of September. This plant is now operational, and our order book remains robust.

We expect the plant to be running to optimal capacity going forward, and we expect to generate sizable revenues from the plant from next quarter onwards. Demand for R22, especially in international markets was muted, and we expect demand to start picking up from end January onwards.

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For the non-MSF R22, which is primarily used in pharmaceuticals and agrochemicals segment, the demand continues to remain strong. Our AHF project for adding 40,000 metric tons of hydrofluoric acid capacity in Dahej is progressing well and is as per schedule. Our CDMO business revenues in the last quarter they're all from new molecules.

We see this as a positive sign as our overall product basket in CDMO expands. Detailed engineering of cGMP is as per schedule. In this business, we had to defer significant sales of one campaign from Q2 to Q3 due to last minute change made by the customer in product specification and the method of analysis.

As recently held CPHI in Europe, we launched our new brand, Navin Molecular for our CDMO business. Navin Molecular will help us further sharpen our value proposition to offer a wide range in CDMO services to our customer supporting projects, including non-fluoro projects through the clinical phases to commercial and manufacturing. Going forward, all our CDMO business for global pharma innovators will be done under Navin Molecular brand.

I'll now hand over the line to our CFO, Mr. Anish Ganatra to give you a brief on the financial performance of the company. Thank you very much.

Anish Ganatra: Thank you, Radhesh. Good evening to all the participants. Let me brief you on the overall financial performance

of the company. Sales during the quarter were impacted largely due to slower stabilization of R32 plant. The progressive ramping up of HPP plant at Dahej, post the June July shutdown, sales of a campaign in CDMO deferred to Q3 FY '24 due to change in product specification and method of analysis, production-related issues in Dahej resulted in deferral of sales of two new products on specialty.

The overall revenue impact of these contributing factors is about INR90 crores to INR100 crores. Adjusting for these factors, our revenue would have been in the range of INR550 crores to INR570 crores for the quarter. EBITDA margins were therefore impacted by lower operating leverage, and we also had one-off cost of approximately INR6 crores due to some corrective measures taken at Dahej plant.

I will now share the highlights of our performance for Q2 FY '24 and first half FY '24, post which we'll be happy to take questions from all of you. For first half FY '24, on a consolidated basis, the company reported revenue from operations of INR963 crores as against INR817 crores

in H1 FY '23, a growth of 18% year-on-year.

Operating EBITDA stood at INR213 crores as against INR193 crores in H1 FY '24, up by 10%. Operating EBITDA margin stood at 22.1% as against 23.6% in H1 FY '23, lower by 155 basis points. Operating PBT at INR128 crores for H1 FY '24 as against INR159 crores in H1 FY '23 was lower by 20%. Profit after tax stood at INR122 crores for the first half of the year as against INR132 crores in H1 FY '24, reflecting higher depreciation and finance costs associated with Dahej assets apart from lost sales.

Now coming to the quarterly performance for Q2 FY '24. Company reported growth of 13% in net revenue from operations to INR472 crores against INR419 crores in Q2 FY '23. Operating margin was INR98 crores as against INR94 crores in Q2 FY '23, a growth of 5% year-on-year

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and EBITDA margin stood at 20.8% for Q2 FY '24. Operating PBT stood at INR54 crores, lower by 25% as compared to the same period last year. PAT stood at INR61 crores for Q2 FY '24 as against INR58 crores in Q2 FY '23.

Net debt at the end of Q2 FY '24 stood at about INR780 crores. Our net debt-to-equity ratio at the end of Q2 FY '24 was about 0.34. Our focused efforts to reduce working capital has helped release about INR275 crores of cash during first half FY '24. We have progressively brought down inventory, accelerated the collection of receivables and continue to work on extending credit terms with our suppliers.

Our cash conversion cycle at the end of H1 FY '24 was about 90 days compared to about 135 days at the end of FY '23. So that is it from my side. We will now open the floor for Q&A. Thank you very much.

Moderator: Thank you very much, sir. We'll take the first question from the line of Mr. Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on the CDMO front. So, we had indicated last year that we have a target to reach about \$100 million by sometimes FY '26, FY '27. So how do we see the progress going ahead? And what could be the milestones to achieve those -- that \$100 million target? Will it be step jump or will it be a gradual increase?

Radhesh Welling: So as far as the target is concerned, we are working towards that right now. It will not be a step jump, so it will not be that one year, we've actually done significantly lower than that in the following year, we suddenly achieve \$100 million. It will be a gradual move towards that. At the same time, the business, as we have indicated before as well, will continue to remain lumpy. That's just the nature of the business.

As you all know, about two years back, we started focusing specifically on identifying and developing more late-stage opportunities. And we are actually seeing a lot of success in that particular area. And that is what is

giving us additional confidence now that we should be able to directionally achieve that number around the year that you mentioned. It will be difficult for us to specifically project if it will be in one year or other.

But directionally, we should be able to achieve that given the strength of our pipeline, the way we are looking at it.

Rohit Nagraj: Got it, sir. Sir, my second question on Honeywell. So, we had indicated prior that we will be speaking with Honeywell during 2023 for any new opportunities as well as the expansion or doubling capacity for the current Honeywell product. Any new update on the same? And are there any positive indications from Honeywell to give us newer projects over the next foreseeable future?

Radhesh Welling: Yes. Currently, there are a few things that we are discussing. Our engagement is quite deep rooted with Honeywell. There are a few things that we are discussing, but these are basically ongoing discussions. And as we have indicated earlier, our initial focus, especially for this year has to be to stabilize the plant that we have invested in and to ensure that, that starts running to

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the full capacity. And while we do that, we have identified a few projects to work with them on, on those discussions, both on the technology side as well as on the commercial side are ongoing.

Rohit Nagraj: Just one clarification. When are we expecting to reach optimal utilization on the existing plant with the recent issue?

Radhesh Welling: I think we are -- since we had this issue in June, July, we are progressively ramping the

production volume that we are manufacturing from that particular plant. It will be difficult to give a specific target, but we are actually moving positively. For example, in Q3, our production will be more than what we did in Q2. In Q2, our production was more than what we did in Q1. It will be difficult to say as to when we will achieve the full capacity, etc, but we're actually moving in the right direction.

What we don't want to do is suddenly move it to full capacity and then again get into some issues. So, we are actually progressively ramping that up. And as we are doing that, we are also closely interacting with Honeywell to further identify and develop opportunities for enhancing productivity as well as the reliability of the plant.

Moderator: The next question from the line of Mr. Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: Sir, I mean, just taking your earlier commentary, introductory commentary about the aspiration of forging more longer-term contracts, one is if you can give a little bit more clarity with respect to if one is looking at the business, the long-term contract gives stability, but lose versatility in the sense that between moving one type of molecule manufacturing to another. So, in your opinion, how much of say two years, three years down the line would be...

Radhesh Welling: Sorry, we lost you. We just heard the starting of that question then after that we lost you.

Sudarshan Padmanabhan: Sir, my question is more on understanding on the long-term contract expiration. So, we have seen a few long-term contracts getting signed. But over a period of time, how much of revenues or scale do you expect -- or do you want from a long-term contract because it is also sacrificing stability for versatility. So, one, on that strategy, what is your thought process?

The second is on the business perspective, I'm not looking at a segment. But as a whole, we're seeing Agri specifically going through a lot more pain. So do we have enough engines on the non-agri side, I'm talking about, say, pharmaceuticals and others to offset the impact, at least in the near term for any weakness, if so, on the agri side.

Radhesh Welling: So, I think as we have indicated before as well, our focus will continue to remain to ensure that our overall b

usiness is very diversified as well as very balanced. What I mean by that is that we will continue to focus on businesses which are backed by long-term contracts and then invest in dedicated plants for specific customer for specific products.

We will also have investments done in MPPs, which will make molecules for multiple customers and -- multiple segments. And that is the model we will continue to have. As I have indicated before, if you look at the CDMO business, it's a pure service business. HPP is more of a pure Navin Fluorine International Limited

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product business. There will be some outliers like the Honeywell project, etc, but that will be more of a product-driven business, whereas Specialty will be a combination of both.

And that is how we actually look at continuing that. Again, on the agri point, as you know, our business is quite diversified. We don't have any agri on the CDMO side. We don't have any agri on the HPP side apart from the small volume of R22 that goes into agrochemicals. Whatever agri business we do is primarily in specialty. And there also, as you know, we have actually started focusing since last year on Performance Materials, where we actually see pretty significant traction.

Again, within agri, as you have seen from our results in Q1 and also the commentary that Anish provided earlier with respect to Q2, we are actually not seeing as much demand -- dip in the demand as some of the other players are seeing even from agri. That is primarily because of the balance that we have between the generic molecules and the newer molecules.

Our newer -- demand for our newer molecules continue to remain very robust. On generic molecules, especially the older ones which we were supplying out of Surat, yes, we have seen certain softness in the demand. So that is the strategy that we have had, and that's the strategy we will continue to be on.

Sudarshan Padmanabhan: One last thing before I run back is, we would continue to go ahead with our capex. I mean, because the demand continues to remain strong. So, there will be no change in the capex, which we have earlier outlined, barring that probably the Agrochemicals gets deferred by a quarter or so?

Radhesh Welling: No. As our chairman indicated in his opening remarks, we are currently evaluating a few projects. But each of the projects will be evaluated on its own merit. And as an when the operating team, first of all, needs to be very confident on the merit of the project, it should qualify and meet our criteria, both the strategic criteria as well as financial criteria.

As it does, then the operating team will present it to the Chairman. And once Chairman approves it, we will take it to the Board. So, nothing changes on that.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Just a couple of clarifications. So first, on the debtor days. Your debtor days have come down

by 30-odd days. Is there any particular reason? And should we take this as a norm going forward?

Anish Ganatra: So, thanks, Krishan, this is Anish here. On the debtor days, I mean you're right, I mean, it has come down and part of it has got to do with how we are changing our approach towards collection. We are focused on ensuring that the collections happen on -- the credit terms are tighter in the sense that we do not want extended credit.

We're also using innovative programs on vendor financing and customer financing to ensure that the receivables are received because, both our focus on working capital and cash flow is no longer transactional, it's more strategic in nature.

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So, to answer your question on whether this is the norm to consider, I would indicate at this stage, while we continue to work on improving this. But at this stage, I would not give any further guidance beyond

the 90 days, which I had held even in the last year that I had mentioned

on the commentary to our FY '23 that we would target to hit the 90 days cash conversion cycle.

Krishan Parwani: Secondly, on the HPP side, just wanted to check, would we be able to, let's say, recover the lost volumes of HPP in the second half? Is there a possibility?

Radhesh Welling: So, most of that volume that we were -- we had to supply earlier, we will recover the -- I think the real question is, will that be incremental on top of what you would have otherwise delivered in the following quarter? That is little difficult to really ascertain because as you know, all of that is single product, single customers.

So ultimately, the question is what is the total requirement that the customer has currently, if you see, we are limited by the volume that we are producing and not by the demand that we are seeing from our customers.

Krishan Parwani: Noted. Fair point. And the last bit is on the borrowing front. So, our gross borrowings or gross debt has -- is more than INR1,200 crores now. So just wanted to check what is the comfortable level according to you? That's my last question.

Anish Ganatra: So again, if you look at our net debt position, which is the way you should look at in the borrowing sense, it's still INR780 crores, as I mentioned in my commentary, and that has a net debt-to-equity ratio of 0.34 is very comfortable for us. So, we will -- we don't give guidance on this. But essentially, you can see that we have a very strong balance sheet at the moment, with solid sort of cash in hand position as well as a comfortable net debt position.

Moderator: We take the next question from the line of Abhijit from Kotak Securities.

Abhijit Akella: Yes. Just on the Specialty Chemicals business with regard to - these production-related issues that you've highlighted. Could you please share some more colour about what exactly these are about? And does this impact the ramp-up timeframe that we had in mind for this -- for the multipurpose plant when we originally envisaged the project?

Radhesh Welling: Yes. So, I don't want to get into too much technical details. But both of these are new molecules, one which we had earlier done in Surat at very small volume, and we were actually doing the commercial production in MPP. And the other one was a completely new molecule that we were doing for the first time in MPP. We have since resolved the issues. And the production has actually started for both the molecules.

The total quantum of that was approximately INR34 crores between the two molecules. And that sales is actually -- will be deferring from Q2 to Q3. So, both the molecules, the sales of both these will actually happen in Q3. But this is primarily from MPP in Dahej and both of these are new molecules.

Abhijit Akella: Right. And with regard to the ramp-up timeframe that you had in mind for this project, does that sort of remain on track?

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Radhesh Welling: You're specifically talking about MPP or which project you're talking about?

Abhijit Akella: For the multipurpose plant?

Radhesh Welling: Yes, multipurpose, you know that we -- earlier when we presented the original plan, it was based on four molecules. We've actually seen the demand softness on one of them, which is the agri product. And hence, we have actually moved very quickly to bring in other new opportunities and put them in MPP. And that is why you're seeing these two new molecules come in, where we have quickly done the development, quickly done the qualification from pilot facility. And now we're actually doing the commercial production in MPP. But we expect that overall,

directionally, it will continue as per the original expectation. It's quite possible that in one molecule, the expectation might be -- lower than the original expectation and some other molecules, it could be h

igher than the original expectation. But that's just the nature of MPP.

Abhijit Akella: Got it. And just one last thing from my side. With regard to INR540 crores project, agro project at Dahej that's going to be commissioned by the end of this financial year. What percentage of the output is tied up already under the dedicated commitment? And what sort of timeframe should we expect for the full ramp-up of that project?

Radhesh Welling: So, as you might remember that 50% of that production was actually covered under a long-term contract. And the other 50%, we had kept it open to take advantage of the spot pricing. And also there also, we had actually started talking to the customers to possibly cover some of the volume, but that will only happen once the production starts. So that 50% that we've talked about earlier, we've already received the POs for that for 2024. So that 50% is already covered.

Anish Ganatra: Sorry, just to add Abhijit on that one. What Radhesh rightly mentioned, 50% of our dedicated capacity has been covered out, it's still in line with the plan. And the idea was to ramp it up and achieve PAR in about two years after commissioning. So, it doesn't change in that sense.

Moderator: The next question is from the line of Mr. Madhav Marda from Fidelity.

Madhav Marda: My first question was the deferral that we are seeing in Q2 across sub-segments. If I were to look at -- because if it's a deferral, does it go to Q3 or Q4, for example? Is it fair to assume that the revenue that we had planned for FY '24 as a whole, that doesn't change because of the deferral? Or can we be capacity constrained because some of our original Q2 production is now happening in Q3 and then that creates a challenge? Just wanted to get your thoughts there.

Radhesh Welling: Yes. I think it will be a little difficult to talk about it on an annualized basis because we're still trying to get handle on the Q4. But specifically with related to Q2 to Q3, most of these sales will actually move to Q3, but the only question is that will all of that be incremental over and above what we would have otherwise done in Q3.

To answer that question, we will have to look at it on a BU-to-BU basis. I earlier talked about on the specialty. On the CDMO, it's about INR18 crores as was indicated earlier. That will be an incremental revenue, it will come in Q3.

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But on the other businesses, for example, R32, we lost some because the products -- the plant stabilization took a little longer than we expected. So those -- so that approximately about INR20 crores worth of sales will actually happen in Q3 now. And now the plant is actually running to optimal capacity. So that will get covered in Q3.

So, some of that volume will actually be incremental, but some of that will, as you rightly mentioned, will get constrained because of the overall capacity that we have available. As I mentioned earlier, on the Honeywell project, the volume adjustment that -- the constraint is primarily on the capacity side. So, on some of it, it will be incremental. On some of it, we will be constrained by the capacity.

Madhav Marda: Got it. Understood. And then just on the R32 plant. So, like you mentioned that the order book is robust, and that's good to know. Like are we selling most of it in the domestic market or export? And are we like tying in some of the R32 volumes for CY '24, there's specific customers or this will be sold completely on a spot basis, if you could help us understand that.

Radhesh Welling: Approximately 50-50%. 50% export, 50% domestic. And we are currently in discussion with two customers for potentially tying up our 2024 volumes, and we are actually having pretty good discussions with both of them. Our intention is to at least lock with one of them in the next few weeks.

Madhav Marda: And this would be customer of the export market or in

the domestic. It should be exports?

Radhesh Welling: Yes, exports.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sorry if this is a bit repetitive. But on the CDMO side, given that you've seen two large molecules being pushed out to CY '24. Could you maybe help us or give a sense of how we should think about the revenue growth for this segment in F '24 and F '25? That was the first question.

Radhesh Welling: No, it's going to be very difficult for us to give that because we are still in conversation with the customers to understand what their requirement for calendar year '24 is. We know that they have actually told us that we will continue to supply them these molecules for the next campaign. And the next campaign is basically moved to FY'24.

But we don't have the answer yet from the customer in terms of exactly what the volume required for these campaigns is going to be. So, it is a little -- I would say a little early. We probably

might have a better idea on what the calendar year '24 numbers look like, probably by -- in December, beginning January.

Vivek Rajamani: I completely understand. And the second question was obviously, because of the challenges in this quarter, your EBITDA margins are at about 21%. Could you maybe just give us a sense of the glide path that we should assume for these margins to go back to a bit more normal levels? How do we think about that over the next two quarters or maybe even into next year?

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Radhesh Welling: I think let me give some colour and then Anish will follow. See, if you actually look at -- I'm sure you heard Anish's opening commentary, he basically talked about some sales that we unfortunately lost because of supply side constraint in Q2, if we had actually done those sales because all the cost, especially the fixed cost related to those sales were already -- those were already reflected in our P&L. Our EBITDA margin would have been significantly higher than what it was.

Directionally, we have always said that our focus would be continue to actually -- if you -- especially if you look at the new projects that we are undertaking to continuously improve our overall margin profile, there could be quarters when it will be slightly down, there could be quarters when they will be slightly up. But specifically in this quarter, the impact that was seen was primarily because of the operational leverage that we actually didn't have because of the sales that was lost.

Anish Ganatra: Nothing to add. I think you covered it all.

Moderator: The next question from the line of Mr. Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Starting with the bookkeeping one. Can you help us understand what is the capacity utilization for all the three plants, which is Honeywell, MPP and dedicated agro for this quarter?

Radhesh Welling: We have not given out the capacity utilization numbers, and I don't think it will be appropriate for us to do that because a lot of that information is confidential.

Sanjesh Jain: Got it. No, this is just for modelling to tell how the progression will happen for each of this plant, but that's fine. But a follow-up to the -- Radhesh, actually, in your previous call, you mentioned that Honeywell plant has reached the optimal utilization, post the recommissioning. Have we again got into a problem to now come back and look at more gradual than reaching again an optimal utilization?

Radhesh Welling: No, if you see after the shutdown that we had in June and July, we are progressively ramping up the capacity. And so, as I mentioned earlier, our Q2 production was higher than the production in Q1, obviously, because of the shutdown. Our Q3 production is expected to be higher than Q2 production. So, we are progressively ramping it up.

Sanjesh Jain: Got it. And on the -- if I look at Specialty, that is of th

e export market, which will largely cover

our new progression, what we were making. It appears to be quite soft, a dip of 40%. And if I take out the INR20 crores also, what we are talking of supplying in it in the next quarter, it comes to INR110 crores. This is versus INR150 crores in the last quarter. Where are we seeing this difference of INR40 crores on a sequential basis?

Anish Ganatra: So Sanjesh, I think you're referring to the split between domestic and exports in the specialty business, correct?

Sanjesh Jain: Correct, sir.

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Anish Ganatra: Yes. So there a large -- one of the molecules which we traditionally export and in the future will continue to export as well. But on the request of customer that was supplied domestically to another -- one of their suppliers and for making another product. So that was about INR40 crores.

So roughly, if you kind of look at that, that would change the mix. That would have normally gone as an export, but actually went as domestic supply because of a request from the end customer itself.

Sanjesh Jain: Then it tells that the domestic in a sense has halved quarter-on-quarter in that sense because domestic has only grown INR16 crores quarter-on-quarter, if I remove that INR40 crores, that means there is a 25% sequential fall in specialty. I presume Pharma has been doing well. Performance has been doing well. In fact, domestic, the export has grew -- sorry, what are we missing in the domestic piece?

Anish Ganatra: So, in the pharma world where we had the supplies to pharma agri generics. I think there were

two molecules last year, which we have not really had any -- the demand there has been very weak, and that has been clearly materialized in the domestic. But that's two molecules. I don't know what number you're looking at. But in our sense, that was more like about INR15-odd crores.

Sanjesh Jain: So, we lost INR15-odd crores of revenue from those two molecules in the domestic.

Anish Ganatra: Yes, that's right. That's right. And that's largely related to, I think it's -- over there you could look at supply to the ARV sector in pharma.

Sanjesh Jain: Got it. One last question, sorry, and just one more. On the CDMO side, Radhesh, you mentioned that most of the revenue has come from the new molecule. Why the old molecule or the repeat or is it just the lumpiness? Are we cautiously focused on developing more molecules. Can you give more colour on that side?

Radhesh Welling: No, I don't think it is -- I mean, I don't think we can really influence that process, especially on a quarter-to-quarter basis, is really difficult because typically, what happens is on the repeat orders as we have mentioned before, our customers tend to actually operate on a very -- on a campaign basis. And a lot of these customers, especially for molecules, which are scaling up, they typically take a campaign once in two years, etcetera. So, this is not something that we can directly influence.

We consciously try to expand our customer basket, expand the basket of new molecules as well as the opportunity that I earlier talked about, which is basically identifying and developing late-stage molecules. But the timeline as to when we receive the POs for the repeat orders, it's very, very difficult for us to influence.

Sanjesh Jain: So, what you're telling, it is not by design, it has come by coincident and that's healthy for our future opportunity?

Radhesh Welling: Yes, absolutely. And just one thing on the specialty, you know most of our business today is coming from agro. The performance material is actually doing quite well, but the overall impact

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as a percentage of sales is still limited. And as you know, in Agro, what we really supply is an intermediary, which typically goes to one of the AI manufacturers.

So, th

ough the customers typically remain the same, the consumers can change. Sometimes they might send to the manufacturer of the technical grade in India, sometimes they send -- ask us to send it to a manufacturer of a technical grade overseas, sometimes they ask us to send it to their own manufacturing plant in US or Europe.

So, I think it will be a little difficult for us to look at or compare the export versus domestic mix in our specialty. Of course, in HPP and CDMO, you can. But in Specialty, it becomes a little tricky.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus Securities.

Siddharth Gadekar: Sir, first question is on the HFO debottlenecking. We were supposed to announce the project somewhere in between the second and the third quarter. So where are we on that those timelines?

And the second question is on the cGMP-4 plant. When can we expect the announcement for the cGMP-4 plant?

Radhesh Welling: No, I think it's going to be difficult for us to give specific timelines. Both these projects are currently in the pipeline. The discussions are going on. We're currently in the process of having some of the commercial discussions, especially on the Honeywell debottlenecking, but it will be very difficult for us to give specific timeline on either of these two projects.

Moderator: The next question is from the line of Isha from VT Capital.

Isha Agarwal: Sir, my first question is related to speciality chemicals. two quarters back, you had mentioned one of the molecules, which show where the demand was pretty low, but somehow the margin was -- it's a very high-margin molecule. So, any update on that? Are we seeing demand recovery or anything from the customer? Are you worrying?

Radhesh Welling: Yes. That was the agri molecule, I think you are referring to, which we were supplying from Surat, we've actually didn't have much of the demand in the first half. The demand has again come back. We will be supplying -- we supplied some molecules in this particular quarter, and we will continue to supply in the coming quarter. But the good news is that we have actually received a pretty good forecast for the following year for that molecule.

Isha Agarwal: Okay. And sir, another question is related to CDMO. Last quarter, you had mentioned about Fermion agreement. So basically, that particular agreement has three molecules. So, one, the sample was given and rest two molecules were under process. So, can you please update me on that?

Radhesh Welling: So that process is ongoing. And I think some of the work that we are doing there on these molecules also forms the basis for our cGMP-4. So, the work is going on there. It will be difficult

for us to give quarter-on-quarter update on each of the molecules. But I think it's safe to assume that we are all eager to move these -- to progress this opportunity with this customer forward
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because this actually forms a significant basis of our cGMP-4 as well because these are all commercial or close to commercial molecules.

Moderator: We'll take the next question from the line of Jason from IDBI Capital.

Jason Soans: Sir, one of my question was in terms of specialty chemicals. So, what percentage of an intermediates -- as we are supplying intermediates, as you said, especially to the agrochem side, what percentage of the intermediates goes into patented or generic products? Can a ballpark be given for that number?

Radhesh Welling: I think the way we look at our business is whatever we do has to be differentiated, where we have a clear differentiated value proposition. As you know, when we started our business, and we were building up the business, a lot of it was going into generic molecules. A lot of the new opportunities that we have are primarily into the new molecules. It will be difficult for us to give on a quarter-to-quarter basis split betwe

en generic and patented molecules.

Jason Soans: Sure, sir. And sir, just a follow-up to that, I wanted to know is, of course, you are talking about being differentiated. I completely understand that's higher up the value chain, and it's synced with your value proposition and your aim to be higher up the value chain. But just would want to understand, for example, in the CDMO business, a certain business gets deferred.

And of course, patented or high-value business will be tougher to crack. And in terms of generic, probably when you're looking at balancing demand in terms of capacity utilization for your plants as well, how do you see that balance play out in terms of your aim to go higher up the value chain?

Radhesh Welling: No. So, see, even when we're talking about generic molecules, these are not typically even those generic molecules. If you see our sales profile, we are all selling it to innovator companies. So, you can see us actually selling any of -- if you see none of our generic molecules are actually going to generic companies, okay So, I think the value that we deliver or the value that our customers see remains the same across -- because ultimately, we are supplying to the same innovator company.

Jason Soans: Sir. And one final question from my side, sir, a lot of our spectrum business will be contracted. And we clearly know that China, in the past six months, they are driving down prices of intermediates, especially in the agrochem side. So just wanted to know any structural changes in your contract, there might be some de-escalation clauses, certain criteria like that. In the face of such intense competition coming from China, any structural changes to those contracts? Just your -- any colour on that?

Radhesh Welling: I think these are ongoing discussions that we have, and this is actually not true only for Agri. By the way, it's basically across the businesses, across the segment. This is the same phenomena that is playing on. There are always these conversations going on in terms of how do we actually work with all these key customers that we have to ensure that there is a win-win scenario. So that's just ongoing conversations that we typically continue to have.

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Anish Ganatra: If I may add, Jason, our sort of relationship with the customers is strategic in nature, it's not transactional. So, in a sense, one, there is -- if there are conversations like that going on, there are more problem solving and opportunity creation rather than anything else.

Moderator: We'll take the next question from the line of Meet Vora from Emkay Global Financial Services.

Meet Vora: Sorry for harping on this again. With respect to the new dedicated agri pre-sales that we have made, we now estimate that the commissioning will be by end of FY '24 instead of December '23. So, if we can get some colour on the reason for the slight delay that will be helpful. And secondly, you have mentioned that we have received POs for the dedicated portion of the capacity for CY '24.

So just your thoughts on how does this arrangement work with the customers. Is it more contractual in nature in terms of volume tie-ups? Or is it more driven by annual purchase orders that the customers -- meaning are we tied up also for CY '25, '26 for this with the customer? And lastly, your thoughts on how do you see the non-dedicated portion of the demand shaping up for this plant?

Radhesh Welling: Yes. So as far as -- as we have mentioned, almost 50% of that particular project is underlined by one particular customer. As we are going into 2024, we have received confirmed purchase orders for the volume that will be supplied from '24. And that process will continue. As we have indicated, the model is typically as we work on other dedicated projects. But typically, it's a cost-plus pricing model that we employ. As for the remaining 50%, as we had

indicated earlier, and as Anish also mentioned in reference to one of the earlier questions, as we get the plant, our initial focus would be to ensure that we ramp up the production wherein we can supply the full quantity to this customer. And we will also utilize that time to get ourselves qualified with other customers.

And then as we become more comfortable, in further ramping up the volume, we will start having these conversations with other customers to supply to them also. At the same time, we are having conversations with other customers to potentially get into some long-term contracts for the future years with them. But that will happen gradually because what we don't want is suddenly to have all these customers engaging with all the customers for 2024 supply and then positioning us for failure. So, it will happen progressively.

Anish Ganatra: So, Meet, if I may add, the structure of these contracts is typically a take-or-pay. And then each year, you start getting firmer purchase orders. The fact that we have now got to purchase order for next year, is actually pretty solid in that sense.

Meet Vora: Sure. And the second thing we had mentioned in our presentation was that this plant was more for a build block kinds of molecules. So how do we see the derivatives moving there or any plans around that side?

Radhesh Welling: Sorry -- yes. What was your question? we didn't get the start of the question?

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Meet Vora: Sir, we had mentioned in our presentation that this plant is more for a building block kind of a molecule. So, we might be having plans to move into derivatives going forward. So, any thoughts around that? Or is it too premature at this point of time?

Radhesh Welling: No, this is an important building block. We will be supplying this molecule to the customers. We also will be utilizing the product ourselves to do some downstream derivatives. Even today, we manufacture and sell a downstream derivative of this to one customer.

With this, we will actually be -- hopefully be able to backward integrate and improve the overall profitability by doing that. And there are certain other opportunities that we have identified by which then we will be able to move downstream and do those downstream derivatives as well.

So, all the three possibilities exist.

Meet Vora: And sir, lastly, on the new byproducts that we are planning to launch, two from Dahej and three from Surat. So, all these five molecules will be mapped in the multipurpose plant. So, in the Dahej MPP, going forward we will be doing six molecules instead of five. Is the understanding correct?

Radhesh Welling: No. So, I think we -- as these molecules ramp up, we will look for opportunities for some of them to be mapped in MPP in Surat. Some of them to be mapped in MPP in Dahej. And as these molecules ramp up, there is a possibility that we might require depending on the customer requirements, possibly even a dedicated plant for some of these. But we currently have multiple MPP options. Dahej is not the only option available to us. So, it will be Dahej plus Surat.

Moderator: The next question is from the line of Mr. Ranjit from IIFL Securities.

Ranjit: So, in the opening commentary, you did say that the HF plant is largely on track. So just wanted to hear some comments, how do we plan to utilize it captively probably over the next three years to four years. And what kind of projects we are looking at to kind of consume the HF internally?

And second, just an extension to that, how should one see that debt panning out over the next couple of years. We are at around INR1,200-odd crores of gross debt, how should one see that?

Anish Ganatra: Okay. So let me take the gross debt question, first. I mean gross debt, and I mean, I've said this before, we normally don't give forecasts out on debt, etc. I mean our focus always has been to take projects a

nd progress them within a solid financial framework, which we agree with the Board, which covered amongst other things, debt return, commercial, de-risking, etc, yes.

So unfortunately, I won't give the guidance on that going in the future. But it is what it is at the moment. And you just have to look at it as we bring projects for approval and share with you as to where the profile of the company is and the balance sheet and strength is in the balance sheet.

Radhesh Welling: On the HF, I think our commentary remains same as what we had made when we announced the capex. We're looking at three sets of opportunities. One, where we will actually use some of that HF for our own use in existing three projects as those projects scale up, including the current

HPP project and the new capex, which will get commissioned next year, etc. There are some new opportunities that we are looking at.
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Beyond these three business units, and we are working to develop those opportunities. So that will be the second set of outlet. And the third, given our current constraint on HF, we have significantly reduced our merchant sales of HF. So there also, we are actually continuously seeing very good opportunities. So, a third set of opportunity will be there to increase the merchant sale of HF. So, one will be HF for our existing three BU then HF for our new opportunity beyond the three BU and then for merchant sales.

Ranjit: One bookkeeping question to Anish. We have seen a dip in the employee cost. Is this sustainable on an absolute run rate?

Anish Ganatra: So, if you -- so Ranjit, again, if you adjust the employee cost for the ESOP adjustments, you'll probably find it more or less in similar levels.

Moderator: The next question is from the line of Mr. Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the new project announcements, in the past, we've been -- there'll be a little bit of a lag in terms of we're probably closing out some of the plants that we've had on board. So, is it largely the uncertainty in environment, which is holding us back in terms of closing out some of the divisions? Or are there anything more to sort of read into it?

Radhesh Welling: Actually, give the proper answer to this, right? We are working on opportunities. I think what is important is that we will not pursue growth opportunities just for the sake of it. We will ensure that we need to be, first of all, convinced of those opportunities. And once we are, we will take it to the Board for approval. I think despite what we are seeing in the larger macro environment, we are actually seeing pretty good traction with our key customers. And a lot of these opportunities that we are talking about are primarily with our key customers.

Anish Ganatra: And Nitin, if I may add, the fund raise remains an option. And you probably haven't asked this question. But given that there were several questions on debt levels, etc, I'm just putting that out in the open that the fundraise plan is pretty much in play. The timing, etc, will be a matter for the Chairman and the Board to decide.

Nitin Agarwal: Probably I'll squeeze in a little bit on that. As you mentioned about the macro factors which are there in the landscape. I mean, has it increased the number of opportunities which are available to companies like us? Or with the change in maybe interest cost regime and other things which have been happening, is that the evaluation process that has become a little more tougher? Or evaluation criteria has become more stringent? Or -- is there any difference in the way we've been approaching opportunities in the past, and what we're doing, when looking at them now?

Anish Ganatra: I mean, your voice has been muffling a lot. But if I understood your question, you were actually asking the criteria we use to evaluate projects. Is it in this...

Radhesh Welling: No. I think he's a

sking whether the opportunity funnel has actually expanded or come down. No, I think the quality of opportunities that we are seeing continue to remain the same. If you basically just ask if the number of opportunities or the inquiries that we were actually getting have definitely come down a bit.

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But quality of opportunity remains the same, primarily it's driven by more engagement that we are actually having with some of our key customers. So, the quality of opportunities that we are identifying and developing through this deep engagement with our key customers continues to remain the same for us.

Nitin Agarwal: And Radhesh, just last one on this, with whatever you -- in the past, most of our incremental business which has come through over the last three years or four years has been largely on the partnership mode. The fact that it's not -- and typically, anything to -- any project that we need to put together, typically will take about 18 months to 24 months.

Does it have any implications in terms of the kind of growth that we can have in FY '26 for example? Because a lot of that we're doing right now will probably be largely certified in FY '25? Or I mean, is there a right assessment to make in the first place?

Radhesh Welling: I think, see, if you actually look at the last two-three years, your reading is absolutely right because we really didn't have any extra capacity headroom available because we didn't have Dahej. Now with the Dahej fully operational, we're already having multipurpose plants, etc. And

also, we continuously look at opportunities for product rationalization in our MPP in Surat. So currently, we have for immediate quarters or immediate years, we have enough capacity headroom available in form of these new investments as well as the earlier investments made in Surat, etc.

But the ones which the larger opportunities will obviously, as you rightly pointed out, will take about 18 months or so to get converted because that is the typically the investment horizon required to set up dedicated plants, etc. But currently, we don't see any specific constraint because we have enough capacity headroom available in these new investments as well as the earlier investments made in Surat, etc.

Moderator: Ladies and gentlemen, we take the last question for the day from the line of Mr. Bhaskar Chakraborty from Jefferies.

Bhaskar Chakraborty: I wanted to have your thoughts on how you are looking at growth in the Specialty Chemicals business in FY '24.

Radhesh Welling: FY '24 as in current year?

Bhaskar Chakraborty: Yes.

Radhesh Welling: So current year, we've already spelled out. I mean you see the projects that we have already undertaken in Dahej. Those are the ones which will contribute to the growth, and we will, directionally, quarter to quarter, it could move from one quarter to another quarter. But overall, these are the investments which we have made. We have already have got two new plants on the ground in Dahej. Third one now coming up. So that will actually ensure that we see -- continue to see growth in specialty.

Bhaskar Chakraborty: So, I mean, is it comfortable for you to work with a 20% kind of growth estimate in revenues for this fiscal?

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Radhesh Welling: No, we typically don't give any specific guidance. I mean we've actually not given any specific guidance in the past. Now in the current scenario, even more difficult because the number of variables, etc, have gone up significantly now. But we typically don't give specific guidance on a quarter to quarter or year-on-year growth.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Anish Ganatra for closing comments. Thank you, and over to you, sir.

Anish Ganatra: I would like to thank everyone for taking t

he time out and joining on the call today. I hope we've been able to respond to your queries adequately. We look forward to your continued support as we navigate the journey ahead. Wishing you and your loved ones a joyful and prosperous Diwali in advance. May the festival of lights bring you happiness, good health and success. Thank you very much.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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November 06, 2023

BSE Limited
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Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR EQ

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 31, 2023 regarding discussion on operational and financial performance of the Company for the Quarter and Half Year ended September 30, 2023 (Q2 & H1 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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Q2 & H1 FY24 Earnings Conference Call"
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MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Navin Fluorine International Limited Q2 and H1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q2 and H1 FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbour statement is given on Page number two of investor presentation of the company, which has been uploaded on the stock exchange and company's website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you to Q2 and H1 Financial '24 Year's Earnings Call. As we delve into the financial and operational performance of the half year gone by, I'd like to emphasize that our unwavering commitment remains firmly rooted in delivering the utmost value to our stakeholders. Over the past few months, we have intensified our focus on enhancing customer interactions and forging stronger partnerships, initiatives that have already yielded positive results.

As we navigate the complex landscape of our industry, my priorities to the team remain crystal clear. Paramount importance is placed on safety and well-being of our workforce and the operational resilience of our facilities. While continuing to drive efficiency across the organization, we are steadfastly building a robust and diverse business pipeline that positions us for sustainable growth and success in the future.

Our focus is to improve the quality of revenues that is more predictable, diverse and preferably backed by multiyear supply contract. The trust and support from our customers will make our business more resilient and sustainable. We will continue our focus on growth within a strong financial framework, including management of working capital and cash flows.

We are currently working on multiple new projects which will translate into new capex programs and new growth opportunities for Navin Fluorine. We will take these projects to our Board for approval as we complete technical, commercial and financial due diligence. I am currently spending my time and shall continue to do so in meeting with CEOs and senior leadership teams of all key global customers across the three business units.

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Our founder late Shri Arvind Bhai foresaw that for Navin Fluorine to succeed across market cycles, trust and inclusion would need to be more than attributes. They remain the pillars of Navin Fluorine's ecosystem. I am pleased to announce that in the commemoration of the centenary birth year of our esteemed founder, Shri Arvind Bhai Mafatlal, the Board has approved a onetime special dividend of INR3 a share in addition to an interim dividend of INR5 per share. This momentous occasion provides us with a unique opportunity to honour the visionary leader whose dedication and passion laid the foundation for our success.

Our founder's unwavering commitment to excellence has guided us through a century of growth and achievement. And this special dividend reflects our gratitude to our shareholders who have supported us on this

remarkable journey. We look forward to continuing our founder's legacy of innovation and leadership in the years to come.

With this, now I hand over the call to Radhesh and Anish to provide an update on the operational and financial performance.

Radhesh Welling: Good evening and thank you for attending the earnings call. The revenues and profitability in the quarter Q2 FY '24 were below our expectations. Though our order books across businesses remained strong, our actual production was lower than our planned. Let me take you through the business-wise performance for the quarter.

Our specialty business performance was impacted due to deferment of sales of two products from Q2 to Q3 due to certain production-related issues in the Dahej. On the positive side, we are expected to launch two new molecules from our Dahej plant and three new molecules from Surat facility in the coming quarter.

We are confident, with the strong partnerships and technology platform, we'll continue to deliver innovative offerings to our customers. This business will continue to remain a high-growth business for us in the future as well. Capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25. Agro specialty capex in Dahej is also progressing well and is estimated to commission at the end of this financial year.

We have already secured POs covering the dedicated portion of the capacity for calendar year '24. This will contribute significantly to growth in revenues in Specialty starting next year. Our HPP business was impacted due to unexpected breakdown in the plant during June, July at Dahej.

The plant is now operational and is progressively ramping up. We are also working with our partners to further improve and enhance productivity and reliability of the plant. We commissioned our R32 plant in past quarter and stabilized the production by middle of September. This plant is now operational, and our order book remains robust.

We expect the plant to be running to optimal capacity going forward, and we expect to generate sizable revenues from the plant from next quarter onwards. Demand for R22, especially in international markets was muted, and we expect demand to start picking up from end January onwards.

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For the non-MSF R22, which is primarily used in pharmaceuticals and agrochemicals segment, the demand continues to remain strong. Our AHF project for adding 40,000 metric tons of hydrofluoric acid capacity in Dahej is progressing well and is as per schedule. Our CDMO business revenues in the last quarter they're all from new molecules.

We see this as a positive sign as our overall product basket in CDMO expands. Detailed engineering of cGMP is as per schedule. In this business, we had to defer significant sales of one campaign from Q2 to Q3 due to last minute change made by the customer in product specification and the method of analysis.

As recently held CPHI in Europe, we launched our new brand, Navin Molecular for our CDMO business. Navin Molecular will help us further sharpen our value proposition to offer a wide range in CDMO services to our customer supporting projects, including non-fluoro projects through the clinical phases to commercial and manufacturing. Going forward, all our CDMO business for global pharma innovators will be done under Navin Molecular brand.

I'll now hand over the line to our CFO, Mr. Anish Ganatra to give you a brief on the financial performance of the company. Thank you very much.

Anish Ganatra: Thank you, Radhesh. Good evening to all the participants. Let me brief you on the overall financial performance

of the company. Sales during the quarter were impacted largely due to slower stabilization of R32 plant. The progressive ramping up of HPP plant at Dahej, post the June July shutdown, sales of a campaign in CDMO deferred to Q3 FY '24 due to change in product specification and method of analysis, production-related issues in Dahej resulted in deferral of sales of two new products on specialty.

The overall revenue impact of these contributing factors is about INR90 crores to INR100 crores. Adjusting for these factors, our revenue would have been in the range of INR550 crores to INR570 crores for the quarter. EBITDA margins were therefore impacted by lower operating leverage, and we also had one-off cost of approximately INR6 crores due to some corrective measures taken at Dahej plant.

I will now share the highlights of our performance for Q2 FY '24 and first half FY '24, post which we'll be happy to take questions from all of you. For first half FY '24, on a consolidated basis, the company reported revenue from operations of INR963 crores as against INR817 crores

in H1 FY '23, a growth of 18% year-on-year.

Operating EBITDA stood at INR213 crores as against INR193 crores in H1 FY '24, up by 10%. Operating EBITDA margin stood at 22.1% as against 23.6% in H1 FY '23, lower by 155 basis points. Operating PBT at INR128 crores for H1 FY '24 as against INR159 crores in H1 FY '23 was lower by 20%. Profit after tax stood at INR122 crores for the first half of the year as against INR132 crores in H1 FY '24, reflecting higher depreciation and finance costs associated with Dahej assets apart from lost sales.

Now coming to the quarterly performance for Q2 FY '24. Company reported growth of 13% in net revenue from operations to INR472 crores against INR419 crores in Q2 FY '23. Operating margin was INR98 crores as against INR94 crores in Q2 FY '23, a growth of 5% year-on-year

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and EBITDA margin stood at 20.8% for Q2 FY '24. Operating PBT stood at INR54 crores, lower by 25% as compared to the same period last year. PAT stood at INR61 crores for Q2 FY '24 as against INR58 crores in Q2 FY '23.

Net debt at the end of Q2 FY '24 stood at about INR780 crores. Our net debt-to-equity ratio at the end of Q2 FY '24 was about 0.34. Our focused efforts to reduce working capital has helped release about INR275 crores of cash during first half FY '24. We have progressively brought down inventory, accelerated the collection of receivables and continue to work on extending credit terms with our suppliers.

Our cash conversion cycle at the end of H1 FY '24 was about 90 days compared to about 135 days at the end of FY '23. So that is it from my side. We will now open the floor for Q&A. Thank you very much.

Moderator: Thank you very much, sir. We'll take the first question from the line of Mr. Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on the CDMO front. So, we had indicated last year that we have a target to reach about \$100 million by sometimes FY '26, FY '27. So how do we see the progress going ahead? And what could be the milestones to achieve those -- that \$100 million target? Will it be step jump or will it be a gradual increase?

Radhesh Welling: So as far as the target is concerned, we are working towards that right now. It will not be a step jump, so it will not be that one year, we've actually done significantly lower than that in the following year, we suddenly achieve \$100 million. It will be a gradual move towards that. At the same time, the business, as we have indicated before as well, will continue to remain lumpy. That's just the nature of the business.

As you all know, about two years back, we started focusing specifically on identifying and developing more late-stage opportunities. And we are actually seeing a lot of success in that particular area. And that is what is

giving us additional confidence now that we should be able to directionally achieve that number around the year that you mentioned. It will be difficult for us to specifically project if it will be in one year or other.

But directionally, we should be able to achieve that given the strength of our pipeline, the way we are looking at it.

Rohit Nagraj: Got it, sir. Sir, my second question on Honeywell. So, we had indicated prior that we will be speaking with Honeywell during 2023 for any new opportunities as well as the expansion or doubling capacity for the current Honeywell product. Any new update on the same? And are there any positive indications from Honeywell to give us newer projects over the next foreseeable future?

Radhesh Welling: Yes. Currently, there are a few things that we are discussing. Our engagement is quite deep rooted with Honeywell. There are a few things that we are discussing, but these are basically ongoing discussions. And as we have indicated earlier, our initial focus, especially for this year has to be to stabilize the plant that we have invested in and to ensure that, that starts running to

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the full capacity. And while we do that, we have identified a few projects to work with them on, on those discussions, both on the technology side as well as on the commercial side are ongoing.

Rohit Nagraj: Just one clarification. When are we expecting to reach optimal utilization on the existing plant with the recent issue?

Radhesh Welling: I think we are -- since we had this issue in June, July, we are progressively ramping the

production volume that we are manufacturing from that particular plant. It will be difficult to give a specific target, but we are actually moving positively. For example, in Q3, our production will be more than what we did in Q2. In Q2, our production was more than what we did in Q1. It will be difficult to say as to when we will achieve the full capacity, etc, but we're actually moving in the right direction.

What we don't want to do is suddenly move it to full capacity and then again get into some issues. So, we are actually progressively ramping that up. And as we are doing that, we are also closely interacting with Honeywell to further identify and develop opportunities for enhancing productivity as well as the reliability of the plant.

Moderator: The next question from the line of Mr. Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: Sir, I mean, just taking your earlier commentary, introductory commentary about the aspiration of forging more longer-term contracts, one is if you can give a little bit more clarity with respect to if one is looking at the business, the long-term contract gives stability, but lose versatility in the sense that between moving one type of molecule manufacturing to another. So, in your opinion, how much of say two years, three years down the line would be...

Radhesh Welling: Sorry, we lost you. We just heard the starting of that question then after that we lost you.

Sudarshan Padmanabhan: Sir, my question is more on understanding on the long-term contract expiration. So, we have seen a few long-term contracts getting signed. But over a period of time, how much of revenues or scale do you expect -- or do you want from a long-term contract because it is also sacrificing stability for versatility. So, one, on that strategy, what is your thought process?

The second is on the business perspective, I'm not looking at a segment. But as a whole, we're seeing Agri specifically going through a lot more pain. So do we have enough engines on the non-agri side, I'm talking about, say, pharmaceuticals and others to offset the impact, at least in the near term for any weakness, if so, on the agri side.

Radhesh Welling: So, I think as we have indicated before as well, our focus will continue to remain to ensure that our overall b

usiness is very diversified as well as very balanced. What I mean by that is that we will continue to focus on businesses which are backed by long-term contracts and then invest in dedicated plants for specific customer for specific products.

We will also have investments done in MPPs, which will make molecules for multiple customers and -- multiple segments. And that is the model we will continue to have. As I have indicated before, if you look at the CDMO business, it's a pure service business. HPP is more of a pure Navin Fluorine International Limited

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product business. There will be some outliers like the Honeywell project, etc, but that will be more of a product-driven business, whereas Specialty will be a combination of both.

And that is how we actually look at continuing that. Again, on the agri point, as you know, our business is quite diversified. We don't have any agri on the CDMO side. We don't have any agri on the HPP side apart from the small volume of R22 that goes into agrochemicals. Whatever agri business we do is primarily in specialty. And there also, as you know, we have actually started focusing since last year on Performance Materials, where we actually see pretty significant traction.

Again, within agri, as you have seen from our results in Q1 and also the commentary that Anish provided earlier with respect to Q2, we are actually not seeing as much demand -- dip in the demand as some of the other players are seeing even from agri. That is primarily because of the balance that we have between the generic molecules and the newer molecules.

Our newer -- demand for our newer molecules continue to remain very robust. On generic molecules, especially the older ones which we were supplying out of Surat, yes, we have seen certain softness in the demand. So that is the strategy that we have had, and that's the strategy we will continue to be on.

Sudarshan Padmanabhan: One last thing before I run back is, we would continue to go ahead with our capex. I mean, because the demand continues to remain strong. So, there will be no change in the capex, which we have earlier outlined, barring that probably the Agrochemicals gets deferred by a quarter or so?

Radhesh Welling: No. As our chairman indicated in his opening remarks, we are currently evaluating a few projects. But each of the projects will be evaluated on its own merit. And as an when the operating team, first of all, needs to be very confident on the merit of the project, it should qualify and meet our criteria, both the strategic criteria as well as financial criteria.

As it does, then the operating team will present it to the Chairman. And once Chairman approves it, we will take it to the Board. So, nothing changes on that.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Just a couple of clarifications. So first, on the debtor days. Your debtor days have come down

by 30-odd days. Is there any particular reason? And should we take this as a norm going forward?

Anish Ganatra: So, thanks, Krishan, this is Anish here. On the debtor days, I mean you're right, I mean, it has come down and part of it has got to do with how we are changing our approach towards collection. We are focused on ensuring that the collections happen on -- the credit terms are tighter in the sense that we do not want extended credit.

We're also using innovative programs on vendor financing and customer financing to ensure that the receivables are received because, both our focus on working capital and cash flow is no longer transactional, it's more strategic in nature.

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So, to answer your question on whether this is the norm to consider, I would indicate at this stage, while we continue to work on improving this. But at this stage, I would not give any further guidance beyond

the 90 days, which I had held even in the last year that I had mentioned

on the commentary to our FY '23 that we would target to hit the 90 days cash conversion cycle.

Krishan Parwani: Secondly, on the HPP side, just wanted to check, would we be able to, let's say, recover the lost volumes of HPP in the second half? Is there a possibility?

Radhesh Welling: So, most of that volume that we were -- we had to supply earlier, we will recover the -- I think the real question is, will that be incremental on top of what you would have otherwise delivered in the following quarter? That is little difficult to really ascertain because as you know, all of that is single product, single customers.

So ultimately, the question is what is the total requirement that the customer has currently, if you see, we are limited by the volume that we are producing and not by the demand that we are seeing from our customers.

Krishan Parwani: Noted. Fair point. And the last bit is on the borrowing front. So, our gross borrowings or gross debt has -- is more than INR1,200 crores now. So just wanted to check what is the comfortable level according to you? That's my last question.

Anish Ganatra: So again, if you look at our net debt position, which is the way you should look at in the borrowing sense, it's still INR780 crores, as I mentioned in my commentary, and that has a net debt-to-equity ratio of 0.34 is very comfortable for us. So, we will -- we don't give guidance on this. But essentially, you can see that we have a very strong balance sheet at the moment, with solid sort of cash in hand position as well as a comfortable net debt position.

Moderator: We take the next question from the line of Abhijit from Kotak Securities.

Abhijit Akella: Yes. Just on the Specialty Chemicals business with regard to - these production-related issues that you've highlighted. Could you please share some more colour about what exactly these are about? And does this impact the ramp-up timeframe that we had in mind for this -- for the multipurpose plant when we originally envisaged the project?

Radhesh Welling: Yes. So, I don't want to get into too much technical details. But both of these are new molecules, one which we had earlier done in Surat at very small volume, and we were actually doing the commercial production in MPP. And the other one was a completely new molecule that we were doing for the first time in MPP. We have since resolved the issues. And the production has actually started for both the molecules.

The total quantum of that was approximately INR34 crores between the two molecules. And that sales is actually -- will be deferring from Q2 to Q3. So, both the molecules, the sales of both these will actually happen in Q3. But this is primarily from MPP in Dahej and both of these are new molecules.

Abhijit Akella: Right. And with regard to the ramp-up timeframe that you had in mind for this project, does that sort of remain on track?

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Radhesh Welling: You're specifically talking about MPP or which project you're talking about?

Abhijit Akella: For the multipurpose plant?

Radhesh Welling: Yes, multipurpose, you know that we -- earlier when we presented the original plan, it was based on four molecules. We've actually seen the demand softness on one of them, which is the agri product. And hence, we have actually moved very quickly to bring in other new opportunities and put them in MPP. And that is why you're seeing these two new molecules come in, where we have quickly done the development, quickly done the qualification from pilot facility. And now we're actually doing the commercial production in MPP. But we expect that overall,

directionally, it will continue as per the original expectation. It's quite possible that in one molecule, the expectation might be -- lower than the original expectation and some other molecules, it could be h

igher than the original expectation. But that's just the nature of MPP.

Abhijit Akella: Got it. And just one last thing from my side. With regard to INR540 crores project, agro project at Dahej that's going to be commissioned by the end of this financial year. What percentage of the output is tied up already under the dedicated commitment? And what sort of timeframe should we expect for the full ramp-up of that project?

Radhesh Welling: So, as you might remember that 50% of that production was actually covered under a long-term contract. And the other 50%, we had kept it open to take advantage of the spot pricing. And also there also, we had actually started talking to the customers to possibly cover some of the volume, but that will only happen once the production starts. So that 50% that we've talked about earlier, we've already received the POs for that for 2024. So that 50% is already covered.

Anish Ganatra: Sorry, just to add Abhijit on that one. What Radhesh rightly mentioned, 50% of our dedicated capacity has been covered out, it's still in line with the plan. And the idea was to ramp it up and achieve PAR in about two years after commissioning. So, it doesn't change in that sense.

Moderator: The next question is from the line of Mr. Madhav Marda from Fidelity.

Madhav Marda: My first question was the deferral that we are seeing in Q2 across sub-segments. If I were to look at -- because if it's a deferral, does it goes to Q3 or Q4, for example? Is it fair to assume that the revenue that we had planned for FY '24 as a whole, that doesn't change because of the deferral? Or can we beat capacity constrained because some of our original Q2 production is now happening in Q3 and then that creates a challenge? Just wanted to get your thoughts there.

Radhesh Welling: Yes. I think it will be a little difficult to talk about it on an annualized basis because we're still trying to get handle on the Q4. But specifically with related to Q2 to Q3, most of these sales will actually move to Q3, but the only question is that will all of that be incremental over and above what we would have otherwise done in Q3.

To answer that question, we will have to look at it on a BU-to-BU basis. I earlier talked about on the specialty. On the CDMO, it's about INR18 crores as was indicated earlier. That will be an incremental revenue, it will come in Q3.

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But on the other businesses, for example, R32, we lost some because the products -- the plant stabilization took a little longer than we expected. So those -- so that approximately about INR20 crores worth of sales will actually happen in Q3 now. And now the plant is actually running to optimal capacity. So that will get covered in Q3.

So, some of that volume will actually be incremental, but some of that will, as you rightly mentioned, will get constrained because of the overall capacity that we have available. As I mentioned earlier, on the Honeywell project, the volume adjustment that -- the constraint is primarily on the capacity side. So, on some of it, it will be incremental. On some of it, we will be constrained by the capacity.

Madhav Marda: Got it. Understood. And then just on the R32 plant. So, like you mentioned that the order book is robust, and that's good to know. Like are we selling most of it in the domestic market or export? And are we like tying in some of the R32 volumes for CY '24, there's specific customers or this will be sold completely on a spot basis, if you could help us understand that.

Radhesh Welling: Approximately 50-50%. 50% export, 50% domestic. And we are currently in discussion with two customers for potentially tying up our 2024 volumes, and we are actually having pretty good discussions with both of them. Our intention is to at least lock with one of them in the next few weeks.

Madhav Marda: And this would be customer of the export market or in

the domestic. It should be exports?

Radhesh Welling: Yes, exports.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sorry if this is a bit repetitive. But on the CDMO side, given that you've seen two large molecules being pushed out to CY '24. Could you maybe help us or give a sense of how we should think about the revenue growth for this segment in F '24 and F '25? That was the first question.

Radhesh Welling: No, it's going to be very difficult for us to give that because we are still in conversation with the customers to understand what their requirement for calendar year '24 is. We know that they have actually told us that we will continue to supply them these molecules for the next campaign. And the next campaign is basically moved to FY'24.

But we don't have the answer yet from the customer in terms of exactly what the volume required for these campaigns is going to be. So, it is a little -- I would say a little early. We probably

might have a better idea on what the calendar year '24 numbers look like, probably by -- in December, beginning January.

Vivek Rajamani: I completely understand. And the second question was obviously, because of the challenges in this quarter, your EBITDA margins are at about 21%. Could you maybe just give us a sense of the glide path that we should assume for these margins to go back to a bit more normal levels? How do we think about that over the next two quarters or maybe even into next year?

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Radhesh Welling: I think let me give some colour and then Anish will follow. See, if you actually look at -- I'm sure you heard Anish's opening commentary, he basically talked about some sales that we unfortunately lost because of supply side constraint in Q2, if we had actually done those sales because all the cost, especially the fixed cost related to those sales were already -- those were already reflected in our P&L. Our EBITDA margin would have been significantly higher than what it was.

Directionally, we have always said that our focus would be continue to actually -- if you -- especially if you look at the new projects that we are undertaking to continuously improve our overall margin profile, there could be quarters when it will be slightly down, there could be quarters when they will be slightly up. But specifically in this quarter, the impact that was seen was primarily because of the operational leverage that we actually didn't have because of the sales that was lost.

Anish Ganatra: Nothing to add. I think you covered it all.

Moderator: The next question from the line of Mr. Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Starting with the bookkeeping one. Can you help us understand what is the capacity utilization for all the three plants, which is Honeywell, MPP and dedicated agro for this quarter?

Radhesh Welling: We have not given out the capacity utilization numbers, and I don't think it will be appropriate for us to do that because a lot of that information is confidential.

Sanjesh Jain: Got it. No, this is just for modelling to tell how the progression will happen for each of this plant, but that's fine. But a follow-up to the -- Radhesh, actually, in your previous call, you mentioned that Honeywell plant has reached the optimal utilization, post the recommissioning. Have we again got into a problem to now come back and look at more gradual than reaching again an optimal utilization?

Radhesh Welling: No, if you see after the shutdown that we had in June and July, we are progressively ramping up the capacity. And so, as I mentioned earlier, our Q2 production was higher than the production in Q1, obviously, because of the shutdown. Our Q3 production is expected to be higher than Q2 production. So, we are progressively ramping it up.

Sanjesh Jain: Got it. And on the -- if I look at Specialty, that is of th

e export market, which will largely cover

our new progression, what we were making. It appears to be quite soft, a dip of 40%. And if I take out the INR20 crores also, what we are talking of supplying in it in the next quarter, it comes to INR110 crores. This is versus INR150 crores in the last quarter. Where are we seeing this difference of INR40 crores on a sequential basis?

Anish Ganatra: So Sanjesh, I think you're referring to the split between domestic and exports in the specialty business, correct?

Sanjesh Jain: Correct, sir.

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Anish Ganatra: Yes. So there a large -- one of the molecules which we traditionally export and in the future will continue to export as well. But on the request of customer that was supplied domestically to another -- one of their suppliers and for making another product. So that was about INR40 crores. So roughly, if you kind of look at that, that would change the mix. That would have normally gone as an export, but actually went as domestic supply because of a request from the end customer itself.

Sanjesh Jain: Then it tells that the domestic in a sense has halved quarter-on-quarter in that sense because domestic has only grown INR16 crores quarter-on-quarter, if I remove that INR40 crores, that means there is a 25% sequential fall in specialty. I presume Pharma has been doing well. Performance has been doing well. In fact, domestic, the export has grew -- sorry, what are we missing in the domestic piece?

Anish Ganatra: So, in the pharma world where we had the supplies to pharma agri generics. I think there were

two molecules last year, which we have not really had any -- the demand there has been very weak, and that has been clearly materialized in the domestic. But that's two molecules. I don't know what number you're looking at. But in our sense, that was more like about INR15-odd crores.

Sanjesh Jain: So, we lost INR15-odd crores of revenue from those two molecules in the domestic.

Anish Ganatra: Yes, that's right. That's right. And that's largely related to, I think it's -- over there you could look at supply to the ARV sector in pharma.

Sanjesh Jain: Got it. One last question, sorry, and just one more. On the CDMO side, Radhesh, you mentioned that most of the revenue has come from the new molecule. Why the old molecule or the repeat or is it just the lumpiness? Are we cautiously focused on developing more molecules. Can you give more colour on that side?

Radhesh Welling: No, I don't think it is -- I mean, I don't think we can really influence that process, especially on a quarter-to-quarter basis, is really difficult because typically, what happens is on the repeat orders as we have mentioned before, our customers tend to actually operate on a very -- on a campaign basis. And a lot of these customers, especially for molecules, which are scaling up, they typically take a campaign once in two years, etcetera. So, this is not something that we can directly influence.

We consciously try to expand our customer basket, expand the basket of new molecules as well as the opportunity that I earlier talked about, which is basically identifying and developing late-stage molecules. But the timeline as to when we receive the POs for the repeat orders, it's very, very difficult for us to influence.

Sanjesh Jain: So, what you're telling, it is not by design, it has come by coincident and that's healthy for our future opportunity?

Radhesh Welling: Yes, absolutely. And just one thing on the specialty, you know most of our business today is coming from agro. The performance material is actually doing quite well, but the overall impact

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as a percentage of sales is still limited. And as you know, in Agro, what we really supply is an intermediary, which typically goes to one of the AI manufacturers.

So, th

ough the customers typically remain the same, the consumers can change. Sometimes they might send to the manufacturer of the technical grade in India, sometimes they send -- ask us to send it to a manufacturer of a technical grade overseas, sometimes they ask us to send it to their own manufacturing plant in US or Europe.

So, I think it will be a little difficult for us to look at or compare the export versus domestic mix in our specialty. Of course, in HPP and CDMO, you can. But in Specialty, it becomes a little tricky.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus Securities.

Siddharth Gadekar: Sir, first question is on the HFO debottlenecking. We were supposed to announce the project somewhere in between the second and the third quarter. So where are we on that those timelines?

And the second question is on the cGMP-4 plant. When can we expect the announcement for the cGMP-4 plant?

Radhesh Welling: No, I think it's going to be difficult for us to give specific timelines. Both these projects are currently in the pipeline. The discussions are going on. We're currently in the process of having some of the commercial discussions, especially on the Honeywell debottlenecking, but it will be very difficult for us to give specific timeline on either of these two projects.

Moderator: The next question is from the line of Isha from VT Capital.

Isha Agarwal: Sir, my first question is related to speciality chemicals. two quarters back, you had mentioned one of the molecules, which show where the demand was pretty low, but somehow the margin was -- it's a very high-margin molecule. So, any update on that? Are we seeing demand recovery or anything from the customer? Are you worrying?

Radhesh Welling: Yes. That was the agri molecule, I think you are referring to, which we were supplying from Surat, we've actually didn't have much of the demand in the first half. The demand has again come back. We will be supplying -- we supplied some molecules in this particular quarter, and we will continue to supply in the coming quarter. But the good news is that we have actually received a pretty good forecast for the following year for that molecule.

Isha Agarwal: Okay. And sir, another question is related to CDMO. Last quarter, you had mentioned about Fermion agreement. So basically, that particular agreement has three molecules. So, one, the sample was given and rest two molecules were under process. So, can you please update me on that?

Radhesh Welling: So that process is ongoing. And I think some of the work that we are doing there on these molecules also forms the basis for our cGMP-4. So, the work is going on there. It will be difficult

for us to give quarter-on-quarter update on each of the molecules. But I think it's safe to assume that we are all eager to move these -- to progress this opportunity with this customer forward
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because this actually forms a significant basis of our cGMP-4 as well because these are all commercial or close to commercial molecules.

Moderator: We'll take the next question from the line of Jason from IDBI Capital.

Jason Soans: Sir, one of my question was in terms of specialty chemicals. So, what percentage of an intermediates -- as we are supplying intermediates, as you said, especially to the agrochem side, what percentage of the intermediates goes into patented or generic products? Can a ballpark be given for that number?

Radhesh Welling: I think the way we look at our business is whatever we do has to be differentiated, where we have a clear differentiated value proposition. As you know, when we started our business, and we were building up the business, a lot of it was going into generic molecules. A lot of the new opportunities that we have are primarily into the new molecules. It will be difficult for us to give on a quarter-to-quarter basis split betwe

en generic and patented molecules.

Jason Soans: Sure, sir. And sir, just a follow-up to that, I wanted to know is, of course, you are talking about being differentiated. I completely understand that's higher up the value chain, and it's synced with your value proposition and your aim to be higher up the value chain. But just would want to understand, for example, in the CDMO business, a certain business gets deferred.

And of course, patented or high-value business will be tougher to crack. And in terms of generic, probably when you're looking at balancing demand in terms of capacity utilization for your plants as well, how do you see that balance play out in terms of your aim to go higher up the value chain?

Radhesh Welling: No. So, see, even when we're talking about generic molecules, these are not typically even those generic molecules. If you see our sales profile, we are all selling it to innovator companies. So, you can see us actually selling any of -- if you see none of our generic molecules are actually going to generic companies, okay So, I think the value that we deliver or the value that our customers see remains the same across -- because ultimately, we are supplying to the same innovator company.

Jason Soans: Sir. And one final question from my side, sir, a lot of our spectrum business will be contracted. And we clearly know that China, in the past six months, they are driving down prices of intermediates, especially in the agrochem side. So just wanted to know any structural changes in your contract, there might be some de-escalation clauses, certain criteria like that. In the face of such intense competition coming from China, any structural changes to those contracts? Just your -- any colour on that?

Radhesh Welling: I think these are ongoing discussions that we have, and this is actually not true only for Agri. By the way, it's basically across the businesses, across the segment. This is the same phenomena that is playing on. There are always these conversations going on in terms of how do we actually work with all these key customers that we have to ensure that there is a win-win scenario. So that's just ongoing conversations that we typically continue to have.

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Anish Ganatra: If I may add, Jason, our sort of relationship with the customers is strategic in nature, it's not transactional. So, in a sense, one, there is -- if there are conversations like that going on, there are more problem solving and opportunity creation rather than anything else.

Moderator: We'll take the next question from the line of Meet Vora from Emkay Global Financial Services.

Meet Vora: Sorry for harping on this again. With respect to the new dedicated agri pre-sales that we have made, we now estimate that the commissioning will be by end of FY '24 instead of December '23. So, if we can get some colour on the reason for the slight delay that will be helpful. And secondly, you have mentioned that we have received POs for the dedicated portion of the capacity for CY '24.

So just your thoughts on how does this arrangement work with the customers. Is it more contractual in nature in terms of volume tie-ups? Or is it more driven by annual purchase orders that the customers -- meaning are we tied up also for CY '25, '26 for this with the customer? And lastly, your thoughts on how do you see the non-dedicated portion of the demand shaping up for this plant?

Radhesh Welling: Yes. So as far as -- as we have mentioned, almost 50% of that particular project is underlined by one particular customer. As we are going into 2024, we have received confirmed purchase orders for the volume that will be supplied from '24. And that process will continue. As we have indicated, the model is typically as we work on other dedicated projects. But typically, it's a cost-plus pricing model that we employ. As for the remaining 50%, as we had

indicated earlier, and as Anish also mentioned in reference to one of the earlier questions, as we get the plant, our initial focus would be to ensure that we ramp up the production wherein we can supply the full quantity to this customer. And we will also utilize that time to get ourselves qualified with other customers.

And then as we become more comfortable, in further ramping up the volume, we will start having these conversations with other customers to supply to them also. At the same time, we are having conversations with other customers to potentially get into some long-term contracts for the future years with them. But that will happen gradually because what we don't want is suddenly to have all these customers engaging with all the customers for 2024 supply and then positioning us for failure. So, it will happen progressively.

Anish Ganatra: So, Meet, if I may add, the structure of these contracts is typically a take-or-pay. And then each year, you start getting firmer purchase orders. The fact that we have now got to purchase order for next year, is actually pretty solid in that sense.

Meet Vora: Sure. And the second thing we had mentioned in our presentation was that this plant was more for a build block kinds of molecules. So how do we see the derivatives moving there or any plans around that side?

Radhesh Welling: Sorry -- yes. What was your question? we didn't get the start of the question?

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Meet Vora: Sir, we had mentioned in our presentation that this plant is more for a building block kind of a molecule. So, we might be having plans to move into derivatives going forward. So, any thoughts around that? Or is it too premature at this point of time?

Radhesh Welling: No, this is an important building block. We will be supplying this molecule to the customers. We also will be utilizing the product ourselves to do some downstream derivatives. Even today, we manufacture and sell a downstream derivative of this to one customer.

With this, we will actually be -- hopefully be able to backward integrate and improve the overall profitability by doing that. And there are certain other opportunities that we have identified by which then we will be able to move downstream and do those downstream derivatives as well.

So, all the three possibilities exist.

Meet Vora: And sir, lastly, on the new byproducts that we are planning to launch, two from Dahej and three from Surat. So, all these five molecules will be mapped in the multipurpose plant. So, in the Dahej MPP, going forward we will be doing six molecules instead of five. Is the understanding correct?

Radhesh Welling: No. So, I think we -- as these molecules ramp up, we will look for opportunities for some of them to be mapped in MPP in Surat. Some of them to be mapped in MPP in Dahej. And as these molecules ramp up, there is a possibility that we might require depending on the customer requirements, possibly even a dedicated plant for some of these. But we currently have multiple MPP options. Dahej is not the only option available to us. So, it will be Dahej plus Surat.

Moderator: The next question is from the line of Mr. Ranjit from IIFL Securities.

Ranjit: So, in the opening commentary, you did say that the HF plant is largely on track. So just wanted to hear some comments, how do we plan to utilize it captively probably over the next three years to four years. And what kind of projects we are looking at to kind of consume the HF internally?

And second, just an extension to that, how should one see that debt panning out over the next couple of years. We are at around INR1,200-odd crores of gross debt, how should one see that?

Anish Ganatra: Okay. So let me take the gross debt question, first. I mean gross debt, and I mean, I've said this before, we normally don't give forecasts out on debt, etc. I mean our focus always has been to take projects a

nd progress them within a solid financial framework, which we agree with the Board, which covered amongst other things, debt return, commercial, de-risking, etc, yes.

So unfortunately, I won't give the guidance on that going in the future. But it is what it is at the moment. And you just have to look at it as we bring projects for approval and share with you as to where the profile of the company is and the balance sheet and strength is in the balance sheet.

Radhesh Welling: On the HF, I think our commentary remains same as what we had made when we announced the capex. We're looking at three sets of opportunities. One, where we will actually use some of that HF for our own use in existing three projects as those projects scale up, including the current

HPP project and the new capex, which will get commissioned next year, etc. There are some new opportunities that we are looking at.
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Beyond these three business units, and we are working to develop those opportunities. So that will be the second set of outlet. And the third, given our current constraint on HF, we have significantly reduced our merchant sales of HF. So there also, we are actually continuously seeing very good opportunities. So, a third set of opportunity will be there to increase the merchant sale of HF. So, one will be HF for our existing three BU then HF for our new opportunity beyond the three BU and then for merchant sales.

Ranjit: One bookkeeping question to Anish. We have seen a dip in the employee cost. Is this sustainable on an absolute run rate?

Anish Ganatra: So, if you -- so Ranjit, again, if you adjust the employee cost for the ESOP adjustments, you'll probably find it more or less in similar levels.

Moderator: The next question is from the line of Mr. Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the new project announcements, in the past, we've been -- there'll be a little bit of a lag in terms of we're probably closing out some of the plants that we've had on board. So, is it largely the uncertainty in environment, which is holding us back in terms of closing out some of the divisions? Or are there anything more to sort of read into it?

Radhesh Welling: Actually, give the proper answer to this, right? We are working on opportunities. I think what is important is that we will not pursue growth opportunities just for the sake of it. We will ensure that we need to be, first of all, convinced of those opportunities. And once we are, we will take it to the Board for approval. I think despite what we are seeing in the larger macro environment, we are actually seeing pretty good traction with our key customers. And a lot of these opportunities that we are talking about are primarily with our key customers.

Anish Ganatra: And Nitin, if I may add, the fund raise remains an option. And you probably haven't asked this question. But given that there were several questions on debt levels, etc, I'm just putting that out in the open that the fundraise plan is pretty much in play. The timing, etc, will be a matter for the Chairman and the Board to decide.

Nitin Agarwal: Probably I'll squeeze in a little bit on that. As you mentioned about the macro factors which are there in the landscape. I mean, has it increased the number of opportunities which are available to companies like us? Or with the change in maybe interest cost regime and other things which have been happening, is that the evaluation process that has become a little more tougher? Or evaluation criteria has become more stringent? Or -- is there any difference in the way we've been approaching opportunities in the past, and what we're doing, when looking at them now?

Anish Ganatra: I mean, your voice has been muffling a lot. But if I understood your question, you were actually asking the criteria we use to evaluate projects. Is it in this...

Radhesh Welling: No. I think he's a

sking whether the opportunity funnel has actually expanded or come down. No, I think the quality of opportunities that we are seeing continue to remain the same. If you basically just ask if the number of opportunities or the inquiries that we were actually getting have definitely come down a bit.

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But quality of opportunity remains the same, primarily it's driven by more engagement that we are actually having with some of our key customers. So, the quality of opportunities that we are identifying and developing through this deep engagement with our key customers continues to remain the same for us.

Nitin Agarwal: And Radhesh, just last one on this, with whatever you -- in the past, most of our incremental business which has come through over the last three years or four years has been largely on the partnership mode. The fact that it's not -- and typically, anything to -- any project that we need to put together, typically will take about 18 months to 24 months.

Does it have any implications in terms of the kind of growth that we can have in FY '26 for example? Because a lot of that we're doing right now will probably be largely certified in FY '25? Or I mean, is there a right assessment to make in the first place?

Radhesh Welling: I think, see, if you actually look at the last two-three years, your reading is absolutely right because we really didn't have any extra capacity headroom available because we didn't have Dahej. Now with the Dahej fully operational, we're already having multipurpose plants, etc. And

also, we continuously look at opportunities for product rationalization in our MPP in Surat. So currently, we have for immediate quarters or immediate years, we have enough capacity headroom available in form of these new investments as well as the earlier investments made in Surat, etc.

But the ones which the larger opportunities will obviously, as you rightly pointed out, will take about 18 months or so to get converted because that is the typically the investment horizon required to set up dedicated plants, etc. But currently, we don't see any specific constraint because we have enough capacity headroom available in these new investments as well as the earlier investments made in Surat, etc.

Moderator: Ladies and gentlemen, we take the last question for the day from the line of Mr. Bhaskar Chakraborty from Jefferies.

Bhaskar Chakraborty: I wanted to have your thoughts on how you are looking at growth in the Specialty Chemicals business in FY '24.

Radhesh Welling: FY '24 as in current year?

Bhaskar Chakraborty: Yes.

Radhesh Welling: So current year, we've already spelled out. I mean you see the projects that we have already undertaken in Dahej. Those are the ones which will contribute to the growth, and we will, directionally, quarter to quarter, it could move from one quarter to another quarter. But overall, these are the investments which we have made. We have already have got two new plants on the ground in Dahej. Third one now coming up. So that will actually ensure that we see -- continue to see growth in specialty.

Bhaskar Chakraborty: So, I mean, is it comfortable for you to work with a 20% kind of growth estimate in revenues for this fiscal?

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Radhesh Welling: No, we typically don't give any specific guidance. I mean we've actually not given any specific guidance in the past. Now in the current scenario, even more difficult because the number of variables, etc, have gone up significantly now. But we typically don't give specific guidance on a quarter to quarter or year-on-year growth.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Anish Ganatra for closing comments. Thank you, and over to you, sir.

Anish Ganatra: I would like to thank everyone for taking t

he time out and joining on the call today. I hope we've been able to respond to your queries adequately. We look forward to your continued support as we navigate the journey ahead. Wishing you and your loved ones a joyful and prosperous Diwali in advance. May the festival of lights bring you happiness, good health and success. Thank you very much.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 06, 2024 regarding discussion on operational and financial performance of the Company for the Quarter ended December 31, 2023 (Q3 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY24 Earnings Conference Call "
February 06, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN –

NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 and 9 Months FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q3 and 9 months FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion, and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '24 Earnings Call. I'm joined by our CFO, Mr. Anish Ganatra, and Orient Capital, our Investor Relations adviser. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as our company's website. Before I start with my comments on the business performance, I would like to brief you on a few developments at Navin Fluorine. The Board of Directors at the Board meeting held has approved 2 capex's amounting to INR372 crores to be funded through internal accruals. A capex of INR288 crores towards setting up a cGMP4 facility with the capacity of 200 KL. The capex will be done in phases. Phase 1 with the capacity of 100 KL will have an outlay of INR160 crores, which is expected to be commissioned by end of CY '25. Phase 2 of the capex will be initiated based on the progress of MSAs and projections for the business.

I am pleased to inform you we have expanded the MSA with the European-based API customer to cover 2 new molecules, 3 in total. These molecules are in intermediate to a patented commercial product with promising prospects. The MSA is expected to contribute materially to CDMO revenues from FY '26 and beyond.

The proposed cGMP4 Phase 1 capacity is critical to support the MSA and also unlocks the \$100 million top line aspiration for the business vertical. Further, we have entered into a strategic partnership with a U.S.-based contract development and manufacturing company. This partnership will be mutually beneficial by providing access to new chemistry capabilities to Navin in addition to scale-up opportunities and also deepening our customer penetration in the U.S. As indicated at our previous calls, our CDMO business is rebranded as Navin Molecular.

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Navin Molecular brand will help further sharpen our value proposition to offer a wide ranging CDMO services to our customers, supporting projects, including nonfluoro projects through the clinical phases of commercial manufacturing. While the current order book for this segment continues to be built with efforts already done to strengthen and focus our business development team, we are confident we will be able to deliver growth in this vertical which is visible from

on

the second half of FY '25.

Second, a capex of INR84 crores to enhance our HFC capacity, another 4,500 tons of R32 refrigerant gas which will be operational by Feb '25. Our earlier capex of R32 is commissioned

and fully operational at an optimum capacity. The new capex is aimed at securing our market position in the refrigerant gas space over the next decade and beyond and is underpinned by our belief of the market demand growth, also feedback from industry players in India and globally. Coming to our existing facility. As indicated in the past, we continue to drive operational excellence while executing projects in a disciplined fashion within a tight financial framework. In particular, our HF plant, R32 plant, R22 plants are running at optimum capacity. We continue to work jointly with Honeywell to ramp up our plant at Dahej. Though this is taking longer than expected. However, we are hopeful of putting this behind us soon.

The agro specialty plant at Dahej is progressing well, with chemical charge expected by end of March /April, followed by a first commercial supply by end of Q1 FY '25. Our AHF project at Dahej is progressing well and is as per schedule. A capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25.

I'm also pleased to inform that with the view to incentivize and retain critical talent, the NRC and the Board has granted 2,27,500 options under the ESOP scheme at the prevailing market price. The options are awarded to a small pool of critical resources across our organization. The Board and I also have progressed on the search for a new CEO. We have shortlisted the pool of candidates that have been further evaluated and hope to conclude the process soon. Our key criteria remains unchanged. The candidate must have strong industry experience with an execution excellence bias and solid understanding of the growth drivers.

Finally, I'd like to end by stating that the quarter has been a tough one, not just for Navin but for the entire industry. Globally, unpredictable weather conditions, destocking of high-value inventory and cash flow management from ag majors has impacted the entire industry. Global agrochemical players are cautious on forecasting of new demand resulting into headwinds for the Indian ag chemical players. We expect clarity on demand visibility by Q1 FY '25. However, our mid- and long-term view of the business remains intact. Our focus is to continue to drive operational excellence while making investments to ensure that as and when the short-term headwinds turn, Navin is well positioned to capitalize on the same. With that, over to you, Anish.

Anish Ganatra: Thank you, Vishad bhai. Good evening and thank you all for attending the earnings call. The revenue and profitability in Q3 FY '24 were below our expectations. Let me take you through Navin Fluorine International Limited
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business-wise performance for the quarter. Our specialty business was impacted due to deferment of campaigns and inventory destocking within our customer channel partners. On the positive side, we have added a new molecule in the last quarter at Dahej and 4 more molecules are in pipeline for the next quarter. We are confident with the strong partnership and technology platform; we will continue to deliver innovative offerings to the customers. Our HPP business was impacted due to ramp-up challenges for our HFO plant. We continue to work closely with our partner to further improve and enhance productivity of the plant. Ref gas, in particular, R22 continues to face pricing pressure, especially in the international markets. We expect the pricing to stabilize by the end of the fiscal.

The R32 plant commissioned earlier in the year has stabilized and is operating at an optimal capacity. Our CDMO business revenues in

the last quarter were below its potential. This business is lumpy in character. Hence, we cannot analyze the performance on a quarter-on-quarter basis.

Some of the key campaigns from the last fiscal are deferred and a couple of early phase molecules dropped off from clinical trials due to data not meeting the defined endpoints. As indicated by Vishadbhai the expanded MSA with European-based API customer and the strategic partnership with U.S.-based CDMO are promising and expect it to contribute along with renewed business development effort to the growth from second half of FY '25.

Moving on to financial performance of the company in Q3 FY '24. The sales in this quarter were impacted largely due to the following reasons: lower sales in CDMO segment, which is a higher-margin business vertical, slower ramp-up and stabilization of production at Dahej, lower orders in specialty due to global inventory destocking, pricing pressure in exports markets for R22, deferment of sales from 4 specialty molecules from Q3 FY '24 to Q4 FY '24.

Lower-than-expected sales resulted in decline of EBITDA margins reflected in the lower operating leverage. However, approximately 3% to 4% of the margin impact is due to one-off fixed cost, deferral of specialty molecules and delayed stabilization of HFO plant, which we expect to recoup. Further, as market conditions improve, we should start to see EBITDA margins rebound to the 24%, -25% range.

I will now share the highlights of our performance for Q3 FY '24- and 9-month FY '24, post

which we will be happy to take questions from all of you. For 9 months FY '24, on a consolidated basis, the company reported revenue from operations of INR1,465 crores as against INR1,380 crores in 9-month FY '23, reflecting a growth of 6% year-on-year.

Operating EBITDA stood at INR288 crores as against INR349 crores in 9 months FY '23, down by 17%. Operating EBITDA margin stood at 19.7% as against 25.3% in 9 months FY '23, lower by 557 basis points. Exceptional item includes gain from sale of surplus unused colony land at Surat for INR54 crores.

The profit after tax stood at INR200 crores for 9-month FY '24 as against INR239 crores in 9-month FY '23, reflecting higher depreciation and finance costs associated with Dahej assets.

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Now coming to the quarterly performance for Q3 FY '24. The company reported net revenue from operations to INR502 crores against INR564 crores in Q3 FY '23. Operating EBITDA was INR76 crores as against INR156 crores in Q3 FY '23. PAT stood at INR78 crores as against INR107 crores in Q3 FY '23. As mentioned earlier, PAT includes exceptional income from sale of surplus unused colony land at Surat.

Within the context of short-term headwinds, we have continued to ensure a tight financial framework. In particular, for the first 9 months of FY '24, the business has generated operating cash flow delivery of INR523 crores.

Focused efforts on reduction of working capital has secured the release of about INR253 crores cash during 9-month FY '24, net working capital days remains within the 90 days of sales guideline provided earlier. Our net debt-to-equity ratio at the end of December stands at 0.38x. The 2 new capex's that Vishadbhai referred, aggregating to INR372 crores, will be fully funded through internal accruals.

So that is it from my side. We will now open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: A couple of questions, one on specialty chemicals and one set of questions on CDMO. In picking first, if you could please help us with an update on some of the key growth projects we've been implementing. So what exactly

is the capacity utilization of the multipurpose plant? And how do we see it ramping up next year?

Do we still expect it to hit full utilization in CY '24? Also, any discussions with the customers for the dedicated plant, which is already running at optimal capacity to double the capacity there or expand. And finally, the 5 new molecules that you've talked about, 1 introduced this quarter, maybe there's 4 more next quarter. What might be the revenue potential from these?

Anish Ganatra: Abhijit, it's Anish here. Thank you for the questions. So on the capacity, as you know, we never generally talk about capacities. But what I will tell you is that in the spec chem space, we had 3 capex's. One was the MPP1 at Dahej. Then there was the MPP2 at the Dahej, and the agro-specialty plant -- dedicated agro specialty plant, part of it, which is dedicated. So on MPP1, in kind of FY '24, we expect that 80% of the peak annual revenue that we've indicated to you guys will be met.

In MPP2, we believe that in FY '24, we will have already achieved the peak annual revenue. The dedicated agro specialty plant is expected to start chemical reaction by end of March or early April, latest. And the first commercial supplies are expected to be in end of 1Q FY '25. So I don't know if that answers your questions on the capacity on new agro capex's in the spec chem bases. But I'll take your question on the molecules in a second. But let me know if you've got anything more on that.

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Abhijit Akella: No, that's helpful, Anish. So just to clarify, the multipurpose plant for which we had a revenue potential of about INR270 crores. That one is running at about 80% in fiscal '24 itself. You said it? And the other one, which was INR160 crores revenue potential, that one is at full utilization for fiscal '24.

Anish Ganatra: That's exactly right, Abhijit. So I mean, I wouldn't say 80% capacity, but I'm referring to the 80% peak annual revenues, yes.

Abhijit Akella: Okay. Understood.

Anish Ganatra: When we start -- when we factor in or model these multipurpose plants, they're not modelled to run at 100% capacity, right? They're modelled to certain utilization level, given that there will

be batch processing, yes.

Abhijit Akella: Okay. So of the INR270 crores, we are talking about 80% here.

Anish Ganatra: Yes. On the 5 molecules that you mentioned, 1 molecule has come into play in 3 quarter, 4 we were expecting in this quarter. Some of that has been deferred to next quarter because of customer requests and some of that has been deferred because we needed more time on the chemical reaction side, but we expect all of those to come into play by the end of Q4.

Abhijit Akella: Any revenue potential from these that you could share?

Anish Ganatra: I would not like to speculate that at this stage. Leave it to when we get to say it, yes.

Abhijit Akella: Got it. And just the other one I had was on CDMO. So while we've talked about the capex number for this MSA with the European customer, is there a revenue number also you could point at? And the other one was just that there was this large purchase order of \$60 million that we had a year back or so, we were expecting some renewal of that order in CY '24. So any update on that?

Anish Ganatra: So on the CDMO side, see normally that business is not associated with guaranteed MSAs or contracts, right? But -- so if you're asking -- if your question was around as to what is the capacity. That's difficult to -- I mean, in terms of the revenue potential you're looking for, see our typical asset term in CDMO tend to be about 1.75 to 2x. So that wouldn't be sort of different here either. But neither the MSA nor the projections are sort of guaranteed. The thing I can tell you is the commercial product that these intermediates go into is a patented product, and the prospec

ts are extremely promising, and we are very excited with it as well.

Abhijit Akella: Sure. And on the purchase orders, any update on that for the upcoming year?

Anish Ganatra: Purchase order for?

Abhijit Akella: There was this \$16 million PO we had about a year back, and we were expecting a renewal of that order in CY '24.

Anish Ganatra: So that order has been deferred to this quarter -- coming Q4 quarter, the \$18 million.

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Abhijit Akella: So 4Q FY '24 will have an \$18 million delivery.

Anish Ganatra: Sorry. So -- sorry, you are referring to the last year that we've done the molecule in Q4, is it -- is that what you're referring to?

Abhijit Akella: Yes, yes, Q3 and Q4 of last year.

Anish Ganatra: So that as I mentioned in my commentary, those campaigns are not expected to come in this fiscal, they will come in the following fiscal. Sorry, just to clarify that.

Abhijit Akella: Yes, that's fiscal '25, right? The upcoming year, '24, '25.

Anish Ganatra: Yes. Correct. Correct. Correct.

Abhijit Akella: Okay. So we do have that visibility now clearly defined. That order is coming next year.

Anish Ganatra: We expect it's still kind of how good the business is, right? I mean, at the end of the day, the update we have at the moment that it is expected next fiscal, but we constantly remain in touch with the customers and projections could change. There is a lot of dynamism involved in this, Abhijit.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So my first question is on the HFO project. So just wanted some understanding. When we started the project within a period of 3 to 6 months, we went up to the optimal utilization. And now in the last 3 quarters, we've been struggling to again get back to the optimal level or the ramp -up is slow. So is there any deferred demand issue? Or is there any structural issue at plant level? And how do we foresee in terms of the revenue potential, which earlier we were envisaging about INR400 crores to INR500 crores annually. Whether we are on target for that in FY '25 or that is also deferred?

Anish Ganatra: All right. So let me take that in 2 parts. First is the HFO project, as you mentioned about the ramp -up and the stabilization of the production. Now the plant is a very advanced technology plant. Honeywell operates this plant apart from obviously with us in India, in China and in the U.S. And one of our learnings out of this is being that the operating -- the optimum operating parameters of this plant is in a very, very narrow range.

So as we experience issues, we have to be very precise in terms of how the planned parameters are being set. And that's a learning experience. Unfortunately, we did not take into account as we started the ramp -up and the technology absorption. So that has taken a little more than what we would have liked to have. But there are no structural problems. We're very closely working on this with Honeywell to resolve and fix it. And we hope that this will be behind us very, very soon, yes. So that's the first part of the question.

The other part in terms of is there -- on the demand side, now while we are being able to dispatch and meet Honeywell's requirements on what they have ordered from us as a result of the contract that we have, the demand, obviously, also is slightly subdued. So it is -- the orders at the moment

are at the minimum level of what we have under our contract, not at the higher end of that.
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To answer your question on the peak annual revenue from that in terms of what we've promised. We believe that in -- it's already on track. So the FY '23, we commissioned, we said in 2 years, we will be at the peak annual revenue of up to about INR460-odd crores per year

, which we are on track. That doesn't change.

Rohit Nagraj: Sure. That's helpful. Second question is, again, similar on CDMO. So we've been guiding that - on a normalized basis, we will have about \$40 million of yearly run rate barring any lumpiness on a quarterly basis. So how are we expecting the run rate during FY '24 and in FY '25, as you mentioned that there will be this additional order of maybe \$16 million to \$18 million, would that be over and above this normalized run rate of \$40 million?

Anish Ganatra: So in CDMO, typically see, as I've mentioned this before as well Rohit, the business itself is very lumpy, plus what we've done, as I've told you before, is we changed our mindset. Earlier, we are focused on early-stage molecules. We are now complementing them with commercial stage molecules, right? As we go on into next year, our expectation is that about 30% to 35% to 40% of the revenues will come from commercial stage molecules.

And this is where our entire team is focusing efforts on. We will have some contribution from the European-based API customer into next year's revenue, though, of course, that revenue will come in materially or start to make material impact on the numbers from FY '26. Additionally, the strategic partnership that Vishad bhai referred with the CDMO in the U.S. will also open up opportunities. But all those efforts are ongoing. This is -- obviously, it's going to be in addition to any order that we get from ongoing campaigns. All these efforts are going to be in addition to that. But I wouldn't sort of be able to put a number on it at this stage.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First, on the R32. We thought that R32 capacity addition was frozen in December '23. Can you just help us understand the regulation now that we are going to expand, does this qualify for the quota determination period because this capacity is coming after December '23.

Anish Ganatra: Okay. You want to finish questions or should I take them one by one.

Sanjesh Jain: Sir, let's take one by one.

Anish Ganatra: Okay. So the regulation around the December '23 date is actually for receiving subsidy under The Kigali Agreement. The quota period is the average production you have in '24, '25 and '26, '27 being the unrestricted year, and from '28, I believe, the quotas kick in, with '32 being the first year of phase down at 10%.

Sanjesh Jain: This capacity will not qualify for subsidy payout, but this whatever we sell from this plant will qualify to get the baseline capacity for the next.

Anish Ganatra: That's right. So the baseline capacity will ensure our position, our ability to tap into that market remains intact. So yes, you're right. The numbers, the production will factor into the quota determination.

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Sanjesh Jain: That's fairly clear. Got the regulation clear now. The second is on the gross profit margin. Sequentially, it is down by 500 basis points in the stand-alone entity, close to 430 basis points, while the mix in the CDMO business has improved. Anish sir, can you help us understand what is driving down the margins in this quarter despite having a higher CDMO contribution?

Anish Ganatra: So you're referring to stand-alone, right?

Sanjesh Jain: Yes, stand-alone. As well as consol as well. Consol also, we had a equivalent decline in the gross profit margin, which is your...

Anish Ganatra: So on a stand-alone the sort of main drivers over there of lower margin are really the ref gas environment. There's a pricing sort of pressure in R22 which has sort of affected it. The fluorspar crisis, we had high-value inventory in stock, which has kind of played into it as well. Of course, as we deplete that stock, we expect that to be recouped from next financial year.

In addition to that, we've had some one-off charges in the business. So if I look at your 20% to 15%, as you said, sequentially, right, 5% roughly. That 5% broadly is split out in those 3 compartments, about 1% being on spar prices, about 1.8% to 1.9% being on R22, the reasons I talked about, and about another 1.4% relating to one-off charges. So most of this, know, Sanjesh, we expect to recoup as you can obviously see the reasons play out, most of them with loss margin

will be recouped over time.

Sanjesh Jain: Just one follow-up on this, Anish sir. I thought fluorspar prices have actually gone up. That means inventory -- excess inventory should have positively benefited us on the gross profit, right?

Anish Ganatra: No. So fluorspar prices have gone up, but it depends on what our contracts are, right? I mean if you look at it, this -- the material that we are now consuming is at higher fluorspar price. If you know, when we started off, I think, at the end of March '23, we had high inventories of low fluorspar prices. So that inventory is depleted and the new fluorspar inventory has come in, which was our contract from the last calendar year, and which is why I said we expect this to be recouped because as we go forward, we'll again see the benefit of low spar prices come back into the play.

Sanjesh Jain: Got it. Again, sorry, I'm sticking to a few bookkeeping questions to get the modeling right. The other expenses has also gone up sharply quarter-on-quarter. Any particular reasons for that? Or it is largely to do with the HFO plant getting corrected in the Dahej and that's been booked here.

Anish Ganatra: So the other expenses that you see in the -- as reported comprises both of production-related expenses as well as fixed costs. As I've already told you, there is an element of one-off costs within that. But the way I would hold it for your modeling purposes, if you take the 9-month number, right, and you look at the quarterly allocation, I'm talking consol level, yes. I mean I'm not talking standalone. If you take that at a consol level, that broadly should be the number that we should look at. So INR120 crores to INR130 crores per quarter, roughly.

Sanjesh Jain: No meaning in looking at this quarterly number, it's better to look at...

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Anish Ganatra: Yes, because there are effects, right? I mean in some quarters, like this quarter, we may have a higher CSR spend compared to last quarter, etcetera. So those timing effects also come into play.

Sanjesh Jain: Fair enough, fair enough. I got two few smaller questions. One on the peak revenue from the HFO. Last time when we met, we said that the peak revenue because of currency as well as higher raw material prices now stands at INR5.5 million. But in your -- in the previous question for peak revenue being that INR4.6 million. What has changed in last 2, 3 quarters?

Anish Ganatra: No -- so I'm referring to peak revenue on the basis on which we made the promise to the market on that basis, saying that we had talked to, if you remember, I think it was INR2,800 crores over 7 years, something like that, right? So I'm saying that on that basis, when you talk of INR2,800 crores over 7 years, what we are expecting to see in FY '25, you will largely see that, that would be met.

Sanjesh Jain: So we will be doing INR460 crores in FY '25.

Anish Ganatra: Yes, yes. That's our hope, yes. That's where we are today.

Sanjesh Jain: That's what we are looking at today. Fair, fair. My last one is on the dedicated facility. I think dedicated facility; we ramped up completely. Now we are talking of an 80% utilization. It's more of a timing issue that 80%...

Anish Ganatra: So Sanjesh, just to clarify, the dedicated capacity, as you rightly mentioned, has already been ramped up. In FY '24 itself, we would have achieved the peak revenue

that we'd indicated. The

multipurpose plant, which is not dedicated, I said 80% of our top line revenue, the peak revenue that we had indicated, we expect to see in FY '24 itself.

Sanjesh Jain: That's fine. I think I got confused between the two plants.

Anish Ganatra: No, no worries.

Sanjesh Jain: Sir, one last question on the CDMO. Previously, we said that we will be able to achieve that \$100 million revenue from existing cGMP 1,2,3 and cGMP4 will help us expand from there.

Anish Ganatra: So that's -- sorry, I don't mean to interrupt you, but yes, finish your question.

Sanjesh Jain: I got you -- you got the question and that's what I was...

Anish Ganatra: Okay. No. So what we said was that 1, 2 and 3 would not be sufficient to take us to \$100 million. We would need a 4. If you see what we've done is while announcing the capex for 4 at INR288 crores, we have opened up Phase 1, which we believe is very, very critical to support the MSA that was referred by Vishadbbhai. And that not only supports the MSA, but also unlocks our ability to achieve that \$100 million. So it's a double side thing that you will see just with that portion of the capex.

Sanjesh Jain: And we still hold that by FY '27, we should be hitting that \$100 million kind of number.

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Anish Ganatra: So that is directional, okay... That is directional. It could be '27 or '28. Would I worry about it

if it slipped by a year, I wouldn't care about it. I mean, directionally, we are there. Does pace matter?.

Sanjesh Jain: No, no, that's fine. That's very difficult to predict, but I got the point.

Anish Ganatra: Yes. So the idea is, today, we are investing in the business with that as an aspiration, yes?

Vishad Mafatlal: So Sanjesh, just one thing to add is the sheer fact that -- in this market, we are going ahead with the calculated investment in this business is the belief that the management and the customer have the understanding and the belief in us that we can deliver, we are the right partner of choice and that this business is going to increase going forward. And that time, if we go ahead and invest, we will lose out because customers today are looking at capacity. They cannot wait if the molecules are flying off. So it's our definite belief that going forward, this business has to reach the optimum levels that you have discussed with Anishbhai.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: First on the specialty chemical business, with capacity utilization that you have alluded to in this quarter for the entire year, if we do a back calculation, it seems the base business specialty, which was there till FY '22 would have declined by anywhere between 45% to 50%. What has led to that significant decline? And how should we look at that business going ahead?

Anish Ganatra: No. So when you talk of the base business, I think you're referring to our legacy capacity in Surat, right?

Siddharth Gadekar: Yes.

Anish Ganatra: Yes. So there are 2 things that have happened this year, yes. There has been 2 sorts of -- one of our molecules in Surat has faced some demand challenges, which has started to recover. But during the year, that has been the case. The other thing also to remember is that we ran several campaigns from Surat last year, which obviously have not seen themselves in this fiscal, but are expected to come back into next fiscal.

The third thing is I referred to the 4 molecules. Out of the 4 molecules, 3 molecules, I believe, are going to come in Surat. So all of that is going to bring the business again in the base. So some of the nature of these businesses is when it's campaign-driven, you kind of tend to see that year-on-year, yes.

Siddharth Gadekar: Okay. Got it. Sir, secondly, on the HFO side, we have always spoken about the debottlenecking, w

hich was expected to come in CY '23. And then we were also talking about a possibility over Phase II. Where do we stand on that project?

Anish Ganatra: So again, see, the thing is I don't know how this gets -- I'm going to clarify this once again. The debottlenecking was a project and is a project that remains in our hopper. It is not a project that has matured enough for us to even take it to the Board. As and when that matures, we will take Navin Fluorine International Limited

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it to the Board, we will announce it to the market. So that is a possibility in the hopper, much like a lot of other projects that we have in the hopper.

We continue to look at these, develop this and those become conversations with customers, okay.

So that is not to be taken as something that we have committed to. Yes. And similarly, on your question on the doubling the capacity of HFO, etcetera. I mean, our discussions with Honeywell and particularly between Vishadbhai and at the highest levels in Honeywell, cover a range of topics and range of opportunities. And depending on the market dynamics, those opportunities are being matured and will sort of see themselves come in to play. Sorry, you want to add something Vishadbhai? Did I answer your question, Siddharth?

Siddharth Gadekar: Yes. So just one last thing on R32 capacity. So going into CY '28, is it fair that we will be operating the capacity at around 66%, 67% capacity utilization?

Anish Ganatra: R32?

Siddharth Gadekar: Yes.

Anish Ganatra: No, R32 is a low GWP product with a very long cycle. So its first cut starts in 2032.

Siddharth Gadekar: But given that we have to produce an average of '24 to '26, so our average will be lower than what we produce in '25, '26. So technically, from '28 our production will be around...

Anish Ganatra: So what will happen is we currently have a capacity that's already in play at 4,500, right? So that capacity is actually operating extremely well, and we may be able to do more than 4,500. But argument's sake, let's just hold that to 4,500. So that 4,500 goes into the quota as an average of 3 years production, so 4,500.

With the current new capacity that we've announced today, we will be able to take in 2 years as opposed to 3 years because that plant will take 12 months to commission. So by February, we commission the plant, which means we won't have production for '24, correct?

Our production for '25 and '26, the production for '25 and '26 will basically get divided by 3. So that's what we'll get into the system in '28. So to answer you in a more simple and direct way, doing the math for you is basically, we are saying 9,000 metric tons will be our expanded

capacity and 7,500 will be the quota to us from '28 onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: So first question on your Specialty Chemicals and the CDMO segments. In 2Q, you had mentioned we'd seen certain deferrals which you were expecting in this quarter. Just wanted to clarify if these are the same molecules which are continuing to see some sort of deferment or postponement even in this quarter? And if you could just spend a minute to kind of explain what exactly is the issues that the customers are facing with respect to some of these molecules?

Anish Ganatra: So some of this is -- it's a combination of deferrals -- and mainly deferrals. And also in some cases, we had to do more work on getting the chemical reactions right. But the deferrals are nothing different to what's happening across the industry at the moment. Everybody is looking

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at year-end and trying to reduce their inventory and cost of carrying the inventory, etcetera. So that's a deferral. It's not an order which is lost, but we expect that to be made up in this quarter.

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Vivek Rajamani: So you mean Q4?

Anish Ganatra: Yes, Q4. That's right.

Vivek Rajamani: Sure, sir. And the second question I had was, and I can understand this is a bit of a difficult question to answer. But just with respect to both your Specialty Chemicals and CDMO. Would it be possible to give a sense of how much do you think your portfolio is immune to these risks or deferrals? Or how much part of your portfolio do you think is actually immune to such risks? And how much is actually very, very reliant on the customers changing the use and demand? Would it be possible to give some sense there?

Anish Ganatra: So I can't -- so again, as you rightly said in the beginning, it's a very difficult question to answer. What I can tell you is strategically we try to play in products which go into early-stage patented life cycle. So that the risk of them being subjected to market dynamics, substitutes, etcetera, is reduced and is minimal, okay? That's our -- that's always been our philosophy, and that continues to be our philosophy. As Vishadhbhai tells us, he doesn't want to be in the me-too business. So that is our thinking, right?

But at the end of the day, the deferral again in CDMO, what you talked about -- see in CDMO, the deferrals are not actually deferrals. They are the nature of the business. The CDMO intermediate business runs on a campaign basis. And those campaigns are ordered in 1 year, but then depending on how they are rolled out, etcetera, could take another year of gap and then come back to you.

So that happens as a very natural part of the business. What we are seeing in the specialty chemical business is what's happening by global majors to control costs, etcetera, and manage their inventories, etcetera, as you get into year end and obviously, look at destocking effects, etcetera, etcetera, which again, you probably know more than I do, Vivek.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Just two clarifications largely. One is on the HFO plant. Just wanted to clarify, so this year, we will be undershooting the optimum number that is there on revenue, and that should get back to that optimal number in FY '25. Is that correct understanding?

Anish Ganatra: So what I'm saying is that in FY '25, we expect the peak annual revenue that we've indicated in rupee terms to be met. In FY '24, we will still be delivering the demand that Honeywell has put on us. So there is not likely to be any unmet demand. Like I said, as we speak and touch wood, the plant today is operating at 80% of what we expect it to.

Chetan Thacker: But the demand itself, you mentioned is subdued. So that would mean that the number itself is lower than the optimal number?

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Anish Ganatra: So the -- so as you have this, Chetan, in any of these agreements, you have a certain minimum demand and a certain maximum capacity demand, right, which you can't go beyond. What I'm saying today is that we have the minimum demand. If the environment was better, you would have probably seen it higher than that minimum demand. That's all I'm saying.

Chetan Thacker: Understood. And sir, just on the specialty chemical bit, so the base business is expected to come back in FY '25. And the additional 3 molecules that will get added, that will also start to contribute in '25. That should be a fair understanding over and above what we're seeing in today's numbers.

Anish Ganatra: So over time, I mean, our philosophy is to optimize and utilize the assets across both the entities. See, we don't see this as entity-by-entity-by-entity conversation. We see it as a collective spectrum conversation on how to optimize the assets, whether they are in Surat or in Dahej.

Chetan Thacker: Understand. Just not talking about on an asset level, but at an overall revenue level, the number

that we are seeing today for FY '24. For FY '25, there will be a bump up which happens as the base business, again recovers, which you mentioned right now, campaigns come back and you see 1 molecule...

Anish Ganatra: So we have visibility to the next -- this Q4 being stronger than Q3, and I'm saying visibility to that. What we are saying, and this includes the deferral of the molecule that I mentioned, okay, as a result of that, too. What we also know and in speaking with our customers that the challenges within the spec chem business are going to play out and recovery is going to be progressively better next year. But we expect that recovery to be better in the second half of next year rather than the first half.

Chetan Thacker: Understood. And on the CDMO bit, again, FY '25 will start getting more towards normalization, and we remain -- we would adhere to the medium-term target of \$100 million once this cGMP4 comes in place.

Anish Ganatra: So directionally right. Again, we will given the efforts that we've taken, the agreements that we've done, including the 2 that we have discussed earlier that Vishad bhai pointed out it will take some time for us to play that out. So the CDMO business should start seeing in the way we've described to you a stable revenue from commercial business with capacities that we use to get higher-margin early-stage products. That will start becoming more and more visible again as we go into second half of next year.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: I just had a few facts checks, especially in CDMO. So you've had a few announcements in the past. So there was -- there's been a contract that we signed with Fermion. And then there was a discussion about the \$16 million PO with an American company. And now speaking of expansion of the MSA with 1 European customer and the commercial opportunity that we have received from an American customer. Is there any overlap with this?

Anish Ganatra: There is definitely overlap.

Archit Joshi: Yes. Right, sir. So...

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Anish Ganatra: There is definitely overlap, Archit. The first name that you referred is actually the European-based API. We had signed an MSA with them covering 1 molecule. Now this expands it to 2 molecules -- 2 more molecules. So in total, 3 molecules. Yes, and the American CDMO is something very new. That's absolutely recent. We've never announced that before. That -- the partnership there is very promising because here we are tying up with a player who's got the skills or experience in the early stages.

And we've got experience and capacity in the commercial stage. So this is going to be a complementary partnership both in terms of how we utilize our common capacities to -- capabilities in a more complementary manner, but also it will open up access for us in the U.S. markets to customers.

Archit Joshi: Got it, sir. And with the same American partner that we are speaking of, we have intended to commission around INR160 crores in Phase 1, which I think Vishadji mentioned earlier is towards this particular contract. But the total capex number being INR288 crores, I was just wondering if there are 2 dedicated blocks separate to service different customers? Or how should we read this?

Anish Ganatra: So say, let me first sort of clarify this, okay. In CDMO business, we do not have any dedicated blocks. When we say dedicated, dedicated, what we mean is we've allocated the capacity. There's no concept of dedicated plants, there's no concept of take or pay or anything of that sort, okay? The other thing that you talked about was the reference you made to the Phase 1.

The Phase 1 supports the European-based API customer and not the American one. The third thing to point out is we have entered into a partnership with

the American API. It's a strategic partnership, which means we have an arrangement, a mutual beneficial commercial arrangement that we will tap into our respective capabilities and we see how to maximize the value of that relationship.

Archit Joshi: Got it, sir. And just one last clarification. I wanted to squeeze in. Earlier, just picking up cues from the previous calls, I think the multipurpose plant that we had announced our capex for, we had close to 3 molecules towards agri, and I think 1 was in the pipeline which you were supposed to go towards pharma. And we are now speaking of 4 more molecules, I think which takes the total tally to close to 7, 8 molecules. So these new 4 molecules would effectively come under the same ambit of the total potential that we are talking of, let's say, INR60 crores to INR70-odd crores.

Would that be a fair assumption?

Anish Ganatra: No. So again, you know what I think you're mixing 2 things up because the MPP 1 client had certain molecules that have been brought into play in the Dahej, and that was an indication. Your first comment relates to that. I think the second comment which I was talking about 4 new molecules, as I said, 3 of those are actually coming in Surat and one is being introduced in Dahej. So they are mutually exclusive in that sense.

Moderator: The next question is from the line of Madhav from Fidelity.

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Madhav: Sir, my question was on the R32 capacity. Just wanted to understand, given that we are -- actually, first question here is, why did you not announce these 4,500 tons earlier, then you can make use of the quota for CY '24 as well because this baseline period has been known. So I'm just wondering why announce it now and not earlier than sort of let go of 14, 16 months of production for the quota?

Anish Ganatra: So again, a good question. I mean I think -- see, this is something that is a homegrown developed technology. Having done the first phase gives us significant confidence of going into the expansion. And so one driver is that. Second, we believe that the R32 pricing environment will see a similar pricing environment that you saw in R22 as the quotas kick in, etcetera, etcetera. Third, we know that it's a low GWP product. So it has a longer play apart from having a play in the transition to HFO eventually, whether in India or outside. Outside the likelihood, overseas of it being used in blends. Similarly, in India, that transition will also go to blends, etcetera. So we have strong belief on the demand for this. We also think that this is very strategic for us in the sense that it secures our play in the industry and the market position that we have. So to answer your question in a simple way, better late than never..

Madhav: Understood. And when you said pricing should be like R22, basically, you're saying that once the quota, etcetera, is frozen after CY '26, as demand kind of grows because India should -- and the world should see good pickup for R32, as you mentioned, across various blends etcetera. So you're saying that's why demand support should be quite tight for this product longer term, is that how we should reason.

Anish Ganatra: Yes, yes. So both the demand side and also I meant that you've seen an R22 that every time the quota kicks in, the pricing sort of becomes more tighter, right, and more stronger. So having -- so that's what we expect to play. Of course, this is a long play. So things will pan out as they pan out. But it's not unfair to expect a similar pricing curve that you saw in our R22 in R32. You would expect to see something similar play out.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Just first is on taking from the previous question itself sir, so R32, you had mentioned that the current capacity has been fully utilized. While

we understand that the industry scenario still remains weak and there has been significant capacity additions that have happened. Just wanted to understand, sir, what is driving this demand, whether it's domestic exports from where it will be primarily coming from the exports market? Or what is the driver?

Anish Ganatra: So our -- so first, your -- the 4,500 we talked of is absolutely, we've had very good response. And the uptake is very good. So that is not a question. And also in our conversations both with the industry and globally, we believe that R22 has a very unique play in the transition. As I mentioned earlier, the blending opportunities will increase, but given one, it is low GWP and it is a fairly competitively priced product compared to HFO. So you will see it being played more and more in the blending philosophy even globally. Our view is also that India itself will have short capacity to meet the demand from '28, '29 onwards.

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Rohan Gupta: Sir, my question was around the current demand environment of R32, which you have mentioned that the plant is fully utilized.

Anish Ganatra: Yes. So current demand is fully utilized. It's not a problem. My reference on pricing pressure was in relation to R22, unless I'm -- I don't know if that was what was driving the confusion.

Rohan Gupta: No, sir, I'm talking about R32 only. And just wanted to understand what is the driving factor for R32 which has led to full utilization at our plant?

Anish Ganatra: Driving factor is there's enough demand. I mean that's -- I don't -- sorry.

Rohan Gupta: Sir, second question is on your...

Anish Ganatra: So R32 is also being exported. And as you know, even in U.S. as the quota -- as the restrictions kick in, I believe it's from 1st January of this year, the blending potential for R32 will also

increase, like I said before.

Rohan Gupta: Okay. Sir, second question is some clarification with -- sir, can you hear me?

Anish Ganatra: Yes.

Rohan Gupta: Sir, second question is on the CDMO U.S. -based new contract, which we have done with. So just wanted to understand that about -- a little bit more about this new customer, the kind of chemistries which we will be doing here and the kind of investment which we may need to put for this CDMO/cGMP facility. If I clarify the INR288 crores investment, which has been approved by the Board, it does not include this U.S. -based new customer coming in, right?

Anish Ganatra: So can I just clarify, the U.S. -based partnership is with another CDMO player. It's not a customer. There are 2 capabilities here. We bring in fluorination capabilities, apart from other chemistry synthesis that we are good at. Those players, the CDMO in the U.S. also brings in their unique capabilities to the table. They bring in their access to the U.S. market, we are stronger in the Europe market.

So we're bringing that. So I think it's a partnership in that sense where we share the chemistry capability with each other. We share the market capability with each other, and we allow access. So it's an enabler to future growth. There is no investment involved in that. The European -based MSA, which is a customer where we have to do investment. So the INR160 crores supports that MSA.

Moderator: We have the next question from the line of Dheeresh from WhiteOak.

Dheeresh: So Anish, when you are explaining the project's revenue potential, the key projects that we had undertaken in the last few years, I just want a clarification on that. So Orchid is where we are seeing INR400 crores revenue potential, right?

Anish Ganatra: INR460 crores is the peak annual revenue is what we are saying.

Dheeresh: Understood. And this we expect to do in FY '25 as per my current understanding?

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Anish Ganatra: Yes, i

n FY '25.

Dheeresh: Okay. MPP, which was supposed to be INR280 crores as per my understanding on an annualized basis, we are saying -- we are turning 80% of that in current year and then do full in FY '25, right?

Anish Ganatra: So MPP1, which you said that was, I think, INR260 crores to INR280 crores as far as my memory goes. And I'm saying 80% of that. Yes, that's right.

Dheeresh: 80% in FY '24 we'll do.

Anish Ganatra: As I said, it's the range, yes, INR260 crores to INR280 crores.

Dheeresh: Yes. Yes. Understand, understand. I understand, not a precise estimate just the range I am trying to understand.

Anish Ganatra: I'm giving you a broad sort of indication that while we have had -- we would have thought that should have come in this year fully, it has slipped slightly, but not materially is all I'm saying.

Dheeresh: I totally understand that it's not a point estimate. There will be a range around it, understood that. Freesia which is agro intermediate, that was supposed to be INR160 crores that we have already done full revenue this year, right?

Anish Ganatra: That's correct. That we expect by end of FY '24.

Dheeresh: What about next year?

Anish Ganatra: So next year will have 2 years to run its par once it (new agro -capacity) comes into play, which, again, I think that as we see today, that's the target.

Dheeresh: FY '26 is when you expect to hit INR600 crores.

Anish Ganatra: So if we are saying the chemical reaction we said we will start in March or end of March, and with first supplies coming in July for all practical purposes, I would see the 2 -year period being FY '27, that's when you should start to see or expect to see peak revenues.

Moderator: The next question is from the line of Ranjit from IIFL Securities.

Ranjit: My question is largely on the thought process. Earlier, we were only kind of sticking to R22, now over the years we have seen kind of a diversified to HFO and now we are also getting aggressive in R32. How do we see the refrigerant space evolving probably 5 years down the line? Is there a plan to further diversify into more refrigerants, given that we have an HF capacity coming in the Dahej in 3 years' time frame?

Anish Ganatra: Sir, Ranjit, again, if you look at the refrigerant growth space, even in India is growing at double digit. R32 is also having a CAGR globally of double digit. Will we remain in refrigerant space?

We were pioneers in that space. I think it makes sense for us to remain in that and play into the

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transition from high GWP to low GWP to eventually HFO. So we will be playing our part as a player in the industry in that transition. I don't think we've ever said we would not do that.

Ranjit: So will that also pay way for our entry into blends in the future?

Anish Ganatra: I can't speculate that, but I'm kind of saying the whole landscape is open, depending on what opportunity is available and how our capabilities are there to tap into it.

Ranjit: One last...

Anish Ganatra: But we will move fast wherever we see the opportunity is right, and our capabilities meet that.

Ranjit: Right. Understood. And any plans on utilization of HF capacity that is likely to come up in a couple of years at Dahej?

Anish Ganatra: Lots of things are being worked in the hopper and lots of things will be progressed in a progressive fashion. But we've consciously put in the capacity to ultimately use in the downstream. We are -- and I think we've said this before, we will be looking at emerging sectors, etcetera, as we progress into the future. So some of that will play out as well.

Ranjit: Hopefully, we should hear in next year, next fiscal something -- some announcement on this...

Anish Ganatra: I'm not going to second guess that one. It would be when it would be. We are working at it, believe it, as soon as we can talk

about it, we will talk about it.

Ranjit: Right. So the question was because even on the cGMP4, we have kind of given out a 3-year time period to kind of Phase 1 and Phase 2 so whenever we do make an announcement, even on that new emerging opportunities, one should take a similar time frame. So that was the impact....

Anish Ganatra: So I mean, again, I know what you're saying there, but the intent is there. We're working, it is in the hopper. I mean I don't know what else to say at this stage. It will be -- it will come when it will come Ranjit. But it's not something that we have lost line of sight to. We are putting a lot of effort internally to progress that area. So if things materialize, we'll probably hear on it sooner than later.

Ranjit: Right. And finally, on the gross debt level, can you share the figure for -- the gross debt figure for the December ending quarter.

Anish Ganatra: Gross debt figure is INR 1,200 crores, including I'm talking the expanded debt, including what we have borrowed on working capital, yes.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anish Ganatra: All right. I would like to thank every one for taking the time out in joining the call today. I hope we've been able to respond to your queries adequately. Thank you all. Have a good evening, and good night. Thanks.

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Moderator: On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

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February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 06, 2024 regarding discussion on operational and financial performance of the Company for the Quarter ended December 31, 2023 (Q3 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY24 Earnings Conference Call "
February 06, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN –

NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 and 9 Months FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q3 and 9 months FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion, and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '24 Earnings Call. I'm joined by our CFO, Mr. Anish Ganatra, and Orient Capital, our Investor Relations adviser. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as our company's website. Before I start with my comments on the business performance, I would like to brief you on a few developments at Navin Fluorine. The Board of Directors at the Board meeting held has approved 2 capex's amounting to INR372 crores to be funded through internal accruals. A capex of INR288 crores towards setting up a cGMP4 facility with the capacity of 200 KL. The capex will be done in phases. Phase 1 with the capacity of 100 KL will have an outlay of INR160 crores, which is expected to be commissioned by end of CY '25. Phase 2 of the capex will be initiated based on the progress of MSAs and projections for the business.

I am pleased to inform you we have expanded the MSA with the European-based API customer to cover 2 new molecules, 3 in total. These molecules are in intermediate to a patented commercial product with promising prospects. The MSA is expected to contribute materially to CDMO revenues from FY '26 and beyond.

The proposed cGMP4 Phase 1 capacity is critical to support the MSA and also unlocks the \$100 million top line aspiration for the business vertical. Further, we have entered into a strategic partnership with a U.S.-based contract development and manufacturing company. This partnership will be mutually beneficial by providing access to new chemistry capabilities to Navin in addition to scale-up opportunities and also deepening our customer penetration in the U.S. As indicated at our previous calls, our CDMO business is rebranded as Navin Molecular.

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Navin Molecular brand will help further sharpen our value proposition to offer a wide ranging CDMO services to our customers, supporting projects, including nonfluoro projects through the clinical phases of commercial manufacturing. While the current order book for this segment continues to be built with efforts already done to strengthen and focus our business development team, we are confident we will be able to deliver growth in this vertical which is visible from

on

the second half of FY '25.

Second, a capex of INR84 crores to enhance our HFC capacity, another 4,500 tons of R32 refrigerant gas which will be operational by Feb '25. Our earlier capex of R32 is commissioned

and fully operational at an optimum capacity. The new capex is aimed at securing our market position in the refrigerant gas space over the next decade and beyond and is underpinned by our belief of the market demand growth, also feedback from industry players in India and globally. Coming to our existing facility. As indicated in the past, we continue to drive operational excellence while executing projects in a disciplined fashion within a tight financial framework. In particular, our HF plant, R32 plant, R22 plants are running at optimum capacity. We continue to work jointly with Honeywell to ramp up our plant at Dahej. Though this is taking longer than expected. However, we are hopeful of putting this behind us soon.

The agro specialty plant at Dahej is progressing well, with chemical charge expected by end of March /April, followed by a first commercial supply by end of Q1 FY '25. Our AHF project at Dahej is progressing well and is as per schedule. A capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25.

I'm also pleased to inform that with the view to incentivize and retain critical talent, the NRC and the Board has granted 2,27,500 options under the ESOP scheme at the prevailing market price. The options are awarded to a small pool of critical resources across our organization. The Board and I also have progressed on the search for a new CEO. We have shortlisted the pool of candidates that have been further evaluated and hope to conclude the process soon. Our key criteria remains unchanged. The candidate must have strong industry experience with an execution excellence bias and solid understanding of the growth drivers.

Finally, I'd like to end by stating that the quarter has been a tough one, not just for Navin but for the entire industry. Globally, unpredictable weather conditions, destocking of high-value inventory and cash flow management from ag majors has impacted the entire industry. Global agrochemical players are cautious on forecasting of new demand resulting into headwinds for the Indian ag chemical players. We expect clarity on demand visibility by Q1 FY '25. However, our mid- and long-term view of the business remains intact. Our focus is to continue to drive operational excellence while making investments to ensure that as and when the short-term headwinds turn, Navin is well positioned to capitalize on the same. With that, over to you, Anish.

Anish Ganatra: Thank you, Vishad bhai. Good evening and thank you all for attending the earnings call. The revenue and profitability in Q3 FY '24 were below our expectations. Let me take you through Navin Fluorine International Limited
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business-wise performance for the quarter. Our specialty business was impacted due to deferment of campaigns and inventory destocking within our customer channel partners. On the positive side, we have added a new molecule in the last quarter at Dahej and 4 more molecules are in pipeline for the next quarter. We are confident with the strong partnership and technology platform; we will continue to deliver innovative offerings to the customers. Our HPP business was impacted due to ramp-up challenges for our HFO plant. We continue to work closely with our partner to further improve and enhance productivity of the plant. Ref gas, in particular, R22 continues to face pricing pressure, especially in the international markets. We expect the pricing to stabilize by the end of the fiscal.

The R32 plant commissioned earlier in the year has stabilized and is operating at an optimal capacity. Our CDMO business revenues in

the last quarter were below its potential. This business is lumpy in character. Hence, we cannot analyze the performance on a quarter-on-quarter basis.

Some of the key campaigns from the last fiscal are deferred and a couple of early phase molecules dropped off from clinical trials due to data not meeting the defined endpoints. As indicated by Vishadbhai the expanded MSA with European-based API customer and the strategic partnership with U.S.-based CDMO are promising and expect it to contribute along with renewed business development effort to the growth from second half of FY '25.

Moving on to financial performance of the company in Q3 FY '24. The sales in this quarter were impacted largely due to the following reasons: lower sales in CDMO segment, which is a higher-margin business vertical, slower ramp-up and stabilization of production at Dahej, lower orders in specialty due to global inventory destocking, pricing pressure in exports markets for R22, deferment of sales from 4 specialty molecules from Q3 FY '24 to Q4 FY '24.

Lower-than-expected sales resulted in decline of EBITDA margins reflected in the lower operating leverage. However, approximately 3% to 4% of the margin impact is due to one-off fixed cost, deferral of specialty molecules and delayed stabilization of HFO plant, which we expect to recoup. Further, as market conditions improve, we should start to see EBITDA margins rebound to the 24%, -25% range.

I will now share the highlights of our performance for Q3 FY '24- and 9-month FY '24, post

which we will be happy to take questions from all of you. For 9 months FY '24, on a consolidated basis, the company reported revenue from operations of INR1,465 crores as against INR1,380 crores in 9-month FY '23, reflecting a growth of 6% year-on-year.

Operating EBITDA stood at INR288 crores as against INR349 crores in 9 months FY '23, down by 17%. Operating EBITDA margin stood at 19.7% as against 25.3% in 9 months FY '23, lower by 557 basis points. Exceptional item includes gain from sale of surplus unused colony land at Surat for INR54 crores.

The profit after tax stood at INR200 crores for 9-month FY '24 as against INR239 crores in 9-month FY '23, reflecting higher depreciation and finance costs associated with Dahej assets.

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Now coming to the quarterly performance for Q3 FY '24. The company reported net revenue from operations to INR502 crores against INR564 crores in Q3 FY '23. Operating EBITDA was INR76 crores as against INR156 crores in Q3 FY '23. PAT stood at INR78 crores as against INR107 crores in Q3 FY '23. As mentioned earlier, PAT includes exceptional income from sale of surplus unused colony land at Surat.

Within the context of short-term headwinds, we have continued to ensure a tight financial framework. In particular, for the first 9 months of FY '24, the business has generated operating cash flow delivery of INR523 crores.

Focused efforts on reduction of working capital has secured the release of about INR253 crores cash during 9-month FY '24, net working capital days remains within the 90 days of sales guideline provided earlier. Our net debt-to-equity ratio at the end of December stands at 0.38x. The 2 new capex's that Vishadbhai referred, aggregating to INR372 crores, will be fully funded through internal accruals.

So that is it from my side. We will now open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: A couple of questions, one on specialty chemicals and one set of questions on CDMO. In picking first, if you could please help us with an update on some of the key growth projects we've been implementing. So what exactly

is the capacity utilization of the multipurpose plant? And how do we see it ramping up next year?

Do we still expect it to hit full utilization in CY '24? Also, any discussions with the customers for the dedicated plant, which is already running at optimal capacity to double the capacity there or expand. And finally, the 5 new molecules that you've talked about, 1 introduced this quarter, maybe there's 4 more next quarter. What might be the revenue potential from these?

Anish Ganatra: Abhijit, it's Anish here. Thank you for the questions. So on the capacity, as you know, we never generally talk about capacities. But what I will tell you is that in the spec chem space, we had 3 capex's. One was the MPP1 at Dahej. Then there was the MPP2 at the Dahej, and the agro-specialty plant -- dedicated agro specialty plant, part of it, which is dedicated. So on MPP1, in kind of FY '24, we expect that 80% of the peak annual revenue that we've indicated to you guys will be met.

In MPP2, we believe that in FY '24, we will have already achieved the peak annual revenue. The dedicated agro specialty plant is expected to start chemical reaction by end of March or early April, latest. And the first commercial supplies are expected to be in end of 1Q FY '25. So I don't know if that answers your questions on the capacity on new agro capex's in the spec chem bases. But I'll take your question on the molecules in a second. But let me know if you've got anything more on that.

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Abhijit Akella: No, that's helpful, Anish. So just to clarify, the multipurpose plant for which we had a revenue potential of about INR270 crores. That one is running at about 80% in fiscal '24 itself. You said it? And the other one, which was INR160 crores revenue potential, that one is at full utilization for fiscal '24.

Anish Ganatra: That's exactly right, Abhijit. So I mean, I wouldn't say 80% capacity, but I'm referring to the 80% peak annual revenues, yes.

Abhijit Akella: Okay. Understood.

Anish Ganatra: When we start -- when we factor in or model these multipurpose plants, they're not modelled to run at 100% capacity, right? They're modelled to certain utilization level, given that there will

be batch processing, yes.

Abhijit Akella: Okay. So of the INR270 crores, we are talking about 80% here.

Anish Ganatra: Yes. On the 5 molecules that you mentioned, 1 molecule has come into play in 3 quarter, 4 we were expecting in this quarter. Some of that has been deferred to next quarter because of customer requests and some of that has been deferred because we needed more time on the chemical reaction side, but we expect all of those to come into play by the end of Q4.

Abhijit Akella: Any revenue potential from these that you could share?

Anish Ganatra: I would not like to speculate that at this stage. Leave it to when we get to say it, yes.

Abhijit Akella: Got it. And just the other one I had was on CDMO. So while we've talked about the capex number for this MSA with the European customer, is there a revenue number also you could point at? And the other one was just that there was this large purchase order of \$60 million that we had a year back or so, we were expecting some renewal of that order in CY '24. So any update on that?

Anish Ganatra: So on the CDMO side, see normally that business is not associated with guaranteed MSAs or contracts, right? But -- so if you're asking -- if your question was around as to what is the capacity. That's difficult to -- I mean, in terms of the revenue potential you're looking for, see our typical asset term in CDMO tend to be about 1.75 to 2x. So that wouldn't be sort of different here either. But neither the MSA nor the projections are sort of guaranteed. The thing I can tell you is the commercial product that these intermediates go into is a patented product, and the prospec

ts are extremely promising, and we are very excited with it as well.

Abhijit Akella: Sure. And on the purchase orders, any update on that for the upcoming year?

Anish Ganatra: Purchase order for?

Abhijit Akella: There was this \$16 million PO we had about a year back, and we were expecting a renewal of that order in CY '24.

Anish Ganatra: So that order has been deferred to this quarter -- coming Q4 quarter, the \$18 million.

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Abhijit Akella: So 4Q FY '24 will have an \$18 million delivery.

Anish Ganatra: Sorry. So -- sorry, you are referring to the last year that we've done the molecule in Q4, is it -- is that what you're referring to?

Abhijit Akella: Yes, yes, Q3 and Q4 of last year.

Anish Ganatra: So that as I mentioned in my commentary, those campaigns are not expected to come in this fiscal, they will come in the following fiscal. Sorry, just to clarify that.

Abhijit Akella: Yes, that's fiscal '25, right? The upcoming year, '24, '25.

Anish Ganatra: Yes. Correct. Correct. Correct.

Abhijit Akella: Okay. So we do have that visibility now clearly defined. That order is coming next year.

Anish Ganatra: We expect it's still kind of how good the business is, right? I mean, at the end of the day, the update we have at the moment that it is expected next fiscal, but we constantly remain in touch with the customers and projections could change. There is a lot of dynamism involved in this, Abhijit.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So my first question is on the HFO project. So just wanted some understanding. When we started the project within a period of 3 to 6 months, we went up to the optimal utilization. And now in the last 3 quarters, we've been struggling to again get back to the optimal level or the ramp -up is slow. So is there any deferred demand issue? Or is there any structural issue at plant level? And how do we foresee in terms of the revenue potential, which earlier we were envisaging about INR400 crores to INR500 crores annually. Whether we are on target for that in FY '25 or that is also deferred?

Anish Ganatra: All right. So let me take that in 2 parts. First is the HFO project, as you mentioned about the ramp -up and the stabilization of the production. Now the plant is a very advanced technology plant. Honeywell operates this plant apart from obviously with us in India, in China and in the U.S. And one of our learnings out of this is being that the operating -- the optimum operating parameters of this plant is in a very, very narrow range.

So as we experience issues, we have to be very precise in terms of how the planned parameters are being set. And that's a learning experience. Unfortunately, we did not take into account as we started the ramp -up and the technology absorption. So that has taken a little more than what we would have liked to have. But there are no structural problems. We're very closely working on this with Honeywell to resolve and fix it. And we hope that this will be behind us very, very soon, yes. So that's the first part of the question.

The other part in terms of is there -- on the demand side, now while we are being able to dispatch and meet Honeywell's requirements on what they have ordered from us as a result of the contract that we have, the demand, obviously, also is slightly subdued. So it is -- the orders at the moment

are at the minimum level of what we have under our contract, not at the higher end of that.
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To answer your question on the peak annual revenue from that in terms of what we've promised. We believe that in -- it's already on track. So the FY '23, we commissioned, we said in 2 years, we will be at the peak annual revenue of up to about INR460-odd crores per year

, which we are on track. That doesn't change.

Rohit Nagraj: Sure. That's helpful. Second question is, again, similar on CDMO. So we've been guiding that - on a normalized basis, we will have about \$40 million of yearly run rate barring any lumpiness on a quarterly basis. So how are we expecting the run rate during FY '24 and in FY '25, as you mentioned that there will be this additional order of maybe \$16 million to \$18 million, would that be over and above this normalized run rate of \$40 million?

Anish Ganatra: So in CDMO, typically see, as I've mentioned this before as well Rohit, the business itself is very lumpy, plus what we've done, as I've told you before, is we changed our mindset. Earlier, we are focused on early-stage molecules. We are now complementing them with commercial stage molecules, right? As we go on into next year, our expectation is that about 30% to 35% to 40% of the revenues will come from commercial stage molecules.

And this is where our entire team is focusing efforts on. We will have some contribution from the European-based API customer into next year's revenue, though, of course, that revenue will come in materially or start to make material impact on the numbers from FY '26. Additionally, the strategic partnership that Vishad bhai referred with the CDMO in the U.S. will also open up opportunities. But all those efforts are ongoing. This is -- obviously, it's going to be in addition to any order that we get from ongoing campaigns. All these efforts are going to be in addition to that. But I wouldn't sort of be able to put a number on it at this stage.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First, on the R32. We thought that R32 capacity addition was frozen in December '23. Can you just help us understand the regulation now that we are going to expand, does this qualify for the quota determination period because this capacity is coming after December '23.

Anish Ganatra: Okay. You want to finish questions or should I take them one by one.

Sanjesh Jain: Sir, let's take one by one.

Anish Ganatra: Okay. So the regulation around the December '23 date is actually for receiving subsidy under The Kigali Agreement. The quota period is the average production you have in '24, '25 and '26, '27 being the unrestricted year, and from '28, I believe, the quotas kick in, with '32 being the first year of phase down at 10%.

Sanjesh Jain: This capacity will not qualify for subsidy payout, but this whatever we sell from this plant will qualify to get the baseline capacity for the next.

Anish Ganatra: That's right. So the baseline capacity will ensure our position, our ability to tap into that market remains intact. So yes, you're right. The numbers, the production will factor into the quota determination.

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Sanjesh Jain: That's fairly clear. Got the regulation clear now. The second is on the gross profit margin.

Sequentially, it is down by 500 basis points in the stand-alone entity, close to 430 basis points, while the mix in the CDMO business has improved. Anish sir, can you help us understand what is driving down the margins in this quarter despite having a higher CDMO contribution?

Anish Ganatra: So you're referring to stand-alone, right?

Sanjesh Jain: Yes, stand-alone. As well as consol as well. Consol also, we had a equivalent decline in the gross profit margin, which is your...

Anish Ganatra: So on a stand-alone the sort of main drivers over there of lower margin are really the ref gas environment. There's a pricing sort of pressure in R22 which has sort of affected it. The fluorspar crisis, we had high-value inventory in stock, which has kind of played into it as well. Of course, as we deplete that stock, we expect that to be recouped from next financial year.

In addition to that, we've had some one-off charges in the business. So if I look at your 20% to 15%, as you said, sequentially, right, 5% roughly. That 5% broadly is split out in those 3 compartments, about 1% being on spar prices, about 1.8% to 1.9% being on R22, the reasons I talked about, and about another 1.4% relating to one-off charges. So most of this, know, Sanjesh, we expect to recoup as you can obviously see the reasons play out, most of them with loss margin

will be recouped over time.

Sanjesh Jain: Just one follow-up on this, Anish sir. I thought fluorspar prices have actually gone up. That means inventory -- excess inventory should have positively benefited us on the gross profit, right?

Anish Ganatra: No. So fluorspar prices have gone up, but it depends on what our contracts are, right? I mean if you look at it, this -- the material that we are now consuming is at higher fluorspar price. If you know, when we started off, I think, at the end of March '23, we had high inventories of low fluorspar prices. So that inventory is depleted and the new fluorspar inventory has come in, which was our contract from the last calendar year, and which is why I said we expect this to be recouped because as we go forward, we'll again see the benefit of low spar prices come back into the play.

Sanjesh Jain: Got it. Again, sorry, I'm sticking to a few bookkeeping questions to get the modeling right. The other expenses has also gone up sharply quarter-on-quarter. Any particular reasons for that? Or it is largely to do with the HFO plant getting corrected in the Dahej and that's been booked here.

Anish Ganatra: So the other expenses that you see in the -- as reported comprises both of production-related expenses as well as fixed costs. As I've already told you, there is an element of one-off costs within that. But the way I would hold it for your modeling purposes, if you take the 9-month number, right, and you look at the quarterly allocation, I'm talking consol level, yes. I mean I'm not talking standalone. If you take that at a consol level, that broadly should be the number that we should look at. So INR120 crores to INR130 crores per quarter, roughly.

Sanjesh Jain: No meaning in looking at this quarterly number, it's better to look at...

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Anish Ganatra: Yes, because there are effects, right? I mean in some quarters, like this quarter, we may have a higher CSR spend compared to last quarter, etcetera. So those timing effects also come into play.

Sanjesh Jain: Fair enough, fair enough. I got two few smaller questions. One on the peak revenue from the HFO. Last time when we met, we said that the peak revenue because of currency as well as higher raw material prices now stands at INR5.5 million. But in your -- in the previous question for peak revenue being that INR4.6 million. What has changed in last 2, 3 quarters?

Anish Ganatra: No -- so I'm referring to peak revenue on the basis on which we made the promise to the market on that basis, saying that we had talked to, if you remember, I think it was INR2,800 crores over 7 years, something like that, right? So I'm saying that on that basis, when you talk of INR2,800 crores over 7 years, what we are expecting to see in FY '25, you will largely see that, that would be met.

Sanjesh Jain: So we will be doing INR460 crores in FY '25.

Anish Ganatra: Yes, yes. That's our hope, yes. That's where we are today.

Sanjesh Jain: That's what we are looking at today. Fair, fair. My last one is on the dedicated facility. I think dedicated facility; we ramped up completely. Now we are talking of an 80% utilization. It's more of a timing issue that 80%...

Anish Ganatra: So Sanjesh, just to clarify, the dedicated capacity, as you rightly mentioned, has already been ramped up. In FY '24 itself, we would have achieved the peak revenue

that we'd indicated. The

multipurpose plant, which is not dedicated, I said 80% of our top line revenue, the peak revenue that we had indicated, we expect to see in FY '24 itself.

Sanjesh Jain: That's fine. I think I got confused between the two plants.

Anish Ganatra: No, no worries.

Sanjesh Jain: Sir, one last question on the CDMO. Previously, we said that we will be able to achieve that \$100 million revenue from existing cGMP 1,2,3 and cGMP4 will help us expand from there.

Anish Ganatra: So that's -- sorry, I don't mean to interrupt you, but yes, finish your question.

Sanjesh Jain: I got you -- you got the question and that's what I was...

Anish Ganatra: Okay. No. So what we said was that 1, 2 and 3 would not be sufficient to take us to \$100 million. We would need a 4. If you see what we've done is while announcing the capex for 4 at INR288 crores, we have opened up Phase 1, which we believe is very, very critical to support the MSA that was referred by Vishadhai. And that not only supports the MSA, but also unlocks our ability to achieve that \$100 million. So it's a double side thing that you will see just with that portion of the capex.

Sanjesh Jain: And we still hold that by FY '27, we should be hitting that \$100 million kind of number.

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Anish Ganatra: So that is directional, okay... That is directional. It could be '27 or '28. Would I worry about it

if it slipped by a year, I wouldn't care about it. I mean, directionally, we are there. Does pace matter?.

Sanjesh Jain: No, no, that's fine. That's very difficult to predict, but I got the point.

Anish Ganatra: Yes. So the idea is, today, we are investing in the business with that as an aspiration, yes?

Vishad Mafatlal: So Sanjesh, just one thing to add is the sheer fact that -- in this market, we are going ahead with the calculated investment in this business is the belief that the management and the customer have the understanding and the belief in us that we can deliver, we are the right partner of choice and that this business is going to increase going forward. And that time, if we go ahead and invest, we will lose out because customers today are looking at capacity. They cannot wait if the molecules are flying off. So it's our definite belief that going forward, this business has to reach the optimum levels that you have discussed with Anishbhai.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: First on the specialty chemical business, with capacity utilization that you have alluded to in this quarter for the entire year, if we do a back calculation, it seems the base business specialty, which was there till FY '22 would have declined by anywhere between 45% to 50%. What has led to that significant decline? And how should we look at that business going ahead?

Anish Ganatra: No. So when you talk of the base business, I think you're referring to our legacy capacity in Surat, right?

Siddharth Gadekar: Yes.

Anish Ganatra: Yes. So there are 2 things that have happened this year, yes. There has been 2 sorts of -- one of our molecules in Surat has faced some demand challenges, which has started to recover. But during the year, that has been the case. The other thing also to remember is that we ran several campaigns from Surat last year, which obviously have not seen themselves in this fiscal, but are expected to come back into next fiscal.

The third thing is I referred to the 4 molecules. Out of the 4 molecules, 3 molecules, I believe, are going to come in Surat. So all of that is going to bring the business again in the base. So some of the nature of these businesses is when it's campaign-driven, you kind of tend to see that year-on-year, yes.

Siddharth Gadekar: Okay. Got it. Sir, secondly, on the HFO side, we have always spoken about the debottlenecking, w

hich was expected to come in CY '23. And then we were also talking about a possibility over Phase II. Where do we stand on that project?

Anish Ganatra: So again, see, the thing is I don't know how this gets -- I'm going to clarify this once again. The debottlenecking was a project and is a project that remains in our hopper. It is not a project that has matured enough for us to even take it to the Board. As and when that matures, we will take Navin Fluorine International Limited

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it to the Board, we will announce it to the market. So that is a possibility in the hopper, much like a lot of other projects that we have in the hopper.

We continue to look at these, develop this and those become conversations with customers, okay.

So that is not to be taken as something that we have committed to. Yes. And similarly, on your question on the doubling the capacity of HFO, etcetera. I mean, our discussions with Honeywell and particularly between Vishadbhai and at the highest levels in Honeywell, cover a range of topics and range of opportunities. And depending on the market dynamics, those opportunities are being matured and will sort of see themselves come in to play. Sorry, you want to add something Vishadbhai? Did I answer your question, Siddharth?

Siddharth Gadekar: Yes. So just one last thing on R32 capacity. So going into CY '28, is it fair that we will be operating the capacity at around 66%, 67% capacity utilization?

Anish Ganatra: R32?

Siddharth Gadekar: Yes.

Anish Ganatra: No, R32 is a low GWP product with a very long cycle. So its first cut starts in 2032.

Siddharth Gadekar: But given that we have to produce an average of '24 to '26, so our average will be lower than what we produce in '25, '26. So technically, from '28 our production will be around...

Anish Ganatra: So what will happen is we currently have a capacity that's already in play at 4,500, right? So that capacity is actually operating extremely well, and we may be able to do more than 4,500. But argument's sake, let's just hold that to 4,500. So that 4,500 goes into the quota as an average of 3 years production, so 4,500.

With the current new capacity that we've announced today, we will be able to take in 2 years as opposed to 3 years because that plant will take 12 months to commission. So by February, we commission the plant, which means we won't have production for '24, correct?

Our production for '25 and '26, the production for '25 and '26 will basically get divided by 3. So that's what we'll get into the system in '28. So to answer you in a more simple and direct way, doing the math for you is basically, we are saying 9,000 metric tons will be our expanded

capacity and 7,500 will be the quota to us from '28 onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: So first question on your Specialty Chemicals and the CDMO segments. In 2Q, you had mentioned we'd seen certain deferrals which you were expecting in this quarter. Just wanted to clarify if these are the same molecules which are continuing to see some sort of deferment or postponement even in this quarter? And if you could just spend a minute to kind of explain what exactly is the issues that the customers are facing with respect to some of these molecules?

Anish Ganatra: So some of this is -- it's a combination of deferrals -- and mainly deferrals. And also in some cases, we had to do more work on getting the chemical reactions right. But the deferrals are nothing different to what's happening across the industry at the moment. Everybody is looking

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at year-end and trying to reduce their inventory and cost of carrying the inventory, etcetera. So that's a deferral. It's not an order which is lost, but we expect that to be made up in this quarter.

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Vivek Rajamani: So you mean Q4?

Anish Ganatra: Yes, Q4. That's right.

Vivek Rajamani: Sure, sir. And the second question I had was, and I can understand this is a bit of a difficult question to answer. But just with respect to both your Specialty Chemicals and CDMO. Would it be possible to give a sense of how much do you think your portfolio is immune to these risks or deferrals? Or how much part of your portfolio do you think is actually immune to such risks? And how much is actually very, very reliant on the customers changing the use and demand? Would it be possible to give some sense there?

Anish Ganatra: So I can't -- so again, as you rightly said in the beginning, it's a very difficult question to answer. What I can tell you is strategically we try to play in products which go into early-stage patented life cycle. So that the risk of them being subjected to market dynamics, substitutes, etcetera, is reduced and is minimal, okay? That's our -- that's always been our philosophy, and that continues to be our philosophy. As Vishadhbhai tells us, he doesn't want to be in the me-too business. So that is our thinking, right?

But at the end of the day, the deferral again in CDMO, what you talked about -- see in CDMO, the deferrals are not actually deferrals. They are the nature of the business. The CDMO intermediate business runs on a campaign basis. And those campaigns are ordered in 1 year, but then depending on how they are rolled out, etcetera, could take another year of gap and then come back to you.

So that happens as a very natural part of the business. What we are seeing in the specialty chemical business is what's happening by global majors to control costs, etcetera, and manage their inventories, etcetera, as you get into year end and obviously, look at destocking effects, etcetera, etcetera, which again, you probably know more than I do, Vivek.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Just two clarifications largely. One is on the HFO plant. Just wanted to clarify, so this year, we will be undershooting the optimum number that is there on revenue, and that should get back to that optimal number in FY '25. Is that correct understanding?

Anish Ganatra: So what I'm saying is that in FY '25, we expect the peak annual revenue that we've indicated in rupee terms to be met. In FY '24, we will still be delivering the demand that Honeywell has put on us. So there is not likely to be any unmet demand. Like I said, as we speak and touch wood, the plant today is operating at 80% of what we expect it to.

Chetan Thacker: But the demand itself, you mentioned is subdued. So that would mean that the number itself is lower than the optimal number?

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Anish Ganatra: So the -- so as you have this, Chetan, in any of these agreements, you have a certain minimum demand and a certain maximum capacity demand, right, which you can't go beyond. What I'm saying today is that we have the minimum demand. If the environment was better, you would have probably seen it higher than that minimum demand. That's all I'm saying.

Chetan Thacker: Understood. And sir, just on the specialty chemical bit, so the base business is expected to come back in FY '25. And the additional 3 molecules that will get added, that will also start to contribute in '25. That should be a fair understanding over and above what we're seeing in today's numbers.

Anish Ganatra: So over time, I mean, our philosophy is to optimize and utilize the assets across both the entities. See, we don't see this as entity-by-entity-by-entity conversation. We see it as a collective spectrum conversation on how to optimize the assets, whether they are in Surat or in Dahej.

Chetan Thacker: Understand. Just not talking about on an asset level, but at an overall revenue level, the number

that we are seeing today for FY '24. For FY '25, there will be a bump up which happens as the base business, again recovers, which you mentioned right now, campaigns come back and you see 1 molecule...

Anish Ganatra: So we have visibility to the next -- this Q4 being stronger than Q3, and I'm saying visibility to that. What we are saying, and this includes the deferral of the molecule that I mentioned, okay, as a result of that, too. What we also know and in speaking with our customers that the challenges within the spec chem business are going to play out and recovery is going to be progressively better next year. But we expect that recovery to be better in the second half of next year rather than the first half.

Chetan Thacker: Understood. And on the CDMO bit, again, FY '25 will start getting more towards normalization, and we remain -- we would adhere to the medium-term target of \$100 million once this cGMP4 comes in place.

Anish Ganatra: So directionally right. Again, we will given the efforts that we've taken, the agreements that we've done, including the 2 that we have discussed earlier that Vishad bhai pointed out it will take some time for us to play that out. So the CDMO business should start seeing in the way we've described to you a stable revenue from commercial business with capacities that we use to get higher-margin early-stage products. That will start becoming more and more visible again as we go into second half of next year.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: I just had a few facts checks, especially in CDMO. So you've had a few announcements in the past. So there was -- there's been a contract that we signed with Fermion. And then there was a discussion about the \$16 million PO with an American company. And now speaking of expansion of the MSA with 1 European customer and the commercial opportunity that we have received from an American customer. Is there any overlap with this?

Anish Ganatra: There is definitely overlap.

Archit Joshi: Yes. Right, sir. So...

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Anish Ganatra: There is definitely overlap, Archit. The first name that you referred is actually the European-based API. We had signed an MSA with them covering 1 molecule. Now this expands it to 2 molecules -- 2 more molecules. So in total, 3 molecules. Yes, and the American CDMO is something very new. That's absolutely recent. We've never announced that before. That -- the partnership there is very promising because here we are tying up with a player who's got the skills or experience in the early stages.

And we've got experience and capacity in the commercial stage. So this is going to be a complementary partnership both in terms of how we utilize our common capacities to -- capabilities in a more complementary manner, but also it will open up access for us in the U.S. markets to customers.

Archit Joshi: Got it, sir. And with the same American partner that we are speaking of, we have intended to commission around INR160 crores in Phase 1, which I think Vishadji mentioned earlier is towards this particular contract. But the total capex number being INR288 crores, I was just wondering if there are 2 dedicated blocks separate to service different customers? Or how should we read this?

Anish Ganatra: So say, let me first sort of clarify this, okay. In CDMO business, we do not have any dedicated blocks. When we say dedicated, dedicated, what we mean is we've allocated the capacity. There's no concept of dedicated plants, there's no concept of take or pay or anything of that sort, okay? The other thing that you talked about was the reference you made to the Phase 1.

The Phase 1 supports the European-based API customer and not the American one. The third thing to point out is we have entered into a partnership with

the American API. It's a strategic partnership, which means we have an arrangement, a mutual beneficial commercial arrangement that we will tap into our respective capabilities and we see how to maximize the value of that relationship.

Archit Joshi: Got it, sir. And just one last clarification. I wanted to squeeze in. Earlier, just picking up cues from the previous calls, I think the multipurpose plant that we had announced our capex for, we had close to 3 molecules towards agri, and I think 1 was in the pipeline which you were supposed to go towards pharma. And we are now speaking of 4 more molecules, I think which takes the total tally to close to 7, 8 molecules. So these new 4 molecules would effectively come under the same ambit of the total potential that we are talking of, let's say, INR60 crores to INR70-odd crores.

Would that be a fair assumption?

Anish Ganatra: No. So again, you know what I think you're mixing 2 things up because the MPP 1 client had certain molecules that have been brought into play in the Dahej, and that was an indication. Your first comment relates to that. I think the second comment which I was talking about 4 new molecules, as I said, 3 of those are actually coming in Surat and one is being introduced in Dahej. So they are mutually exclusive in that sense.

Moderator: The next question is from the line of Madhav from Fidelity.

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Madhav: Sir, my question was on the R32 capacity. Just wanted to understand, given that we are -- actually, first question here is, why did you not announce these 4,500 tons earlier, then you can make use of the quota for CY '24 as well because this baseline period has been known. So I'm just wondering why announce it now and not earlier than sort of let go of 14, 16 months of production for the quota?

Anish Ganatra: So again, a good question. I mean I think -- see, this is something that is a homegrown developed technology. Having done the first phase gives us significant confidence of going into the expansion. And so one driver is that. Second, we believe that the R32 pricing environment will see a similar pricing environment that you saw in R22 as the quotas kick in, etcetera, etcetera. Third, we know that it's a low GWP product. So it has a longer play apart from having a play in the transition to HFO eventually, whether in India or outside. Outside the likelihood, overseas of it being used in blends. Similarly, in India, that transition will also go to blends, etcetera. So we have strong belief on the demand for this. We also think that this is very strategic for us in the sense that it secures our play in the industry and the market position that we have. So to answer your question in a simple way, better late than never..

Madhav: Understood. And when you said pricing should be like R22, basically, you're saying that once the quota, etcetera, is frozen after CY '26, as demand kind of grows because India should -- and the world should see good pickup for R32, as you mentioned, across various blends etcetera. So you're saying that's why demand support should be quite tight for this product longer term, is that how we should reason.

Anish Ganatra: Yes, yes. So both the demand side and also I meant that you've seen an R22 that every time the quota kicks in, the pricing sort of becomes more tighter, right, and more stronger. So having -- so that's what we expect to play. Of course, this is a long play. So things will pan out as they pan out. But it's not unfair to expect a similar pricing curve that you saw in our R22 in R32. You would expect to see something similar play out.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Just first is on taking from the previous question itself sir, so R32, you had mentioned that the current capacity has been fully utilized. While

we understand that the industry scenario still remains weak and there has been significant capacity additions that have happened. Just wanted to understand, sir, what is driving this demand, whether it's domestic exports from where it will be primarily coming from the exports market? Or what is the driver?

Anish Ganatra: So our -- so first, your -- the 4,500 we talked of is absolutely, we've had very good response. And the uptake is very good. So that is not a question. And also in our conversations both with the industry and globally, we believe that R22 has a very unique play in the transition. As I mentioned earlier, the blending opportunities will increase, but given one, it is low GWP and it is a fairly competitively priced product compared to HFO. So you will see it being played more and more in the blending philosophy even globally. Our view is also that India itself will have short capacity to meet the demand from '28, '29 onwards.

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Rohan Gupta: Sir, my question was around the current demand environment of R32, which you have mentioned that the plant is fully utilized.

Anish Ganatra: Yes. So current demand is fully utilized. It's not a problem. My reference on pricing pressure was in relation to R22, unless I'm -- I don't know if that was what was driving the confusion.

Rohan Gupta: No, sir, I'm talking about R32 only. And just wanted to understand what is the driving factor for R32 which has led to full utilization at our plant?

Anish Ganatra: Driving factor is there's enough demand. I mean that's -- I don't -- sorry.

Rohan Gupta: Sir, second question is on your...

Anish Ganatra: So R32 is also being exported. And as you know, even in U.S. as the quota -- as the restrictions kick in, I believe it's from 1st January of this year, the blending potential for R32 will also

increase, like I said before.

Rohan Gupta: Okay. Sir, second question is some clarification with -- sir, can you hear me?

Anish Ganatra: Yes.

Rohan Gupta: Sir, second question is on the CDMO U.S. -based new contract, which we have done with. So just wanted to understand that about -- a little bit more about this new customer, the kind of chemistries which we will be doing here and the kind of investment which we may need to put for this CDMO/cGMP facility. If I clarify the INR288 crores investment, which has been approved by the Board, it does not include this U.S. -based new customer coming in, right?

Anish Ganatra: So can I just clarify, the U.S. -based partnership is with another CDMO player. It's not a customer. There are 2 capabilities here. We bring in fluorination capabilities, apart from other chemistry synthesis that we are good at. Those players, the CDMO in the U.S. also brings in their unique capabilities to the table. They bring in their access to the U.S. market, we are stronger in the Europe market.

So we're bringing that. So I think it's a partnership in that sense where we share the chemistry capability with each other. We share the market capability with each other, and we allow access. So it's an enabler to future growth. There is no investment involved in that. The European -based MSA, which is a customer where we have to do investment. So the INR160 crores supports that MSA.

Moderator: We have the next question from the line of Dheeresh from WhiteOak.

Dheeresh: So Anish, when you are explaining the project's revenue potential, the key projects that we had undertaken in the last few years, I just want a clarification on that. So Orchid is where we are seeing INR400 crores revenue potential, right?

Anish Ganatra: INR460 crores is the peak annual revenue is what we are saying.

Dheeresh: Understood. And this we expect to do in FY '25 as per my current understanding?

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Anish Ganatra: Yes, i

n FY '25.

Dheeresh: Okay. MPP, which was supposed to be INR280 crores as per my understanding on an annualized basis, we are saying -- we are turning 80% of that in current year and then do full in FY '25, right?

Anish Ganatra: So MPP1, which you said that was, I think, INR260 crores to INR280 crores as far as my memory goes. And I'm saying 80% of that. Yes, that's right.

Dheeresh: 80% in FY '24 we'll do.

Anish Ganatra: As I said, it's the range, yes, INR260 crores to INR280 crores.

Dheeresh: Yes. Yes. Understand, understand. I understand, not a precise estimate just the range I am trying to understand.

Anish Ganatra: I'm giving you a broad sort of indication that while we have had -- we would have thought that should have come in this year fully, it has slipped slightly, but not materially is all I'm saying.

Dheeresh: I totally understand that it's not a point estimate. There will be a range around it, understood that. Freesia which is agro intermediate, that was supposed to be INR160 crores that we have already done full revenue this year, right?

Anish Ganatra: That's correct. That we expect by end of FY '24.

Dheeresh: What about next year?

Anish Ganatra: So next year will have 2 years to run its par once it (new agro -capacity) comes into play, which, again, I think that as we see today, that's the target.

Dheeresh: FY '26 is when you expect to hit INR600 crores.

Anish Ganatra: So if we are saying the chemical reaction we said we will start in March or end of March, and with first supplies coming in July for all practical purposes, I would see the 2 -year period being FY '27, that's when you should start to see or expect to see peak revenues.

Moderator: The next question is from the line of Ranjit from IIFL Securities.

Ranjit: My question is largely on the thought process. Earlier, we were only kind of sticking to R22, now over the years we have seen kind of a diversified to HFO and now we are also getting aggressive in R32. How do we see the refrigerant space evolving probably 5 years down the line? Is there a plan to further diversify into more refrigerants, given that we have an HF capacity coming in the Dahej in 3 years' time frame?

Anish Ganatra: Sir, Ranjit, again, if you look at the refrigerant growth space, even in India is growing at double digit. R32 is also having a CAGR globally of double digit. Will we remain in refrigerant space?

We were pioneers in that space. I think it makes sense for us to remain in that and play into the

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transition from high GWP to low GWP to eventually HFO. So we will be playing our part as a player in the industry in that transition. I don't think we've ever said we would not do that.

Ranjit: So will that also pay way for our entry into blends in the future?

Anish Ganatra: I can't speculate that, but I'm kind of saying the whole landscape is open, depending on what opportunity is available and how our capabilities are there to tap into it.

Ranjit: One last...

Anish Ganatra: But we will move fast wherever we see the opportunity is right, and our capabilities meet that.

Ranjit: Right. Understood. And any plans on utilization of HF capacity that is likely to come up in a couple of years at Dahej?

Anish Ganatra: Lots of things are being worked in the hopper and lots of things will be progressed in a progressive fashion. But we've consciously put in the capacity to ultimately use in the downstream. We are -- and I think we've said this before, we will be looking at emerging sectors, etcetera, as we progress into the future. So some of that will play out as well.

Ranjit: Hopefully, we should hear in next year, next fiscal something -- some announcement on this...

Anish Ganatra: I'm not going to second guess that one. It would be when it would be. We are working at it, believe it, as soon as we can talk

about it, we will talk about it.

Ranjit: Right. So the question was because even on the cGMP4, we have kind of given out a 3-year time period to kind of Phase 1 and Phase 2 so whenever we do make an announcement, even on that new emerging opportunities, one should take a similar time frame. So that was the impact....

Anish Ganatra: So I mean, again, I know what you're saying there, but the intent is there. We're working, it is in the hopper. I mean I don't know what else to say at this stage. It will be -- it will come when it will come Ranjit. But it's not something that we have lost line of sight to. We are putting a lot of effort internally to progress that area. So if things materialize, we'll probably hear on it sooner than later.

Ranjit: Right. And finally, on the gross debt level, can you share the figure for -- the gross debt figure for the December ending quarter.

Anish Ganatra: Gross debt figure is INR 1,200 crores, including I'm talking the expanded debt, including what we have borrowed on working capital, yes.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anish Ganatra: All right. I would like to thank every one for taking the time out in joining the call today. I hope we've been able to respond to your queries adequately. Thank you all. Have a good evening, and good night. Thanks.

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Moderator: On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

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May 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR EQ

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and financial year ended March 31, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on May 7, 2024 regarding discussion on operational and financial performance for the quarter and financial year ended March 31, 2024 (Q4 and FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a
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GROUP
Creating value. Sharing Value.

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"Navin Fluorine International Limited
Q4 FY '24 Earnings Conference Call"
May 07, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL – INVESTOR RELATIONS ADVISOR –
ORIENT CAPITAL

MODERATOR : MS. SHIWANI KARWAT – ORIENT CAPITAL

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May 07, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Conference Call of Navin Fluorine International Limited, hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shiwani Karwat from Orient Capital. Thank you, and over to you, ma'am.

Shiwani Karwat: Thank you, and welcome to the Q4 and FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. A detailed Safe Harbor statement is given on page number two of investor presentation of the company, which has been uploaded on the stock exchange and company Website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q4 and FY '24 Earnings Call. I am joined by our CFO, Anish, and Payal from Orient Capital, our Investor Relations Advisor. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as our company's website. Before I start with my comments on the business performance, I would like to brief you on some key developments at Navin Fluorine. I am pleased to welcome

Mr. Abhijit Joshi to our Board as an Independent Director. With re-composition of the Board imminent in the near term as independent directors complete their respective tenures, Abhijit would be a great addition to our diverse and experienced Board. Abhijit is a founding and managing partner of Veritas Legal. He has a legal career spanning over three decades. Over the years, Abhijit has advised various business houses from auto families, global conglomerates and large private equity houses across industry sectors on numerous complex deals and cases.

The Board and I have progressed on the search for a new CEO and have narrowed down our selection and are hopeful of concluding the process very soon.

It gives me pleasure to inform you all that the Board of Directors today has recommended a final dividend of INR7 (350%) per share of INR2 each. The company has already declared and paid two dividends, one interim and one special onetime special dividend of INR5 (250%) and INR3 (150%) per share, respectively, for the financial year ending 31st March 2024. The total dividend J~ r NAVIN FLUORINE "I
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for the financial year ending 31st March 2024, works out to INR15 per share (750%) of INR2 each.
Moving on to some key updates on the operational performance of the business. Despite global

headwinds, I'm pleased to say we have delivered robust performance across HPP and Specialty businesses, while the performance in the CDMO business is below our expectations. In the last fiscal, we have delivered revenues of INR2,065 crores and at an operating EBITDA of INR398 crores, underpinned by strong operating cash flow delivery of INR750 crores for FY '24.

Starting with the HPP business. We worked jointly with Honeywell to ramp up our plant at Dahej and the same has stabilized. Plant's production during the quarter was significantly higher than any of the last three quarters. Our HF plant, R22 and R32 plants are running at full capacity for another quarter in a row. R32 plants achieved higher than rated capacity in the last quarter.

As anticipated, we are witnessing positive trends in the domestic pricing of R32. Current weather conditions plus growth in home appliance industry should drive growth in the Refrigerant Gas business. These reaffirms our decision to double our R32 capacity, which will be operational by Feb '25. The capex is progressing well. Our AHF project for adding 40,000 metric tons of hydrochloric acid capacity at Dahej is also progressing well and is as per schedule.

Moving on to the Specialty business. Aggressive measures from inventory reduction by global Agchem majors, coupled with dumping by Chinese players have impacted the Agchem demand, albeit impacting more to players in the generic space. We are much better placed to weather the headwinds due to long-term take-or-pay contracts for dedicated plants and our continued focus on innovative molecules for our customers. Further, our strategy to launch three to four new molecules every year provides a pipeline of opportunities to our MPP assets.

Chemical charge at the agro specialty plant at Dahej has been initiated with commercial production expected by end of Q1 FY '25, early Q2 FY '25. As indicated, firm orders for the dedicated capacity for FY '25 are in place. Our capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25.

Moving on to the CDMO business. Our CDMO business delivered weak results due to deferral of sales of key molecules, few early-stage molecules of our customers did not get validated through the next phase. Looking ahead, our strategy to secure a right mix of late-stage molecules and to have a strong base load and early-stage molecules to create pipeline for future growth is showing early signs of success.

We have secured

visibility of orders from existing MSA with European CDMO for FY '25.

Completed validation campaign for one late-stage molecule from a UK pharma major. Received PO for two new late-stage commercial molecules for a European and a US major. All these are very exciting and promising opportunities with a blockbuster peak revenues for the end products.

Given the nature of the business, these will take time to mature at our customers in with

validation process, etcetera. And some of these will play out in the quarters to come. We also

announced a capex of INR288 crores towards setting up a cGMP-4 facility to be future ready. J~ r NAVIN FLUORINE "

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Phase 1 for this capex has started, and we are progressing as per schedule. During the quarter, I have also continued my customer connect by visiting existing and new customers across businesses and geographies. This is aligned with our strategic priority to expand the customer base in the U.S., Europe and the Far East.

We have also started exploring opportunities for our Performance Advanced Materials businesses. At Navin, we have always believed in continuously striving for excellence and building collaborative relationships with our customers. Finally, I'd like to end by stating that the end -- the year has been tough for the entire industry, though our long-term view of our businesses remains intact. Our focus remains to driving the businesses sustainably over the long-term by ensuring a focus on manufacturing excellence while pursuing disciplined growth.

I thank all of you for your reinforcement of trust upon us. With that, I will hand it over to Anish.

Anish Ganatra: Thank you, Vishad bhai. Good evening, and thank you all for attending the earnings call. Let me take you through a business-wise performance for the quarter. Our Specialty business sales increase reflects the availability of full quarter capacity at the Dahej, higher utilization at Surat and addition of new molecules within our product portfolio. In the last quarter, we added one molecule at Dahej and two molecules at Surat including a performance material molecule.

Our HPP business revenues increased due to capacity addition of R32, which got offset by muted export realizations and lower HFO. Domestic R32 prices are witnessing a positive uptrend. The challenges faced at the HFO plant are behind us now, and the plant is operating at higher utilization. The sales of this plant is significantly higher in the quarter than in the previous three quarters, in comparison to the previous three quarters. Our R32 plant has also achieved higher than weighted capacity during Q4 FY '24.

Our CDMO business revenues in the last quarter were below its potential. We have indicated in

our earlier call as well, the expanded MSA with the European-based CDMO customer is promising and expect it to contribute along with renewed business development effort to growth from second half of FY '25. Of FY '25 expected sales from European MSA, we have 50% of the order in hand for FY '25.

Our future strategy for this business is to develop solid pipeline emerging of late-stage and commercial opportunities. In this direction, we have completed a validation campaign for a late-stage drug for a UK pharma major in Q4. We have secured a PO for validation campaign for a late-stage drug for an EU major pharma player.

Further, we have POs in hand for two RSMs for delivery in calendar year '25 for a drug recently approved by FDA for commercial launch for a US major customer. Moving on to the financial performance of the company in Q4 and FY '24. The sales in this quarter were impacted largely due to lower sales in CDMO segment, which is a higher-margin business and pricing pressure in the export market of R22. Lower-than-expected sales resulted in a decline of EBITDA margins, reflecting lower operating leverage.

ge.

I will now share the highlights of our performance for FY '24 and Q4 FY '24, post which we will be happy to take questions from all of you. For FY '24 on a consolidated basis, the company's J~ r NAVIN FLUORINE "I
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reported revenue from operations of INR2,065 crores as against INR2,077 crores in FY '23. Operating EBITDA in FY '24 stood at INR398 crores as against INR550 crores in FY '24, down by 28%. Just a correction, INR550 crores in FY '23, down by 28%.

Operating EBITDA margin stood at 19.3% as against 26.5% in FY '23, lower by 720 basis points. Exceptional items include gains from sale of Colony land at Surat for INR52 crores. Profit after tax stood at INR270.5 crores for FY '24 as against INR375 crores in FY '23, reflecting higher depreciation and finance costs associated with the commissioning of Dahej assets. Now coming to the quarterly performance for Q4 FY '24. The company reported net revenue from operations at INR602 crores against INR697 crores in quarter 4 FY '23. Operating EBITDA was INR110 crores as against INR202 crores in Q4 FY '23. PAT stood at INR70 crores as against INR136 crores last -- in the last quarter -- last year same quarter.

Within the context of short-term headwinds, we have continued to ensure a tight financial framework. In particular, for FY '24, the business generated operating cash flow delivery of INR750 crores aided by our continuous efforts on driving working capital down, resulting in a release of INR361 crores cash during FY '24. Our net debt-to-equity ratio at the end of March '24 stands at 0.35 versus 0.37 at the end of March '23. So that's it from my side.

We'll now open the floor for question and answer. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: The first question is on HFO. So on slide eight, we have mentioned that lower HFO. So is it basically volumes or is it value? And since the plant is now stabilized, when do we expect to go back into optimum utilization? And any take or pay that we have exercised in FY '24?

Anish Ganatra: All right. Can I?

Vishad Mafatlal: Yes.

Anish Ganatra: So on the first question about what does that lower HFO means. It's -- if you remember in the last year, Q4 FY '23, we achieved record production of HFO. And we said at that time that we ran the asset at its full throttle. This year, what we are saying is that the volumes have achieved stability. We have got to where we should be getting to. So that comment is related to lower volumes, okay.

Also, pricing is going to change, right - Each year, the pricing is dependent on the raw material prices that go into it, etcetera. So there is a pricing impact too, but primarily volume impact.

Now what was your next question, sorry?

Rohit Nagraj: Sir, when are we expecting to go back to optimum utilization? And any take or pay that we exercised in FY '24? J~ r NAVIN FLUORINE "I I\1TER1':A TIO'.\JAL LIMITED

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Anish Ganatra: So just to give you a sense for FY '24, as you know, our plant had issues on stabilization in the early part of the year. If we do -- if we achieve the same rate as what we've achieved in quarter 4 for the remainder part of FY '25, then we should expect a 1.3x increase in the volumes.

Rohit Nagraj: Sure. And take-or-pay?

Anish Ganatra: So to answer your question in simple words, we are already there in terms of -- I mean I don't call it optimal kind of utilization. But like we have said last time that the utilization is good enough for me to meet the demand that is currently at play. Take-or-pay, we've not had to exercise because the contracts from Honeywell are supporting that, supporting the orders or supporting t

he minimum offtake.

Rohit Nagraj: All right. The second question is on CDMO. So until last year, we used to have about \$40 million of yearly run rate. Obviously, it used to be lumpy on a quarter-to-quarter basis. Incrementally that base run rate, will it continue at 40 given that in FY '24, we have done close to about, say, \$32 million, \$33 million?

Anish Ganatra: It will continue at that. But I would like to give some color to that answer. I mean like CDMO, we've always talked about the fact that our strategy is to balance the early and late-stage molecules. There is some solid meaningful progress on that, which both Vishad bhai and I have highlighted in our speech plus it is also on the slide. As all of that comes through, along with the orders that we have from Fermion MSA, we certainly internally have strong belief of having a better year this year compared to last.

Moderator: We have our next question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got three. I will ask the three. One, on the CDMO business, can you help us explain that this European CDMO order which we have received 50%, what is the annual order for the -- so on the CDMO business, I just wanted to understand this European CDMO, which we are expected to start from the second half of FY '25. And we have received a firm order. What is the size of this order? And this is why we are telling that the recovery will be in the second half. That means first half again, are going to be muted. Is that the right understanding? That's number one.

Anish Ganatra: Yes. Shall I? Okay, hang on. Go on, do you want to finish?

Sanjesh Jain: Okay. Second, on the Specialty side of the business, what do we mean by performance material, what exactly are we indicating there? That's number one. And number two, with the Q4 exports being at INR1,200 crores. Are we operating everything at full capacity, what we have started except the fluoro molecules, where we are charging now so that revenues will start probably coming from Q2 onwards?

That will be a fair assumption? And last, on the margin side. This quarter, in the stand-alone, the EBITDA margin is at 12.8%, and the mix change between the Specialty and CDMO is there, but HPP contribution has remained stable. The understanding was that the margins are not very different for these two segments. Why is there a drop in the -- there's a sharp drop in the margin on that count? So these are the three questions. J- r NAVIN FLUORINE "I !\1TER1:A TIO'.\JAL LIMITED
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Anish Ganatra: All right. So first thing on your -- so thanks for the question, Sanjesh. On the CDMO, your question about the size of the order. See typically, we would not give out numbers. But we've always said that the Fermion order was a multiyear, multimillion dollar contract that we've already disclosed in the market. Also remember the nature of this business is that you're always going to have an elongated period between the time you submit trial orders to the point that you actually get registered, etcetera.

I'm sure you're aware of that. So what's going to happen is you're going to start to see some revenue come in this year, decent sized revenue. I wouldn't put a number to that. But if you had to get an indication that, so for calendar year, whatever we get in '24, in calendar year '25, that will be twice of that. And in calendar year '26, it would be thrice of that. And that's just the way it would work in terms of completing our registrations for all the three molecules that we have the MSA for.

Now to your point, while the business is muted in the first half versus second half, the business is actually muted not because only of the Fermion order. As we've explained to you before, the entire process of going through validation takes time. We are where we are in this quarter in terms of performance that we are also not satisf

ied internally, simply because our order books are weak, right?

And we're addressing that. We're working that to make sure that our development teams are focused. We have the strategy around addressing which customer, what molecules we want to target. As we progress on that, we will keep you guys updated as we've done today, but that will take some time to play out. So our current estimate is that, that will start to play out in the second half of this year rather than the first half of this year.

Okay. Now your question on the Specialty business in terms of Performance Materials, what?

So Performance Materials are basically all the emerging materials in both, whether you call them performance or advanced materials, but there would be things like solar grade, solar-grade HF.

We would also have semiconductor grade HF into that. We will also have some advanced materials that go into specialized applications that have significantly better effectiveness in achieving the desired outcomes in those industries. And so for example, you could have things which go into the IT centers, data centers, to bring energy efficiency, etcetera, yes?

Sanjesh Jain: Got it. Got it. This is the electronic division, which we were earlier indicating? Is that a fair assumption?

Anish Ganatra: You could call it that. The reason why we are calling it advanced material because it goes beyond just electronic applications.

Sanjesh Jain: Okay, okay. Got it.

Anish Ganatra: Yes, yes. Okay. The third point around margins. Now again, I'm going to talk through on the consolidated level. On the consolidated level, the margins are lesser than last year, significantly lesser. One has to look at that. But that is a result of two things, primarily. One the fact that our CDMO contribution into that revenue is far lower compared to last year. CDMO being a high-J~ r NAVIN FLUORINE "I !\1TER1':A TIO'.\JAL L\IITED

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margin business. Second is the ref gas prices compared to last quarter and this quarter that we are talking about are very different. And again, I'm sure you're aware of that, yes.

So those two things drive the margin. Having said that, in the last call that we had, we talked about a 15% margin when we reported Q3 numbers. And we talked about the journey from 15% to 20% to 25%. And if you remember that conversation, we are already part more than halfway through the 15% to 20% journey. In the coming quarters, we will take that journey further. And as the operating leverage comes in with the projects, both in your dedicated Agro projects or the CDMO or in other ways, you will start to see the operating leverage play out, taking the revenues (margin) to 20% plus.

Sanjesh Jain: Got it. On that specialty way, have we completely exhausted the capacity in MPP and dedicated now in this quarter?

Anish Ganatra: So the only way I can articulate that question or answer that question is actually through referring back to the PAR conversations, yes. So the dedicated molecule plant that we had in Dahej, which is already operational at a capex of INR125 crores, if you remember that. We've already achieved the PAR for that in FY '24. MPP 1, which we've always called as capex of INR195 crores. For FY '24, we are at 80% of the par level indicator.

Sanjesh Jain: Okay. Got it.

Anish Ganatra: Now one has to remember, so I've told you the 80%. So if you think next year is going to be 80%. But Vishad bhai has already mentioned in his commentary, the global headwinds on the Agchem side. That's going to have its play, yes. So again, in the Agchem side, nobody is expecting a hockey stick recovery. The recovery is going to be slow, progressive, and we will start to see it in the second half of the year.

Sanjesh Jain: Fair enough. That's fair enough. Just one bit. So considering that there is a gradual recovery in CDMO, margin of 25% will be more like a '26 number and

not '25 number. Will that be a fair assumption?

Anish Ganatra: I would not jump to that. And I would not say that in either way, I would not answer that. I think I've given enough guidance directionally. I don't want to give specific numbers to you. But in our own sort of way, if you look at last quarter, we were at 15%. This quarter, we are at 18% and 18% is sustainable. We are going to take this 18% to 20%. So I'm sure directionally, again, you can see the pace at which we are working. I'll leave it at that.

Moderator: We have our next question from the line of Sudarshan Padmanabhan from JM Financials.

Sudarshan Padmanabhan: Sir, my question is to understand the underlying demand on the Specialty Chemicals side. So we have seen the fourth quarter to be much better than the previous three quarters. You had talked about at least the agrochemicals being a pain. If you can throw some color with respect to where are we seeing the longer-term demand coming in from? I mean, on a quarter-to-quarter the growth that you are seeing, is it a reflection of an improved demand environment or is it largely driven by restocking? Some color on this. J~ r NAVIN FLUORINE "I !\1TER1':A TIO'.\JAL L\IITED

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Anish Ganatra: Okay. So thanks, Sudarshan. See, again, from -- and again, you guys know this better than me. I mean every global industry player has talked about the Agchem environment. And we are no different in that, okay? So on the Agchem environment, if you look at the full year, the year has been full of challenges, both in terms of the uncertainty on demand, the impacts from higher for

longer interest rates, the impact that has on the end farmer behaviour in terms of the stocking mentality, in terms of the dumping that's going on from China at cost. So there are several headwinds in that space, right?

Now we are in a relatively fortunate space because we have a good mix of innovator products, which tend to remain more protected compared to the generic Agchem players. So to some extent, we have the protection. But having said that, when prices are cheap, the farmers -- end farmers may find substitutes. But those substitutes are short-term behaviour changes. In our interaction with the customers, everybody expects that to come back.

And again, if I look at the whole year, we would see that demand coming back towards the Q3, Q4 of this year rather than sooner. So we do expect the first half to remain muted compared to the second half. Second half of the fiscal, we are expecting recovery, but not a hockey stick type recovery. The recovery will be gradual and progressive. Does that answer your question, Sudarshan?

Sudarshan Padmanabhan: Yes, sir. The second question from my side is on understanding the CRO CDMO space. What we understand from a lot of Indian players as well as global players is there's been a slowdown again because of higher interest regime. I mean not specifically taking about projects, but are we seeing that kind of a slowdown impacting us on the health care side as well?

Anish Ganatra: So Sudarshan, we've remained -- we've actually been very encouraged from our conversations with the customers. And it's a testament to the fact we started talking about shift in the strategy only a couple of months where we said we wanted to balance late stage versus early stage molecules. And as that strategy comes into play, we are extremely pleased with the reception we've had - the 3, 4 examples we've shared today on the call.

I mean I don't want to talk about numbers, but they are very, very promising prospects. Having said that, small biotechs, the higher -- the interest rates are higher, everybody is out to optimize. The way we are optimizing our business, focusing on efficiency, everybody else is doing it. And in these environments only the most successful things come out and shine. So we also see that, yes.

Sudarsh

an Padmanabhan: One final question before I join the queue is on the refrigerant gas. I mean, we have heard a lot of our peers talking about competition from China. And even we have seeing a lot of issues or pain in the past. We are seeing, I mean, as you had mentioned, green shoots over here. So can you -- I mean, given that we are putting capacity in here that R32 coming up. Can you throw some color with respect to how do we see the pickup that's happening there, both in terms of the volume as well as in terms of pricing?

Anish Ganatra: See, R32, we are very, very kind of confident about the decision that we've taken. And one has to look at this in the global context as well, apart from obviously the growth in the domestic over J~ r NAVIN FLUORINE "I

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time. In the global context, if you see '24 is like a barrier year where a lot of the geographies, whether it is EU, US or Japan, all of them have gone through a quota cut restriction on GWP, right? China is already under a restricted regime under the quota.

So today, they are not able to do what they did last year. Apart from that, China itself has its own quota for domestic and exports, which is not fungible. So all of that starts to play into over time on how R32 will help the world transition to a lower GWP in the same way that it will do for India. So we remain very, very confident of what the decision we've taken and the prospects of R32, both in the short-term and long-term.

Moderator: We have our next question from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Just one question. I see a contract liability of INR90 crores on the balance sheet. What does that pertain to?

Anish Ganatra: So again, a good question, Chetan. So what has happened over there is our customer wanted to bring in greater flexibility to the dedicated agro plant that we are currently commissioning. And to do that, they have actually funded the capex associated with it, which is a great sign of the confidence and the relationship we have with them. So that represents primarily that number.

Chetan Thacker: So once the revenue comes, that gets offset?

Anish Ganatra: Sorry?

Chetan Thacker: Once the revenue starts getting improved, that will get offset. That will be a fair understanding.

Anish Ganatra: Oh, yes, yes. But we are upgrading the asset as we speak, to make it more flexible to cater to higher level of molecules. And again, the customer is funding that, eventually, that will be seen in our top line as we continue to commission the plant and start delivering the revenues around it. So you're right.

Moderator: We have our next question from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Just one clarification and one question from my side. I think in one of the responses to the earlier

participant, you mentioned CY '25 with the 2x of CY '24 and CY '26 will be 3x of CY '24. Just wanted to clarify, this was with respect to only the Fermion contract or with respect to your entire CDMO pipeline?

Anish Ganatra: No, this is only the Fermion contract.

Vivek Rajamani: Got it, sir. And the second one was also...

Anish Ganatra: Vivek, that's essentially the nature of the MSA, right? I mean we are going through our registration process, so it will start to trickle in. And we've always maintained this, that visible revenues from the Fermion contract, you will start to see from calendar year '25 onwards.

Vivek Rajamani: Sure, sir. And just the second question was also on CDMO. I think, you've been talking about the strategy to have a much better balance of early-stage and late-stage molecules, which you J~ r NAVIN FLUORINE "I !!\1TER1':A TIO'.\JAL LNIITED

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guys have been working on. Just internally, I just wanted to get your sense on how long do you

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think the strategy is going to take before we start to kind of see this reflected in the numbers from a volatility perspective?

Anish Ganatra: So again, the Fermion contract is a commercial molecule. So this is not -- this essentially is going to be in play even as we speak now. It's just the emphasis and our focus on how we target customers and how we target the molecules we are working on. And it will always be a balance. So the strategy will start to see itself play out from second half of this year. Will it have played out completely? No, that will continue. And this strategy is what underpins our unlocking of the \$100 million that we've indicated before.

Moderator: We have our next question from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: First, on the commercial molecules that we're now in the process of signing up in CDMO, just to understand...

Anish Ganatra: Sorry, Abhijit, your voice is -- we lost you for a minute. Can you hear us?

Abhijit Akella: Can you hear me now?

Anish Ganatra: Yes, yes. What was your question?

Abhijit Akella: Yes, yes. Just on the CDMO business. These commercial stage molecules that we are now signing up, will margins on these be comparable to the rest of the CDMO business that we have been making thus far in past years?

Anish Ganatra: So Abhijit, that's always the case. When you're doing -- in any of these business, when you're doing the prequalification early trial, you have smaller quantities, higher margins. And then as you progress, you get significantly higher quantities and a decent margin. That's what we are aiming for. So you can't expect significant volumes at astronomical margins that would be unreasonable. But that's the nature of the game.

So like we've shared before, the commercial molecules will start to provide a base load, make sure the lumpiness is reduced from a strategic lens point and allow us to focus on also develop promising CRO work on the early stage, which then starts to fill in the pipeline as the commercial molecules drop off the patents over time. So it makes the business very sustainable.

Abhijit Akella: That's helpful. And one more question is on the agrochemical side. So when we are talking about still some lingering softness in FY '25, does this pertain primarily to the multipurpose plant, MPP1 or is it also related to the Surat portfolio of products we have, where is the softness?

Anish Ganatra: So the AgChem scenario is across, right? It does not distinguish between assets and Surat or Dahej. It's an industry phenomena that slowdown, etcetera. But having said that, about 65%, 70% of our molecules tend to be in the patented bucket. We are supporting patented molecules, right, with patented end use. So that protects us and gives us reasonable better protection than some of the other players who are primarily into generics or have a higher generic footprint, okay? J~ r NAVIN FLUORINE "I !!\1TER1':A TIO'.\JAL LNIITED

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Moderator: We have our next question from the line of Dhavan Shah from AlfAccurate Advisors.

Dhavan Shah: My question is on the CDMO side. We mentioned that there is some approval from the FDA recently for one of the drug, which will be delivered in CY '25. So what is the opportunity size there? I mean, what could be the size of the molecule there? And what is our opportunity size in CY '25 or maybe the overall?

Anish Ganatra: So again, I'm not going to be specific on numbers. But the three examples, we have three kind of things we've picked out and shared with you guys, all of those are in the end drug is possibly in billions of dollars forecast. Of course, that doesn't mean our numbers go that way. But it tells

you that it's a big drug, multi-blockbuster thing. So we will have a good share. It gives us more sustainability. Frankly, that's what we are looking for, right?

Dhavan Shah: Right. And the deliv

ery would be starting in CY '25 itself or it will be gradual, maybe from '26, '27?

Anish Ganatra: No. So it will be phased. It will be phased. Fermion will start in '25, as we've said, FY '25 and then progressively, it will come. Also remember the way that business works is you get your early orders, you get prequalification trials, process trials. So you keep getting small, small orders until you start going through that entire process of registration. And then fingers crossed, things work both from the customer point of view, in terms of the molecule itself and also for us in terms of the chemistry that we are working with them on.

Dhavan Shah: Okay. And I think there is some difference of the molecules also plus the Fermion cells would be there plus this molecule in CY '25 or maybe FY '26 itself. So what kind of run rate are we looking at? Because right now, CDMOs are running at roughly \$30 million kind of annual run rate. Considering all this...

Anish Ganatra: So sorry to cut you there, Dhavan. But see, we've already indicated that our mix of commercial to early stage, our intent is to get 50-50 or 60-40 type kind of ratio, right? And we've indicated that with all the new capex we've announced, the Phase 1 of that, that opens up the \$100 million opportunity. So that tells you in a way how we will progress directionally to that, yes.

Dhavan Shah: Sure, sure. And the last one, would it be possible to break it up the gross book among the three segments. Right now, roughly in FY '24. And I think we have roughly INR2,000 crores gross book. So what could be for spec and CDMO and HPP? And what kind of the peak revenues can we expect from this current capacity?

Anish Ganatra: So we don't do segmental reporting because for us, it's part of the same value chain chemistry. So unfortunately, I won't be able to do that or share that with you because that's not how we look at the business. We look at optimizing it across the value chain.

Moderator: We have our next question from the line of Archit Joshi from B&K Securities.

Archit Joshi: My first question is within the spec chem piece, especially with the multipurpose plant comment about capacity utilization that you made earlier that our exit rate was approximately 80%. I was J~ r NAVIN FLUORINE "I!
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just trying to do some numbers here given that you have mentioned the total potential from the MPP with respect to sales that we can deliver close to INR270 crores to INR280 crores.

And going by the same cues, there were approximately four to five products, which would have contributed to that kind of a top line. So with this 80% utilization that we mentioned, are all those four or five products being produced? Or there is some more product launches eventually that will help us to get to that number, let's say, a couple of years down the line?

Anish Ganatra: No. So okay, so we'd indicated peak revenue in the range of INR260 crores to INR280 crores, if I remember that correctly. And the 80% that I talked of is on the lower end of the range of the INR260 crores. Now to answer your question, see, the fact that the strategy in the spec chem business is very central, right? You have dedicated plants and you have MPP. Now you take the plant from a product from a lab stage to the production stage in the MPP. As it scales up, the question then starts with the customer on converting that into a dedicated plant.

So MPP is like a pipeline that allows you to grow into a dedicated pipeline. Now what we are looking over there is three, four molecules that we introduce every year. And some of those molecules will continue to remain some level and not go to very high levels of volume, some of them will not, right? So that is the nature of the business. And that is why you have MPP as a pipeline provider to dedicated large-scale plants.

So that's how it k

ind of works. So the molecules that we started off, if you remember in Dahej with about four or five molecules. Today, we've added in another three molecules into that. So we've taken the basket of the product portfolio to eight, nine molecules that we can service from the MPP. If any of these scales up to a certain reasonable size, they will convert into a conversation with the customer to look for a potential dedicated plan. Much in the same way that we did the dedicated agro plant for INR125 crores.

Archit Joshi: Got it. Perfect. Sir, one last question on CDMO. While it's quite appreciable that you've started giving out some details on how we are progressing with some pharma companies and the U.K. pharma major addition after the previous quarter announcement with some strategic dealing with a US-based company. I just wanted to understand if one has to substantiate this.

Is this in the same direction that you mentioned earlier that will help us reach a 50-50 split between early stage to commercial molecules? And would this also mean that in the next leg of

our capex, which we announced last quarter of INR288 crores, these initiatives will land some place in that new plant over a period of time?

Anish Ganatra: Yes, indeed, indeed. So the new plant that we've -- new capex that we've announced is like we've always split, right, Phase 1 and Phase 2. Phase 1 is largely to cater to Fermion or the European CDMO player that we've talked about. And as these molecules reach a scale, Phase 2 will start opening up a conversation for us as well.

Moderator: We have our next question from the line of Madhav Marda from FIL.

Madhav Marda: I just wanted to -- I have one question. When we give the CDMO, you want to get to the \$100 million annualized revenue. This project which you speak about, which is the billions of dollars J~ r NAVIN FLUORINE "I !!\1TER1':A TIO'.\JAL LIMITED
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in sales for the end product, does that -- like -- do we assume ramp-up of that \$100 million guidance or because that is a very large opportunity with that click it could kind of exceed the \$100 million?

Anish Ganatra: So when we spoke at the last quarter and we announced the Phase 1, we talked about Phase 1, unlocking the \$100 million itself. But it's all fungible. Ultimately, we are starting in the bank from where we are today. So you've got to look at it in perspective of that number, too. It's not like we are at INR600 crores today to go beyond that, if you know what I'm saying. So all of this will contribute to that. When we are at \$100 million, we'll talk beyond \$100 million.

Madhav Marda: Yes. No, but this \$100 million assumes the ramp-up of that particular molecule, which we are talking about?

Anish Ganatra: No. So everything will play into it. No. I mean it's not like today, when I'm getting an opportunity, I'm not going to say this molecule is incremental to that. It's incremental to where I am today. So everything plays into getting there, yes.

Madhav Marda: Okay. Okay. And just a follow-up there, like we're basically supplying an intermediate for this drug is like a fluoro intermediate or something like that? Is that how we should look at the product which you supply?

Anish Ganatra: Yes. So sorry, can you repeat your question?

Madhav Marda: This product which we are supplying or the molecule which we are supplying for this blockbuster drug, it's like a fluoro intermediate or something of that sort?

Anish Ganatra: Yes, all of them. All of them fluoro intermediates.

Moderator: We have our next question from the line of Dhruv Muchhal from HDFC Asset Management Company.

Dhruv Muchhal: In the last quarter, you had mentioned that the HPP Honeywell contract would give about INR450 crores revenue in FY '25. Does that guidance remain? And is there any implication because of any raw material price movement for us to change our guidance?

Anish Gana

tra: No, that still remains intact. That doesn't change.

Dhruv Muchhal: There should be no implication of further downwards because of the RM pricing.

Anish Ganatra: No. So again, we wouldn't go down that path. Today, what we can see is in that range. But yes, if it goes up, it goes up, I mean, I wouldn't sort of comment on it today. But the guidance we gave is intact.

Dhruv Muchhal: Okay, sir. And the second question is just to get a summary on the spec chem. So this year, I think you're about INR850 crores revenue. You have the INR540 crores project coming up. But -- so overall, how should we see growth for the next year, say, it verifies. If you can give some guidance in terms of growth that you're expecting for FY '25? J~ r NAVIN FLUORINE "I !!\1TER1':A TIO'.\JAL LIMITED
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Anish Ganatra: If you start, and I'll probably answer this on a more holistic level than just spec Chem. If you look at our FY '24 numbers, and you start to think about what is Navin doing beyond that, which will start to see itself coming into light in FY '25. Clearly, the -- there will be some contribution coming from the new R32 capex as that comes on stream. There will also be some contribution coming in.

And I have indicated that just before that the HFO plant that we've done this year, if I take it to next year, it's 1.3x of that. So that will come into play in terms of growth. If the dedicated agro plant that we put into commissioning at the end of June, early this, that will come into play. The CDMO growth that we've talked about will also come into play.

So I've given you the building blocks, but I'll leave you to make the assessment on the numbers.

Dhruv Muchhal: Yes. So just to clarify, because your comments just to be sure. So you have these two MPPs, one

MPP and one dedicated, which is almost fully ramped up. There is no weakness in this segment. The weakness that we are seeing is probably in the new business or the -- some of the existing businesses which are already weak. Maybe weakness probably could be there, but the existing contracts or entities been dedicated in MPP, where the run rate of revenue should probably continue.

Anish Ganatra: So one has to remember, see, when you have a take-or-pay, that will -- you'll always get the volumes, okay? In this market, in this scenario, all of us have to remain competitive. So revenues will see pressure at some point because we have to get more efficient as we start to build this asset and which we are doing.

And which is why whenever we talk about the strategy in Navin everybody talks about and particularly Vishad bhai talks about operational excellence and disciplined growth, yes. And that's the idea that you come in, you bring in, you operate the asset efficiently. You share the results of that efficiency with the customer. And in the process actually get your growth as well, a combination of everything. We have to be cognizant to the environment in which we are operating.

Dhruv Muchhal: That's helpful. And sir, quickly, what is your capex guidance for FY '25?

Anish Ganatra: Sorry, your voice is not clear. What did you say?

Dhruv Muchhal: Sir, capex for FY '25?

Anish Ganatra: Capex?

Dhruv Muchhal: For FY '25.

Anish Ganatra: For FY '25. And I think, again, I've said this before, see, our operating framework, whatever cash flow, we said INR600 -- INR500 crores to INR600 crores of cash flow. I think that still remains -- ops cash flow that still remains intact. We will continue to have capex spend in that range. actual capex spend in that range, whether that is for committed capex or new capex. That's the capacity we have within the financial framework that we've set out for ourselves. J- r NAVIN FLUORINE "I !\1TER1':A TIO'.\JAL L\IITED

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Moderator: We have our next question from the line of Ranjit fr

om IIFL Securities.

Ranjit: Thank you for the opportunity, just carrying forward the capex question. So now most of the issues that we had in FY '24 seems to be stabilized and running at an optimal utilization. So what's the thought process on the next level of capex? I believe AHF is what is likely to be there by the end of this financial or early next financial year. So how do you intend to utilize that and the thought process behind utilizing that incremental AHF capacity?

Anish Ganatra: So the incremental AHF capacity will come into play at the end of FY '25 or early FY '26. But in terms of your question on the capex guidance, see, if you think about it, and we've always laid this out, right? Our strategy is to create four material businesses. The three vertical segments that we currently have, HPP, Specialty and CDMO. And we've laid out I think a good approach to get to where we want to get to in those three. And combined with that, we're starting to look at making headway into Advanced Materials and Performance.

So that is going to drive our capex allocation into which segment and how we do it. But I would sort of say, over the next 12 to 18 months, I wouldn't be wrong to say that you'll start to see some specific capex dedicated to the Performance in Advanced Materials to start to play.

Ranjit: So if you say the next 12 to 18 months, then probably that will take another 12 months to take shape.

Anish Ganatra: That depends on how the opportunity matures, Ranjit. A lot of this is we are going to be very disciplined about this. We are going to make sure that one, we have the technical capability on getting into what we are getting into, where we are getting into partnerships. We want to make sure those partnerships are with players that we can establish strategic relationships. So all of that will take time. We are not going to be under -- see pressure to sort of accelerate some of this just for the sake of accelerating. So I'm giving you a very outer window, but that's not sort of where we are.

I mean if you remember the entire fundraise conversation that we talked about was always -- was always indicated as growth capex to accelerate projects. And so we've created that flexibility in our financial framework. That our internal cash flow as well as the ability to raise further money to accelerate something if it's promising enough and the right thing to do from our commitment to our Board, to our shareholders and obviously, in terms of the financials and economics around it.

Moderator: We have our next question from the line of Jason Soans from IDBI Capital.

Jason Soans: I just wanted to know, sir, when you go back, the breakup for the Specialty chemicals, usually used to be pharma, 40% agrochem 40% and electronic materials of this industrial would be 20%.

Now in the wake of this weakness in the Agrochemicals segment, how does that revenue

contribution look? And you've already given a lot of commentary on agrochem. So I just wanted some color on the outlook for the pharma and the Advanced Materials or electronic materials, whatever name you call it. Just some color on the potential for both these segments and the outlook for pharma as well as electronic materials. J~ r NAVIN FLUORINE "I I\1TER1':A TIO'.JAL LIMITED
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Anish Ganatra: So in the Agchem business, the shift from pharma to Agchem has been going on for some time. I mean today, we are possibly about 80%-90% Agchem driven. And we remain constructive about the Agchem sector itself. See ultimately, the need and the demand for agri products is not going anywhere. It's going to remain. It's going to remain in terms of both the requirement to produce the agricultural products as well as the demand for some of these products that allow the farmers to increase their productivity per acre.

So that need is always going to remain. We might have these cycl

es come in and go out, but that

need doesn't change. So our view of the sector has not changed, while we are seeing some short-term headwinds. So that's coming from the Agchem. On the Performance Materials and Advanced Materials, again, they are very, very promising, and things will shape out. We have to be careful in terms of how we progress the opportunity there, the R&D work that we are doing in this space. And we don't talk a lot about it, but we are doing some R&D work ourselves.

And also our discussions with customers where we believe that our journey to get the technology is going to take longer. We will accelerate through the right partnerships. So it's going to be a combination of everything. But the opportunity on advanced material and performing space, I'm sure if you Google, you can pick up far more than what I can tell you.

Jason Soans: Sure, sir. So in spec chem we are around 80% to 90% Agchem and probably 10%, 20% must be electronic materials. That's what you're saying.

Anish Ganatra: No, No, no, no. So spec chem today does not have a lot. I mean, the one molecule. See we are incubating advanced materials in different parts of the business. So the molecule I gave you as an example because it's a significant milestone for us that we've now done a molecule in the performance material that we've successfully delivered to the customer. That opens up the opportunity in that space, right?

So that was the signal to you. The spec chem traditional business has always been between Agchem and Pharma. And our split over there is predominantly about 80% on Agchem.

Jason Soans: 80% on Agchem. Sure, sir. And just further going, so I just wanted to know, I know it's been a volatile environment, and it's been a difficult year for the company. But just wanted your view on traction on further multiyear or long-term contracts. We've been winning -- it's been some time we have won some. So just wanted to know what's your outlook on further winning some multiyear long-term contracts going ahead?

Anish Ganatra: So see, we've taken this call internally that our sort of approach with customers will not be transactional where we are very comfortable with customers. We will get into a strategic relationship. We know that global majors are all looking to create network flexibility. And we want to be available to them, and we want to make sure that we participate in that journey. And so that relationship will not be transactional.

But yes, as we get into those contract discussions, we are here to work with them and work on those long-term contracts. So that is the nature of the business. But we are always going to have a balance between long-term take-or-pay contracts and a product play. So for example, the R32 capex that we announced in the last quarter, and we signalled to the market that we are in the J~ r NAVIN FLUORINE "I

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product play in the refrigerant gas business, and we want to participate into India's journey on going from high GWP to a low GWP product, and we will play our part into that. It will be a combination of things.

Jason Soans: Sure. Sir, just lastly, if I can squeeze in. There have been enough questions on CDMO. But sir, just in terms of our performance perspective, there were big plans as such. And of course, FY '24 has been weak in that perspective. It's quite heartening to know you have a lot of things in the pipeline. So -- but what has transpired in this year, of course, you want to scale up this business. But is it a lot of increased competitive intensity from other CDMO players? And how do we just plan to correct the situation? Just wanted your thoughts on it.

Anish Ganatra: So again, see, CDMO player in Pharma, we've always been an early proponent in that business. 2011 was when we actually made our entry into that by acquisition of the MOL business in U

.K.

And it's been an evolution from that, where we evolved. And that's where we've kind of used our own learnings over the years to develop our strategy that we think will work for us and that's aligned with what the market needs. But we remain very constructive with that segment.

In terms of your question on what drives it, I mean, there are different things. I'm sure you read about the Biosecure Act recently as well being talked in the U.S. and that will have its own drivers. So there will be different drivers at different points in time, but our long-term view remains intact on that.

Moderator: We will take last two questions for the day. We have next question from the line of Surya Patra from Phillip Capital India.

Surya Patra: My question is on the CDMO business. Is the softness in the CDMO business, what we have seen in the fourth quarter, is it because of the inventory rationalization trend that has been there in the pharma space or it is because of the pricing angle or it is because of your larger dependency or your dependency on the small and mid-sized biotech pharma company? What would be the kind of reason for that? And when you are saying that the sequential recovery and all that, so what would lead the recovery on the CDMO side of that?

Anish Ganatra: Yes. So again, we've talked about the CDMO business has historically been a campaign-driven business, continues to remain a campaign-driven business. And our earlier focus was on early-stage molecules. We are now balancing that with late-stage molecules. The year-on-year, the degrowth that you see in CDMO in the quarter, relates to a molecule that we had in the last year, last -- this time last year, Q4 versus this year, we don't have it because it was a campaign that was run at that point in time. Does it mean it will not come in the future? It could and we certainly hope it will, yes.

But the nature of the business is that those are campaign-driven orders. And that's why you see the lumpiness. To address that lumpiness is exactly what we are doing in terms of our strategic thinking that we will balance it with commercial molecules as well. So does that -- I hope that answers your question, Surya.

Surya Patra: Yes, yes. And along-side sir, I just wanted to understand maybe about the industry trends and all that. So do you face even pricing challenge for your CDMO business? That is one. And J- r NAVIN FLUORINE "

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whether you have faced the inventory rationalization trend, what the pharma expecting currently? And do you -- what portion of your business would be dependent on the small and mid-sized biotech pharma companies?

Anish Ganatra: So CDMO business tends to be -- it's a very different animal in some sense, because you are looking at a multibillion-dollar opportunity. If you were one of these drug companies, you are into a space where your product has got promising prospects and all you're looking to make sure that you get a good partner who works with you as a partner, who's got the capability to handle the chemistry. And is able to service you in time. It's more a service industry than a product play. Because each molecule is a different chemistry, right? So pricing doesn't play, but your ability to service plays a bigger importance in the CDMO business compared to what we would do in the Agchem business. So there are different models in some sense. I hope that sort of explains.

Surya Patra: Yes. But if you can still share, sir, what portion of your business CDMO would be dependent on small and mid-sized biotech industry?

Anish Ganatra: No. So we don't look at it that way. We look at it more like which molecules we are playing with. Are those molecules progressing on the journey from trial to commercial launch approval. And that's the play. The play is not in terms of selecting companies, but selecting molecules

really. That fit with our alignment and the chemistry capability as well as the outlook on the product.

Surya Patra: Okay. If you just allow one more question, sir. On the Honeywell side, if there is a kind of moderation, it could be because of what reason, if you can just share?

Anish Ganatra: So you'll have to elaborate, Surya, because I don't know what you mean when you say moderation.

Surya Patra: No. In fact, we have seen some kind of a slowness in the uptake of the HFO, right?

Anish Ganatra: No, I don't think we ever said that. What we said was that if you look at our performance for the last year, we had issues with the plant, which everybody is aware of. This quarter that we are talking about, we put those issues behind us, and the plant has actually delivered production that is more than that was delivered in any of the previous three quarters. That's what we're saying. So it's not -- nothing to do with demand really.

Surya Patra: Okay. And sir, any update on the debottlenecking of the Honeywell project, in the plant associated with Honeywell?

Anish Ganatra: I've said this so many times on previous calls, but I will repeat it once more. The debottlenecking of Honeywell plant was not something that was an approved project. It was in the hopper

continues to remain in the hopper. We'll bring it out when the right time and the right opportunity.

Moderator: Due to time constraints, that would be the last question for today. I would now like to hand the conference over to the management for the closing comments. J~ r NAVIN FLUORINE "I !\1TER1':A TIO'.\JAL LIMITED
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Anish Ganatra: Okay. I would like to thank everyone for taking the time out and joining on the call today. I hope we've been able to respond to your queries adequately. Thank you all.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. J~ r NAVIN FLUORINE "I !\1TER1':A TIO'.\JAL LIMITED

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Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 30, 2024 regarding discussion on operational and financial performance for the quarter ended June 30, 2024 (Q1 of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited Q1 FY25
Earnings Conference Call"

July 30, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – EXECUTIVE CHAIRMAN ,
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR, NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CFO, NAVIN FLUORINE
INTERNATIONAL LIMITED
MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Navin Fluorine International Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you and over to you, Mr. Shah.

Bhavya Shah : Welcome to the Q1 FY25 Earnings Conference Call. Today, on this call, we have with us Mr. Vishad Mafatlal – Chairman, Mr. Nitin Kulkarni – Managing Director and Mr. Anish Ganatra – Chief Financial Officer of Navin Fluorine International Limited.

This Conference Call may contain forward-looking statements about the Company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page #2 of investor presentation of the Company which has been uploaded on the stock exchange and Company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his Opening Remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q1 FY25 Earnings Call. I am joined by our Managing Director – Nitin Kulkarni; our CFO, Anish bhai and Payal from Orient Capital, our Investor Relations Advisor.

I hope everyone got an opportunity to go through our financial results and investor presentations which have been uploaded on the stock exchange as well as our Company's website.

Before I move on to discussing key business updates, let me introduce Nitin to you all. Nitin took charge as Managing Director of our Company on June 24th. Nitin brings over three decades of rich experience across the specialty chemicals value chain. He is a highly respected leader with a proven track record of driving growth, establishing new business verticals, embedding manufacturing excellence and execution of large projects both brownfield and greenfield. He is well connected in the industry with strong and deep relationships across leading domestic and global majors. In his last role, Nitin was an Executive Director at OC Specialty for over a decade. Prior to that, he had worked with Navin Fluorine for a period of 7 years, heading BD, where he was instrumental in establishing the specialty chemical business. He also worked with Aditya Birla Group Chemicals Business including Tanfac and HUL (Lakme). We welcome Nitin to Navin, and we are sure that the Company will scale new heights under his leadership.

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Moving on to discussion on business:

Our focus remains on achieving operational excellence, ensuring financial robustness, and executing our plans with discipline. We continue to make progress in diversifying our revenue streams, strengthening our partnerships, and building scalable platforms. These initiatives are foundational to our long-term sustainable growth and profitability. In the last quarter, despite adverse market conditions, we recorded a robust 7% year-on-year topline growth. Revenue growth was underpinned by stable orchid operations and strong sales of our new R32 capacity. Agro demand continued to witness near-term headwinds with global majors rationalizing inventory levels, impacting our specialty business.

In CDMO, our strategy to increase share of late commercial molecules is bearing results with increasing success with big pharma customers. We continue to believe second half of Navin Fluorine will be better than the fi

rst half with improving margin trajectory.

Let me also give you a quick update on the capacity expansion:

Over the past year, we have launched several expansion projects, and I am happy to report that all of them are advancing smoothly. Our agro-specialty project with a CAPEX of Rs. 540 crores is targeted to commence commercial production by September. As mentioned, we have secured firm orders for the dedicated capacity for Financial Year 2025. Our AHF project involving an outlay of Rs. 450 crores and enhancing our HF capacity by 40,000 metric tonnes at Dahej is on track to commence by end Financial Year 2025, early Financial Year 2026. This expansion will support the growing demand from emerging and new sectors. Phase 1 of the approved Rs. 288 crores cGMP-4 CAPEX is underway, progressing to plan for commissioning by end of Calendar Year 2025. Additional R32 CAPEX of Rs. 84 crores to boost capacity by 4,500 tonnes is on track for completion by February 2025. Given the high operating level of our existing R32 capacity and with a solid pipeline of inquiries, additional capacities will be ramped up at a faster pace upon commissioning.

The Rs. 30 crores CAPEX for development of new capability in Surat, which is progressing as planned to be commissioned during quarter 2 Financial Year 2025. Our existing partnerships with key global players continue to deepen while we continue to make progress on expanding to newer partnerships, both in the product and service play.

Before I end, let me once again assure you our long-term view of our businesses remain intact, and we are well positioned to secure growth opportunities.

I would now like to request Nitin to discuss the Operational Highlights of the business.

Nitin Kulkarni: Thank you, Vishad Bhai. Good evening, everyone. And thank you for joining our call at this hour.

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It is still early days for me at Navin, though my initial impressions are extremely encouraging. And I believe that we have done reasonably well in this quarter in what is otherwise a challenging industry environment. While I continue to connect with employees, customers and other key stakeholders, I am also clear that in the near term and particularly in coming quarters, our key priority will be to maximize capacity utilization, improve productivity and drive efficiencies while commissioning projects and developing growth opportunities.

Let me start my discussions with segment-by-segment performance update:

So, to begin with the HPP vertical, the revenue for this vertical increased from Rs. 169 crores in Q1 FY24 to Rs. 281 crores in Q1 FY25 which is 66% YoY growth. Good performance was a result of stable HFO operations and strong sales of new R32 capacity. We are seeing healthy domestic and export order book for R32. The pricing for this product is showing an uptick in the domestic market and this reaffirms our decision to double our R32 capacity which will be operational by February 2025.

Compared to Q4 FY24:

R22 prices are also showing signs of improvement in the export market. We have also seen an increase in volumes in the last quarter at our HFO plant in Dahej, reflecting both in the quarterly sales as well as in margins. Our HS, R22, R32 and HFO plants have operated at optimal capacity for another consecutive quarter.

As far as Spec Chem, our specialty vertical is concerned, the revenue for this vertical decreased from Rs. 230 crore in Q1 FY24 to Rs. 160 crore in Q1 FY25. This is 30% YoY decline. As anticipated, specialty chemical vertical got impacted due to inventory level rationalization by global agro major reflecting in deferred purchasing decisions. We continue to maintain that demand scenarios should start to show recovery in second half of FY25. Irrespective of such market conditions, during this quarter, we have continued to strengthen our product pipeline in specialty chemical vertical

by leveraging on our newly established R&D center at Surat. We have added a new molecule at Surat for global agro major with a peak annual revenue potential around Rs. 40 to Rs. 50 crore over a period of next three years. Complementing to this, we have also signed the supply agreement for a patented agro product catering to the Japanese market with an incremental annual revenue potential of Rs. 20 to Rs. 30 crores from Calendar Year 2025.

In the coming quarter, our key priority remains to safely commission the new specialty CAPEX, which is already in place. As far as CDMO vertical is concerned, the revenue of this vertical decreased from Rs. 92 crore in Q1 FY24 to Rs. 81 crore in Q1 FY25. There is a decline of 13% YoY in this particular segment. As we have mentioned in the past, this business cannot be analyzed on a quarterly basis. And our focus here is to improve order visibility, increased share of late stage and commercial molecules while deepening our relationships with big pharma, biotech customers and we are progressing well in this direction. In the last quarter, drug

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application of European big pharma players expanded in one of the therapeutic area, leading to optimism on the initial peak annual revenue projections for the end run. This is clearly a positive development for us.

Apart from these three verticals, our R&D efforts on the performance advance material business continues to make progress, including co-development with leading global performance chemical majors catering to sunrise sectors like semiconductors.

I think with this note, now I would like to hand over to Anish to brief you on financial performance in the Q1 quarter. Over to you, Anish.

Anish Ganatra: Thank you, Nitin. Good evening all and I welcome you all once again on the earnings call. Moving on to the Financial Performance of the Company in Q1 FY25:

We reported revenues of approximately Rs. 524 crores in Q1 FY25, an increase of 7% year-on-year basis, largely led by an increase in revenue from our HPP division. Operating EBITDA for Q1 FY25 was approximately Rs. 100 crores, a drop of 12%. On a year-on-year basis, this reflects the exceptional ref gas pricing witnessed in Q1 last year. Lower specialty sales has also some impact from the lower CDMO mix in the overall revenue basket. Operating EBITDA margins stood at 19.2% as against 23.3% in Q1 of FY24. We continued our trajectory on improving the margins from 15% in Q3 FY24 to 18.3% in Q4 FY24 to 19.2% in the current quarter, and remain on track to improve it gradually during the year.

Profit after tax in Q1 FY25 stood at Rs. 51.2 crores, as against Rs. 61.5 crores in Q1 FY24, a drop of 17%. This reflects higher depreciation costs associated with commissioning of new CAPEXs. We continue to ensure a tight financial framework while it's driving growth. In Q1 FY25, the business generated operating cash flow delivery of Rs. 107 crores, aided by a continuous effort on driving working capital down. Our net debt to equity ratio at the end of June 24 stands at 0.38x, reflecting the strength of our balance sheet. That's all from my side. We can now open the lines for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Sudarshan Padmanabhan from JM Financials. Please go ahead.

Sudarshan Padmanabhan: My question is to dwell a little deeper on your earlier commentaries on the agrochemical environment. So, I mean, even if you are looking at the commentary by other players like (Inaudible), it looks like the scenario continues to remain weak, especially the prices have been coming down. While it is heartening to see that we have been able to get products from Japanese customer and other products in place and going ahead with our Dahej CAPEX. From your investment and return on capital perspective, one i

s with the prices going to the probably the worst levels that we've seen in decades. Is this impacting your ROCE in terms of what you would have initially thought of versus what you are currently negotiating in terms of margins and

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ROCEs and prices? And with respect to this environment, one, how worst do you think it can further go or you can do the bottom? How are we tackling it in terms of our strategy, how are we looking at us doing relatively better in this environment ?

Anish Ganatra: Thanks Sudarshan, you have asked a couple of questions, so let me try and take them one by one. I mean, the first thing on the agrochemical sector itself, again, as you rightly pointed out, that the overall market is reflecting the industry scenario. And this is really a reflection of a couple of things happening here. Obviously, the higher for longer interest rates are affecting, how much people hold as inventory, and everybody is trying to rationalize the inventory levels. Purchasing behaviors are also changing. Having said all of that, the fundamentals at the agrochemical level remain very, very strong in the crop protection business. Every farmer and every end user is ultimately very keen to increase their yield per acre and protect their yield per acre. So, we don't see any fundamental shift in the industry dynamics. We see this more as the market stabilizing as it finishes off the de-stocking levels, establishing new inventory levels, and expect that the demand will start to gradually recover in the second half of the year. So, that's the first question. Your point about the investment and return on capital is actually linked to that. So, while we see these near-term headwinds, we see the absolute EBIT numbers or EBITDA numbers coming down (in line with turnover). But obviously, we are trying to ensure, and we have shown that, that our EBITDA percentage margin is improving quarter-on-quarter, even in this environment. And we will continue with that journey with the intent that ultimately the EBIT will start to reflect a better ROCE that we had originally envisaged. And obviously as the market recovers, you will start to see the ROCE picture that we originally envisaged on the projects.

You had one more question on worse bottom. Can you please repeat that for me?

Sudarshan Padmanabhan: Yes, so what I'm trying to understand is today when you are looking at the product called Glufosinate, the prices have come down so sharply that hardly seen the scenario where the prices, I mean, nobody is making money or roughly the largest people are making money. Most have been integrated. But it does not make sense to manufacture certain molecules and then the prices are likely to kind of reverse. I mean, I'm just trying to figure out whether this is the right one?

Anish Ganatra: Yes, see, I mean, again, you have got to appreciate our portfolio on the agrochem side. A large part of our portfolio is on the innovator side, and to some extent, therefore, we remain insulated from the onslaught of the generics, okay Now, again within that context, one has to remember that we continuously work with our customers to look at new ways and new routes, new chemistries to produce the same outcome more efficiently, more effectively, and thereby help them remain competitive and also protect our EBIT margins. That's just the dynamic nature of the business and that will continue frankly. The environment that we are in, it's obviously made it more imperative, and we continue to work with our customers on that front.

Nitin Kulkarni: Yes, Nitin here. So, basically just to add on what Anish just brief you, if you really look at our customer base in agro space, then these are the top five global innovative companies and the Japanese organizations. And most of the business relationships which we have with them is based on the long-term supply contracts where

we bind each other with respect to the cost

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structure based on our understanding and mutual agreements. And so, what is happening though the Chinese competition is really going very aggressive in the price reduction. But at the same time these global majors wants to keep the alternate supply chain on where they consider Navin in the fluorochemical as one of the partner. So, the pricing structure under which we have entered into understanding with them, it is not going to hit our bottomline and it will reflect the same numbers when it comes to EBITDA which are happening currently at Q1 or Q2 level which we are projecting.

Sudarshan Padmanabhan: One is on the biotech side, fundamentally things have improved. And there are a fair amount of developments happening on the innovator side as well as on the patented side where the large diabetes drugs are going off patent and obesity drugs are going off patent. So, on both the sides, I mean, are we seeing any kind of opportunity with the innovators where we can participate in some of these large initiatives?

Anish Ganatra: So, we are working with innovators and the molecules that we are working on, they are all late stage and commercial molecules. So, they are not in the realm of going off patent or anything like that. I mean, as we've said on the slides, you know, that effectively, our work at the moment and just to give some example here, some color here, right, that we're talking of how our efforts on securing more business is becoming more widespread. The work and the contract we've got with the UK major pharma, we have actually progressed that further from development to scale up now order being received. Similarly, on the Europe major, a pre-validation has been completed. Usually, this takes about 6 months before you get into the next stage of development or the validation, which again we expect to see ourselves securing that order. Similarly, in the US major pharma example that we've quoted there, we've completed the development work and a scale-up order has been received. The idea of showing this is showing the pipeline, showing the breadth of our business development efforts that is going on. And also, our eventual target would be to end up with having one more MSA or a couple more MSA over the years to start showing that growth. But I agree with you that if you start looking at the next 2-3 years, this is a very exciting opportunity for us in terms of growth.

Moderator: Thank you. We have our next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: First question is on the overall industry and industry growth construct. So, as of now, we are talking about the destocking phenomenon, which is more of a supply side issue. Are we seeing any challenge on the end demand side looking at sharp fall that we have seen in global crop prices or adverse weather conditions? So, that is the first question.

Anish Ganatra: I mean, see fundamentally we have to understand that what drives the demand in the Agrochem sector. Ultimately, we are catering to the crop protection business. Crop protection for an end user is directly proportional to their outcomes on yield per acre. Agriculture demand is growing as everybody knows that. The crop protection need will continue to grow. So, fundamentally at a construct level, nothing is changing here. This is a phenomenon that we are going through. We

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are seeing how inventory levels were stocked up following COVID. Interest rates were high, so, people are looking to bring the inventories down. It is the same story playing out. And as things play out, the weather is playing its part in the game with changing crop patterns etc. So, what's happening out there is farmers are now actually looking to stock up things c

loser to the time of

application as opposed to buying it ahead of a season, and all this starts playing its downstream effects, including deferred purchasing decisions, etc. So, while it's a temporary thing, and as we had already anticipated, if you refer to our discussions even in the last call, we had said that FY 25 is going to be a story of two halves, first and second, right? The first half, we'd always said that Agchem delivery from our discussions with our customers looks to start recovering in the second half and that too in a gradual fashion. So, I think it's playing out as anticipated to be honest.

Keyur Pandya: Okay, noted. Second question is on the Rs. 540 crores CAPEX that we are commissioning in September '24. If you can just throw more light on the product and is it catering to the end product is patented or it is off-patented, and any of these new projects, are they impacted by over supply from China and there's more competitive prices being asked from your customers. So, does the economics change for the new project?

Anish Ganatra : So, the way this is constructed Keyur is that when we get into these arrangements, we ensure that the commercial arrangement protects our minimum sort of offtake as also our economics.

And that is the fundamental way how these contracts are constructed. Now to answer your point, that particular molecule is actually a requirement for at least four large majors, not just one. And it goes into multiple products, some generics and some patented as well. So, it's a combination of everything. Like I have said before, the pressure from Chinese generics means that we will have to work closer with our customers in giving them value and that is an ongoing conversation and that's an ongoing business as usual thing to be honest. No business can sit here and take a pricing call for the next 7 years and hold that constant. You will have to constantly work with your partners and find different ways, different R&D and that's what we bring on the table. One of our thinking behind setting up a R&D center in Surat at a significant cost and setting it up as a world-class unit was also to ensure that one, we continue to build up pipelines, which we are doing, as also work with these customers on different synthesis, different routes to deliver greater value while also delivering value to our bottomline.

Keyur Pandya : Sure. Just one last bookkeeping question. The interest cost that we have seen Q-on-Q has seen a fall of Rs. 2 crores or Rs. 3 crores. I mean, just mathematically looking at increased gross borrowing, interest cost probably should have gone up. So, is there any abnormality or we should continue with this kind of quarterly run rate of interest cost? Thank you and all the best.

Anish Ganatra : So, again, so you are right, the interest cost has come down Q-on-Q and year-on-year, certainly.

I mean, that's partly because of the various efforts we've taken. So, just to give you an example, as our cash position improves with greater focus on working capital, we're also borrowing less on an average on the working capital. So, that helps you drive some savings on the interest cost.

Simultaneously, we also are working with our lenders to reduce the spread rate. So, some of

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those also start featuring there because we are optimizing. As we continue to strengthen our balance sheet, we believe we can command better spread rates and that's also playing out over there. The third thing you see is that, you have got to remember that over the years, since last June, we've also funded a significant portion through inter-Company borrowings, which do get interest paid, but then they get offset when you look at the consolidated numbers because it's from one entity to another entity. And so there are several factors here to answer your question on run rate. Obviously as the new agro chem, a

grofluoro specialty plant comes on stream, the

interest associated with those borrowings will start to see themselves future in the P&L. Yes, so you should factor those kinds of things as we progress. But otherwise on where we are today, this is the run rate really.

Moderator : Thank you. The next question is from the line of Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker : Sir, just one question on the Spec Chem business in particular. So, last year we had anyways witnessed fair degree of erosion on the base business, which was there in FY23 and new products had contributed to FY24 revenue. Going in that line for FY25, what explains this dip in the first quarter and how should we see that? The expectation was at some stage the base business also comes back and new products also start to contribute. How should we look at the Spec chem business in FY25 and particular in 26?

Anish Ganatra : That is a good question Chetan. I mean if you look at what we are doing, once again I'm going to bring back to the R&D and the molecules we are introducing. If you look at the two molecules that we've talked about, one is the agro molecules being added in Surat with the annual revenue potential of Rs. 40 or Rs. 50 crore that Nitin talked about that's coming in Surat. The CAPEX of Rs. 30 crore to a development of new capability again is coming in Surat and that's going to be commissioned and will be coming in this quarter itself, Q2 only. And again that will start to show incrementally revenue from the following quarter onwards. So, while we are seeing that Surat assets are the assets in the base business, we continue to look at new molecules to replenish that. And obviously, between Dahej and Surat, we optimize our MPP to make sure that depending on where a molecule can be made more efficiently at the scale required, given that Dahej is a new asset, that molecule gets delivered to Dahej. And what we also then do is make sure that our utilization in Surat is continued with some of the new molecules that we develop. That's an ongoing journey. I mean, we don't look at this as NFIL and NFASL, just to clarify. It is a consolidated asset that we optimize across both locations.

Chetan Thacker : Understood. And just to get a sense we do not expect the base business to come back in the meaningful manner in FY25, that would be a fair assessment given what you are hearing from your customers at this point of time?

Anish Ganatra : So, I think what you should see, and I'll probably say what I have said before, is that we should start to see some uptick in demand at the end of Q2, which again, we can probably give you an update at that point in time. But obviously as that demand upticks, the uptick will go both in the

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base and the new assets also being commissioned. But to answer your point over there, in a meaningful sense, we should start to see the base grow also more in the next year onwards. That's the way I would hold it.

Moderator : Thank you. We have our next question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : I got first question on the NFASL side, which is console minus standalone. The revenues there have declined 28% quarter-on-quarter, while we have said that HFO production has optimized. What explains this sharp drop in sequential while the HFO which is the larger CAPEX among the three performing well and also request to share the capacity utilization in the MPP plant as well as dedicated agro plant. That's my first question?

Anish Ganatra : Hi, Sanjesh. So, good evening. See NFASL, as you rightly said, we're seeing HFO at optimal performance. The decline you see is really the effects of the Agchem conditions that we talked about. Again, over there, one has to remember that both within the MPP, we have contracts which are take or pay and committed

contracts. And also in the dedicated plant, there's a take or pay contract. So, some of those orders have come in this quarter. And to the extent those contracts relate to a delivery in a calendar year. So, some of those will be deferred in the next quarter. So, that's the way I would look at it. Utilization, again, to your point, I have mentioned this in the last sessions, Sanjesh. We should look at utilization more from a point of view of peak revenues achieved over a whole year rather than one quarter to another quarter because in this environment, purchasing decisions are getting deferred to the point of, as we said, if the end user is talking of looking at deferring decisions closer to application, the entire channel inventory is also looking to defer decisions and minimize and optimize their inventory area. So, if we look at the full year position, I think we would still be at similar levels that we talked in the last call, which would be for MPP, I think this year you would see something like 70% to 80% utilization, Freesia you would see probably 80% utilization as well, as we talked last based on what we have over site of our projections and the order book, yes?

Sanjesh Jain : Got it. That's fairly clear. An associate question there again is gross profit margin. Revenue, I can understand. As you said, there is a pushback. There is also a 400 basis point gross profit margin decline on a standalone minus consolidated. Is that the change in the product mix is also having an impact on the margins?

Anish Ganatra : So, the gross margin and you are saying standalone minus NFASL. So, you are looking at NFIL, is it? And you are comparing the drop versus what?

Sanjesh Jain : Last quarter.

Anish Ganatra : So, again on the last quarter, when you look at this, on the gross profit level in the last quarter, see some of the things we will find will be related to both. So, if I look at the NFIL, basically ref business and the Agchem business in the baseline, right, and CDMO business. CDMO, revenues

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are lower. So, you will see some of that getting played out on a year-on-year basis. And also, from a point of view of, if you compare year-on-year, I think you will see the stark differences because Q1 of last year, obviously had a huge amount of uptick from the ref gas price environment, right? If you look on the consolidated level, you will find that compared to the last quarter, we are actually having a higher margin gross profit.

Sanjesh Jain : That's all because of the standalone. We had a higher contribution of domestic ref gas as well as the CDMO. But when I deduct it from consolidated minus standalone, what I get is NFIL, which is advanced science, NFASL. There is a drop of 400 basis point in the margin, which is in our subsidiary?

Anish Ganatra : There you will see because of the deferral of orders in the Agchem, right, because HFO is doing pretty well. So, there's only two verticals over there. That would be obvious. That is linked to what we just said, Sanjesh, that the purchasing behaviors are today what we see that customers are deferring purchasing to more closer to applications. So, that we see play out.

Sanjesh Jain : But we haven't changed any pricing whether it is HFO or Agchem or in the MPP, we haven't made any changes to the pricing.

Anish Ganatra: No, see in HFO, our gross profit is pretty much (protected with) pass through, right? If we have a certain cost increase, it gets passed through and in the Agchem again, we haven't changed prices in that sense. So, I don't see that as the reason.

Sanjesh Jain : That is not the reason. That's fairly clear. Thanks for all the answers and best of luck for the coming quarters.

Moderator : Thank you. We have our next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: First question is the specialty chemical business. The decline that we've seen, is it entirely

attributable to inventory restocking or have we seen any wallet share loss with our customers given Chinese are more aggressive in the market or any price erosion in any of our key products in specialty chemicals?

Anish Ganatra : So, a large part of the impact in the Spec chem is on volume side. Some amount you will see that on the pricing side while we've not sort of, as I have said, from us when we look with the customer, we look more at our margins. And if we are able to protect our margins through different synthesis and routes, we do that. So, some of that also is being played out.

Madhav: I was asking that for our key products, which we are supplying to our customers, has there been any change in wallet share? Like have they shifted sourcing to China because they are like sort of driving down the price? So, have you seen any loss of wallet share?

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Anish Ganatra : No, not for the key customers, like I said, because our philosophy has largely been contracting and holding with firm arrangements, we don't see that shift. We see more deferral of buying decisions from one quarter to the next.

Madhav: And the second question was on the R32 capacity which came in the 5000 tonnes, was that running at peak utilization in Q1? So, if I just do a maths, like 1250 tonnes is peak capacity is what we run at or it runs differently based on the season?

Anish Ganatra : No, R32 is more than the capacity. So, we've had a very solid and strong response in the market on R32. It's ramped up to what you can, it's juiced out.

Madhav: Just last part if you could remind me like when did we start producing the new R32s?

Anish Ganatra : This was in July last year. That's when we started. Of course it took a couple of months to ramp up, but that's when we started.

Moderator: Thank you. We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Welcome to Mr. Kulkarni and all the best. So, just two from my side. Anish Bhai, just one on the Rs. 540 crore Agchem plant which is about to get commissioned. So, just sort of wondering what sort of capacity utilization we could expect maybe for fiscal 25 this current year and then how much for next year from that plant. And number two, what would be incremental depreciation and finance cost attributable to that plant B, I guess it will start hitting the financials from 2Q onwards or will it be 3Q onwards, please?

Anish Ganatra : So, on the first question about the 540 crore, the utilization for this year etc., as we've said before, Abhijit, the firm purchase order from customer for this year's capacity is already with us. So, that will start in September and then slowly ramp up to the end of the year, right? That's what we are looking at. And our endeavor is to meet the firm customer order that we already have in place for that. The strategy around that plant, as you know, half of it is dedicated and half of it was own account. Our approach for this year was always to meet the customer demand and carry through some qualifying campaigns so that going into next year we have those orders.

Additionally, as I have also said before, that at the customer's cost, we are also upgrading the

flexibility of that plant to cater to additional molecule. On the second question around depreciation and interest, so obviously when it starts in September, we will start taking both the depreciation charge and the interest into the P&L. Interest, I would roughly take as about 8%, which is what we would look at in terms of what would go into the P&L. And depreciation over 20 years, roughly. Again, we'll look at that at the time when we capitalize, but that's the typical charge we will take on.

Abhijit Akella : Sorry, Anish Bhai, I missed, you said 10 years, is it?

Anish Ganatra : 20.

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Abhijit Akella : And the 8% will be on the entire CAPEX amount of Rs. 540 crores?

Anish Ganatra : Yes, finance cost will come in. And again, of course, it will come in only for a month or as long as the plant is commissioned during this period. And then on a quarterly basis from the following quarter, the whole thing will hit the P&L.

Abhijit Akella : And we have orders in hand for the 50% that is the dedicated portion. So, that is what we should expect in run at full utilization this year?

Anish Ganatra : Yes. Because if you look at it, if the plant comes in September, then from September to March, the full plant is only available for 50% of the whole year. So, so it's actually the full capacity is what we actually have the orders for.

Abhijit Akella : So, the entire 100% of the plant is sold out as of now?

Anish Ganatra : If you think of this year, so if you remember, half of that capacity was dedicated and half was to our own account. Now given this, we would always have to run qualification campaigns. So, our original base case plan was that for the first year, we will run this plant to meet the dedicated capacity, which is exactly what will happen, which is half, right? So, the plants aren't divided. It's not like I will run only half a plant to meet the demand, the capacity is divided. If the whole plant is running and I have orders for that capacity, in six months, I have my intent and endeavor will be to meet that order fully. Additionally, I would also want to do a couple of metric tonnes, 100 metric tonnes or so, to actually do qualification rounds so that my order book for the following year gets secured.

Abhijit Akella : Just one other thing was on the hydrogen fluoride plant that's going to come up by end of the year, the AHF plant. Approximately how much would we expect to consume captive versus sell in the merchant market? Thank you.

Anish Ganatra : So, the AHF plant is double our current capacity in Surat as you know. So, combined, we will have, I mean, again, I have to probably take you a little bit back here because when our sort of HFO plants started in Dahej and we started to utilize more HF captive, we actually stood out of the captive market for some time because we didn't have HF. Since then, not only HFO is there, but we've now got two R32 plants. With the result that today, we are actually waiting, we are short of HF in some sense, right because as soon as our R32 plant comes in, again, we are going to need more HF. So, a lot of the HF capacity that's coming on board will start to get utilized internally. Originally, we would look at meeting the market demand to about so I'm just saying this because this is what our peak merchant sales were at one point in time, about 7000-8,000 metric tonnes. So, that's where we would go with the merchant sales. And then of course, as Nitin has also alluded in his speech about the work that's ongoing for the semicon side and the advanced materials, more downstream applications of that HF will start coming through. But that will take some time to mature. So, again, you do an HF plant in this business to stay in business.

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Moderator : Thank you. We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : First question on the Spec chem side. So, the new project that we have announced, Japan based, the customer, Rs. 20- Rs. 30 crores is incremental. The Rs. 40-Rs. 50 crore revenue that we were talking of on the agro side, is it also incremental or is it a part of the earlier MPP that we had commissioned?

Nitin Kulkarni No, this is incremental.

Ankur Periwal : Sure. And how about the molecules that we were commissioning on the Agchem side? If I recollect, there were 4 agro and 1 pharma. Are all of them commissioned now or what is the

status?

Anish Ganatra : No, so these molecules, if you are referring to the pipeline, see our intent is always to do about 4 to 5 molecules each year. And roughly, historically, we've said it will be three to four in agro and one in pharma. But that doesn't mean that's how it plays out, right? As those molecules get done, those campaigns get delivered. And then again it's a campaign nature. You might run a campaign this year, and something may come tomorrow. But the idea is to continuously provide the pipeline for your MPP plants to be utilized fully. And then, if obviously it goes beyond the MPP side, the conversation on dedicated starts, yes.

Nitin Kulkarni : So, if you go through our presentation in the specialty chemical commentary, you will find the various initiatives and the incremental revenue which we are going to get with these three molecules.

Ankur Periwal: Sure. Anish bhai, my question was more specific to the MPP that we had done, Rs. 235 crore CAPEX wherein we were doing four agro and one pharma, we had deferred one pharma earlier. So, has that product come back now or is there any visibility on that?

Anish Ganatra : You are talking of the Dahej MPP plant, that has already commissioned. So, there is Dahej MPP, we are currently doing, I think, about 4 to 5 molecules over there. And with those molecules, some of them like the one that we talked here, the Japanese market will actually be done from Dahej. So, that Rs. 20 to Rs. 30 crore will come into Dahej. So, those agro molecules will come there. I don't think there is a pharma molecule there, to be honest. I don't know where that has come up, but I don't think there is a pharma molecule there.

Ankur Periwal : Okay, fair enough. And just lastly, on the HPP side, you did mention that R32 has been running probably ahead of capacity. Will be fair to say that from a volume perspective, both HPP and R32 would have hit the peak give and take in this quarter, Q1?

Anish Ganatra : I think from a capacity side, true. From a pricing side, not yet. And I think what we are seeing, as we said, but pricing side, we are seeing signs of recovery. And one has to remember that R22, with the cut coming in, is expected to continue to see price rises in the export market. So, that's

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going to become better. R32 is already seeing price rises, even Q-on-Q. And we see that market firming up as well. Additionally, during the quarter itself, we've had a very strong response from even the US and Europe on our R32 demand. And those demands are coming in at a price equivalent or better realization than India. So, despite what one talks about the dumping and all that.

Moderator : Thank you. We have our next question from the line of Surya Narayan from Phillip Capital India. Please go ahead.

Surya Narayan : My first question is on the CDMO business. In the recent quarter that we have seen, even domestic supply is also the kind of key contributing. So, what is the nature of this domestic CDMO business?

Anish Ganatra : Sudhir Narayan, so thanks for the question. I mean, again, if you look at, the typical process of us getting registered with a large player takes time, right? And with the European CDMO, all our molecules under that MSA are likely to be registered. One is already been done. I think two more are expected later in the year. So, until those registrations are completed, we are actually supplying that molecule to a domestic customer at the behest of the global major. It is part of the supply agreement. But that is only till our registration is completed, and then it moves on direct to export. So, it's a temporary thing that you see there.

Surya Narayan : My second question was about this Rs. 540 crore project, which is going to be commissioned soon. Here, you have indicated that you have firm orders, obviously. But given the kind of situation, that was the understandi

ng since some time. But the market is not progressing the way

it was expected because on account of let's say inventory rationalization continued and the Chinese aggression and all that. So, given that, are we sure about the offtake that we will be seeing for the firm order that is there, sir?

Anish Ganatra : Yes, indeed. It's a firm non-cancellable order from a global major. And again, it's a relationship we have, we closely work with, Nitin talks to them regularly. So, does Vishad Bhai and there is absolutely full commitment behind that order.

Nitin Kulkarni : See, this is not a single product relationship with this global act player. There is a basket of products, which is more than 4 or 5 products we offer to them under certain agreements and commitments. So, already this is a matured relationship, and this particular project is part of this relationship to have the robust supply chain. So, all the understanding and deliverables are intact and there is no change in any, I will say, conditions or deliverables than what we have already agreed to. So, everything is well in place.

Surya Narayan: Just last one, sir. One clarification about the pricing trend for the let's say HFO, whether there is any dent or any correction that you are witnessing and the same would be the question about

even for CDMO, have you seen any kind of price erosion kind of a trend for your existing products?

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Nitin Kulkarni : No, as far as HFO is concerned, we have the pass-through understanding with the customer.

Anish Ganatra : So, our margins are protected completely. There is no sort of price conversation over there. On the CDMO front, again, if you look at the scale of these molecules, when you work with late-stage commercial and any of these molecules that are potentially blockbusters, the end product is more than billions of dollars, right? And the intermediate cost is a very small fraction of it. It's a service industry rather than a cost driven industry. You have got to make sure that you take the product, run the chemistry and provide it in time. That's the main part of the business.

Nitin Kulkarni : So, the quality and the on-time delivery, that is the key rather than looking at some commercial benefits here and there.

Moderator : Thank you. We have our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani : I have a question on the Spec chem side, but I think you have answered that a lot of details. So, just one question on the CDMO. I know it is bit tough to kind of give a number here, but given the extent of pipeline that you have, would it be possible to give a simplistic guide path in terms of how we should think about F25 versus F24 and maybe F26 versus F25?

Anish Ganatra : So, F25 will definitely be better than F24. There is no sort of, as the quarters go past and as the order book visibility improves, our confidence on that is increasing. So, there's no doubt about that. FY26 rather than say that, I would probably give you an indication that if all of this plays out in the way we are thinking, FY27, the 100 million aspirations should be with us. We should be there.

Vivek Rajamani: So, FY27 is where you think you will hit your 100 million aspiration, correct?

Anish Ganatra : Correct. And there's a logic, right, that the extra capacity that we are putting on is coming on stream at the end of calendar year 25. That itself is coming in FY26. So, a year from there is what we are saying.

Nitin Kulkarni : And that is quite sizable on capacity we are putting in .

Moderator: Thank you. We have our next question from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: One question on the Rs. 540 crore CAPEX, we had a Rs. 600 crore sales guidance that we ventured a few quarters ago given the deterioration in prices that we have seen over the last few

quarters would that number still stay and also if you can give a margin guidance as to what we can expect that to be. Thank you.

Anish Ganatra : So, the Rs. 540 crore CAPEX will come on stream in September which will be FY25, and peak revenues are still being targeted in 2 years. So, we are still holding the FY27 for peak revenues

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and I think we have said 1.1 or something like that on the peak revenues. That continues to be the case as we stand now. Our intent and endeavor is always to make sure that the return, which is the EBITDA margin out of the project starts to deliver where we think it is. And in terms of guidance on that, I think again, yes, see one way to look at it is we've always been guiding an overall number that we see ourselves in at 24% to 25% EBITDA, right? So, that's what one would hold on. But remember, these are all snapshot numbers that I'm telling you. They're true as I tell you. As things move, things will move. There is a business dynamism around lot of these.

Archit Joshi : So, the price deterioration has not impacted that peak number that we were targeting. That was the only limited clarification I was thinking?

Anish Ganatra : No like I said, we are also adding in the flexibility for a different molecule. So, it's a combination of everything. But the drive will be to get to the peak.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : The first question is in terms of the CDMO for pharma and on the agrochemical side under the specialty chemicals basket. What would be the geography in terms of Europe and US? And in the last couple of years after the COVID-related restrictions have been over in China, have we seen competition from Chinese people for the newer projects, obviously for the historical projects they are already secured but in terms of newer projects on both these segments. Thank you.

Anish Ganatra : So, CDMO pharma, I mean frankly has got a lot of tailwinds just from the Bio Secure Act. I mean if you look at what's happening, we are seeing an increasing number of RFPs from global majors. Everybody is looking to derisk their portfolio and obviously India is going to benefit out of that. So, frankly, we are happy with the level of inquiries we are getting. Our aim is to convert more and more of those into orders and then from orders to large orders and then possibly some MSAs. Yes, that's the way we look at it. On the agro side, again, we have made some entry into the CDMO space there too. And the idea again is that while we work and as we have our R&D center in Surat, the idea will be to work closely with large innovators early in their product development stage so that we can help them not only develop the molecule but also test it at lab and pilot levels and then eventually scale it commercially for us. Nitin, you want to add anything on that?

Nitin Kulkarni : No, he was talking about the geography, where we are. So, we are quite present in Europe, US, as well as he was talking about agro as well as pharma. So, I think Japan, Europe and US, these are the three regions where we are actively involved when it comes to CDMO linked with agro as well as pharma. And we haven't seen any decline in the demand for the products which we are supplying to them from last more than three to four years except the deferment of the volumes when it comes to agro segment because of the current market conditions.

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Rohit Nagraj : Just I can squeeze in, in terms of CAPEX, so current CAPEX will get over by FY25 end. What is the next leg of CAPEX that we will need for maybe growth beyond FY27? When will we start working on that. Thank you so much.

Anish Ganatra : Yes, so again a good question. I mean, as we finish this FY25, we will be sort of act

ual CAPEX

outflow which will be in the range of about Rs. 600 to Rs. 650 odd crores. By the middle of calendar year 2025, we will start to formulate some views on where the next growth of CAPEX is, but what we are doing in the meantime is ensuring that our balance sheet strength, the conversion of EBITDA into cash flow and our net debt to equity remains within the guidance that we've indicated, such that those CAPEXs are then pushed out. Some glimpse has already been given in Nitin's conversation earlier, where he shared about the work that is being done in the performance material area. So, all I can say is, watch that space.

Moderator : Thank you. Ladies and gentlemen, that would be the last question for today due to time constraints and I would now like to hand the conference over to the management for closing comments.

Anish Ganatra : All right, I just want to take the opportunity to thank you all for taking the time out and joining the call today. Hope that we've been able to answer your queries adequately. And thank you, and good evening, all. Good night. Take care.

Moderator : Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 05, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 30, 2024 regarding discussion on operational and financial performance for the quarter ended June 30, 2024 (Q1 of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited Q1 FY25
Earnings Conference Call"

July 30, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – EXECUTIVE CHAIRMAN ,
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR, NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CFO, NAVIN FLUORINE
INTERNATIONAL LIMITED
MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Navin Fluorine International Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you and over to you, Mr. Shah.

Bhavya Shah : Welcome to the Q1 FY25 Earnings Conference Call. Today, on this call, we have with us Mr. Vishad Mafatlal – Chairman, Mr. Nitin Kulkarni – Managing Director and Mr. Anish Ganatra – Chief Financial Officer of Navin Fluorine International Limited.

This Conference Call may contain forward-looking statements about the Company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page #2 of investor presentation of the Company which has been uploaded on the stock exchange and Company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his Opening Remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q1 FY25 Earnings Call. I am joined by our Managing Director – Nitin Kulkarni; our CFO, Anish bhai and Payal from Orient Capital, our Investor Relations Advisor.

I hope everyone got an opportunity to go through our financial results and investor presentations which have been uploaded on the stock exchange as well as our Company's website.

Before I move on to discussing key business updates, let me introduce Nitin to you all. Nitin took charge as Managing Director of our Company on June 24th. Nitin brings over three decades of rich experience across the specialty chemicals value chain. He is a highly respected leader with a proven track record of driving growth, establishing new business verticals, embedding manufacturing excellence and execution of large projects both brownfield and greenfield. He is well connected in the industry with strong and deep relationships across leading domestic and global majors. In his last role, Nitin was an Executive Director at OC Specialty for over a decade. Prior to that, he had worked with Navin Fluorine for a period of 7 years, heading BD, where he was instrumental in establishing the specialty chemical business. He also worked with Aditya Birla Group Chemicals Business including Tanfac and HUL (Lakme). We welcome Nitin to Navin, and we are sure that the Company will scale new heights under his leadership.

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Moving on to discussion on business:

Our focus remains on achieving operational excellence, ensuring financial robustness, and executing our plans with discipline. We continue to make progress in diversifying our revenue streams, strengthening our partnerships, and building scalable platforms. These initiatives are foundational to our long-term sustainable growth and profitability. In the last quarter, despite adverse market conditions, we recorded a robust 7% year-on-year topline growth. Revenue growth was underpinned by stable orchid operations and strong sales of our new R32 capacity. Agro demand continued to witness near-term headwinds with global majors rationalizing inventory levels, impacting our specialty business.

In CDMO, our strategy to increase share of late commercial molecules is bearing results with increasing success with big pharma customers. We continue to believe second half of Navin Fluorine will be better than the fi

rst half with improving margin trajectory.

Let me also give you a quick update on the capacity expansion:

Over the past year, we have launched several expansion projects, and I am happy to report that all of them are advancing smoothly. Our agro-specialty project with a CAPEX of Rs. 540 crores is targeted to commence commercial production by September. As mentioned, we have secured firm orders for the dedicated capacity for Financial Year 2025. Our AHF project involving an outlay of Rs. 450 crores and enhancing our HF capacity by 40,000 metric tonnes at Dahej is on track to commence by end Financial Year 2025, early Financial Year 2026. This expansion will support the growing demand from emerging and new sectors. Phase 1 of the approved Rs. 288 crores cGMP-4 CAPEX is underway, progressing to plan for commissioning by end of Calendar Year 2025. Additional R32 CAPEX of Rs. 84 crores to boost capacity by 4,500 tonnes is on track for completion by February 2025. Given the high operating level of our existing R32 capacity and with a solid pipeline of inquiries, additional capacities will be ramped up at a faster pace upon commissioning.

The Rs. 30 crores CAPEX for development of new capability in Surat, which is progressing as planned to be commissioned during quarter 2 Financial Year 2025. Our existing partnerships with key global players continue to deepen while we continue to make progress on expanding to newer partnerships, both in the product and service play.

Before I end, let me once again assure you our long-term view of our businesses remain intact, and we are well positioned to secure growth opportunities.

I would now like to request Nitin to discuss the Operational Highlights of the business.

Nitin Kulkarni: Thank you, Vishad Bhai. Good evening, everyone. And thank you for joining our call at this hour.

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It is still early days for me at Navin, though my initial impressions are extremely encouraging. And I believe that we have done reasonably well in this quarter in what is otherwise a challenging industry environment. While I continue to connect with employees, customers and other key stakeholders, I am also clear that in the near term and particularly in coming quarters, our key priority will be to maximize capacity utilization, improve productivity and drive efficiencies while commissioning projects and developing growth opportunities.

Let me start my discussions with segment-by-segment performance update:

So, to begin with the HPP vertical, the revenue for this vertical increased from Rs. 169 crores in Q1 FY24 to Rs. 281 crores in Q1 FY25 which is 66% YoY growth. Good performance was a result of stable HFO operations and strong sales of new R32 capacity. We are seeing healthy domestic and export order book for R32. The pricing for this product is showing an uptick in the domestic market and this reaffirms our decision to double our R32 capacity which will be operational by February 2025.

Compared to Q4 FY24:

R22 prices are also showing signs of improvement in the export market. We have also seen an increase in volumes in the last quarter at our HFO plant in Dahej, reflecting both in the quarterly sales as well as in margins. Our HS, R22, R32 and HFO plants have operated at optimal capacity for another consecutive quarter.

As far as Spec Chem, our specialty vertical is concerned, the revenue for this vertical decreased from Rs. 230 crore in Q1 FY24 to Rs. 160 crore in Q1 FY25. This is 30% YoY decline. As anticipated, specialty chemical vertical got impacted due to inventory level rationalization by global agro major reflecting in deferred purchasing decisions. We continue to maintain that demand scenarios should start to show recovery in second half of FY25. Irrespective of such market conditions, during this quarter, we have continued to strengthen our product pipeline in specialty chemical vertical

by leveraging on our newly established R&D center at Surat. We have added a new molecule at Surat for global agro major with a peak annual revenue potential around Rs. 40 to Rs. 50 crore over a period of next three years. Complementing to this, we have also signed the supply agreement for a patented agro product catering to the Japanese market with an incremental annual revenue potential of Rs. 20 to Rs. 30 crores from Calendar Year 2025.

In the coming quarter, our key priority remains to safely commission the new specialty CAPEX, which is already in place. As far as CDMO vertical is concerned, the revenue of this vertical decreased from Rs. 92 crore in Q1 FY24 to Rs. 81 crore in Q1 FY25. There is a decline of 13% YoY in this particular segment. As we have mentioned in the past, this business cannot be analyzed on a quarterly basis. And our focus here is to improve order visibility, increased share of late stage and commercial molecules while deepening our relationships with big pharma, biotech customers and we are progressing well in this direction. In the last quarter, drug

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application of European big pharma players expanded in one of the therapeutic area, leading to optimism on the initial peak annual revenue projections for the end run. This is clearly a positive development for us.

Apart from these three verticals, our R&D efforts on the performance advance material business continues to make progress, including co-development with leading global performance chemical majors catering to sunrise sectors like semiconductors.

I think with this note, now I would like to hand over to Anish to brief you on financial performance in the Q1 quarter. Over to you, Anish.

Anish Ganatra: Thank you, Nitin. Good evening all and I welcome you all once again on the earnings call. Moving on to the Financial Performance of the Company in Q1 FY25:

We reported revenues of approximately Rs. 524 crores in Q1 FY25, an increase of 7% year-on-year basis, largely led by an increase in revenue from our HPP division. Operating EBITDA for Q1 FY25 was approximately Rs. 100 crores, a drop of 12%. On a year-on-year basis, this reflects the exceptional ref gas pricing witnessed in Q1 last year. Lower specialty sales has also some impact from the lower CDMO mix in the overall revenue basket. Operating EBITDA margins stood at 19.2% as against 23.3% in Q1 of FY24. We continued our trajectory on improving the margins from 15% in Q3 FY24 to 18.3% in Q4 FY24 to 19.2% in the current quarter, and remain on track to improve it gradually during the year.

Profit after tax in Q1 FY25 stood at Rs. 51.2 crores, as against Rs. 61.5 crores in Q1 FY24, a drop of 17%. This reflects higher depreciation costs associated with commissioning of new CAPEXs. We continue to ensure a tight financial framework while it's driving growth. In Q1 FY25, the business generated operating cash flow delivery of Rs. 107 crores, aided by a continuous effort on driving working capital down. Our net debt to equity ratio at the end of June 24 stands at 0.38x, reflecting the strength of our balance sheet. That's all from my side. We can now open the lines for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Sudarshan Padmanabhan from JM Financials. Please go ahead.

Sudarshan Padmanabhan: My question is to dwell a little deeper on your earlier commentaries on the agrochemical environment. So, I mean, even if you are looking at the commentary by other players like (Inaudible), it looks like the scenario continues to remain weak, especially the prices have been coming down. While it is heartening to see that we have been able to get products from Japanese customer and other products in place and going ahead with our Dahej CAPEX. From your investment and return on capital perspective, one i

s with the prices going to the probably the worst levels that we've seen in decades. Is this impacting your ROCE in terms of what you would have initially thought of versus what you are currently negotiating in terms of margins and

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ROCEs and prices? And with respect to this environment, one, how worst do you think it can further go or you can do the bottom? How are we tackling it in terms of our strategy, how are we looking at us doing relatively better in this environment ?

Anish Ganatra: Thanks Sudarshan, you have asked a couple of questions, so let me try and take them one by one. I mean, the first thing on the agrochemical sector itself, again, as you rightly pointed out, that the overall market is reflecting the industry scenario. And this is really a reflection of a couple of things happening here. Obviously, the higher for longer interest rates are affecting, how much people hold as inventory, and everybody is trying to rationalize the inventory levels. Purchasing behaviors are also changing. Having said all of that, the fundamentals at the agrochemical level remain very, very strong in the crop protection business. Every farmer and every end user is ultimately very keen to increase their yield per acre and protect their yield per acre. So, we don't see any fundamental shift in the industry dynamics. We see this more as the market stabilizing as it finishes off the de-stocking levels, establishing new inventory levels, and expect that the demand will start to gradually recover in the second half of the year. So, that's the first question. Your point about the investment and return on capital is actually linked to that. So, while we see these near-term headwinds, we see the absolute EBIT numbers or EBITDA numbers coming down (in line with turnover). But obviously, we are trying to ensure, and we have shown that, that our EBITDA percentage margin is improving quarter-on-quarter, even in this environment. And we will continue with that journey with the intent that ultimately the EBIT will start to reflect a better ROCE that we had originally envisaged. And obviously as the market recovers, you will start to see the ROCE picture that we originally envisaged on the projects.

You had one more question on worse bottom. Can you please repeat that for me?

Sudarshan Padmanabhan: Yes, so what I'm trying to understand is today when you are looking at the product called Glufosinate, the prices have come down so sharply that hardly seen the scenario where the prices, I mean, nobody is making money or roughly the largest people are making money. Most have been integrated. But it does not make sense to manufacture certain molecules and then the prices are likely to kind of reverse. I mean, I'm just trying to figure out whether this is the right one?

Anish Ganatra: Yes, see, I mean, again, you have got to appreciate our portfolio on the agrochem side. A large part of our portfolio is on the innovator side, and to some extent, therefore, we remain insulated from the onslaught of the generics, okay Now, again within that context, one has to remember that we continuously work with our customers to look at new ways and new routes, new chemistries to produce the same outcome more efficiently, more effectively, and thereby help them remain competitive and also protect our EBIT margins. That's just the dynamic nature of the business and that will continue frankly. The environment that we are in, it's obviously made it more imperative, and we continue to work with our customers on that front.

Nitin Kulkarni: Yes, Nitin here. So, basically just to add on what Anish just brief you, if you really look at our customer base in agro space, then these are the top five global innovative companies and the Japanese organizations. And most of the business relationships which we have with them is based on the long-term supply contracts where

we bind each other with respect to the cost

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structure based on our understanding and mutual agreements. And so, what is happening though the Chinese competition is really going very aggressive in the price reduction. But at the same time these global majors wants to keep the alternate supply chain on where they consider Navin in the fluorochemical as one of the partner. So, the pricing structure under which we have entered into understanding with them, it is not going to hit our bottomline and it will reflect the same numbers when it comes to EBITDA which are happening currently at Q1 or Q2 level which we are projecting.

Sudarshan Padmanabhan: One is on the biotech side, fundamentally things have improved. And there are a fair amount of developments happening on the innovator side as well as on the patented side where the large diabetes drugs are going off patent and obesity drugs are going off patent. So, on both the sides, I mean, are we seeing any kind of opportunity with the innovators where we can participate in some of these large initiatives?

Anish Ganatra: So, we are working with innovators and the molecules that we are working on, they are all late stage and commercial molecules. So, they are not in the realm of going off patent or anything like that. I mean, as we've said on the slides, you know, that effectively, our work at the moment and just to give some example here, some color here, right, that we're talking of how our efforts on securing more business is becoming more widespread. The work and the contract we've got with the UK major pharma, we have actually progressed that further from development to scale up now order being received. Similarly, on the Europe major, a pre-validation has been completed. Usually, this takes about 6 months before you get into the next stage of development or the validation, which again we expect to see ourselves securing that order. Similarly, in the US major pharma example that we've quoted there, we've completed the development work and a scale-up order has been received. The idea of showing this is showing the pipeline, showing the breadth of our business development efforts that is going on. And also, our eventual target would be to end up with having one more MSA or a couple more MSA over the years to start showing that growth. But I agree with you that if you start looking at the next 2-3 years, this is a very exciting opportunity for us in terms of growth.

Moderator: Thank you. We have our next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: First question is on the overall industry and industry growth construct. So, as of now, we are talking about the destocking phenomenon, which is more of a supply side issue. Are we seeing any challenge on the end demand side looking at sharp fall that we have seen in global crop prices or adverse weather conditions? So, that is the first question.

Anish Ganatra: I mean, see fundamentally we have to understand that what drives the demand in the Agrochem sector. Ultimately, we are catering to the crop protection business. Crop protection for an end user is directly proportional to their outcomes on yield per acre. Agriculture demand is growing as everybody knows that. The crop protection need will continue to grow. So, fundamentally at a construct level, nothing is changing here. This is a phenomenon that we are going through. We

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are seeing how inventory levels were stocked up following COVID. Interest rates were high, so, people are looking to bring the inventories down. It is the same story playing out. And as things play out, the weather is playing its part in the game with changing crop patterns etc. So, what's happening out there is farmers are now actually looking to stock up things c

loser to the time of

application as opposed to buying it ahead of a season, and all this starts playing its downstream effects, including deferred purchasing decisions, etc. So, while it's a temporary thing, and as we had already anticipated, if you refer to our discussions even in the last call, we had said that FY 25 is going to be a story of two halves, first and second, right? The first half, we'd always said that Agchem delivery from our discussions with our customers looks to start recovering in the second half and that too in a gradual fashion. So, I think it's playing out as anticipated to be honest.

Keyur Pandya: Okay, noted. Second question is on the Rs. 540 crores CAPEX that we are commissioning in September '24. If you can just throw more light on the product and is it catering to the end product is patented or it is off-patented, and any of these new projects, are they impacted by over supply from China and there's more competitive prices being asked from your customers. So, does the economics change for the new project?

Anish Ganatra : So, the way this is constructed Keyur is that when we get into these arrangements, we ensure that the commercial arrangement protects our minimum sort of offtake as also our economics.

And that is the fundamental way how these contracts are constructed. Now to answer your point, that particular molecule is actually a requirement for at least four large majors, not just one. And it goes into multiple products, some generics and some patented as well. So, it's a combination of everything. Like I have said before, the pressure from Chinese generics means that we will have to work closer with our customers in giving them value and that is an ongoing conversation and that's an ongoing business as usual thing to be honest. No business can sit here and take a pricing call for the next 7 years and hold that constant. You will have to constantly work with your partners and find different ways, different R&D and that's what we bring on the table. One of our thinking behind setting up a R&D center in Surat at a significant cost and setting it up as a world-class unit was also to ensure that one, we continue to build up pipelines, which we are doing, as also work with these customers on different synthesis, different routes to deliver greater value while also delivering value to our bottomline.

Keyur Pandya : Sure. Just one last bookkeeping question. The interest cost that we have seen Q-on-Q has seen a fall of Rs. 2 crores or Rs. 3 crores. I mean, just mathematically looking at increased gross borrowing, interest cost probably should have gone up. So, is there any abnormality or we should continue with this kind of quarterly run rate of interest cost? Thank you and all the best.

Anish Ganatra : So, again, so you are right, the interest cost has come down Q-on-Q and year-on-year, certainly.

I mean, that's partly because of the various efforts we've taken. So, just to give you an example, as our cash position improves with greater focus on working capital, we're also borrowing less on an average on the working capital. So, that helps you drive some savings on the interest cost.

Simultaneously, we also are working with our lenders to reduce the spread rate. So, some of

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those also start featuring there because we are optimizing. As we continue to strengthen our balance sheet, we believe we can command better spread rates and that's also playing out over there. The third thing you see is that, you have got to remember that over the years, since last June, we've also funded a significant portion through inter-Company borrowings, which do get interest paid, but then they get offset when you look at the consolidated numbers because it's from one entity to another entity. And so there are several factors here to answer your question on run rate. Obviously as the new agro chem, a

grofluoro specialty plant comes on stream, the

interest associated with those borrowings will start to see themselves future in the P&L. Yes, so you should factor those kinds of things as we progress. But otherwise on where we are today, this is the run rate really.

Moderator : Thank you. The next question is from the line of Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker : Sir, just one question on the Spec Chem business in particular. So, last year we had anyways witnessed fair degree of erosion on the base business, which was there in FY23 and new products had contributed to FY24 revenue. Going in that line for FY25, what explains this dip in the first quarter and how should we see that? The expectation was at some stage the base business also comes back and new products also start to contribute. How should we look at the Spec chem business in FY25 and particular in 26?

Anish Ganatra : That is a good question Chetan. I mean if you look at what we are doing, once again I'm going to bring back to the R&D and the molecules we are introducing. If you look at the two molecules that we've talked about, one is the agro molecules being added in Surat with the annual revenue potential of Rs. 40 or Rs. 50 crore that Nitin talked about that's coming in Surat. The CAPEX of Rs. 30 crore to a development of new capability again is coming in Surat and that's going to be commissioned and will be coming in this quarter itself, Q2 only. And again that will start to show incrementally revenue from the following quarter onwards. So, while we are seeing that Surat assets are the assets in the base business, we continue to look at new molecules to replenish that. And obviously, between Dahej and Surat, we optimize our MPP to make sure that depending on where a molecule can be made more efficiently at the scale required, given that Dahej is a new asset, that molecule gets delivered to Dahej. And what we also then do is make sure that our utilization in Surat is continued with some of the new molecules that we develop. That's an ongoing journey. I mean, we don't look at this as NFIL and NFASL, just to clarify. It is a consolidated asset that we optimize across both locations.

Chetan Thacker : Understood. And just to get a sense we do not expect the base business to come back in the meaningful manner in FY25, that would be a fair assessment given what you are hearing from your customers at this point of time?

Anish Ganatra : So, I think what you should see, and I'll probably say what I have said before, is that we should start to see some uptick in demand at the end of Q2, which again, we can probably give you an update at that point in time. But obviously as that demand upticks, the uptick will go both in the

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base and the new assets also being commissioned. But to answer your point over there, in a meaningful sense, we should start to see the base grow also more in the next year onwards. That's the way I would hold it.

Moderator : Thank you. We have our next question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : I got first question on the NFASL side, which is console minus standalone. The revenues there have declined 28% quarter-on-quarter, while we have said that HFO production has optimized. What explains this sharp drop in sequential while the HFO which is the larger CAPEX among the three performing well and also request to share the capacity utilization in the MPP plant as well as dedicated agro plant. That's my first question?

Anish Ganatra : Hi, Sanjesh. So, good evening. See NFASL, as you rightly said, we're seeing HFO at optimal performance. The decline you see is really the effects of the Agchem conditions that we talked about. Again, over there, one has to remember that both within the MPP, we have contracts which are take or pay and committed

contracts. And also in the dedicated plant, there's a take or pay contract. So, some of those orders have come in this quarter. And to the extent those contracts relate to a delivery in a calendar year. So, some of those will be deferred in the next quarter. So, that's the way I would look at it. Utilization, again, to your point, I have mentioned this in the last sessions, Sanjesh. We should look at utilization more from a point of view of peak revenues achieved over a whole year rather than one quarter to another quarter because in this environment, purchasing decisions are getting deferred to the point of, as we said, if the end user is talking of looking at deferring decisions closer to application, the entire channel inventory is also looking to defer decisions and minimize and optimize their inventory area. So, if we look at the full year position, I think we would still be at similar levels that we talked in the last call, which would be for MPP, I think this year you would see something like 70% to 80% utilization, Freesia you would see probably 80% utilization as well, as we talked last based on what we have over site of our projections and the order book, yes?

Sanjesh Jain : Got it. That's fairly clear. An associate question there again is gross profit margin. Revenue, I can understand. As you said, there is a pushback. There is also a 400 basis point gross profit margin decline on a standalone minus consolidated. Is that the change in the product mix is also having an impact on the margins?

Anish Ganatra : So, the gross margin and you are saying standalone minus NFASL. So, you are looking at NFIL, is it? And you are comparing the drop versus what?

Sanjesh Jain : Last quarter.

Anish Ganatra : So, again on the last quarter, when you look at this, on the gross profit level in the last quarter, see some of the things we will find will be related to both. So, if I look at the NFIL, basically ref business and the Agchem business in the baseline, right, and CDMO business. CDMO, revenues

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are lower. So, you will see some of that getting played out on a year-on-year basis. And also, from a point of view of, if you compare year-on-year, I think you will see the stark differences because Q1 of last year, obviously had a huge amount of uptick from the ref gas price environment, right? If you look on the consolidated level, you will find that compared to the last quarter, we are actually having a higher margin gross profit.

Sanjesh Jain : That's all because of the standalone. We had a higher contribution of domestic ref gas as well as the CDMO. But when I deduct it from consolidated minus standalone, what I get is NFIL, which is advanced science, NFASL. There is a drop of 400 basis point in the margin, which is in our subsidiary?

Anish Ganatra : There you will see because of the deferral of orders in the Agchem, right, because HFO is doing pretty well. So, there's only two verticals over there. That would be obvious. That is linked to what we just said, Sanjesh, that the purchasing behaviors are today what we see that customers are deferring purchasing to more closer to applications. So, that we see play out.

Sanjesh Jain : But we haven't changed any pricing whether it is HFO or Agchem or in the MPP, we haven't made any changes to the pricing.

Anish Ganatra: No, see in HFO, our gross profit is pretty much (protected with) pass through, right? If we have a certain cost increase, it gets passed through and in the Agchem again, we haven't changed prices in that sense. So, I don't see that as the reason.

Sanjesh Jain : That is not the reason. That's fairly clear. Thanks for all the answers and best of luck for the coming quarters.

Moderator : Thank you. We have our next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: First question is the specialty che

mical business. The decline that we've seen, is it entirely attributable to inventory restocking or have we seen any wallet share loss with our customers given Chinese are more aggressive in the market or any price erosion in any of our key products in specialty chemicals?

Anish Ganatra : So, a large part of the impact in the Spec chem is on volume side. Some amount you will see that on the pricing side while we've not sort of, as I have said, from us when we look with the customer, we look more at our margins. And if we are able to protect our margins through different synthesis and routes, we do that. So, some of that also is being played out.

Madhav: I was asking that for our key products, which we are supplying to our customers, has there been any change in wallet share? Like have they shifted sourcing to China because they are like sort of driving down the price? So, have you seen any loss of wallet share?

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Anish Ganatra : No, not for the key customers, like I said, because our philosophy has largely been contracting and holding with firm arrangements, we don't see that shift. We see more deferral of buying decisions from one quarter to the next.

Madhav: And the second question was on the R32 capacity which came in the 5000 tonnes, was that running at peak utilization in Q1? So, if I just do a maths, like 1250 tonnes is peak capacity is what we run at or it runs differently based on the season?

Anish Ganatra : No, R32 is more than the capacity. So, we've had a very solid and strong response in the market on R32. It's ramped up to what you can, it's juiced out.

Madhav: Just last part if you could remind me like when did we start producing the new R32s?

Anish Ganatra : This was in July last year. That's when we started. Of course it took a couple of months to ramp up, but that's when we started.

Moderator: Thank you. We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Welcome to Mr. Kulkarni and all the best. So, just two from my side. Anish Bhai, just one on the Rs. 540 crore Agchem plant which is about to get commissioned. So, just sort of wondering what sort of capacity utilization we could expect maybe for fiscal 25 this current year and then how much for next year from that plant. And number two, what would be incremental depreciation and finance cost attributable to that plant B, I guess it will start hitting the financials from 2Q onwards or will it be 3Q onwards, please?

Anish Ganatra : So, on the first question about the 540 crore, the utilization for this year etc., as we've said before, Abhijit, the firm purchase order from customer for this year's capacity is already with us. So, that will start in September and then slowly ramp up to the end of the year, right? That's what we are looking at. And our endeavor is to meet the firm customer order that we already have in place for that. The strategy around that plant, as you know, half of it is dedicated and half of it was own account. Our approach for this year was always to meet the customer demand and carry through some qualifying campaigns so that going into next year we have those orders.

Additionally, as I have also said before, that at the customer's cost, we are also upgrading the

flexibility of that plant to cater to additional molecule. On the second question around depreciation and interest, so obviously when it starts in September, we will start taking both the depreciation charge and the interest into the P&L. Interest, I would roughly take as about 8%, which is what we would look at in terms of what would go into the P&L. And depreciation over 20 years, roughly. Again, we'll look at that at the time when we capitalize, but that's the typical charge we will take on.

Abhijit Akella : Sorry, Anish Bhai, I missed, you said 10 years, is it?

Anish Ganatra : 20.

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Abhijit Akella : And the 8% will be on the entire CAPEX amount of Rs. 540 crores?

Anish Ganatra : Yes, finance cost will come in. And again, of course, it will come in only for a month or as long as the plant is commissioned during this period. And then on a quarterly basis from the following quarter, the whole thing will hit the P&L.

Abhijit Akella : And we have orders in hand for the 50% that is the dedicated portion. So, that is what we should expect in run at full utilization this year?

Anish Ganatra : Yes. Because if you look at it, if the plant comes in September, then from September to March, the full plant is only available for 50% of the whole year. So, so it's actually the full capacity is what we actually have the orders for.

Abhijit Akella : So, the entire 100% of the plant is sold out as of now?

Anish Ganatra : If you think of this year, so if you remember, half of that capacity was dedicated and half was to our own account. Now given this, we would always have to run qualification campaigns. So, our original base case plan was that for the first year, we will run this plant to meet the dedicated capacity, which is exactly what will happen, which is half, right? So, the plants aren't divided. It's not like I will run only half a plant to meet the demand, the capacity is divided. If the whole plant is running and I have orders for that capacity, in six months, I have my intent and endeavor will be to meet that order fully. Additionally, I would also want to do a couple of metric tonnes, 100 metric tonnes or so, to actually do qualification rounds so that my order book for the following year gets secured.

Abhijit Akella : Just one other thing was on the hydrogen fluoride plant that's going to come up by end of the year, the AHF plant. Approximately how much would we expect to consume captive versus sell in the merchant market? Thank you.

Anish Ganatra : So, the AHF plant is double our current capacity in Surat as you know. So, combined, we will have, I mean, again, I have to probably take you a little bit back here because when our sort of HFO plants started in Dahej and we started to utilize more HF captive, we actually stood out of the captive market for some time because we didn't have HF. Since then, not only HFO is there, but we've now got two R32 plants. With the result that today, we are actually waiting, we are short of HF in some sense, right because as soon as our R32 plant comes in, again, we are going to need more HF. So, a lot of the HF capacity that's coming on board will start to get utilized internally. Originally, we would look at meeting the market demand to about so I'm just saying this because this is what our peak merchant sales were at one point in time, about 7000-8,000 metric tonnes. So, that's where we would go with the merchant sales. And then of course, as Nitin has also alluded in his speech about the work that's ongoing for the semicon side and the advanced materials, more downstream applications of that HF will start coming through. But that will take some time to mature. So, again, you do an HF plant in this business to stay in business.

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Moderator : Thank you. We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : First question on the Spec chem side. So, the new project that we have announced, Japan based, the customer, Rs. 20- Rs. 30 crores is incremental. The Rs. 40-Rs. 50 crore revenue that we were talking of on the agro side, is it also incremental or is it a part of the earlier MPP that we had commissioned?

Nitin Kulkarni No, this is incremental.

Ankur Periwal : Sure. And how about the molecules that we were commissioning on the Agchem side? If I recollect, there were 4 agro and 1 pharma. Are all of them commissioned now or what is the

status?

Anish Ganatra : No, so these molecules, if you are referring to the pipeline, see our intent is always to do about 4 to 5 molecules each year. And roughly, historically, we've said it will be three to four in agro and one in pharma. But that doesn't mean that's how it plays out, right? As those molecules get done, those campaigns get delivered. And then again it's a campaign nature. You might run a campaign this year, and something may come tomorrow. But the idea is to continuously provide the pipeline for your MPP plants to be utilized fully. And then, if obviously it goes beyond the MPP side, the conversation on dedicated starts, yes.

Nitin Kulkarni : So, if you go through our presentation in the specialty chemical commentary, you will find the various initiatives and the incremental revenue which we are going to get with these three molecules.

Ankur Periwal: Sure. Anish bhai, my question was more specific to the MPP that we had done, Rs. 235 crore CAPEX wherein we were doing four agro and one pharma, we had deferred one pharma earlier. So, has that product come back now or is there any visibility on that?

Anish Ganatra : You are talking of the Dahej MPP plant, that has already commissioned. So, there is Dahej MPP, we are currently doing, I think, about 4 to 5 molecules over there. And with those molecules, some of them like the one that we talked here, the Japanese market will actually be done from Dahej. So, that Rs. 20 to Rs. 30 crore will come into Dahej. So, those agro molecules will come there. I don't think there is a pharma molecule there, to be honest. I don't know where that has come up, but I don't think there is a pharma molecule there.

Ankur Periwal : Okay, fair enough. And just lastly, on the HPP side, you did mention that R32 has been running probably ahead of capacity. Will be fair to say that from a volume perspective, both HPP and R32 would have hit the peak give and take in this quarter, Q1?

Anish Ganatra : I think from a capacity side, true. From a pricing side, not yet. And I think what we are seeing, as we said, but pricing side, we are seeing signs of recovery. And one has to remember that R22, with the cut coming in, is expected to continue to see price rises in the export market. So, that's

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going to become better. R32 is already seeing price rises, even Q-on-Q. And we see that market firming up as well. Additionally, during the quarter itself, we've had a very strong response from even the US and Europe on our R32 demand. And those demands are coming in at a price equivalent or better realization than India. So, despite what one talks about the dumping and all that.

Moderator : Thank you. We have our next question from the line of Surya Narayan from Phillip Capital India. Please go ahead.

Surya Narayan : My first question is on the CDMO business. In the recent quarter that we have seen, even domestic supply is also the kind of key contributing. So, what is the nature of this domestic CDMO business?

Anish Ganatra : Sudhir Narayan, so thanks for the question. I mean, again, if you look at, the typical process of us getting registered with a large player takes time, right? And with the European CDMO, all our molecules under that MSA are likely to be registered. One is already been done. I think two more are expected later in the year. So, until those registrations are completed, we are actually supplying that molecule to a domestic customer at the behest of the global major. It is part of the supply agreement. But that is only till our registration is completed, and then it moves on direct to export. So, it's a temporary thing that you see there.

Surya Narayan : My second question was about this Rs. 540 crore project, which is going to be commissioned soon. Here, you have indicated that you have firm orders, obviously. But given the kind of situation, that was the understandi

ng since some time. But the market is not progressing the way

it was expected because on account of let's say inventory rationalization continued and the Chinese aggression and all that. So, given that, are we sure about the offtake that we will be seeing for the firm order that is there, sir?

Anish Ganatra : Yes, indeed. It's a firm non-cancellable order from a global major. And again, it's a relationship we have, we closely work with, Nitin talks to them regularly. So, does Vishad Bhai and there is absolutely full commitment behind that order.

Nitin Kulkarni : See, this is not a single product relationship with this global act player. There is a basket of products, which is more than 4 or 5 products we offer to them under certain agreements and commitments. So, already this is a matured relationship, and this particular project is part of this relationship to have the robust supply chain. So, all the understanding and deliverables are intact and there is no change in any, I will say, conditions or deliverables than what we have already agreed to. So, everything is well in place.

Surya Narayan: Just last one, sir. One clarification about the pricing trend for the let's say HFO, whether there is any dent or any correction that you are witnessing and the same would be the question about

even for CDMO, have you seen any kind of price erosion kind of a trend for your existing products?

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Nitin Kulkarni : No, as far as HFO is concerned, we have the pass-through understanding with the customer.

Anish Ganatra : So, our margins are protected completely. There is no sort of price conversation over there. On the CDMO front, again, if you look at the scale of these molecules, when you work with late-stage commercial and any of these molecules that are potentially blockbusters, the end product is more than billions of dollars, right? And the intermediate cost is a very small fraction of it. It's a service industry rather than a cost driven industry. You have got to make sure that you take the product, run the chemistry and provide it in time. That's the main part of the business.

Nitin Kulkarni : So, the quality and the on-time delivery, that is the key rather than looking at some commercial benefits here and there.

Moderator : Thank you. We have our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani : I have a question on the Spec chem side, but I think you have answered that a lot of details. So, just one question on the CDMO. I know it is bit tough to kind of give a number here, but given the extent of pipeline that you have, would it be possible to give a simplistic guide path in terms of how we should think about F25 versus F24 and maybe F26 versus F25?

Anish Ganatra : So, F25 will definitely be better than F24. There is no sort of, as the quarters go past and as the order book visibility improves, our confidence on that is increasing. So, there's no doubt about that. FY26 rather than say that, I would probably give you an indication that if all of this plays out in the way we are thinking, FY27, the 100 million aspirations should be with us. We should be there.

Vivek Rajamani: So, FY27 is where you think you will hit your 100 million aspiration, correct?

Anish Ganatra : Correct. And there's a logic, right, that the extra capacity that we are putting on is coming on stream at the end of calendar year 25. That itself is coming in FY26. So, a year from there is what we are saying.

Nitin Kulkarni : And that is quite sizable on capacity we are putting in .

Moderator: Thank you. We have our next question from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: One question on the Rs. 540 crore CAPEX, we had a Rs. 600 crore sales guidance that we ventured a few quarters ago given the deterioration in prices that we have seen over the last few

quarters would that number still stay and also if you can give a margin guidance as to what we can expect that to be. Thank you.

Anish Ganatra : So, the Rs. 540 crore CAPEX will come on stream in September which will be FY25, and peak revenues are still being targeted in 2 years. So, we are still holding the FY27 for peak revenues

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and I think we have said 1.1 or something like that on the peak revenues. That continues to be the case as we stand now. Our intent and endeavor is always to make sure that the return, which is the EBITDA margin out of the project starts to deliver where we think it is. And in terms of guidance on that, I think again, yes, see one way to look at it is we've always been guiding an overall number that we see ourselves in at 24% to 25% EBITDA, right? So, that's what one would hold on. But remember, these are all snapshot numbers that I'm telling you. They're true as I tell you. As things move, things will move. There is a business dynamism around lot of these.

Archit Joshi : So, the price deterioration has not impacted that peak number that we were targeting. That was the only limited clarification I was thinking?

Anish Ganatra : No like I said, we are also adding in the flexibility for a different molecule. So, it's a combination of everything. But the drive will be to get to the peak.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : The first question is in terms of the CDMO for pharma and on the agrochemical side under the specialty chemicals basket. What would be the geography in terms of Europe and US? And in the last couple of years after the COVID-related restrictions have been over in China, have we seen competition from Chinese people for the newer projects, obviously for the historical projects they are already secured but in terms of newer projects on both these segments. Thank you.

Anish Ganatra : So, CDMO pharma, I mean frankly has got a lot of tailwinds just from the Bio Secure Act. I mean if you look at what's happening, we are seeing an increasing number of RFPs from global majors. Everybody is looking to derisk their portfolio and obviously India is going to benefit out of that. So, frankly, we are happy with the level of inquiries we are getting. Our aim is to convert more and more of those into orders and then from orders to large orders and then possibly some MSAs. Yes, that's the way we look at it. On the agro side, again, we have made some entry into the CDMO space there too. And the idea again is that while we work and as we have our R&D center in Surat, the idea will be to work closely with large innovators early in their product development stage so that we can help them not only develop the molecule but also test it at lab and pilot levels and then eventually scale it commercially for us. Nitin, you want to add anything on that?

Nitin Kulkarni : No, he was talking about the geography, where we are. So, we are quite present in Europe, US, as well as he was talking about agro as well as pharma. So, I think Japan, Europe and US, these are the three regions where we are actively involved when it comes to CDMO linked with agro as well as pharma. And we haven't seen any decline in the demand for the products which we are supplying to them from last more than three to four years except the deferment of the volumes when it comes to agro segment because of the current market conditions.

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Rohit Nagraj : Just I can squeeze in, in terms of CAPEX, so current CAPEX will get over by FY25 end. What is the next leg of CAPEX that we will need for maybe growth beyond FY27? When will we start working on that. Thank you so much.

Anish Ganatra : Yes, so again a good question. I mean, as we finish this FY25, we will be sort of act

ual CAPEX

outflow which will be in the range of about Rs. 600 to Rs. 650 odd crores. By the middle of calendar year 2025, we will start to formulate some views on where the next growth of CAPEX is, but what we are doing in the meantime is ensuring that our balance sheet strength, the conversion of EBITDA into cash flow and our net debt to equity remains within the guidance that we've indicated, such that those CAPEXs are then pushed out. Some glimpse has already been given in Nitin's conversation earlier, where he shared about the work that is being done in the performance material area. So, all I can say is, watch that space.

Moderator : Thank you. Ladies and gentlemen, that would be the last question for today due to time constraints and I would now like to hand the conference over to the management for closing comments.

Anish Ganatra : All right, I just want to take the opportunity to thank you all for taking the time out and joining the call today. Hope that we've been able to answer your queries adequately. And thank you, and good evening, all. Good night. Take care.

Moderator : Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

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February 05, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400001

Scrip Code: 532504 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051

Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and nine months ended December 31, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on January 30, 2025 regarding discussion on operational and financial performance for the quarter and nine months ended December 31, 2024 (Q3 & 9M of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,

For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad

President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY '25 Earnings Conference Call "
January 30, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED

MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you. Welcome to the Q3 and 9-month FY '25 earnings conference call. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '25 earnings call.

I am joined by our Managing Director, Mr. Nitin Kulkarni; our CFO, Mr. Anish Ganatra and Ms. Payal from Orient Capital, our Investor Relations Advisor.

I trust that everyone has had a chance to review our financial results and investor presentation, which have been made available on both the stock exchange and our company's website. The environment in which we operate continues to be uncertain, driven by factors such as geopolitics and global macro. Despite these uncertainties, I am pleased to share that we have remained resilient and have committed to demonstrate adaptability in our operations.

Our focused efforts, combined with the strength of our relationship with our customers has allowed us to drive sustainable performance. I would like to highlight 2 key milestones we achieved in the last quarter. Firstly, we successfully commissioned our agro specialty plant at Dahej with an investment of INR540 crores.

Secondly, in Q3 FY '25, we surpassed revenue run rate of INR600 crores. In HPP vertical, we secured better realizations by optimizing the product mix with improved capacity utilization. In Specialty Chemicals and CDMO verticals, we have continued to drive higher capacity utilization with a strong order book outlook.

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Our operating EBITDA for the last quarter has seen an increase of 95% Y-o-Y, achieving a sustainable EBITDA margin of 24.3%. We continue to drive discipline in cost management, maximizing operational efficiency, generating robust cash flows and effectively managing risks to secure short-term performance and long-term strategic goals.

Our priorities remain ; one, manufacturing excellence with highest level of HFC practices; two, deepening the relationship with existing customers, while pursuing new customer acquisitions; three, disciplined project execution; fourth, pursuing growth opportunities within a tight financial framework. All these will result in long-term value creation for all our stakeholders.

I'm pleased to share that our Dewas site has earned the Gold Medal in the EcoVadis assessment, recognizing our commitment to sustainability and responsible business practices. Thank you once again for your continued support.

With that, I

would like to now hand over to Nitin to provide a detailed overview of our operating and business performance during the quarter.

Nitin Kulkarni: Thank you, Vishad bhai, and good evening to everyone. I would like to start by expressing my sincere appreciation -- am I audible?

Moderator: Yes, sir, please go ahead.

Nitin Kulkarni: Yes. So I would like to start by expressing my sincere appreciation for your time and ongoing support. As always, it is a pleasure to connect with all of you during our earnings call. I would like to share some updates regarding our operational progress and performance across our business verticals.

We are pleased to announce the successful commissioning of our agro specialty plant at Dahej with an investment of INR540 crores. This project is significant step forward for us and I'm happy to report that the commercial dispatches have been started. Our focus remains on maximizing capacity utilization, enhancing productivity and driving efficiencies across all our business lines, while deepening relationships with all customers. These priorities will guide us as we bring new projects online and continue to explore growth opportunities for the future. Now let me take you through the performance of our business verticals. So HPP ; HPP business has shown growth in the third quarter of FY '25. The revenue from this segment rose from INR251 crores in quarter 3 FY '24 to INR306 crores in quarter 3 FY '25, reflecting a year-on-year growth of 22%.

During the quarter, HPP business benefited from volume growth in HFO, R22, R32 and

inorganic salts along with improved price realization across our products. The additional R32 capacity of 4,500 metric tonnes is progressing as planned and will be commissioned by February 2025. We remain constructive on the demand outlook for R32 in India and globally. We are engaged with a few global measures for evaluating an enhancement of R32 capacity.

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Furthermore, we are making progress on our AHF project with an investment of INR450 crores, and the project is on track for commissioning by early FY '26. On second front, the Specialty Chemicals business, has shown revenue increase from INR175 crores in quarter 3 FY '24 to INR221 crores in quarter 3 FY '25, reflecting 26% growth year-on-year. A key driver of this growth has been the increased capacity utilization at both our Dahej and Surat plant. Looking ahead, we have strong order visibility for quarter 4 FY '25 and beyond, particularly with the ongoing ramp-up at Surat and Dahej facilities. We are also introducing 1 new molecule in Q4 FY '25 and second in Q1 FY '26.

On CDMO business, the CDMO business revenue from this segment increased from INR73 crores in quarter 3 FY '24 to INR79 crores in quarter 3 FY '25, reflecting an 8% year-on-year growth. We remain optimistic about this segment, supported by strong order book for Q4 FY '25.

On the European CDMO front, I'm pleased to share that the registration formalities are in advanced stage and direct dispatches commenced during this quarter. Looking ahead, projections for FY '26 and beyond continue to remain strong, with an order book for CY '25 already secured. We also anticipate an additional molecule supply in FY '26.

We have received an order from a major European customer with supply schedule for FY '26. Furthermore, for our U.S.-based major customers, we have received a scale-up order with supplies planned in Q4 FY '25. Regarding the cGMP4 project, the first phase of INR160 crore investment is progressing as planned and is expected to be commissioned by the end of quarter 3 FY '26.

In summary, we are pleased with the progress we have made across all our business verticals in Q3 FY '25. On this note, I would like to hand over to Anish to brief you on financial performance. Over to you, Anish.

Anish Ganatra

a: Thank you, Nitin. Good evening, all, and I welcome you all once again on the earnings call. Let me discuss the financial performance of the company in Q3 and 9 months FY '25. Quarterly performance. We reported revenues of INR606 crores in Q3 FY '25, an increase of 21% year-on-year and 17% quarter-on-quarter led by an increase in revenue across all the segments. Operating EBITDA for Q3 FY '25 was INR147 crores, a growth of 95% year-on-year and 37% quarter-on-quarter. Operating EBITDA margins stood at 24.3% as against 15.13% in Q3 FY '24, and improving sequentially from 20.7% in Q2 FY '25, reflecting higher realizations in HPP, higher capacity utilization at Dahej and Surat, and efficiencies secured within businesses. Operating PBT for Q3 FY '25 was INR98 crores as against INR33 crores in Q3 FY '24 and INR66 crores in Q2 FY '25, an increase of 195% year-on-year and 49% quarter-on-quarter. Profit after tax in Q3 FY '25 stood at INR84 crores.

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9-month performance, for 9 months FY '25 on a consolidated basis, the company reported net operating revenue of INR1,648 crores as against INR1,463 crores in 9 months FY '24, reflecting a growth of 13%. Operating EBITDA stood at INR355 crores as against INR288 crores in 9-month FY '24, up by 23%. Operating EBITDA margin for 9 months stood at 21.5% as against 19.7% in the same period last year.

Profit after tax in 9 months FY '25 stood at INR194 crores. As of 31st December 2024, our net debt to equity stood at 0.41 and net working capital days to at 99 days of sales, well within the financial framework that we have indicated earlier.

That's all from my side. We'll now open the lines for Q&A.

Moderator: Thank you, sir. We will now begin with the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Couple of them. First, on the Nectar project, we have started dispatches, but is the performance of the plant on the expected line in terms of yield, operation and all, and has it been running on the expected line there?

Anish Ganatra Do you want me to respond 1 by 1 or you want to put your questions...

Sanjesh Jain: I will put my questions first in that case. The second question is on the CDMO, particularly on

the Fermion product on the European MSA what we have signed . It appears to be one of your competition has been reporting a very strong number, while for us CDMO has been more like a flatish. Is that a lot of it will get captured from Q4?

And from the registration perspective, now you said that you have started dis patching directly. Is it fair to assume that now with the registration probably completed soon, we should be scaling up? And when you say we have secured the order for CY '25, what is the quantum of order that we are talking about?

And the third question is on Specialty. Domestic continues to do quite well and export is dull. Is the classification difference or there is a delivery difference? How should one read about it? And the last question is on AHF. Once the AHF plant start, what is the savings that we could do as we are buying AHF now from the outside market? These are my questions.

Anish Ganatra All right. Thanks a lot, Sanjesh. And firstly, again, thank you to you. I'm kind of remembering the time in Dewas when you highlighted the EcoVadis...

Sanjesh Jain: Yes. I wanted to congratulate on that...

Anish Ganatra : So I'm sure you've picked that up. So thank you again for the feedback.

Sanjesh Jain: And congratulations.

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Anish Ganatra All right. So on the Nectar Project , Sanjesh, see, as you are aware, that's a 3 phase -- there are 3 phases or 3 stages involved in that particular project. It's a very complex chemistry involving high degree of chlorination at

high temperatures as well as then freezing at very high temperatures. So because it's a complex chemistry, we are very, very clear that we want to ramp this project progressively, but in a safe and reliable manner. And this will ramp up, but it will take its time. We're not going to rush. We're not going to take any shortcuts. It will take some time to progress, okay? So that's on the Nectar project.

On CDMO , Fermion MSA , we talked about one of our competitors reporting a very strong number. See, frankly, our registration process is in a very advanced stage. The customer is very confident of getting a favorable registration sometime in the timeframe of April or May.

Meantime, they have started to take direct dispatches from us already. And orders are in place for calendar year '25.

Now these are initial orders. I will not give a value to them at this stage. But rest assured, it will be at or equal or higher than where we are today for this calendar year, okay? The other thing to remember is that for us, Fermion ramp -up will also be progressive, and we continue to hold the view that we had indicated that for FY '27, the \$100 million target that we put for CDMO, 30% of that will come from this contract roughly. Yes.

Specialty, the division of export versus domestic is again a supply chain factor. We basically get orders which are directed to supply domestically. So that's how they get reported. But rest assured, the profile of the customers remains to be international, and orders are prepared on contracts with the m. So that's, again, the nature of how the business is rather than being exports or domestic.

AHF, your question was on , sorry...

Nitin Kulkarni : It's just how much savings you will get from.

Anish Ganatra : So you're talking about the quantum, right?

Sanjesh Jain: Yes. Yes. We are now buying from the outside market, right? Once we...

Anish Ganatra See, for AHF with the R32 capacity coming in, etcetera, etcetera, we are going to be a big consumer ourselves on a captive front. Plus you must remember that years ago, we actually exited or reduced our footprint in the merchant sales. So there is a huge opportunity that needs to be tapped over there, and that's exactly what we will do as the project comes into play and ramps up.

Sanjesh Jain: Like how much external sale are we targeting? Or what the quantum we were doing earlier?

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Anish Ganatra: So our -- I think, again, Nitin had at one of the earlier sessions already talked about that our own demand would be good enough to contain up to about 25,000 to 27,000 metric tonnes, and we're looking to operate the external order will be in the range of 6,000 to 7,000 metric tonnes.

Sanjesh Jain: Got it. And just one last question before I come back in the queue.

Anish Ganatra: Yes.

Sanjesh Jain: Anish sir, do you want to upgrade the margin guidance for next year now that we are already hitting '25.

Anish Ganatra: I'm not going to upgrade. I had mentioned, if you remember, when we were at 15%, Vishad bhai and myself have put the journey out there, 15% to 20%, 20% to 25% we are on that path, and we've indicated that we would exit FY '25 near 25% or at 25%. And that's exactly what we are working.

Our aim here is to make this very sustainable, grounded in the -- in the kind of foundation of the company. And then as we move on and leverage comes in both with CDMO and HPP and speciality we will see what we will see, but we will not guide anything beyond the 25% at this stage.

Sanjesh Jain: Fair enough. Fair enough. Best of luck for the coming quarters.

Moderator: The next question is from the line of Madhav Marda from FIL Industries.

Madhav Marda: My first question was on the Specialty Chemical business, especially the agro CDMO business, which we do. Could you just give us some qualitative thoughts in terms of

-- I think you did

sound confident about a good ramp -up in FY '26 for the Spectrum business. So are we seeing the cycle kind of turning finally after almost 6, 7 quarters of weakness? That's my first question.

Anish Ganatra Okay. Again, do you want me to take them 1 by 1 or you want to put your questions out.

Madhav Marda: So my second question was just on the R32. There has been obviously some pricing positive, which has been playing out in recent times, probably led by better prices from China. I just wanted to get a sense from your side in terms of calendar year '25, how do you all look at R32 pricing for us, domestic and export market?

Anish Ganatra Okay. So on specialty, see again, with the ag chem sector, if you take a long -term fundamental view, that remains very, very constructive, okay? The demand for agri products is not going down. Additionally, if you look at some global statistics, there is a number out there which says that 40% of the produce actually gets lost to pests. So crop protection is quite significant and big. And thirdly, you must remember that agri also now plays a big role in energy transition for biofuels. So all these growth factors from a long -term point of view, there is solid sort of fundamentals remain, right.

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Now in the near term, we are going to see pricing pressure. There's no doubt about it. Like we said last time, we were early to recognize this. We played our sort of navigated that space, ensuring that our relationship with customers bring up the orders, give us the higher volumes and we work with them on newer molecules that we are bringing to the market in an accelerated fashion.

Third thing, your point about R32 timing and China in pricing about calendar year '25. See, again, it's a factor of demand/supply, right? It's market conditions R32. We are very, very constructive about the market. And we believe that the pricing market should see upside from where we are now, difficult to quantify what that would look like. But certainly, the market remains very constructive for securing the upside.

Madhav Marda: Got it. Just on the agro part, I think -- when we said that we readjusted pricing to kind of ensure that we get our volume and plus come in with the new launches. So is it fair to say that in quarter 3, this pricing adjustment, which you've taken is kind of already in the base or -- I mean each quarter, it will reflect, but like quarter 3, is that the pace for our base business already? Or there's still some adjustment pending?

Anish Ganatra: No. So a large amount of pricing on the existing products is already building, okay? Now I think I had also indicated earlier that at best from a consol point of view, this would be a 0.5%, 1% in fact max between that range, okay? Now against that, how are we sort of responding to it. So this is not a transactional conversation with the customer, okay, for most.

It's not just a pricing conversation. It's a conversation to be part of their supply chain network, giving them the value they're looking for, from a flexibility perspective, adaptability perspective, driving process improvements in their existing process, driving cost down. And in return, securing the higher volumes as also a play in the future road map of our innovator customers, yes.

So it's a strategy that is being played out here. And that's the result of what you see in the numbers today. We're seeing solid capacity utilization at Dahej and Surat. I mean, Dahej as an example. this quarter, we've done on an average about 85% capacity utilization versus something like 40% to 50% in the last quarter.

Moderator: The next question is from the line of Sudarshan Padmanabhan from JM Financial.

Sudarshan Padmanabhan: My first question is on the CDMO side. I mean, if I'm looking at -- you talked about the Fermion contract, but also

the visibility over the 2 years with other products, a lot of these products are under patent and there is a huge runway of growth. I mean today, when I'm talking about Fermion

contract itself, I mean, they are trying to expand the product for other applications in oncology as well.

So from that side, I mean, beyond the \$100 million, are we today in a spot where we have probably hit kind of a sweet spot with a few products hitting commercial in the late stage, which

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gives you visibility, not necessarily yet for 2 years, but say 3, 4, 5 years with the growth engine that we see. I just want to process on the cycle on that side.

Anish Ganatra Yes, I get where you're coming from Sudarshan. So good question. Thank you for that. I mean on the contract. See again, at any given point in time, we are working with close to about 35 to 50 molecules, okay, and -- in any year, right? And roughly, if I look at it, about 8 to 10 would be in the commercial space. So we are not sort of banking on one, commercial or late stage, right?

And then the others are your early-stage molecules, which eventually provides the long-term pipeline as they move into commercial. So it's a combination of things. Are we in a sweet spot or not, difficult to tell but we are certainly well diversified in terms of our footprint across the portfolio.

Sudarshan Padmanabhan: Sure. And with respect to the capex, I mean, now that we have capex for -- say the Phase 1, typically you're coming with INR160-odd crores that will come in the third quarter. I mean, do you think that probably with the scale up that you're seeing with the Fermion contract and other, I mean do we have enough land probably to go in for a brownfield or what is our thought process in terms of developing the capacity?

Anish Ganatra: Yes. Again, Sudarshan, I can't remember if you visited Dewas, but there is enough and more land available for 2 or more equivalent size of cGMP4 at the same site with common infrastructure, common utilities, common sort of administrative support, R&D blocks, et cetera. So there is enough scalability in the infrastructure. There's no doubt about it. Obviously, we will be very, very disciplined in the way we look at any project and execute capex.

Today, we've approved the INR160 crore s Phase 1 part of the capex that's expected to come on stream in November. And as that ramps up and as some of the other molecules that we are working on move to a higher volume or scale and there is visibility to that, we will quickly expand that. So as we are doing the Phase 1 of cGMP4, we are making sure that to do the Phase 2 of cGMP4 is an accelerated journey because the common infrastructure elements of one are actually being addressed as part of Phase 1 itself.

Sudarshan Padmanabhan: Sure. And one final question before I join back the queue is on the specialty in the chemical side, the 2 molecules. I mean would there be -- I mean, these 2 molecules are they in the agri space, the pharma space. What is the kind of scale up that you see -- in the near term as well as from a longer-term perspective?

Anish Ganatra: Yes. These are in the innovator agri space. Again, it's part of the strategy, as we said, we are playing into with our innovator customers to be part of the future pipeline. And more than the near-term value, what this does indicate is the pipeline of new projects, new molecules coming in, which, again, at some point can support a further expansion and growth again.

Moderator: The next question is from the line of Rohit Nagraj from B & K Securities.

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Rohit Nagraj: First question is on the AHF capacity. Based on our understanding, how many years we will be able to fulfill the capacity at optimal level barring the external sales? So how much

time will it

take maybe 4 years, 5 years to completely utilize the capacity for captive consumption?

Anish Ganatra Yes. So see, the AHF capacity that has been put on. I mean, like I've always said, that's a license to dream project. It's a project, if you can't -- don't have AHF, there's no license to grow in this business, right? So the idea here is to keep that capacity, make sure we expand it, but we expand it in a meaningful manner. Our eventual goal is to keep increasing the realization per kg of AHF, and that's what we will strive to. So with the AHF capacity coming in, you should be looking to Navin in the coming years to look for entry into higher and higher value chain elements.

Rohit Nagraj: Sure. The second question is in terms of the capex that we have planned. Now more or less, all the projects are actually on track. And if we were to move for the next leg of project, I mean, there is a cGMP Phase 2 capex, but beyond that, on the HPP front, are we looking to debottleneck the Honeywell project? Or is there an aspiration to go in for brownfield expansion for the HPP, which we had anticipated at some time ago.

Anish Ganatra Sorry, that's still Rohit, I missed the name maybe. It's Rohit, right? Yes, Rohit. So in terms of --

in terms of the capex going forward, etcetera, like we've said, the capexes, which are currently on stream, start to look at giving us line of sight to FY '27 growth. I think Nitin in his commentary has also referred to some conversations and engagements going on with global majors regarding a potential R32 expansion.

We are also simultaneously and like we've said before, again, that we always have a hopper of projects. And these hopper of projects compete with each other in terms of driving value from being our shareholders, right? So we will progress these offers and bring them to a stage of maturity. We continue to hold the fact that within this financial -- coming financial year FY '26, hopefully, in the first half you should see some announcements coming in.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of numbers. First question on the Specialty Chemicals side. You did mention that the INR540 crore capex, we will be ramping up this project -- the sales on this project gradually. Any timeline you can share when should we expect this business -- this product to reach its optimum revenue run rate?

Anish Ganatra Yes. So we had -- when we sanctioned the capex, we indicated peak annual revenue of about INR515-odd crores, if I remember correctly. And we've said that would be done in 2 years from commissioning. I think we still hold that view. So we are in FY '25, FY '27, you should start to see it getting closer to its peak, if not the peak.

Ankur Periwal: Sure. And similar run rate and timeline for the other capexes that we had commissioned, INR235 crores one and INR125 crores.

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Anish Ganatra INR235 crores and INR1...

Ankur Periwal: MPP for special and then I think...

Anish Ganatra: So see, again all these peak annual revenue conversations are like a snapshot, right. I think that true at the time when you make it, prices change, volume change, etcetera. But as we look at this, and I'll probably give you a flavor beyond what you're asking for. But say, if you're looking at R32 capexes, the INR84 crore capex in HPP, we are well beyond the peak annual revenue. We had indicated 2x. We think we'll be at 2.5x in 1 year. So it will be the new capacity coming in for R32.

cGMP -4, we have indicated 2x, and we still hold that. And again, like I've said before, that will be FY '27 as part of contributing to our aspiration of CDMO segment in that year. In terms of Orchid we think that the peak annual revenue, it was a project that was commissioned in FY '23

and we are looking -- we should have been at peak in FY '25, but I think we have seen in the next financial year based on the order book that we have currently for Orchid, we will exceed the number basically in FY '26.

For MPP, again, very similar FY '26, we have enough order book and line of sight to the order book to be very close to the peak annual revenue we have indicated. The dedicated MPP will also be similar. It will start -- we had achieved peak revenue in FY '24. But like we said, we are looking to secure higher volumes and play a different sort of strategic card here. So that also will start to see ramping up and going up to a higher number as we look into FY '26 number.

So in the ag chem space, because of the global challenges, I think there has been some delay in the peak revenue. There's no shying away from that. But our focus remains on ensuring that we secure the capacities, run the plants to full and optimum level, securing the operational efficiencies and in FY '26, we will -- for the plants themselves and the specialty. Most of them will be in the range of 90% plus utilization.

Ankur Periwal: Great, Anish. Just one bit on our gross margin expansion in this quarter. If I look at quarter-on-quarter, we are largely flattish, while in the initial comments, you did mention HPP did saw a pricing as well as volumetric growth. So is it that the full benefit of that pricing is going to slow down because that would have -- should have been more margin accretive? And second part here on our overheads, whether manpower or the opex. So pretty impressive control over there. Should we expect this run rate to continue?

Anish Ganatra: Yes. So our view on the -- so let me take when you say flowdown, we are talking largely about the EBITDA number, right, flowing it down to the EBITDA, right?

Ankur Periwal: Right.

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Anish Ganatra: So again, if I look at the journey of 15% to 20%, 20% to 25%, right? I will say that 5%, as we have always indicated, is coming from operating leverage. And that leverage now is a sustainable

leverage given the line of sight we've got to the order books, okay .

The other big chunk of that, which is a 4.9 -odd percent of the journey from 15% to 25% is largely an effort of the team. The team is kind of working very hard to drive procurement efficiencies, margin improvements to both product mixes, placing the products, getting better realizations than what the market is getting, and also simultaneously working towards securing fixed cost savings.

So that, we believe, is something that we have in our control, and we've driven a lot of effort around that to bring the numbers in. And obviously, 0.4x, 0.4% is roughly the For ex impact in this quarter. So if you see the journey from 15.1% to 24.3%, this is what would sort of make it up. So that should give you a good sense of the fact that the margins are sustainable from where we are today.

Moderator: The next question is from the line of Jignesh Kamani from Nippon Mutual Funds.

Jignesh Kamani: Congratulations for a good set of number. Just on the Specialty Chemicals side. So if you talk about first half, we reported close to around 30% kind of decline and in third quarter, we replaced close to 26% basis of the revenue growth. And at the same time, we commissioned the Project Nectar also in November. So it's safe to assume even ex Project Nectar , our Specialty Chemicals grew in double digit, you can say?

Anish Ganatra Yes, yes, absolutely. I mean the Nectar Project only started dispatches on 9th of December. So its contribution to this quarter is not really that material.

Jignesh Kamani: Understood. So from where growth is coming because suddenly, growth has picked up drastically compared to first half?

Anish Ganatra I think again, see over here, Jignesh, as we've always said before, we had s

tarted to work on this

strategy. Nitin and the team had sort of picked this up and make sure that we connected with the customers, driving the value proposition with them bringing the orders and also participating in the future growth of the innovator. So that strategy is in play, and that's what you are seeing for us.

Now if you sort of -- again, if you look at our operations that in the business itself. The driver for this, when a customer comes and gives you higher volume, they're always looking for your team and their capability to drive efficiencies and process improvements and we have been successful in demonstrating that we then start giving us a view of the order book in the coming year.

Jignesh Kamani: Understood. Second thing on the Project Nectar. So anchor client was supposed to, you can say, pick up annually, close to around INR300 crores kind of, you can say, order from as you can

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see. And since this year, it will represent close to around 4 months , is it safe to assume that we will be doing close to around INR80 crores from the anchor client this year, and maybe we will ramp up to close to INR300 crores kind of level next year. And adding to that, are we extended our product basket in the project Nectar, and you were in discussion with 3 to 4 more perspective clients. Any update on -- you can say there on whether we are able to supply the commercial molecule to them, meaning is it approval process have a stay?

Anish Ganatra So I think, again, the project Nectar like we said, the ramp -up will be progressive. We are prioritizing safety and reliability there. It will be slow. We do not -- and we've learned from our earlier sort of experiences -- like all organizations evolved and learned from that, right?

So FY '25, you will see a ramp up. It will not be a full 100% ramp -up. It will be a gradual ramp -up from where we are today. FY '27, as I said, you should see the par that we've indicated, which necessarily means that next year, you should roughly see about 40% to 45% of the par coming in.

Jignesh Kamani: Okay. And any update on the potential 2 or 3 customers apart from the anchor customer, which we are planning to help under dual cycle?

Anish Ganatra Yes, which will be part of the plan, as we've said, given that we've just started now which will be the plan in the coming years. So coming year, we'll be meeting the customers' requirement both for this molecule as well as for the additional molecule that the customer has funded, which we talked about before, if you remember. And also, we will be doing some qualification batches for securing the FY '27 order book.

Jignesh Kamani: Under stood. And my last question on AHF, since now capacity will commission shortly. I can say -- and we will be aiming to have a 6% to 7% kind of merchant sale . On the purity level to supply to EV, do we have a technology and capability or are we thinking in that line maybe not now, maybe 2 years down the line? Or we need to have a technology tie -up if you want to venture into high -purity AHF grade, which can be...?

Anish Ganatra No. So like I said, one of our focus areas on AHF is to improve the AHF realization, yes, per kg. And in that sense, we are already working on at our end to develop high -purity kind of AHF in

technology through collaboration with partners, yes. But at this stage, unfortunately, I'm unable to disclose any of that beyond what I've just said because of commercial sensitivities, yes.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: So Anish, the R32 expansion project that Nitin and you alluded to earlier on the call, for which your discussions are ongoing. Could you please give us some color around that? How large could the further expansion be what time lines, how much capex, etcetera?

Anish Ganatra

a: Abhijit, thanks for the question. Can I request some patience on that? See, the thing is, for us, the new R32 capacity is any way coming half, okay? So our sort of -- these conversations

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develop because effectively, what happens is when your new capacity company and you start seeing inquiries and you start seeing stronger inquiries then obviously, the conversation starts moving towards saying that can we do something more meaningful that's more strategic than transactional, right? And that's exactly the conversation happening. So just bear with us when we can disclose, we will disclose.

Abhijit Akella: Okay. Got it. The second one was just on the Specialty Chemicals disclosure about these 2 molecules being introduced in Q4 and Q1, the third bullet point on that slide. So are these part of the multipurpose plant or something separate?

Anish Ganatra: No, no. Multipurpose plant. This is securing the pipeline for future, yes, and securing a growth opportunity that can be taken in the future if appropriate.

Abhijit Akella: Got it. So this is part of the INR270 crore's revenue potential of that plan?

Anish Ganatra: Yes. Yes, indeed. Indeed.

Abhijit Akella: Understood. Understood. And final thing on the...

Moderator: Sorry to interrupt, Abhijit. I would request you to re-join the queue so that the management can address as many participants as possible. The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Sir, congrats on very strong set of numbers. Just 2 questions from my side. Firstly, on this INR30 crores Surat capex. I just wanted to understand what the sales be gradual in FY '26 and peak in FY '27? How that is...

Anish Ganatra: So INR30 crores capex has got an asset turn of about 1.2-ish, and yes, you should expect that in the FY '26 numbers to come in at the best case. Yes, it's already started. The project was commissioned, and we were planning -- working under sort of way as we speak.

Krishan Parwani: Understood. And on the CDMO side in the presentation, you mentioned that U.S. major, the scale-up order received. So is it like a new contract that you are in the midst of signing or how is it, can you please share some details there?

Anish Ganatra: So this is still at a stage where we received the scale-up order. Last time we -- I think it is probably the one that you're referring where we have got a process pre-process order that we had received last quarter, which we delivered. We've now got a scale-up order for the same particular molecule.

And yes, eventually, this may be one of those that will translate into the -- into MSA. Like we've always said before, that we are working on certain commercial molecules and the idea is to bring in more Fermion type activity there, which can then sort of support the growth of CDMO beyond even the \$100 million number that we said.

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Krishan Parwani: Okay. So you do have the capacity in order to, let's say, if you get the contracts, you have the capacity to execute it?

Anish Ganatra: Yes, of course, Yes. Yes. Yes.

Krishan Parwani: Okay. Perfect.

Anish Ganatra: I mean the -- you know Krishan you very well know that this is in this business, it takes time, right? So by the time you start doing work with the customer, it's not a 1-year relationship. It's a multiyear relationship. So there is enough opportunity to bond and grow together.

Moderator: The next question is from the line of Pranitha from Morgan Stanley.

Pranitha: My question is on the CDMO outlook, especially for FY '26. Can you give us some color on that?

Anish Ganatra: CDMO outlook for FY '26, again, we are looking at a strong sort of growth from where we are today. But this is something that is an active area of attention by the leadership

ip team in terms of

driving the sales and the relationships, okay? Some of the molecules that we are working on and

have worked in the past, we are looking to get orders back again and that's an ongoing journey. But we remain very constructive of the business in CDMO, driven by the inquiries we are receiving and just the slate of product portfolios that we are working on.

Pranitha: Okay. Just one more question on the domestic refrigerant gas. I was wondering if you could give us some color on the domestic dynamics in terms of supply and demand. So what I see is that there's a lot of new supply coming in from you guys. And -- but the current tightness, what is driving that? Is it seasonality? Or is it something more fundamental?

Anish Ganatra I think that is -- so to answer your question that the demand/supply on the refrigerant gases and in particular on R32 is a global phenomenon. It's not just India, okay. India does play a role. I mean, OEMs, and I'm sure you track those numbers and forecast by OEMs when they talk of what they expect on the R32 market in the next couple of years. And at the same time, the global demand is quite strong.

So we are seeing a lot of inquiries from global majors and hence, again, I'm going to refer back to what Nitin brought up in his commentary. Simply at our -- the level of inquiries such that level and the scale of the inquiries such that you move from a transaction to a strategic conversation.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Just wanted to know, I mean, after some subdued quarters, we are again seeing some good recovery margins also recovering to a healthy 24% levels. I just wanted to know, are we looking at this ag chem recovery? Is it sustainable? I mean what are the -- what is underneath it? Is it some demand improving, some channel restocking. Just wanted to know, could it be an

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inflection point for the chemical sector to recover from here on with capex intensity, et cetera, picking on from these levels? Or does the situation still remain quite difficult.

Anish Ganatra So again, see, this is not something that is by accident, right. I mean, we had said in Q3 of last year that we would drive the margins from 15% to 20% to 25%. And we focus on the priorities were set by the Chairman at the time, and those priorities continue, right. So our focus is to make this very, very sustainable.

And what has happened here is that while we have continued to work and work on things that we can control and make a meaningful difference internally, we have also adapted and navigated the market space by recognizing what the customer wants. What our strategic partners are looking for, and working with them closely to secure the order book.

Like I said, we were okay to compromise on the EBITDA margin per unit of ag chem product, but in the benefit, in the bigger benefit of a higher EBITDA number. And some of the results that you see today are a reflection of that strategy along with, of course, the positive tailwinds that you've seen on the HPP vertical.

Jason Soans: Sure. And sir, I just wanted to also know that, I mean, you did give quite a detailed outlook for the CDMO business. Sometime back we were getting some good demand traction from biotech pharma as well. So just wanted to know in terms of demand from biotech, how is the outlook from that side from that vertical? And also just to add with that -- with this ambiguity in the BIOSECURE Act, does that impact us or regardless of that, we are on a good enough firm footing in terms of the CDMO business?

Anish Ganatra: No. So BIOSECURE obviously turned out to be a lot more muted than anybody expected it to be.

Jason Soans: Right.

Anish Ganatra: But I think what it did do is raise a question with every large customer. And we are seeing the

benefits of that. We're also seeing higher inquiries coming in as a result of this.

Our focus in CDMO is to work with innovators in therapeutic areas where we know there is potential in the future. So things like oncology, things like neurology, those are the areas we are sort of focused on driving. And of course, at the end of the day, marrying that to our core capability on chemistry side.

Moderator: The next question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have 2 questions. So first, on the AHF side. So like we are on the verge of commissioning the plant. If you can share your thoughts on the availability of fluoride like which is due controlled by a few countries, Mexico, China and Africa mostly. So some of the reports also said is that Chinese are faster depleting their reserves for fluorospar given the kind of 6 million, 7 million

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tonnes of production they are seeing currently, given the kind of ecosystem they are building on. So from a sustainability point of view, how the company is placed in terms of the long-term availability and the contract for fluorspar? This is question number 1.

Anish Ganatra : So in the same way that we have strategic relationship on our customer side with strategic relationship with our vendors on the fluorspar. And we don't see any supply risk from that. Certainly not even in the conversation, frankly. And I'm looking at frankly, if he had ever heard anything on supply risk around this.

Nitin Kulkarni: No, definitely, we have not heard -- we have some multiple suppliers on a long-term contract basis. But the -- this point is very well taken, and we also know that we need to go beyond these contracts also to secure our fluorspar supply.

So if you look at our expansion of the new INR450 crore's project of HF, so this particular plant can use any fluorspar of any origin right from Mexico, to China, to South Africa, to Vietnam, to Thailand, and particularly, we have spent some money on the table just to ensure that this single infrastructure can help us to play with the multiple fluorspar sources to secure our supplies of fluorspar.

So definitely, although we have a very strong relationship with our existing fluoride partners. We've also kept a cushion to ensure in case of any crisis, in case of any supply disruptions, we have other sources from where we can easily use the fluorspar.

Anish Ganatra Yes. No, I think that's -- I mean the -- as Nitin I mentioned, there's a lot of flexibility built up in the new plant to take diverse sources of fluorspar.

Nirav Jimudia: Got it. Sir, second question is on the inorganic fluoride business. So your FY '24 annual report says that we had a decent amount of volume growth in FY '24, but the pricing was under pressure. And given the kind of market leadership in aluminum, potassium and the sodium fluoride, which we have been holding for quite a number of years.

If we can hear your thoughts here in terms of how this business is shaping up, whether this incremental AHF is dedicated for some of the newer products in the inorganic fluoride side, some thoughts here.

Anish Ganatra : I'm going to look at Nitin to take that one.

Nitin Kulkarni: So we are basically -- of course, the aluminum fluoride, definitely, we are not into that play since last, I think, 2 or 3 decades. And our entire focus is into the salts, which you spoke right now.

And if you see compared to last year, our shift is towards the high purity material. I'm not talking about here buzzwords like the electronic chemical, related salt, or the EV battery-related salts, but there is a niche segment where the high-purity KF as well as the sodium fluoride and the other inorganic salts are playing a role. And we have carved out that particular area as our focus

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area, and that is the reason, of course, there is a price pressure, but not while the way we are looking at the normal KF price in the market.

So we have a blend of this product mix, which is, as we said, we have worked on a certain product mix, which is giving us this opportunity to help to increase our contribution line, of course, by bringing in the operational efficiencies. And of course, that is going to be our focus area plus there are certain inorganic salts, which are finding an application in pharmaceutical industry. And fortunately, that particular demand have seen some uptick in last 2 quarters. So that is also helping us.

Nirav Jimudia: Got it. Sir, last clarification to Mr. Anish. So has the increased prices of sulfuric acid fully factored in, in Q3 or some bit of cost increases have to be felt in Q4 also?

Nitin Kulkarni: Sulfuric acid prices. I mean -- sulfuric we are the next...

Nirav Jimudia: My apologies, sulfur.

Nitin Kulkarni: Sulfur. No. We haven't experienced...

Anish Ganatra: Yes. It's not -- I mean, whatever it is, it's in the numbers, there's nothing more to factor beyond that.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Just one bookkeeping question is on the new plant. So the full depreciation interest and opex has been factored in this quarter or that would be next quarter? And any specific reason for say Q-on-Q fall in employee costs. That is first question. Second on...

Nitin Kulkarni: First question fall in?

Keyur Pandya: Fall in employee cost Q-on-Q.

Nitin Kulkarni: Okay. Okay.

Keyur Pandya: Second question is on cGMP3 capacity. So what is the peak revenue that we can do from cGMP3? Last I remember it was around, say, INR450 crores to INR500 crores. And that is the case -- I mean is it fair to assume that in the first year of operation itself, cGMP4 would achieve say INR350 crores kind of revenue in FY '27? These 2 questions.

Anish Ganatra : Okay. So your question on depreciation and interest for Nectar. Again, the asset was capitalized on 9th of December. So from 9th of December, depreciation and interest start s into the P&L. And you will see the full quarter effect obviously in the coming -- in the fourth quarter of this year and then going forward, right? So that's already factored in.

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On employee cost, we have an ESOP reversal over there of about INR5 crores. But we think the sustainable run rate for employee cost is going to be in the range of between INR70 crores to INR75 crores per quarter, okay . It's not going to exceed that. In fact, it will probably to be coming down from INR75 crores onwards. Yes, if I was to take the reversal out, okay? So this sort of, again, if you see our percentage of cost to sales on employee, you will see that in Q4, we'll start to sort of bring it down more closer to a level. And it's already at 11.5% in Q3.

Keyur Pandya : Okay. And on CDMO?

Anish Ganatra : On CDMO, cGMP3, see cGMP3, again is a -- cGMP4, right , I think that's what you meant that when that asset comes in, you will start to see whether the peak revenue will start immediately. Now cGMP4 is going to be Phase 1 is going to be dedicated clearly to the Fermion contract. So there is already very close partnership between us and Fermion as the asset is being constructed. And the idea is to ramp it up very, very quickly as soon as it sort of comes on stream, yes. So hopefully, you should be able to see the peak revenue within the year. And that's what we indicated that FY '27, you should start to see the number that we talked about.

Keyur Pandya: And the peak revenue of cGMP3?

Anish Ganatra : cGMP3, 1, 2 and 3 again, simply going by the past, which I think was in FY '23, there is enough bandwidth to do up to about \$50 million to

\$60 million to 1, 2 and 3.

Moderator: The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra: My first question is on the Specialty Chemical export domestic mix this quarter. It looks like that mix has reversed this quarter from the earlier trend, anything to read out of it, sir?

Anish Ganatra : Nothing other than the fact that the supply is being made at the biggest global customer to their local supply chain partners.

Surya Patra: Okay. So going ahead, so it is a quarter -specific story or -- so nothing to read out of it or it can continue like this going ahead?

Anish Ganatra : These are campaign -driven things. So they could move from one campaign to another, very difficult to predict because, see, again, the global innovators, and I have said this before, they are looking at increasingly flexible supply chain partners, not just with us, but with all their counterparts, right? The flexibility means that some of these things will keep varying. I think in some sense, the export versus domestic will start to become more like a mismatch to be honest.

Surya Patra: Okay. Just last question from my side is that this for the Nectar Project . See, obviously, you have been consistently indicating that you have your order book for FY '25. So you have started building up visibility for '26, sir, for this project?

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Anish Ganatra : See, again, Nectar Project starting now, the plan like we've always said, right, there is a dedicated portion and then there is...

Surya Patra: Your voice is not audible.

Anish Ganatra : Is it better now. Can you hear me?

Surya Patra: Yes.

Anish Ganatra : See, for Nectar Project like we've always said, right, there is a capacity which is for the dedicated portion and then there is a capacity to our own account. The way the ramp -up plan is, is to first fill in the dedicated capacity because the technology belongs to the dedicated partner. We are working together in both the implementation of the project and also ramping it up.

And like I said, we are also working towards making another molecule with some modifications at the behest of the same customer. So the first year will always be focused on completing the dedicated part of it. And as we do that, we will also create space to complete our qualification campaigns for the open part, and that will come in the following year, which is why we had kind of always indicated that it's a 2 -year journey to the par.

Surya Patra: Okay. Okay. There is no demand in cost equation or cost concern for this project to be successfully or to see a kind of meaningful ramp up. There is nothing like that.

Anish Ganatra : No, nothing. I mean, nothing like that, but being cost efficient is good for all seasons, right? So that push is always there.

Moderator: Ladies and gentlemen, in the interest of time, we would take that as the last question. I would

now like to hand the conference over to the management for the closing comments.

Vishad Mafatlal: All right. We like to thank you all for participation and all your support.

Anish Ganatra: Yes. Thank you.

Nitin Kulkarni: Thank you. Thank you, everyone.

Moderator: Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference. Thank you, and you may now disconnect your lines.

Call: May 2025

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May 16, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and financial year ended March 31, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on May 09, 2025 regarding discussion on operational and financial performance for the quarter and financial year ended March 31, 2025 (Q4 & FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q4 FY '25 Earnings Conference Call "
May 09, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
MUFG INTIME IR

MODERATOR : MR. BHAVYA SHAH – MUFG INTIME IR

Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from MUFG Intime IR. Thank you, and over to you, sir.

Bhavya Shah: Thank you. Welcome to the Q4 and FY '25 Earnings Conference Call. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Good evening, ladies and gentlemen. It gives me great pleasure to welcome all of you to Navin Fluorine's Q4 and full year FY '25 Earnings Call. I am joined today by our MD, Mr. Nitin Kulkarni; our CFO, Mr. Anish Ganatra and Ms. Payal Dave from MUFG, our Investor Relations Advisor.

Let me begin by saying that this has been a good quarter for Navin Fluorine, a quarter where multiple strategic levers came together to deliver a robust performance. We reported our highest ever revenue of INR2,349 crores and highest ever quarterly revenues of INR701 crores with EBITDA margins in the last quarter, reaching 25.5%. We have adhered to our financial framework maintaining our debt-to-equity ratio of 0.37 and generating operating cash flows of INR571 crores in the past year.

I am pleased to announce our strategic agreement with Chemours to produce their proprietary product, Opteon, a two-phase immersion cooling fluid. This manufacturing partnership leverages Chemours innovation and Navin's manufacturing expertise to address the data cooling center needs created by AI and next-generation chips. With this partnership, we will foray into Advanced Materials segment in line with our strategies communicated to you all in the past. This partnership is a significant milestone for us. It reposes Chemours confidence and trust in Navin Fluorine's capabilities to absorb and commercialize high-end technologies, and we are grateful for the same.

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We have also tied up with BUSS ChemTech AG, Switzerland as a technology partner to commercialize solar and electronic grade HF exclusively for us. BUSS ChemTech AG is a leader in this space for over a century. We are pleased to announce our R32 project commercialized in March 2025 and is currently operating at optimal capacity.

This is a significant validation of our R&D and execution capabilities, and it adds further momentum to our High-Performance Products business, where we continue to see strong demand and pricing traction in both HFO and R32.

Encouraged by the continued growing demand of R32 across all geographies, including in India, for the RAC market, we are actively engaged with global partners to leverage on this opportunity further. We have a robust order book visibility in our CDMO business and a strong pipeline in Specialty Chemicals business.

Our ongoing AHF project is progressing well with the completion expected by Q2 FY '26. And the cGMP4 Phase I facility remains on track for commercialization in Q3 FY '26. To conclude, we remain focused on scaling our businesses, strengthening our technology platforms, building up strategic partnerships and delivering sustainable growth to create long-term value for all our stakeholders.

Thank you once again for joining us today. With that, I would like to now hand over to Nitin to provide an update of our operating and business performance.

Nitin Kulkarni: Thank you, Vishad Bhai, and good evening to everyone. A significant development is our

strategic agreement with Chemours for the manufacturing of a new two-phase immersion cooling fluid, which is part of their Opteon series. Under the agreement, Navin Fluorine will establish manufacturing facility at Surat at an estimated capex of US \$14 million, including US \$5 million of contribution by Chemours. The project is expected to be operational during quarter 1 of FY '27.

As market adoption deepens Navin Fluorine and Chemours will get into discussions for servicing of potentially higher demand. Our performance in Q4 reflects not just strong market demand, but also the disciplined execution and operational resilience that our team has demonstrated across segments. We have seen sustained momentum across our verticals. In High Performance Products (HPP) we recorded revenue driven by robust demand and improved pricing realization.

This quarter, we commercialized second plant of R32. Our AHF project is expected to be commissioned by quarter 2 of FY '26. Our tie-up with BUSS ChemTech AG for high-purity HF aligned to the expected commissioning of our AHF plant will help us to foray into solar and electronic grid market, both in India and overseas.

Moving to the Specialty Chemicals business. We are operating at optimal capacity utilization at both Dahej and Surat, and we have good order visibility for FY '26. After successful validation by our global agrochemical partners, we are also introducing two fluoro intermediates for their new innovative AI in FY '26.

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Commercial production at our Dahej facility for fluorospecialty project, which commenced in December 2024 and is currently ramping up well. In Surat, following our INR30 crores expansion, we initiated for dispatch of this particular product in February 2025.

The CDMO business recorded strong performance in the last quarter. This growth has been driven by both repeat orders and new project wins. Looking ahead, our cGMP4 capex of INR288 crores is progressing as planned. Phase 1, which involves INR160 crores of investment is on track to be commissioned by end of quarter 3 FY '26.

Overall, I want to emphasize that Navin Fluorine is currently in a good position, both operationally and strategically. We are advancing with disciplined project execution and targeted capital investments, all within a well-defined financial structure. At the same time, we are pursuing growth to keep pace with an evolving market landscape. Our efforts remain focused on strengthening our existing verticals, expanding into new product lines, and upholding the highest standards of safety, compliance and operational integrity.

On this note, I would like to hand over to Anish to brief you on financial performance.

Anish Ganatra: Thank you, Nitin. Good evening, all, and I welcome you all once again on the earnings call.

Moving on to the financial performance of the company in Q4 and FY '25. Quarterly performance, we reported revenues of INR701 crores in Q4 FY '25, an increase of 16% year-on-year and quarter-on-quarter, led by an increase in revenue across all the verticals.

Operating EBITDA for Q4 FY '25 was approximately INR179 crores, a growth of 62% year-on-year. Operating EBITD

A margin stood at 25.5% as against 18.3% in Q4 of FY '24. Operating PBT for Q4 FY '25 was INR115 crores as against INR67 crores, an increase of 72%. Profit after tax in Q4 FY '25 stood at INR95 crores as against INR70 crores in Q4 FY '24, an increase of 35%.

FY '25 performance. For FY '25 on a consolidated basis, the company reported net operating revenue of INR2,349 crores as against INR2,065 crores in FY '24, reflecting a growth of 14%.

Operating EBITDA stood at INR534 crores as against INR398 crores in FY '24, up by 34%.

Operating EBITDA margin for FY '25 stood at 22.7% as against 19.3% in the same period last year.

Operating PBT for FY '25 was INR336 crores as against INR228 crores, an increase of 48%.

Profit after tax in FY '25 stood at INR289 crores as against INR271 crores in FY '24. As of 31st March '25, our net debt-to-equity stood at 0.37, and net working capital days at 90 days of sales, well within the financial frame indicated earlier.

That's all from my side. We can now open the line for Q&A.

Moderator: The first question is from the line of Sudarshan Padmanabhan from ASK NDPMS.

Sudarshan Padmanabhan: Congrats on the great set of numbers and tie up. Sir, my question is to understand a little bit more with respect to the tie-up with Chemours, especially if I look on the nature of the products

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that we are dealing with. I mean this opens a completely new arena of business for us in terms of targeting the AI customer in terms of fluid.

What I'm trying to understand is at the size of the capex today with respect to the price and the potential of the industry, I think Chemours themselves talk about \$550 million to \$3 billion. I'm trying to understand, one, your scalability with Chemours. Number two, can you take this technology and knowledge and extrapolate it to other products so that you can target a wider range of customers?

Anish Ganatra: All right. Thanks, Sudarshan. So yes, we are also equally excited with the tie-up on Chemours and the fact that it opens up a completely new product line for us. As mentioned by Vishad Bhai and reiterated by Nitin, this is a foray by Navin into the advanced materials play. Though it's not something that's happened by accident. We've always indicated this as part of a strategic priority as we keep progressing on our growth journey.

Now the size of capex and scalability, etc I think, again, we've said this very clearly in our disclosures too, that this is the initial capacity to help Chemours with the adoption -- with accelerating the adoption of their proprietary product into the market. Technology belongs to them. So clearly, it's not something that we would -- we have any rights to the technology or its end product or its use, yes?

Sudarshan Padmanabhan: Sure, sure. So I mean, in the sense of targeting the larger audience within the space. I mean I'm just trying to understand because this is a first step into this space, whether this will open up a new business for us altogether, as I'm fast-forwarding, say, three, four years?

Nitin Kulkarni: Yes. So basically, what Navin is demonstrating is our ability to understand, absorb and commercialize the proprietary products based on the various platforms on which we are operating. So this particular venture has demonstrated that Navin got the skill set from a ground level to the commercialization of the product, where at each and every state, we have the required infrastructure, the analytical tools, the skill set, the people to gain the confidence and demonstrate on the ground, our ability to make the product, which is required for such a high-end technology.

So our job is here to demonstrate our abilities to work on these platforms where such technologies, we can easily absorb and take it forward. So giving the answer to your question, because of this particular capability

ty of Navin, we are working with other areas in the new age

industry also, which covers like semiconductor inches, the doping gases, the specialty additives required for such applications.

So there is a hopper where we are working with other global majors or other applications for other new age technologies. So for this particular application, as Anish Bhai said, this is exclusive for Chemours. This is their technology, and we are just going to -- we have absorbed and we are going to scale it up and as things progress, it will go further.

Anish Ganatra: So Sudarshan, just to add, we've always said that our -- that we are working on a portfolio of products within the advanced materials space. This one has crystallized first. So this is the beginning, as we've said.

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Sudarshan Padmanabhan: And just on the numbers, I mean, what is the kind of asset and qualitatively the margins that we can do?

Anish Ganatra: So Sudarshan, this is an initial capacity that we've put in for Chemours to help with the adoption.

The capacity by itself is sufficient to support several field trials of the product in terms of actually doing dozens of field trials to accelerate the adoption. The value proposition of the product is such that it is something that is considered essential to the evolution of data centers as next-gen GPUs and chips advance. The sense is that two-phase immersion cooling is going to be the most effective solution in the play.

And so like we said in our announcement, as this market sort of adoption accelerates, there will be a conversation for a greater capacity. Unfortunately, in the contract confidentiality terms we're not allowed to disclose any asset turns or value or capacity around it. But you have a size of the capex, so you're free to make your judgment on that.

Sudarshan Padmanabhan: Sure, thanks a lot for your elaborated answer. One final question before I joined back the queue is that it's hardening to see the CDMO gaining good traction. One, of course, Fermion is scaling up well for us. I mean just to reiterate, we've talked about a lot of products getting into the commercial space from this stage. So if you can qualitatively talk about with respect to because we are putting a lot of capex in the space, qualitatively how many products or what is the kind of scale that we can expect in an accelerated mode in the period?

Anish Ganatra: I think as we've said before, that at any given point in time, we are working on 10 to 15 commercial or late-stage products that have the potential to grow up. If you look at our slides in the update that we've given today, we've talked about a commercial order for a U.S. major that's

expected for delivery in FY '26. This order follows on a successful scale-up order that was delivered in this quarter.

So I mean, as we've always said in this vertical, we work with innovative molecules and innovative molecules by definition, you talk of blockbuster level concepts, yes. So I mean the capacity, we think, is actually going to be needed to achieve our growth aspirations.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Hi sir, thank you so much for the presentation and congratulations on a great set of results. I'll probably extend the previous participant's question on CDMO. Given the progress that you've made with the new customers, can you give us a sense of how we should be thinking of the CDMO revenues into fiscal '26-'27 vis-a-vis where we are in Q4, which is already a great start. So just some thoughts in terms of how that could evolve. And this is an extension to that. You had mentioned that from a strategic perspective, you're shifting into more late-stage molecules to reduce the lumpy nature of CDMO. Just wanted to understand with the contracts that you have, how much -- how

far do these contracts get you with reaching that objective?

Anish Ganatra: So Vivek, thanks for the question again. I mean on the CDMO side, as we've said before, the strategy was to balance early stage and late-stage molecules. Late stage and commercial
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molecules are going to add scale and growth into this business, and that's where our focus was. This will remove the lumpiness, as you rightly said.

We will be looking to sort of continuing to hold our aspirational target to be \$100 million. Like I said, \$100 million is not -- it's a milestone. It's not the destination. So effectively, even if we are 90, it doesn't change the dial. In fact, it's a tipping point for CDMO to become a material business.

The U.S. major commercial molecule that we talked about, if that molecule succeed, again, that's a big sort of molecule to come into our portfolio and will become hopefully something like a Fermion type. The other thing to remember here is that as we sort of scale this, so between now and the \$100 million target, and like I said, you can take a rough number there, but the growth will be sort of gradual and progress. It's not kind of -- we're not talking many years. We're talking 2 years. So I'll leave the math to you.

Vivek Rajamani: That's clear. Maybe the second question I had was just with respect to the conversations that you're having with your broader customer base across segments. Just wanted to get a sense in terms of everything that's been happening in the last couple of months. Do you get a sense of how customers are thinking about '25-'26. Is there -- are you getting a sense of them changing any strategy from a procurement perspective. Any high-level thoughts with respect to tariff would be super helpful.

Anish Ganatra: So tariffs are, and I think, again, following on the announcement of tariffs, of course, the impact is now very subdued as we speak now. But the kind of case for Navin was neutral to positive, as we've indicated before. If you look at different verticals, now HPP, the growth gets driven through all the sort of regulatory changes that are happening in the end markets there, whether you talk of the Montreal protocol, etcetera.

And those the HPP vertical is virtually, I think, insulated from the tariff conversations. On the, AG chem side, again, talking to our customers, none of them are indicating anything substantially change in the strategic direction on outsourcing or doing more of work outside with players in India, etcetera, as a result of the tariff conversation. CDMO also, as I've indicated before, because we play with innovative large customers, these customers, when they look at their molecules, the intermediate is a very small component of them.

For them, it's more important to ensure the success of their molecule rather than worry about the tariffs, I think at least. But it's a space that we continue to watch all the time. As of now, we've not seen any sort of any sort of headwind as a result of the tariffs. And the fact that we are making some good progress on our strategic priorities is a good indication of the customer mindset in this space.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Good evening sir, Thanks I got a few, but will restrict to two. First, on the BU SS ChemTech, we did announce the arrangement and exclusive technology transfer. We are already building an HF capacity, there should be more distillation, right, to bring in the purity here. We are talking about PPB level or it is still PPM level? That's number one.

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Number two, what really the application does it have in solar and on the electronics side, what really characteristics or the effect does it add? And how big the opportunity is for us? Beca

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think India is adding a lot of solar capacity. In that backg round, can you help us understand that?

Anish Ganatra: Yes. Thanks, Sanjesh. I will request Nitin to take this.

Nitin Kulkarni: So Sanjesh, here we are talking about the N3 and N5 specification. We are not talking of only PPM or PPB, PPB is part of the N3 and N5. So we are really talking about the N5 grid, which goes into the high electronic grid. So this is not just the distillation to make high -purity product. It is actually to meet the N5 grade of electronic industry. That is the reason we are talking about the opportunity not only within the Indian space, but outside India.

And second, N3 that is what we currently talk about the solar application. And definitely, if you look at the number of the gigawatt installations which are happening in the country and the way forward, the program is, the demand is going to be very robust. It is already in place. And I think this is a good opportunity for us to cater to the global electronics as well as solar application area. So this is not just a pure distillation. It is much beyond that, which includes clean rooms as well as packaging.

Anish Ganatra: So just to add Sanjesh, again, this is something that we've indicated as our strategic priority to get more value for money from every kg of HF, right? So it's aligned with that logic. And so I just wanted to make sure you got that. Thanks Sanjesh.

Sanjesh Jain: No, that's clear. But are we putting any other asset for this? Or how is it? We haven't announced any capex?

Anish Ganatra: Not yet. But this will -- could culminate into that.

Nitin Kulkarni: The first step was not to bring the right partner in place. And that too also, which will protect our long -term interest. So I think we have crossed that hurdle quite well. And I will say this is a very significant development moving forward into the N5 and entry specification.

Sanjesh Jain: This is not similar to Opteon, right? This is not contract manufacturing, this tech transfer and branding by Navin?

Nitin Kulkarni: Correct. Correct. This is pure Navin product play like 32.

Sanjesh Jain: Very clear, very clear. Just one small question on Opteon. Opteon is a fluorine product or some other chemistry?

Anish Ganatra: Again, under the agreement, Sanjesh, we are not allowed to talk about the chemical composition of this product. So unfortunately, we'll not be able to clarify on that.

Sanjesh Jain: No problem. Just one last question probably on the gross profit margin and the inventory days. I thought we had a benefit of R32 pricing. We had higher contribution from CDMO. We had optimized all the product. And at the gross profit margin sequentially what really or how should we see the gross profit margin? That's number one.

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Number two, inventory days have come down from, what, 80 plus now to 45, close about that. Is it a sustainable number or there was a huge order and we have used or consumed a lot of inventory. How should we see this inventory days of 80. I think we were targeting 90 something. We have overachieved that.

Anish Ganatra: So our net working capital days was we had indicated 100 and where we are today is 90.

Inventory reduction that you're talking about is definitely sustainable because -- it's not something that has happened by accident. We've been continuously monitoring the levels of inventory and matching that to orders. Yes, we had a scenario where there was raw materials that were there, which were used up in the order as they came in.

So, it's not something that's a one -off. It's something that we have a lot of discipline in terms of our procurement around inventory and aligning that with the order books. So that was what was the other question? Sorry, I missed that.

Sanjesh Jain: Gross profit margin, mix plus pricing.

Anish Ganatra

a: Yes. So on the gross profit, I mean, you're right. In terms of the pricing advantage, we are seeing good sort of tailwinds in the HPP business, particularly on the different refrigerant gases in the portfolio around that, whether you look on it year -on-year, quarter -on-quarter. And we continue to sort of have a good constructive outlook on that side of things.

There have been some cost increases, particularly in certain raw materials like sulfur and the like, which has sort of impacted the margins. But it's a small dip. I mean, if you look at it on an overall basis for a year to year, it's still pretty robust. So again, sulfur prices are also, I believe, sort of softening. So we see some correction on that as well.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: My first question was if you could just give some sense around the R32 market, sensing that

pricing has been quite healthy there. So if you could give us some sense in terms of how the pricing dynamics are today and just your outlook for the next maybe FY '26 or for the next few quarters, how that could shape up? And I think you also did indicate that you are discussing with some global clients for some sort of a partnerships. So if you could elaborate a bit there as well?

Anish Ganatra: So Madhav, thanks for that. I mean, see, R32, we've always stayed away from giving specific pricing guidance because, frankly, price is a factor of demand and supply, right? And when we start looking at demand factors that influence the pricing, we remain very, very positive on it. And we see first-time evidence of it. I mean, if you think about our new capacity coming on board, I mean, we've not had -- we've had sort of multiple inquiries on the capacity much before even the capacity came on stream.

And in fact, in the last call, if you remember, we did indicate that some of these inquiries are large enough for us to have a strategic conversation. Now since then, what has happened is these inquiries have come from multiple global majors. And as a result of that, our own thinking has evolved and progressed in terms of thinking what is the right size, what is the right sort of

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capacity to think over here. And in due course of time, as we close out the commercials around it and take it to investment stage, we will definitely come out and tell the market about it.

Madhav : And also on the fluoro speciality project, the INR540 crores, what's the utilization rate there? And how does FY '26 look in terms of ramp -up for that?

Anish Ganatra: So on that particular one, like we've said before, that's a 3 -stage complex process that we are undertaking, and we are slowly progressing and progressively ramping it. We are not rushing into it. I won't talk about the capacities now, but while the capacity is being used to deliver the dedicated molecule, we are also modifying the capacity to also address a new molecule and the customers' funding, which I had indicated even in earlier calls.

But we remain very positive about the utilization of this asset by the end of this year. So what we are talking there, remember, if we were 540, we had indicated a par value. We think we'll be about 50 -plus percent by the end of the year or that number, roughly.

Madhav : 50% plus utilization by the end of FY '26?

Anish Ganatra: So I mean, utilization in terms of because we are adding in one more molecule on that, I wouldn't sort of use it in terms of tonnages or machine hours, but more in terms of the par value. And therefore, I'm saying that about 50% to 55% is what you will see by the end of the year, revenue coming in from that asset.

Madhav : Just one last more question. The capex , which you announced with Chemours, \$14 million capex . So I mean, with our balance sheet, we could have easily funded the whole thing by our own sales. An

y reason why Chemours investing \$5 million? I mean that's a very small amount for Navin. So why don't we just invest the whole thing on our own?

Anish Ganatra: Yes. So Madhav, you're right. I don't think it's about the value and the quantum of investment. It's symbolic, and it's a question of partnership. And that's what that number indicates. It indicates skin in the game, it indicates a partnership. It indicates that both of us are committing resources and effort around developing something that's revolutionary and needed for the growth of data centers and next gen chips as they advance.

Madhav : And any guidance on margins for FY '26, directionally where we could be?

Anish Ganatra: So I think we've said this before, we had reset this to 25%. For now, we will hold it to that number. We're working very hard to make sure that gets delivered. I mean, just on this call previously, somebody asked me about tariffs, etc . You know the global scenario such there are headwinds and tailwinds. And we are going to work very hard to maintain that margin. That's where we are. We'll come and revisit that at the end of the year.

Madhav : 25% of the full year business?

Anish Ganatra : Yes. So if not -- again, this is the range. We're talking between 23% to 26%, 27%. It could be anywhere in between. So it will be in that ballpark there. That's what we are striving towards, yes.

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Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on very strong set of numbers. Two questions from my side. First, as per my understanding, production of electronic grade HF first requires gasification of an hydrous HF. So would the tech tie -up enable us to do the same? Or have you developed that in -house?

Anish Ganatra: Krishan, I'll ask Nitin to answer that.

Nitin Kulkarni: I didn't get you, Krishan, what you are asking.

Krishan Parwani: So I was just asking the gasification of the anhydrous HF is required in production of electronic grade HF, So the tie-up that you have done?

Nitin Kulkarni: So it is required for our normal HF production also.

Krishan Parwani: Okay. So that is in-house. And secondly, on CDMO for the commercial order from the U.S. major, would you need a separate capex or not now?

Anish Ganatra: No, not now. Not now.

Moderator: The next question is from the line of Rohit Nagraj from B & K Securities.

Rohit Nagraj: Thanks for the opportunity .and happy to know that we have achieved the 25% exit EBITDA run rate. First question is looking at the balance sheet, we have a gross block of around INR3,000 crores, what is the kind of asset terms on an aggregate basis, we are looking from this gross block. And normal circumstances, when can we achieve that peak revenue potential?

Anish Ganatra: So I think, again, Rohit, I mean, there's assets over there, like if you look at the -- any asset that we commissioned, we talked 2 years to get to par, right? Now it's just in this last year, if you look at it, we are talking of the chloro specialty capex coming on board, which was about INR500-odd crores in terms of what we had approved for and also the R32.

Now the asset turns vary by businesses. So if you look at HPP, we are seeing that asset turns of 2x. Again, all of this is market-driven as well, right? And I'm sure you understand that, where we play the product that it can be 2x, it can be higher than that. Like R-32, we are actually seeing that value today very easily.

In the AG chem business, we are seeing an asset turn of something like 1.5%, 1.4%, something like that. In CDMO business, again, we are seeing asset turns of 2. So in terms of -- there are different sort of things, but when you sort of look -- it's difficult to give you an average because what happens is our investment is not consistently the same in different verticals, right? We've

invested in different times, in different verticals based on the opportunity based on the projects,

how they progress.

But if you look at the Par conversation, then I would sort of indicate to you that the SFO asset has already achieved its par. As I indicated before, the Fluoro Specialty capex will achieve about 50% to 55% of the par in FY '26. That's what we are working on. The MPP asset in Dahej, which was commissioned, we are talking of we had indicated a power of something like INR260-odd Navin Fluorine International Limited

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crores. We are roughly about 80% of that. 75%, 80% of that. And in the coming years, we'll probably see that go up.

Again, in the same way, the dedicated specialty plant in Dahej, we had achieved the par in an earlier year. And this year, we have fallen short of the PAR number. But in the coming year, in FY '26, we are hopeful of meeting the par over there as well. So I will leave it at that, Rohit, if that makes sense.

Rohit Nagraj: That explains. Sir, second question is, in the last few years, you've seen that we have become a partner of choice for manufacturing for the global majors. There is a tech transfer also happening and our capabilities are also improving to that extent. But beyond the tech transfer and the manufacturing that we are doing, how are we shaping up our in-house R&D or rather, which are the user segments where we are developing certain technologies or products, how that effort is shaping up. And when can we see new products being launched from RPT for the global markets?

Anish Ganatra: All right. So let me sort of take that and then I will ask Nitin to add on to that. If you kind of look at us, we've always talked of a product and service play. And our philosophy on both has been very clear, where we have both the technical and the commercial capability to market the product and take the product to the end customers, we are clearly in the product play where we believe that we can develop that capability.

We're still in a product play, similar to what Nitin just mentioned on solar and electronic HF play, which will be something of a product play, where we believe that we have manufacturing excellence that we can bring into play. You will see service-type agreements much like the SFO agreement or the Chemours agreement, right? So you will see a combination of how Navin plays into this.

In terms of our own R&D, we've established a very strong R&D both in Surat and in Devas, catered to different parts of the business. And continuously on our Hopper, we have both product place that we are working on as well as service plays that we are working on. And so it's going to be a combination of the 2, but I'll let Nitin add in terms of R&D capability and what we do.

Nitin Kulkarni: I think you covered most of the things. It is a very Just to add to Anish, for these new age businesses and opportunities you need a quite different infrastructure. And fortunately, we have briefed that we are building further expertise based on the experiences, which we are gaining the

knowledge sharing, which is happening to us. So I will really say we are very strong now infrastructure, the culture and the mindset to develop and commercialize such processes. So I think that is definitely going to help us a lot while playing a service provider type of a role for high technology adoption for this new edge platform. At the same time, when we need to do a product place, we need to be a little bit careful about the product selection, because we need to understand also in our customer expectations, which are our strategic partners. And by keeping the balance between the 2, definitely, we have the Hopper where like you must be knowing one of our products called Boron, which is developed by us. Today, we are one of the largest player in not only in India, but in the wo

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And we are really putting effort to come up with some more such products. But I think we need to also need some time as well as you know, we can also show some patience before we come up to the similar product like it.

Anish Ganatra: Like R32 is another good example, where we've gone beyond the market that we were currently servicing, but because we had enough sort of bandwidth and capability that we could develop.

We've gone out and even service the U.S. market today. Today, most of the customers we talk to are across the globe.

Rohit Nagraj: Right. This is really helpful. Just one last clarification. In terms of the FY '27 CDMO aspiration of \$100 million, it stays, right?

Anish Ganatra: I think I've given color to that before as well. We'll be one third, one third, one third supported by the CDMO of our known contract, one third coming in from any new MSA, and we are making progress on that as we talk and one third from the base business.

Rohit Nagraj: Right. But that stays, correct?

Anish Ganatra: Yes, yes, yes, very much.

Nitin Kulkarni: But as I said don't look at only 100. It's a milestone.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations for great set of numbers. First question on the gross margin front. Now I'm looking across the three business segments. So CDMO typically is a higher margin business. In HPP, you have the benefit of pricing coming in there, it may not be this quarter, maybe next quarter.

So but your guidance is still the similar range of 23% to 26%. So is it the specialty chemical part wherein there is some bit of pricing pressures or maybe some guidance there will be helpful?

Nitin Kulkarni: So, if you look at the current quarter with numbers published by the global AI, they have shown us some better number, but at the cost of the raw material cost improvement. So pricing pressure is quite heavy. Though, there is a volume uptick, but price pressure is going to remain. So we have to address all the challenges to keep our...

Anish Ganatra: Yes, Ankur while sort of reflecting, but you also sort of should bear this in mind that we don't live in a certain world. I can't take a linear extrapolation. I mean there's so much of uncertainty around us that today, we are being cautious in not guiding any number that's different. And we're working very hard to maintain that 25%, but as the quarters progress, you will see where we get to. And when we feel it's right, we will update that guidance. But today, I think 25% is what we are in a range-bound number working very hard to maintain.

Nitin Kulkarni: And Ankur, just as you know, the way we started this FY and we exited '25, so definitely, our focus, our approach is definitely what we can bring best to the stakeholders, and we will make everything possible to achieve best.

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Ankur Periwal: Sure Nitin. Just a clarification here. The R32 sales that we are doing, is it largely spot basis? Or these are probably largely on a contractual basis?

Anish Ganatra: Combination of both actually, OEM as well as contracts, particularly in newer markets.

Ankur Periwal: Okay. That's helpful. Just a second bit, the CDMO growth path, whether it is Fermion or the U.S. molecules that we are working on. Will it be fair to say that we will lead a CGMP4 here for a full ramp-up as we discussed earlier?

Anish Ganatra: So like we've said before, I mean, again, if you look back to what we had done in FY '23, I believe, that was done with cGMP 1, 2 and 3. And if you add the capex turns that we're talking in CDMO business, which you're aware of, the CGMP Phase I, along with 1, 2 and 3 will get us pretty close to the number we are aspiring to in FY '27.

Moderator: The next

t question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: The depreciation and finance costs, the significant increase in this quarter. Is that largely because of the commissioning of the fluoro specialty project, the INR540 crores. And for the year ahead, if you could please help us with any broad estimate of where these two line items might go in the context of what we are expecting to capitalize. Also, if you could just share a number on the capex budget for fiscal '26?

Anish Ganatra: All right. So your question about depreciation, you're right, the increase does reflect the capitalization coming in from the fluoro specialty project. And if I had to give you a sense, you should probably look at about INR30, INR35 crores, INR35 crores per quarter as a run rate.

So this is for the assets that have been capitalized. And we're talking about INR140-odd crores and roughly about INR130 crores, INR135 crores for the interest as well for the whole year.

Now of course, that interest will keep coming down as the debt gets paid out. So as we stand now, that's where we are.

The capex plan for the year, I mean, it's again what's there out in the public in terms of the AHS plan that's currently ongoing, we'll obviously there will be capex on it as well as on the CGMP4.

Our capex frame to talk about a number of INR500 crores to INR600 crores capability of the balance sheet to fund in terms of cash outflow and capex continues to remain intact because our balance sheet continues to remain strong, coupled with very strong net debt -to-equity kind of number, too.

Abhijit Akella: Just one other quick thing. On the Opteon project, is the margin profile comparable with what we have at company level or somewhat ...

Anish Ganatra: Sorry, is the ...

Abhijit Akella: On the Opteon project, is the margin profile in line with the overall company level averages ...

Anish Ganatra: I can't. Unfortunately, I won't be able to help you there. I mean I think we have to look at it like a strategic investment. There will be -- our assets -- our capex is absolutely protected. Our returns

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as what we have our internal threshold are also protected. But one has to look at this as a strategic investment.

Moderator: The next question is from the line of Amar Maurya from Lucky Investment.

Amar Maurya: My question is on Opteon. So in terms of the technology readiness and the Chemours level, is this technology, is that TRL 7 to 9?

Anish Ganatra: There's a lot of background noise at your end. But if I understood you're asking is the technology ...

Amar Maurya: Is it better now?

Anish Ganatra: Sorry, go on, what was your question? Maybe you can repeat.

Amar Maurya: So what I'm trying to understand in case of Opteon, in the technology level, technology readiness level. Is this technology at Chemours level is like to the level of 7% to 9%, so that you can do a commercial delivery by Q1 '27.

Anish Ganatra: Yes, yes. So this is a product we've actually already been making for them in smaller quantities at the moment. And part of the reason, so we've been working with Chemours on this. The partnerships don't happen overnight. But the idea is that this is now coming to a level where an initial scale capacity was seen as necessary to progress the adoption in the market. And so yes, I mean, I don't know how else to answer what you're asking.

Amar Maurya: Okay. And secondly, this chemical are there 2 chemicals, one for direct -to-chip and one for immersion or chemical is same for the both?

Anish Ganatra: No, this is two-phase immersion cooling.

Amar Maurya: And you are going to make immersion cooling also and direct to chip cooling also, right ...

Anish Ganatra: I didn't say that just hear me out. two-phase immersion cooling liquid is the capacity we are setting up for.

Amar Maurya: So, the

is is immersion cooling technology. So that means ...

Anish Ganatra: So Amar...

Nitin Kulkarni: Amar, it is two-phase. Don't build this definition.

Anish Ganatra: Yes, it's very critical.

Amar Maurya: Because Sir, immersion cooling is still not approved by Dell, HP, Lenovo, anybody?

Anish Ganatra: No, no, no.

Nitin Kulkarni: Don't go into that. I'm just talking about the product description. So when you are saying, I'm just saying we are talking about two-phase immersion cooling.

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Anish Ganatra: I mean we'll leave it for you to judge ...

Amar Maurya: Total opportunity size of this market globally?

Anish Ganatra: Again, something that I can only tell you from what Chemours has talked in their public sort of media release yesterday. We are talking about potential. The entire liquid cooling market is today \$0.5 billion, expected to become something like \$3 billion by 2035, okay? And two-phase immersion cooling liquids is part of that market, yes?

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anish Ganatra: All right. So again, thank you all for taking the time today evening. Really appreciate the quality of the questions and the interactions and look forward to our next sort of interaction on those, yes. Thank you. Thanks to all.

Nitin Kulkarni: Thanks, everyone.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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August 05, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 30, 2025 regarding discussion on operational and financial performance for the quarter ended June 30, 2025 (Q1 of FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q1 FY '26 Earnings Conference Call "
July 30, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MR. IRFAN RAEEN – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raean from MUFG Intime IR. Thank you, and over to you, sir.

Irfan Raean: Thank you, Viren. Welcome to Q1 FY '26 Earnings Conference Call of Navin. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This call may contain forward-looking statements about the company, which are completely based upon belief, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbor statement is given on the Page number 2 of investor presentation of the company, which is uploaded on stock exchanges and on the company's website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir. Thank you.

Vishad Mafatlal: Good evening, ladies and gentlemen, and welcome to Navin Fluorine's Q1 FY '26 Earnings Call. I am joined today by our MD, Nitin Kulkarni; our CFO, Anish Ganatra; and Ms. Payal Dave from MUFG Intime, our Investor Relations advisor.

It gives me great pleasure to share with you all that we have delivered yet another good quarter, a strong reflection of our strategic focus. FY '26 commenced on an optimistic note, marked by a successful completion of our INR750 crore SIP. We are delighted to share that the offering received a positive response from investors. We extend our sincere gratitude to all participants for placing their trust in us and providing the capital to fuel our future growth.

In Q1 FY '26, our revenue rose by 39% to INR725 crores. Operating EBITDA more than doubled, reaching INR207 crores, an increase of 106%. Our net profit grew by 129% coming in at INR117 crores on a year-on-year basis. All three of our business divisions reported robust growth in Q1 FY '26, setting a strong tone for the fiscal year ahead with a solid order book in place, we remain optimistic about sustained momentum in the coming quarters.

In the HPP segment, we are happy to share that our R32 project was successfully commercialized in March 25 and is running at optimal capacity. Given the accelerating global demand for R32, we are firming up our plans with international partners to further capitalize on this opportunity. Meanwhile, our AHF project continues to advance steadily with completion target for the end

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of Q2 FY '26. As mentioned earlier, we have an exclusive tie-up with Buss ChemTech AG Switzerland as a technology partner to commercialize our electronic-grade HF.

In the Specialty Chemicals segment, we are set to deliver supplies for 3 new molecules in Q2 FY '26. Additionally, our fluoro specialty project in Dahej, which was launched in December '24 is expected to deliver a meaningful contribution this year. We have also announced a strategic partnership with Chemours to manufacture their proprietary product Opteon, a 2-phase immersion cooling fluid. Project execution is already underway.

In our CDMO division, the order book continues to show strong momentum. Our cGMP4 facility Phase 1 expansion is progressing as planned with commercialization expected

in Q3 FY '26. The

expansion initiatives across all 3 segments reflect our commitment to enhancing value addition, targeting high-margin opportunities and diversifying into emerging high-growth sectors. We will continue to deepen our relationships with customers and suppliers while developing new relationships across different geographies and business verticals. Thank you once again for joining us today. With that, I would like to now hand over to Nitin to provide an update of our operating and business performance.

Nitin Kulkarni: Thank you, Vishad, and good evening to everyone. We are pleased to share that our team delivered good results last quarter. Our priorities for FY '25, '26 also include the successful commissioning of AHF and cGMP4 projects, ramp-up of recently commercialized assets, expansion of our specialty and CDMO portfolio and driving margin optimization through operational excellence. Let me brief you on the progress we have made in each vertical. Growth of revenue in HPP segment is driven by both increased demand and improved price

realizations. The pricing landscape for refrigeration gases remains firm. The capacity we commercialized for R32 in March 2025 is at an optimal utilization. Our HFO business has continued to operate as per our expectations. Our exclusive tie-up with Buss ChemTech AG for high-purity electronic-grade HF is progressing well. We are making inroads through greater engagements with customers so as to access electronic grade market globally.

Our Specialty Chemicals division is operated at an optimal utilization level in the last quarter and for the coming quarter of the year too, we have order visibility. In the last quarter, we mentioned we had received validation from our global partners for 2 fluoro intermediates for their new innovative AI in FY '26. The initial supplies will commence in quarter 2 FY '26. Apart from this, we also expect supplies for one more fluoro molecule, which will be delivered in the next quarter as well.

Our CDMO division delivered good results last quarter. We have strong revenue visibility backed by robust order book for FY '26. Further, U.S. and Europe regulatory approval for label extension of the molecule under the European MSA is very encouraging. We also received scale-up order for another late-stage molecule with EU pharma major for supply in quarter 2 FY '26.

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Looking ahead, we will be capitalizing on our robust relationship with global pharma innovators and we will continue to build a strong pipeline of early and listed molecules and leverage on our state-of-the-art cGMP infrastructure and R&D capability.

We continue to invest in people and capability across all the verticals to further enhance our technology platforms and manufacturing infrastructure as we progress in the next phase of growth. We shall remain focused on strengthening our existing verticals, expand our product portfolio and executing capital investment judiciously.

On this note, I would like to hand over to Anish to brief you on financial performance.

Anish Ganatra: Thank you, Nitin. Good evening all, and I welcome you all once again on the earnings call.

Before we turn to our financial results, here is a brief on the July 25 QIP. We raised INR750 crores by allocating 162,564 equity shares to qualified institutional buyers at INR4,680 each.

The overwhelming subscription underscores strong investor confidence in Navin Fluorine's business model. The proceeds from this fundraising will be deployed towards strengthening our balance sheet.

Let me now walk you through our consolidated performance for the quarter ended 30th June 2025. We have reported a revenue of INR725 crores for the quarter, reflecting a strong year-on-year growth of 39%. Operating EBITDA for Q1 FY '26 was INR207 crores with a growth of 106% compared to the same

quarter last year.

The operating EBITDA margin stood at a solid 28.5%, a growth, of 935 basis points versus Q1 of last year. Operating PBT for the quarter was INR141 crores, reporting an increase of 143%. Profit after tax stood at INR117 crores in Q1 FY '26, compared to INR51 crores in Q1 FY '25, registering an impressive growth of 129%.

Operating cash flows for Q1 FY '26 is INR231 crores and net debt to equity stood at 0.34x pre-fund raise. With that, I would like to request that the call can open for any questions or interactions.

Moderator: We have a first question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First on the R32, Vishad mentioned in the opening remarks that we are in discussion with few international partners to extend the capacity. Now if I go by the quota determination formula, given our R22 capacity at around 10,000 metric tons and whatever we have sold during quota determination period of '24 to '26, it appears that we can go up to 26,000, 27,000 metric tons or probably a little more than that. Are we looking to harness the entire opportunity given that there is a strong demand for the product and the pricing looks much firmer than what we thought?

Anish Ganatra: Sanjesh, you want me to take that one by one or do you want me to sort of -- you want to finish your questions and then I can answer?

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Sanjesh Jain: Okay. So then I'll ask the questions, so that's on the R32. Second, on the Nectar performance, again, we mentioned that we are expecting a significant ramp-up in the revenue this quarter.

Have we received the PO and can you qualify that? Is it the INR300 crores what we were expecting from the anchor customer that's going to deliver? And that involves both the product or we are talking only the single product type? That's on the Nectar.

Third, on the capex plan, you -- Anish sir, in last quarter, you mentioned that you were talking more about capex plan. We did mention INR500 crores to INR600 crores now that we also have a cash on the book, which I thought we would look more to expand aggressively. Can you share more on the capex plan for FY '26 and '27? These are my questions.

Anish Ganatra: Thanks, Sanjesh. And so let me take this one by one. The R32, your working s are ballpark correct in terms of what numbers you have. I mean will we be staking a right to our entitlement, I think the answer is a simple yes. The question is when will we do that? We will do that when we think the discussions are more firmed up with the large customers as we are making sure that, overall, the product realization on the basket is in the interest of the company and in the interest of the shareholders.

We feel that this is a product to nurture and at the same time, commercially manage the risk as we go into any expansion conversation. So that should answer your R32 question. Nectar, we have a firm order for the remainder period of the year. And absolutely, it will be ballpark in the number that you talked about, give or take some points here or there, right? But is it for a single product or both the products? I mean the question is the customer has actually asked us to prioritize the new molecule earlier and as a result of that, as we speak now, we are already under a modification to make that product.

So that is -- that will be our primary focus to deliver, and we expect those deliveries to start within Q2 itself. And then as we come towards the end of the year, we'll go back to the original molecule too. So it will deliver the -- what we have said, half the PAR this year and the PAR for next year, yes? That's what we are on track for.

Now the capex frame we had mentioned was INR500 crores to INR600 crores, as you rightly said. With the fund raise, I think it's fair to assume that our capex frame, and remember, I'm talki

ng of the capex frame here, will be expanded to INR700 crores to INR1,000 crores, which means that is my bandwidth to spend capex.

Of course, we will only do this for the right project for the right value. So that is something that we are progressing in a very disciplined way. We have a hopper of projects that we continue to mature and as they mature to an investment decision, obviously, we take it to the board and announce it to the market. For that you'll have to be patient.

Sanjesh Jain: And this INR700 crores to INR1,000 is what we are talking for FY '26, right, Anish? Or this is '26, '27...

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Anish Ganatra: No. I'm talking of the capex frame. As this is my -- if you look at the financial framework, we talked about our net debt to equity, we talked about what is the capex frame. So this is to give you guys an indication that this is the kind of capex Navin would undertake, maintaining solid financial ratios while continuing to hold to strength and the flexibility in the balance sheet. But which projects we are trying, I will not second guess at this stage.

Sanjesh Jain: No, that's clear. We'll wait for the Board approval for more detail, but this is helpful. Just one last question. We were talking of 25% margin guidance, we are at 28%. Do you want to relook at the guidance for FY '26?

Anish Ganatra: So Sanjesh, I don't think there is a binary answer to that. But I think what might help us is to look at we were in Q1 of FY '25 at 19.5% and we are today at 28.5%. So you're talking roughly about 930 basis points is what we are talking about. If you look how that growth has come through, 2/3 of that has come through operating leverage and 1/3 has come through pricing and environment, what one may call as that.

Now obviously, a lot of that contribution on the pricing side is coming from the strong R32 refrigerant gas pricing environment. For the ones that we are talking on operating leverage and the efficiency that we are bringing into the system, there is a lot of effort that the team is continuing to do and will continue to do.

We've always said that we will not leave any prize on the table, and the team will continue to work with steadfast focused on manufacturing excellence, ensuring that assets are brought up in time, assets are operated to their optimal capacity and the cost saving focus continues. So while I would say that I think there is reasonable confidence to say we'll be north of 25%. I don't think we are at the stage where we would like to update the guidance today. Let this cement for a couple of quarters and then we can revisit this conversation.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Sir, just wanted to understand, in terms of the agchem recovery, last year was a pretty weak year for that. And now I just wanted your take on how the recovery is taking place in terms of inventory rationalization. Is it done? What are the customers' commentary? What are you hearing from the customers? Just wanted some color on that.

Anish Ganatra: So I think it is pretty consistent with what we've always sort of communicated. See the inventory

stocking issue is long gone. I think the Chinese intense competition, which we've talked about before, continues to remain, pressure on pricing remains, volume recoveries in the second half, we are definitely seeing that come through.

In terms of the inquiries and the conversations, there is no doubt about that. We have a solid order book also for the specialty of the agchem side. But one has to remember, this is not sort of -- the conversation is not so much about hockey stick recovery. There will be slight recoveries

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on volume, and most of that could be eroded with pricing pressures too. So it's pretty much sort

of

of flattish to slightly up kind of conversation we are talking about.

For Navin, you should kind of see, the way I would put it is, we are bringing up the whole new capacity year-on-year. So Sanjesh just asked the question on Nectar and that itself is a Y-on-Y increase if you start to think about the numbers for Navin. And that is protected under a long-term contract order.

Jason Soans: Okay. And next question just pertains to the CDMO space where you basically target pharma.

So just wanted to understand, sir, when you're targeting advanced intermediates there in the CDMO business, the CRAMS business. So how do you target molecules, which areas or which therapies are our forte? Just wanted to understand from that sense, like how do you target molecules to scale up.

Anish Ganatra: So the way you should look at our CDMO business is about capabilities and platform and technology to sort of -- it's a service play that we are in that space. Our strength comes from handling complex chemistries and complex synthesis, right? In fact, if you remember, a couple of -- I think it was last year, when we renamed CDMO division of Navin as Navin molecular. The idea being that we can play across all the sort of innovator molecule composition in this space. And again, our focus here on growth has been quite sort of balanced. We've changed the strategy, as we talked earlier also to balance late-stage and commercial with early-stage molecules, right? And that is yielding very good positive results.

I mean the Fermion label extension is very, very encouraging. We already have a solid order book from Fermion for FY '26. In fact, I could almost say for calendar year '26. And also the order for a new late-stage molecule from a EU major is also working in the right direction from a strategic point of view. Simultaneously, we are also working with a new EU major for another molecule, which is in the late stage commercial stage, yes.

Jason Soans: Okay. So overall outlook, sir, does look positive on the CDMO front?

Anish Ganatra: It looks positive. I think we have progressed towards the aspirational number that we set for FY '27, yes.

Jason Soans: Sure, sir. And sir, lastly, just wanted to understand in terms of the ref gas. Of course, pricing trajectory has been on an uptrend. Q-o-Q, probably it has been around 20% levels. So just, sir, if you could give us some color on -- in the growth, how much is volume led, how much is pricing-led? Would that be possible? Just some color on that.

Anish Ganatra: So I'll tell you, typically, for us being in the business, we don't speculate on prices. Our logic is very simple, where we will play and make sure the product is placed for value, wherever it is placed. So whatever scenario we are operating in, our thinking will always be around the fact that we attempt to make sure that the product is placed for value.

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There is a strong demand tailwind here and the focus of the management is to ensure that on a basket level, you place the product in different geographies aligned with our strategic priorities so that overall realizations are better. But we don't second guess on pricing. It's too difficult to know.

Moderator: The next question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats on a very strong set of numbers. Sir, first question is on the specialty chemicals front.

So last couple of quarters, the commentary that at least in the PPT, we are optimally utilizing the Dahej and Surat capacity. And in your opening remarks, you have said that there is a strong demand momentum backed by firm POs.

So -- and we don't have any material capex which is planned for this. So how these two things are gelling together that there is a demand, but capacities are optimally utilized so is there any incremental upside from the full

rather optimization of these capacities or our period of execution

will be shorter for any incremental capacity that we require based on the POs?

Anish Ganatra: So again, last time we had talked about saying that we are at 80%, 85% of the capacity and that was more in context of the Dahej. Typically, the way we operate this business is we operate it, looking at our plans, both MPP plants in Dahej as well as in Surat and combine and optimize those in terms of how we map different products, right?

So is there an opportunity to grow from the baseline itself? Absolutely. This quarter, if we look at it, Dahej has operated at 70% sort of -- and I'm talking this more in terms of PAR because I'm sure you understand that from an MVP point of view, every molecule has a different batch cycle time, etc. So it's difficult to give you one standard thing in terms of tonnage.

But in terms of PAR, if you look at it, we've done about 70% at the Dahej plant. There is room to grow, no doubt about it. But also remember, when you look at Navin, again, I will reemphasize the fact that the growth coming in this year will also from the large fluoro specialty plant that we have put in, which was the INR540-odd crores of investment. Half of that par is going to be a new revenue coming in materially there, new revenue coming in this year.

Rohit Nagraj: Yes, got this. And just again, on the second half of the INR540 crores project, where we will have to find the new customers how are we progressing that...

Anish Ganatra: It's already in place and we are reasonably confident of hitting the full par by FY '27.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on strong set of numbers. So first question on the capex guidance that you shared around INR 700 crores to INR1,000 crores on an annual basis. Just trying to understand from an end application perspective, are we also including pharma here from an expansion perspective? Or is it largely specialty and the other areas that you're looking at?

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Anish Ganatra: Okay. So Ankur, as we said before, we have also apart from the 3 verticals, we're also incubating advanced materials, right? So the capex allocation that we are talking about, we don't do this by vertical, to be honest. We do it in a sort of a very disciplined way. First, that it has to align with our strategic priority. We decided to play that in a product play or if we decided to enter in a new vertical, there will be preference to allocate capex over there.

Obviously, the next thing are the economics and the commercials around it, right? So we try to bring the best from what is good for the company in the long term and for the shareholders in the long term. We don't sort of preallocate the capex, which is the idea of giving a capex frame because capex frame is agnostic, it is reflecting the strength of my balance sheet over the next couple of years that this is the range of capex I can sort of incur without having to worry about any intervention.

Ankur Periwal: Sure. Yes, makes sense. So just a follow-up on that. From a -- you did mention are planning to expand into electronic chemicals as well as the advanced material there and when you say that, does...

Anish Ganatra: Sorry, can you repeat...

Ankur Periwal: Yes. No, I'll repeat. So you did mention of expansion into electronic chemicals, advanced materials, etc. Are there any active dialogues going on right now? Or these are more work in progress?

Anish Ganatra: Absolutely, absolutely. There is a lot of work happening in that space. The exclusive arrangement we announced with BCT in the last quarter was a step in that direction. The Chemours advanced materials is also in the same direction. Additionally to that, there are several other conversations both in the semicon space as

well as in the applications that are relevant for high-value environment like data centers, etc.

Those are pretty much ongoing. We are establishing -- Nitin, Vishad and -- I'll let Nitin add a bit at the end of this conversation. But Nitin, Vishad are continuously meeting new customers on this front, and we're seeing how best to sort of access the growth over there in a meaningful way.

Nitin Kulkarni: So Ankur, just to add on what Anish said just now. So in this advanced materials segment also, it is going to be product as well as the service play. And the development environment, the analytical infrastructure, the skill set to bring the product from the early-stage development to the pilotation levels and then to reach to the new standards of this requirement of this industry. So fortunately, we have developed that infrastructure skill set by partnering with the right stakeholders in this journey for both products as well as service play. And so this is just beyond the electronic-grade HF.

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So we are really looking at the basket of products, which normally requires to be showcased in this industry to become a significant player and electronic -grid HF is just a stepping stone. And based on that, we are also revolving the other product portfolio and a lot of developments are happening on that front also. So please consider this electronic grade as the starting point with a couple of other products which are across either in the development stage and in the pilotation stage.

And again, the end -use industry is same, as Anish was saying, so our focus is how we can expand our product portfolio in data center, high -end data center. Even in semicon, we are looking at the niche in the photoresist type of applications. So this is end of the day, the high -value environment, which we are going to -- which we are targeting with the skill sets and the infrastructure which we have developed.

Ankur Periwal: Yes. So just on a small question on the CDMO side. Congratulations for the new molecules, especially the late stage one wherein we are making further inroads. How do you see the mix between late stage and the early stage ones panning out as we look at our \$100 million target there?

Anish Ganatra: So Ankur, I mean, in terms of the number of molecules, I think we've always said that our idea will be that at any given point in time, we will have about 40%, 50% of early stage and 60% to 50% of late stage. Of course, in terms of value, the late stages -- we'll start late stages in commercial, we'll start to occupy a bigger share because that's the game, right?

But the priority will always be balanced because as we sort of mature this business, the idea is that the early stage at some point will become the future stages in commercial. So we will make sure that the balance is kind of maintained. In fact, even for this quarter, that's the kind of ratio.....

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on a very strong set of numbers. Two from my side. First, on CDMO, when will Phase 2 of cGMP4 capex of INR128 crores begin? And which customer will it be for? Any of the EU majors or U.S. majors that you have mentioned in the presentation?

Anish Ganatra: Yes. What's the second question, Krishan?

Krishan Parwani: So which customer will it be for? Any of the EU majors or U.S. measures that you have mentioned in the presentation.

Anish Ganatra: So CDMO, the Phase 2 INR128 crores will basically be triggered off as soon as we have greater visibility on any of the customers, that's the capacity we are building in a scalable and modular form. From the way we look at currently, it looks very high possibility on the EU major product. But it's early days when we get to that, we would sort of certainly look at it that way.

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Our idea about the CDMO business is actually to make sure that whenever the capacity utilization of the plant hits 60% or more, it starts triggering the cost for the next capex investment because you're always going to need that sort of headroom to continue to grow.

Krishan Parwani: Understood. Very well explained, sir. And second question is on the AHF part. So given you are expecting commercialization of HF soon. When do you expect merchant sales of, let's say, diluted HF first and probably the solar and electronic -grade HF?

Anish Ganatra: So merchant sales, some of that will start actually this year itself. Solar and high purity, let the Buss Chem work get done. We are currently in detailed engineering stage. When that sort of gets done and we start putting in more capex, obviously that will come. Our focus will be mainly in the electronic space as opposed to the solar space.

It's kind of aligned with our thinking that in most of the places, we will be only in the niche products. We will not be in something that is towards getting commoditized. So a good example of that is the Chemours announcement that we did that's the kind of niche application we are going to be working on and we are progressing some of the discussions along those lines. And then as I kind of specifically called out the fact that the focus is on electronic application rather than solar.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: So my question is on the Chemours project. The project is expected to commission in just 1 year time. So at what stage the project is currently? And once it's commissioned, so how quickly we can achieve the optimum level? And what kind of revenue potential you see from this project?

Anish Ganatra: So again, Nilesh, I think we've talked -- I'll take the last question first because that's the most easiest. We are not allowed to talk on the revenue asset turns or capacity under the commercial arrangement with Chemours. We've already clarified that previously. So I will not take that bait again.

The other sort of point about where are we today, the work is going on, projects are already underway. The teams are working together, detailed engineering is being progressed on that and

we are on track for the first quarter of FY '27 is when we said we would start commercial production, that's when we will start. This is -- I mean, from the size of the capex, you know this is a small capacity plant, it's to help accelerate the adoption and therefore, achieving optimum will be pretty quick.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is on the Nectar project where the dedicated capacity, we said that we have very firm order for the calendar year '26. And these volumes represent what kind of capacity utilization for the dedicated portion?

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Anish Ganatra: Okay. So I mean, yes, you're right that we have firm orders for the dedicated capacity. For the dedicated capacity, it'll represent 100%, which is 50% of our overall capacity and which is why we said that half of the par will come this year and the full par will be achieved next year.

Arun Prasath: Right, sir. So the firm order that we are talking about as a percentage of, say, the dedicated capacity, what would be that indicative utilization?

Anish Ganatra: 100% of the dedicated.

Arun Prasath: 100%. Okay.

Anish Ganatra: Yes. That was always the plan, Arun. The plan was that in the first year, we would run the dedicated capacity to its peak, that's how the ramp-up would happen. And in the second year, we would sort of take the capacity for our own captive thing with the first year also producing some extra material to complete the val

idation for the captive portion.

Arun Prasath: Second, on Fermion, we said that for our calendar year '26 delivery, how much of that is dependent or connected to our Phase 1 startup? I mean if Phase I of cGMP4 gets delayed, we will be slipping up on the delivery on this?

Anish Ganatra: So I don't know why you say Phase 1 is getting delayed. We have not said that, Arun. But how much of that is -- so you know the way this works with Fermion, again, commercially this is 3% of their value, right? We are working very, very closely with them on the project. They are with us on the ground monitoring the project along with us all the time. So if there was any doubt in anyone's mind of a slippage, you wouldn't have the orders in your hand.

Arun Prasath: No. I was just wondering what can lead us to kind of miss this dynamic...

Anish Ganatra: We're not envisaging anything. So there is enough room here for Fermion even today. And this is just to say that we are in the CDMO journey. And we've said this before, just from the phase 1, 2 and 3, we can do revenues up to \$55 million, \$60 million. So that's not a problem. With the phase 3 and phase 4 coming in, phase 1, we are on track for that. So there is room to -- there is flexibility within the asset to manage any unforeseeable event, so to say, but not that we are expecting any.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just one question on the specialty chemical quarterly revenues. So INR219 crores this quarter seems to be somewhat lower than I think INR257 or so last quarter -- sorry, INR259 last quarter.

So if you could please just help us understand what the reason for that is?

Anish Ganatra: No, you're comparing with Q-on-Q, is it?

Abhijit Akella: Yes. March quarter versus June.

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Anish Ganatra: Yes, I think you -- yes, that's what you are doing. So these are campaign driven. I mean, Abhijit, as you are aware, the campaigns are what drives the full utilization. Like I said, last quarter, we had 80%, 85% utilization. This quarter, we are talking of about 70% utilization. So I wouldn't read anything beyond that.

You should look at this from a full year point of view. And even in this environment, it should be -- we feel that we are in a very good place, one, because of the base order book that we have and plus the new capacity that is coming in. That will drive decent growth in the spec chem when you consider year-on-year.

Abhijit Akella: And the other one I just had was on the seasonality of the HPP vertical I just given that R32 is a newer product for us and going into maybe some newer areas, geographies, etc. So if you could please just understand, is this a good number, the 1Q number to sort of assume for the -- for the remaining quarters of the year? Or could there be some seasonality?

Anish Ganatra: I mean, there is -- if you know how these products get sold today, there's more export versus domestic demand on this. So there is a good sort of balance of both when you look at the overall portfolio. And I think the run rate that you are seeing in this quarter is a good run rate to hold.

Moderator: The next question is from the line of Meet Vora from Emkay Global.

Meet Vora: So my first question was on R32. What I understand is that we have done the earlier expansion at significantly lower capex because maybe we have converted some existing assets like we have expanded around 5,000 tons at INR80 crores of capex .

Now if we plan to expand it further, I just wanted to understand whether the capex would be relatively large compared to our previous expansion? And also by what time should our capacity come on stream, if we wanted to be considered fully for the quota calculation or quota consideration?

Anish Ganatra: So, Meet, I'm just kind of struggling with your com

parison on the earlier capacity. Both our R32 plants are roughly in the same range of capex .

Meet Vora: No, what I'm trying to understand is if we expand further, the next level of capex will be more greenfield in nature versus what we have done previously.

Anish Ganatra: No, no. Both are -- I mean, it's the same, it's all about -- we have not done any conversion from anything to anything. It's basically fully shut down that asset base. So we don't think that -- I don't know where you're getting the info, but it's kind of -- it's not a question even in our mind, to be honest.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus Securities.

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Siddharth Gadekar: So, Anish, can you just give us sense on those realizations between electronic -grade HF and the current HF that we would be selling in the external market? And what would be the margin difference between these 2 products?

Anish Ganatra: So Siddharth, that is a great question. Unfortunately, we will not share specific numbers on it, but rest assured that our whole idea of going into an electronic grade is to get into more and more niche applications. As you get into niche application with better level of chemistry and synthesis, you are going to get into a higher realization per kg of HF. And that is the driver, which is why we've very clearly taken a call to stay away from anything that's not niche.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India.

Surya Narayan Patra: Congrats for a great set of numbers. My first question is on the specialty chemicals side. The 3 molecules that we are talking about starting from the next quarter. Could you give some more color to it, sir, what is the nature of the product? And in terms of size, scale and all those kind of things.

Anish Ganatra: Yes. So firstly, Surya, those are actually in this quarter, the quarter that we are currently talking in. So it's in Q2 quarter as opposed to Q3. I'll just clarify that. The other thing is there are 3 molecules, but 2 of them are large enough or have the large enough potential to be calling out at us for investment. So -- but that we will have to wait and develop. We are starting the supplies now. And as that matures and develops and we know what the -- we can see the size of the opportunity materializing, we'll definitely look at expansion.

Surya Narayan Patra: Okay. It is for an existing patented molecule kind of thing or it could be a generic opportunity, hence ramp -up could be quick? How should one think that way?

Anish Ganatra: So this is all for a new AI. We're talking for a new...

Surya Narayan Patra: One clarification about the HF project, sir. What is the service angle that you have mentioned about this HF project?

Anish Ganatra: Service angle for HF?

Surya Narayan Patra: Yes. Nitin sir was mentioning it...

Anish Ganatra: Sorry, can you just elaborate a little bit more so we can relate to it?

Surya Narayan Patra: No, in fact, in the opening remark, Nitin sir mentioned about a service angle apart from the product angle for the HF project...

Anish Ganatra: So what that means is if you look at our approach, we have got an approach where we do a product play and where we do partnerships or service with large majors like Chemours, like in Honeywell and the likes that we are talking about. Now in the area where we've got the technological capability, we've got the ability that is adjacent to our own capability plus we have

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the capability to place the market and call the market, then we will do that in the area where we think the best value for shareholders is accessing through a partnership lens, that's what we will do through a partnership lens. So that's what he mean by product se

vice.

Moderator: The next question is from the line of Bhaskar Chakraborty from Jefferies.

Bhaskar Chakraborty: I wanted to ask that U.S. has announced a 25% tariff on India plus some additional penalty because of our links with Russia. So how does that impact our exports to Honeywell and the rest of the exports into U.S.?

Anish Ganatra: So Bhaskar, your voice was a bit -- there was a lot of disturbance in the audio, but I'm taking you're asking about the tariff question. I mean that's really hot on the press, right? I mean, so you picked up the question as it's come in. But you've got to think of Navin in 2 ways that we are 20% of sales, FY25 basis, where are we exposed to the U.S. market directly. So in a sense, we've got an exposure to some of our refrigerant gases, which we are covered under A DD duty. So there is not much of an impact there.

Sorry, somebody -- there's some background noise from somewhere. The other thing to remember is where we do have a contract and supplies under existing long-term contracts. It's too early to talk about the consequences of the impacts. But also, we don't know about this tariff, how it will apply, where it will apply. And this is all sort of -- it's too early, to be honest. Let us look at it, and it's ultimately going to be a relative game and also important to understand is this going to be a permanent thing or is it a temporary thing until a deal is reached.

Moderator: The next question is from the line of Yash Shah from Aditya Birla Life Insurance.

Yash Shah: Sir, it was more of a clarification question. Did you mention, sir, what kind of growth can be expected ex of Nectar in the specialty chemicals business for FY '26?

Nitin Kulkarni: All we talked about is the path that we've indicated, half of that path is very fairly reasonable to expect that will come in FY '26. I'll let you do the math, Yash.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Thanks for the follow-up opportunity. Sir, we -- for all the plans we have on consuming the new AHF capacity, whether it is R32 or the specialty grades AHF, by which time period we have a visibility to kind of completely go 100% on this AHF plant?

Anish Ganatra: So Arun, again, strategically, we've always said that we are going to drive value here. So the game here is going to be value over volume. Eventually, our game will be to try and get more and more for every kg of HF. This plant has been setup to meet our long-term requirements and not necessarily near-term short-term utilization. There will be some sort of temporary stuff we do from merchant, etc, but that's temporary. The ultimate game is to not leave the prize on the table.

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Arun Prasath: Understood. So does this mean that this year, we will be -- I mean, we always said that merchant -- I mean replacing some of the imports into India by other merchant sales. That plan is on track irrespective of what we do with the specialty grades.

Anish Ganatra: Sorry, what plan?

Arun Prasath: Some of the merchant sales in India.

Anish Ganatra: Yes. So if you look at Navin, Navin had a merchant sale footprint of about 6,000, 7,000 metric tons even a couple of years ago. So obviously, there is a market and there is value to be achieved in the near term, we will do it. But that is not something why we set up strategically the plant. The plant is to set up strategically to go downstream into more and more niche products and derive greater value per kg of HF rather than place the volume. So it's a value over volume strategy, not necessarily a volume strategy.

Arun Prasath: Understood. Sir, one bookkeeping question. This quarter, the absolute domestic sales on CDMO seems to be very, very low. Any particular reason or we should just see it as a blip in the radar.

Anish Ganatra: No, usually

y, our CDMO sales have always been with a very strong export bias. In between, we were supplying at the behest of our global customer to another service provider, another of their service provider in India. So sometimes, the export domestic splits don't tell you a lot. They raise more questions than they answer it.

Moderator: Thank you. That was the last question for today. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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February 13, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400001

Scrip Code: 532504 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051

Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 09, 2026 regarding discussion on operational and financial performance for the quarter ended December 31, 2025 (Q3 of FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,

For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad

President Legal and Company Secretary

Encl.: a/a

"Navin Fluorine International Limited Q3 & Nine Months FY26
Earnings Conference Call"

February 09, 2026

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN , NAVIN FLUORINE
INTERNATIONAL LIMITED

MR. NITIN KULKARNI – MANAGING DIRECTOR, NAVIN
FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER,
NAVIN FLUORINE INTERNATIONAL LIMITED

MS. PAYAL DAVE – MUFG INTIME, INVESTMENT
RELATIONS ADVISOR.

MODERATOR : MS. POOJA SWAMI – MUFG INTIME INDIA PRIVATE
LIMITED INVESTOR RELATIONS

Navin Fluorine International Limited

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Navin Fluorine International Limited Q3 & Nine Months FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Pooja Swami from MUFG Intime IR. Thank you, and over to

you ma'am.

Pooja Swami: Thank you, Shruti. Good evening, everyone and welcome to Q3 & Nine Month FY26 Earnings Conference Call of Navin Fluorine International Limited.

Today, on the call, we have with us Mr. Vishad Mafatlal - Chairman; Mr. Nitin Kulkarni - Managing Director; and Mr. Anish Ganatra - Chief Financial Officer.

This call will contain forward-looking statements about the company which are completely based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. A detailed Safe Harbor statement is given on Page #2 of the Investor Presentation of the company which is uploaded on the stock exchanges and on the company's website.

With this, I hand over the call to Mr. Vishad Mafatlal for his opening remarks. Thank you and over to you sir.

Vishad Mafatlal: Thank you. Good evening, ladies and gentlemen and welcome to Navin Fluorine's Q3 & Nine Month FY26 Earnings Call. I am joined today by our Managing Director – Mr. Nitin Kulkarni, our CFO – Mr. Anish Ganatra and Ms. Payal Dave from MUFG Intime, our Investment Relations Advisor.

The environment in which we operate continues to evolve, shaped by global developments and macroeconomic trends. While these dynamics bring their share of challenges, they also create new opportunities.

I am pleased to share that we have remained resilient and agile, consistently adapting our operations to sustain growth and deliver strong outcomes. Our growth has been made possible by the relentless dedication and tireless efforts of our teams. Through focused teamwork, strong R&D initiatives and the adoption of right technologies, we have been able to navigate diverse global scenarios. Equally important are the deep relationships we have built with our partners, which continue to strengthen our foundation. I want to express my heartfelt gratitude to every member of our team and all other Navin Fluorine International Limited

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stakeholders as their commitment has been driving force behind the performance we are witnessing today.

I am pleased to highlight that our cGMP-4 Phase-1 facility has been commissioned based on our timelines. Post successful validation of batches, we started commercial supplies during the quarter. Our AHF project was also successfully commissioned recently and commercial supplies have started. We are pleased to inform you that all our ongoing CAPEXes are progressing well.

With continued positive pricing trends and ongoing capacity expansions, we are confident that the HPP business will continue to deliver sustainable growth. Our Specialty Chemicals division has achieved its highest-ever quarterly revenue, underscoring both strong execution and deeper partnerships. Meanwhile, the CDMO business continues to build momentum with strong order visibility. Across all our verticals, momentum remains strong, supported by clear order visibility, reinforcing confidence in our growth trajectory. We are also progressing well on Advanced Materials space and with initial evaluations for projects in the electronic chemical value chain.

Before I hand it over to Nitin for a detailed update on the business, I would like to

briefly talk about

the current global developments and the impact of the Union Budget 2026.

Both the EU Free Trade Agreement and the US trade deals are good news for our industry. We expect these to support our bilateral trade. The government's focus on strengthening domestic manufacturing is also very encouraging for the chemical sector.

Further, we are encouraged by the launch of India's Semiconductor Mission 2.0, which focuses on Semiconductor Manufacturing in India, along with the Associated Ecosystem of Critical Supplies including Chemicals and Gases. This is a positive for our Advanced Material businesses. With these policy supports, we believe the Indian chemical industry is well-placed to grow globally, adopt advanced technologies and contribute to higher quality exports under the Make in India and Viksit Bharat 2047 Vision.

Thank you once again for joining us today, and now I would like to hand over to Nitin to Provide an Update of our Operating and Business Performance.

Nitin Kulkarni: Thanks, Vishal bhai. Good evening. Thank you for joining us on the call today. We are happy to report a strong performance across all our business verticals for the quarter as well as for the nine months of FY26. For nine months FY26, our revenue grew by 44% to INR2,376 crores, while quarterly revenue increased by 47% year-on-year to INR892 crores. Our margins for the nine months stand at 32% compared to 21.5% in the previous year, reflecting an expansion of 1,047 basis points. This improvement has been driven by our focus to diversify our portfolio, expand our market presence, deepen strategic partnerships and enhance customer relationships. This approach has Navin Fluorine International Limited

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solidified our presence as a globally trusted provider of diverse fluorochemical solutions while fueling growth in competitive landscape.

While focusing on this growth journey, we also kept ourselves nimble and disciplined by relentlessly focusing on maximizing operational efficiencies, strengthening R&D, enhancing technology platforms and optimizing supply chain.

Talking about our Business Verticals, our HPP business delivered a strong and consistent performance during the quarter. Revenue for Q3 FY26 stood at INR412 crores, registering a 35% year-on-year growth, compared to INR306 crores in Q3 FY25. The growth was driven by combination of higher realizations and improved volumes supported by constructive price environment. We are pleased to inform you that AHF project has been successfully commissioned during Q4 FY26. Additionally, the CAPEX for incremental HFC capacity equivalent up to 15,000 MTPA of R32 is progressing as planned and is expected to be commissioned in Q3 FY27.

Coming to our Specialty Chemical Business, Q3 FY26 reflects a strong quarter for this segment. Revenues increased to INR354 crores, reflecting a 60% year-on-year growth over INR221 crores in Q3 FY25, making this the highest-ever quarterly revenue for the specialty chemical vertical. The outlook remains strong and encouraging, supported by strong order visibility for Q4 and beyond. Our product pipeline continues to gain strength with scale-up in existing molecules and several new molecule launches are lined up.

On the Project front, the Chemours Project is progressing well and is on track for completion in Q1 FY27. Further, the de-bottlenecking of MPP capacity at our Dahej facility is expected to be commissioned in Q3 FY27, which will further enhance our capabilities.

Moving to our CDMO Business, the segment continues to demonstrate strong momentum with improved visibility.

Revenue for Q3 FY26 stood at INR127 crores, growing 61% year-on-year from INR79 crores in Q3 FY25, driven by strong execution and customer traction. During the quarter, we achieved a significant milestone with our European CDMO partner as we have successfully completed validation and commercial supplies as commenced from our

cGMP-4 facility. This engagement provides strong revenue visibility over the next three years.

We have also concluded supplies for material order from a major EU customer, with discussions also underway for future supplies. Additionally, another scale-up order from a large European customer, is scheduled for Q4 FY26 deliveries.

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On the Advanced Materials space, we continue to progress on multiple projects to become part of the overall semiconductor and electronic value chain. We are evaluating all these opportunities and will update you in the near-future.

With that, I will hand it over to Anish for Financial Update.

Anish Ganatra: Thank you, Nitin, and good evening, everyone, and welcome once again to our earnings call.

I will now walk you through the Company's Financial Performance for Q3 & Nine Months of FY26.

Looking at our quarterly performance, on a consolidated basis, our revenue for Q3 FY26 came in at Rs.892 crores, reflecting a growth of 47% year-on-year and 18% sequentially driven by strong contribution by all verticals.

Operating EBITDA stood at Rs.308 crores, up 109% year-on-year and 25% quarter-on-quarter.

EBITDA margins improved to 34.5% compared to 24.3% in Q3 FY25 and 32.5% in Q2 FY26, driven by improved realization and operating efficiencies.

Operating PBT increased to INR243 crores versus INR98 crores in Q3 FY25 and INR179 crores in Q2 FY26, marking a growth of 149% year-on-year and 36% sequential growth.

Profit after tax for the quarter stood at INR185 crores, recording a growth of 122% year-on-year and 25% quarter-on-quarter.

On a nine-month basis, our revenue was INR2,376 crores compared to INR1,648 crores in the same period last year, a growth of 44%. Notably, I would like to highlight that we have surpassed our full-year revenue number of FY25 within the first nine months of FY26.

Operating EBITDA reached INR761 crores, up 114% from INR355 crores in the nine-month period ending for FY25.

EBITDA margins improved to 32% versus 21.5% in the prior year same period.

Profit after tax for nine months stood at INR451 crores, 56% higher to full-year FY25 PAT of INR289 crores.

As of December 31, FY25, our net debt-to-equity ratio stood at 0.03x and net working capital was below 80 days of sales. This reflects a disciplined approach to access growth.

Before I conclude my remarks, I would like to summarize with the Key Takeaways. One, our earning growth rate surpasses the growth rate in revenue, resulting in operating leverage coming to play.

Growth reflects the performance across all verticals. Execution of Wave-1 projects AHF, cGMP4

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concluded and commissioned during the quarter with this Wave-1 of CAPEX projects concludes and

Wave-2 projects, namely the MPP debottlenecking, the R32 expansion, HFC expansion and the Chemours project are on track for completion as indicated. Strong project pipeline across the verticals again continues to fuel opportunities for future growth. Financial framework remains conducive to growth.

With that, I conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please proceed.

Sanjesh Jain: Yes, thanks. Good evening and thanks for taking my question and congratulations for a very good set of number. I got a few questions here. First one, the Navin Fluorine Advanced Sciences appears to be doing significantly better sequentially the revenue; consol minus standalone stands at Rs.322 crores versus Rs.196 crores, so, there is a growth of Rs.126 crores sequentially. Can you help us understand what segment is driving such a sharp improvement? And we had three large projects within it, HFO, dedicated plant and MPP3. Where are we in the utilization cycle for all these projects?

Thank you.

Anish Ganatra: So, Navin Fluorine Advanced Sciences is again, you are absolutely right, sequentially, the growth is solid, but it is also something that one would expect to see because as we have indicated in the past, there has been a pipeline of projects in the specialty vertical and including the Nectar ramp up. So, those two are playing out very well in Navin Fluorine Advanced Sciences, which is what you see in the numbers. I would like to also put this thing in, which is a specialty vertical for this quarter, has reported a number of Rs.350 crores, which in some sense sets up a solid run rate of what we should expect the specialty business to deliver going forward. And, of course, there will be further drivers of growth with the Wave-2 CAPEXs that we have announced.

Sanjesh Jain: Got it. And utilization for all the three projects?

Anish Ganatra: Utilization for the MPP-1 is solid. For the full year, we expect to almost hit the par. Utilization for MPP-2 is about 80%, 70% around in that range, but we expect that to pick up in the coming year.

And utilization for Nectar is again, as we had always said, this year, we would hit roughly 50% of the par. So, we are on track for that.

Sanjesh Jain: And dedicated plant?

Anish Ganatra: Our dedicated plant, I told you, about 70%.

Sanjesh Jain: Okay, 70%. So, there is still headroom to grow from here for Navin Advanced Sciences, that implies.?

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Anish Ganatra: Indeed. I mean, for Navin Advanced Sciences with the AHF commissioning, you will further see growth coming in from there in the vertical as well. And also what we have announced on MPP de-bottlenecking, that will also give further growth coming into the future. So, in a sense, last quarter, when we announced the de-bottlenecking project, we very clearly said that, we are coming to a point in the specialty business where our strategy of working closely with the global innovators, is paying off, and which is why we announced the de-bottlenecking project, because we were seeing that the capacity addition would be value-accretive.

Sanjesh Jain: Got it, got it. But, if I look at the commentary from the other chemical companies, everybody is struggling from agchem cycle not picking up probably as everybody thought, that is not really hurting us. Are we doing anything different in agchem chemical or it is just a base effect or there is a mix between agchemical and non-agchemical within the MPP?

Anish Ganatra: Sanjesh, you got to go back to a commentary a couple of quarters ago where we said that, we had started working proactively with the global majors to be their technology partners in their supply chain and not just a pure relationship which is transactional, right? And I think that along with the combined effort of our R&D, manufacturing teams and the business teams is actually playing out in what you see in the numbers, yes.

Sanjesh Jain: Got it. But it is largely agchem-driven, right, as of now, within the specialty?

Anish Ganatra: Yes, indeed.

Sanjesh Jain: Got it. The second question is on the margin and AHF both put together. Now that AHF plant has commissioned, we will sell more, we will buy less, which should be margin-accretive and we are already at 34.5%, how should we think about this?

Anish Ganatra: So, I think you are right on the first part of the statement, sell more and buy less. There is absolutely no doubt. And as you know, we always see AHF as a mother plant, right? So, the HFC capacity that we have announced obviously will sort of come into play in utilizing some of that added capacity. And we will be out also in the trade market. There is no doubt about that. But, I think the bigger game here is how do we use the new AHF capacity to advance the advanced materials vertical that we are incubating. And there, as Nitin mentioned, there are several projects that we are working act

ively on

and hopefully some of them should kind of move into traction in the near future, yes. We will keep you guys updated.

Sanjesh Jain: And on the margin, Anish?

Anish Ganatra: On the margin, I think, we have always said 25%. I think it is now safe to think of Navin as a 30% annual number. But let us not kind of hold that on a quarterly sort of treadmill run rate, yes? So it will be an annualized number that we are looking at 30% give or take plus/minus 200 basis points.

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But that is where we would be. This year, clearly, as you will see the numbers and the math will be in front of you, that we would be hitting or crossing the 30% number, yes.

Sanjesh Jain: Correct. On the AHF, we rightly said there is an electronic and semiconductor opportunity there. But, why not solar? I think we have been downplaying solar while solar production in India is picking up so strongly. And there are larger players who are entering and that requires a good amount of AHF. I know not at the purity of semiconductor, but not even the normal AHF works there. Somewhere in between. But why are we not playing that?

Anish Ganatra: So Sanjesh, we never said we are not playing into it. I think what we are saying, and this is really important to understand, that solar is a part of journey to get to electronics grade. And that is what we will do. We will get to electronic grade, but it does not exclude solar. There will be solar and there will be electronic grade. But we want to bake this CAPEX in a manner that we are able to access electronic grade. So, that is why it is taking some time, but hopefully not too long.

Sanjesh Jain: Got it. And this bush technology-related plant is supposed to come in when?

Anish Ganatra: So like I said before, bush or no bush, we will move and that is what we are doing. We are actively working on this and you should see something hopefully in the coming quarters.

Sanjesh Jain: And anything on the BF-3 for a semiconductor application?

Anish Ganatra: It is part of the equation. So, as we get into electronic grade, you have high purity of all the chemical gases. We are going to play on our strengths of fluorination and get into downstream higher purity gases of which, of course, BF-3 is one of them as well.

Sanjesh Jain: Very clear, Anish. Thanks for taking all those questions so patiently and best of luck for the coming quarters.

Anish Ganatra: Cheers, Anish.

Moderator: The next question is from the line of Nitesh from Anand Rathi. Please proceed.

Nitesh: Yes. Hi, team. Thank you. Congratulations on a good set of numbers. Again, on the consol minus standalone, that is a subsidiary, EBITDA margin in the last couple of quarters ever since the specialty molecules started ramping up. That has surged to 45% from around 28% there. Gross margin in this period has increased by about 400 bps only. Seems there is hardly any OPEX increase in the last couple of quarters. I mean, the EBITDA on the incremental revenue seems to be north of 65% there. So, could you kindly give us some color here, I mean, is this is a sustainable margin profile of the specialty molecules here, or there is something more to this surge in the margin?

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Anish Ganatra: So, Nitesh, thanks, but I do not think the EBITDA is 65% north. I think you are looking at some numbers. But in principle, directionally, your comment is correct that, the margins in the subsidiary are looking better and so is NFIL also. What one has to remember, see, we have always communicated this very strongly in the investor community and to you guys, is that, our priority has always remained on manufacturing excellence as #1 priority. We are consistently driving economies and removing inefficiencies in the system. And that is why you see a solid control on cost. That is why you see a solid control on innovation in terms of

trying to bring in better processes, improved processes, higher yields and lower losses. So, some of this you will naturally see. One has to remember also that NFASL is not a listed entity. So, it does not have the same overhead structure as NFIL, which is a listed entity. But, there is a proper transfer pricing arms-length association between these two companies to transfer the costs between the two sort of entities. So, there is not anything that you are seeing unusual there. Perhaps it was something that one would expect. And, in a scenario where we are, and like we said, even last quarter, you will see operating leverage play out very nicely in a way.

Nitesh: Sure, sir. Okay. So the second one is on the refrigerants bit. So has there been a change in the exports to domestic mix on the R-32 side, and the reasons maybe that you can attribute there? How much has been R-32 utilization in Q3? And any significant increase sequentially that you might be seeing?

Anish Ganatra: So, R-32 utilization has been 100%. Of course, in this quarter, we have taken a shutdown for Agro 1, which is the usual planned shutdown for catalyst changeover. But, the mix between export-domestic is actually not materially different from what it used to be. Of course, as we are preparing for the new capacity to come on stream, we are also looking at expanding our market reach, which also is happening simultaneously. So a lot of this you will see moving path, because we have got to make sure that we are able to place the new upcoming portfolio as well, and there are certain sort of accesses that we are looking to get globally on R-32 as well.

Nitesh: Sure. So, you know, with the Chemours project on track for completion in Q1, could you give us a

sense of the revenue ramp up over FY27 to '29? So FY27 is a partial year. I mean, how the margins should be thought about relative to the overall business, like, without getting into specific numbers there?

Anish Ganatra: So, like I said, the Chemours project has an initial capacity to drive an accelerated adoption of the product in the market. As we have said previously, we are under a confidential agreement to not talk about the quantities or the revenue associated with that. But the size of the CAPEX should give you a decent feel. This CAPEX as it sort of progresses to access the overall market of liquid cooling, will sort of come into fruition two years once it starts off. That is when we will start to talk of how and what sort of a bigger CAPEX looks like. And at that stage, we can possibly talk a little bit more on the future outlook of the revenues, etc., But just to give you a sense, the liquid cooling market, I
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believe, is close to about \$3 billion potential. And, two-phase cooling is one part of the critical and necessary part of the solution to support the data center growth in the world driven by AI.

Nitesh: Sure, sir. Thanks a lot for answering my questions. Wish you all the best for the future.

Moderator: The next question is from the line of Jason from IDBI Capital. Please proceed.

Jason: Yes, thanks for taking my questions. First question just pertains to, you have been saying that for the AHF plant, we will basically look at increasing or basically keeping our realization highest, increasing our realization per Kg. Now, I just wanted to confirm how much of the 40,000 will be used captively and how much will be sold externally?

Anish Ganatra: So, I think the answer there is sort of implicit in your question in a sense. If I have to get more realization, I have to keep consuming captively more and more. The trick and the business strategy is to consume it into more and more niche chemistries and advanced plays.

Jason: Okay, but do we have any ballpark target in mind for a proportion?

Anish Ganatra: So, like I have said before, this is a license to grow capacity or license to dream capacity. And in a

sense, by putting this capacity, we are signaling that we will continue to develop chemistry and capability in downstream applications to grow this. Now, how and what? Frankly, we have talked about in all the verticals, including the play that I have talked about in advanced materials, where we said we will go on the back of fluorinated chemistries. So, it is very easy for you guys to figure out what that market size is and what the potential is, particularly given the thrust that the Indian government has now put in on semiconductor manufacturing and data centers in India, along with the right sort of incentive structures. So, I think over there, again, at this stage, all I would say license to operate... I mean, think of it this way, Jason, we would not have been able to do or access R-32 opportunity if we did not have the AHF.

Jason: Right, sir. Sure. And so just about this cooling liquid market, you said that it is a total market of \$3 billion, is that right?

Anish Ganatra: Yes, I think the \$3 billion is the potential market size of total liquid. Talking from memory, but that is what it is.

Jason: Yes, but it is on a global scale, that is what you are saying, right?

Anish Ganatra: Yes, global scale.

Moderator: The next question is from the line of Rohit from 360 ONE Capital. Please proceed.

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Rohit: Thanks for the opportunity and congrats on a very strong set of numbers. First question is on the Nectar project. So you alluded that for this year, we are on track of utilizing half of the capacity. Are we also on track to utilize the other half in FY27 or just your broader perspective on this? Thank you.

Anish Ganatra: So, we are working to secure the other half. If not other half, we should be pretty close. That is what our aim is.

Rohit: That is helpful. And second question is in terms of the nine-month staff cost has been largely flattish. I understand that we have been optimizing across the board. What is the sense in terms of from here on, will there be a natural inflation-adjusted growth in the staff cost?

Anish Ganatra: So I think there will be two things playing out. As you look into the forward, you will see that the bar numbers we have indicated for various projects will give you a certain growth rate that is implicit in Navin's performance as we reported today. And you will see that will also entail that we will be taking certain calls on capability enhancement across the organization. So, you will see a combination. But, I think a safe bet is to look at what we are saying, 7%, 8% percent of revenue as our employee costs. See, we were historically at a two-digit number. But I think we have now contained it to where we should be in terms of comparison to peers or where we think it is appropriate. And that is what I would do if I was to model in your place.

Rohit: Sure. Just one last clarification. On a sequential basis where we stand today in this quarter, are we also expecting on all the three segments we are fairly confident of growth?

Anish Ganatra: So, absolutely. I mean, like we have said before, all three verticals have performed and all three verticals continue to demonstrate the capability to access the opportunity. Some of that is clearly

visible in the CAPEXs we have already announced and which we will continue to do as we progress our projects in a disciplined manner. And with CDMO, obviously, with every month going by, we are getting closer and we are inching closer to our aspirational number of 100 million.

Rohit: Perfect. That is helpful and all the best, sir.

Moderator: The next question is from the line of Surya from PhillipCapital. Please proceed.

Surya: Yes, thanks for the opportunity and congrats on the great set of numbers. Sir, my first question is on the cGMP-4 plant, phase-I work that we have commercialized. So, since that is a dedicated unit for the known partner, when do you expect

the optimal utilization of the plant, sir?

Anish Ganatra: Within the year...in FY27, you will see full optimum utilization. That is one.

Surya: Okay. Second was that the kind of a positive surprise, obviously, because of the kind of the subsidiaries contributing incrementally, as well as the agrochem contributing, the specialty

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contributing, all that. But any element of a quarter-specific contribution that whether we are seeing either in terms of revenue or in terms of margin?

Anish Ganatra: I know, I hear you say surprise, but frankly, all of this is in line with the CAPEXs and the plans we have announced. Always said, in fact, last year, I remember Nitin and I explicitly mentioned that as we got into FY26, the first half of this year was going to look at like the last half of last year, right?

And so, this is in line with what we have always been working towards and so, therefore, not something that has happened by accident, something that we have driven to. And one thing also, that you talked about is the exceptional item we reported in the numbers, which is as a result of the new labor code.

Surya: Yes. Just one more point on the AHF thing. See, that is obviously we are targeting for the new age industries application. So, if you can give some more sense about like, whether the product with how many customers that we have validated, whether the customers are the local Indian ones, or it is even external market that we have validated our product for the new age industry application, so, if you give some sense on that, it would be really helpful?

Anish Ganatra: There are several projects we are working on. And these are with a wide range of customers, largely global spread across different geographies. And they are in different stages. But I am sure, Surya, you will understand there is a lot of commercial sensitivity to these conversations. But I think I have indicated sufficient in terms of saying that this will be from downstream fluorinated chemistries. And they will be niche players. We do not want to get into kind of products.

Surya: Okay. I just might just point that whether we are targeting the evolving semiconductor industry in India, or something like that, that is a kind of opportunity for the new age industry, or it is even the global market that we are trying to tap?

Anish Ganatra: It will be new age across the world, including India.

Surya: Yes, great, sir. Congratulations. Thank you.

Moderator: The next question is from the line of Abhijit from Kotak Securities. Please proceed.

Abhijit: Yes, thank you so much. Despite a sharply higher salience of specialty chemicals this quarter, the gross margins still remain stable or moved up a little bit sequentially. So, is this coming primarily because of maybe higher realizations in HPP or a better regional mix in HPP, what might the reason be there?

Anish Ganatra: Yes, Abhijit. So you are looking at your consol minus standalone, and you are talking of NFSL, you are talking NFR, when you make that comment.

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Abhijit: No, I was looking at the consol gross margins.

Anish Ganatra: Yes, so consol gross margin captures both, it captures the pricing and the realizations that we have had on the HFC and HPP front. It captures also the optimization and manufacturing excellence piece I spoke shortly ago about into the specialty, into HPP as well, frankly. And also it captures the increased mix coming from CDMO. So, it is all three verticals actually contributing well. Even in the specialty vertical, the agrochem players are projecting a good outlook for volume growth in the coming years. Pricing pressure, we have always said, will remain part of this business. If you remember my early commentary, I told you how this shifts from being a lift, shift, adopt model to a lift, shift, adapt, embed model. And that is what the p

ower of the integrated teams comes into play

there, where you can bring R&D, manufacturing, business teams into defining how you can add value as a solution provider to your customers.

Abhijit: Thank you. Now just to clarify my question, maybe a little more detail. So, on a sequential basis, when I look at it, 2Q versus 3Q, HPP revenues and CDMO revenues are almost stable sequentially.

Specialty chemicals is the one that has driven pretty much all the growth. And one would have expected that the gross margins on specialty chemicals might have been lower compared to the rest

of the portfolio. Yet we see the gross margins are pretty much stable at the consol level. 58.8% versus 58.7%. So, I was just trying to understand whether there has been a margin improvement in any of the three verticals?. And if so, what might be driving that?

Anish Ganatra: Margin improvement has been, and CDMO has been in HPP, specialty has remained largely flat. But obviously, what you are seeing is, the operating leverage is also playing a big role in the earnings growth. And that one has to remember.

Abhijit: Yes, I was just referring to gross margins. So, I guess that would not count up?

Anish Ganatra: Yes.

Abhijit: Okay. So margins have improved in both CDMO as well as HPP?

Anish Ganatra: Yes.

Abhijit: Got it. And just on the domestic sales of R-32, are the margins superior to the international sales?

Anish Ganatra: No, not necessarily. I mean, we are having a good average realization across both markets. But I believe exports tends to be better than domestic.

Abhijit: Okay, got it. Thank you so much. All the best.

Moderator: The next question is from the line of Vivek from Morgan Stanley. Please proceed.

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Vivek: Hi, sir. Congratulations on fantastic set of numbers. Just on the margin front, given that all your manufacturing initiatives and the excellence that you have done are sustainable, are there any factors that you are monitoring that could pose some sort of a risk to these margins beyond the price and volatility that you previously flagged?

Anish Ganatra: So you are right. So the only issue, and I am sure you guys know it, the price of sulfur keeps increasing, the price of fluorspar is increasing. So, there are input costs that are going higher. And therefore, obviously, that is something that we monitor very closely. And we work in to make sure that our pricing decisions reflect this accurately well.

Vivek: Sure. I will join back in the queue. Thank you.

Moderator: The next question is from the line of Arun from Avendus Spark. Please proceed.

Arun: Good evening. Thanks for the opportunity. Anish bhai, my first question is once again on this specialty chemicals. Sequentially, we have delivered roughly Rs.120-130 crores growth. Is it safe to assume that mostly this is coming from the Nectar?

Anish Ganatra: This is coming from a combination of Nectar and other products in the pipeline where we have scale-up orders. So, it is a combination of the two. A good proportion, of course, is the Nectar project where we concluded a campaign.

Arun: And the ex-Nectar growth is from a catalogue same or from rather legacy assets?

Anish Ganatra: So I do not do anything that catalogue here. I am basically doing it as a service provider for the large majors anyway.

Arun: Okay. So this is largely from the large molecules that we are doing also?

Anish Ganatra: Yes. Because you remember, we had always talked about the fact that every quarter our intent is to do one or two new molecules in agchem. So that pipeline, which was anyway strong and being built up, is starting to sort of yield results.

Arun: Right. And when you said that agrochemicals, the volume outlook looks very good, and given that we have good capacity left, would we be seeking more volumes at the expense of margins because we are anyway good in margins at the consol level, should w

e expect that we be picking large market share to gain volume market share?

Anish Ganatra: So Arun, first, if I said it, I will stand corrected. I said, the outlook looks better, because if you look at it, the agchem sector has gone through some rough weather over the last two years, right? So the next year seems to be an outlook where people are saying, there will be a volume uptick. Now, how

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much that is? Frankly, I do not know at this stage. Is the pricing pressure always going to be in the agchem business? It is always going to be there. I do not think that that shift we have to all make in our minds. And like I said, that as Navin, we were possibly an early recognizers to that trend where we started to change the way we looked at our customers driving a portfolio-based conversation, focusing more on driving process improvements, etc., and therefore, becoming a long-term solution provider to our customers rather than just a mere supply chain contractor. So, I think that is intact. And I do not think that that strategy will change frankly.

Arun: Understood. And then when you earlier said that we should look at the margins at 30% plus or minus 200 bps. From current levels, at a downside risk, we are looking at a 400 bps reduction in the margins. And if at all that scenario were to play out, which products or segment would drive this down according to you?

Anish Ganatra: So, Arun, I am afraid it is not as linear as what you say. See, the current margins are a reflection of the product mix in the current quarter. Now, yes, if I had my wishful thinking that the product mix would be the same, the campaigns would be the same, the cost structures would be the same, I would

be exactly where you are. But that is not how life is, no? So, we have a campaign-driven mechanism where some products yield better margins, some product yields slightly lesser margins. So, what I am saying here is that on an annualized basis, we should look at Navin to hit roughly 30% EBITDA margins, plus/minus give or take whatever percentage points. But we should be nearer that number on an annualized basis and in the longer term. But not sort of quarterly run rates, etc., So that is all I am saying.

Arun: I understood, Anish bhai. Perhaps I will put it differently. Which segment do you think is at the risk of seeing margin reduction or which products, I mean, where you see, probably we are seeing the best of the pricing and probably we should be watching out for, that is where I am coming from?

Anish Ganatra: I do not think that is the right way to look at it. Because see, we have got three diversified businesses, three businesses with different market dynamics playing into it, and within those businesses, different campaigns yield different margins. So, are we kind of going to say that one margin goes up or down? It is a product mix play, man. So that will continue to be unfortunately the reality. That is all I can frankly say, Arun.

Arun: Okay. Understood.

Anish Ganatra: Sorry, while we are doing, I think Abhijit who had asked the question on R-32 realizations. I just stand corrected, our export realizations are better than the domestic ones. But I will just put that on the table.

Moderator: The next question is on the line of Sajjan Kapoor from Antifragile Thinking. Please proceed.

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Sajjan Kapoor: Yes, hi, thanks for the opportunity. I have only got one question. Sir, Navin has built a solid track record in high-value fluorochemicals over the decade and then also in CRAMS or CDMO. In your view, what separates the specialty chemical companies that kind of consistently grow and maintain leadership from those that remain subscale or lose relevance? In other words, you know, if a well-capitalized, competent new entrant attempts to build a Rs.1,000 crores specialty/CDMO business over time, where

might they struggle the most and why? Thank you.

Anish Ganatra: We are focused on ourselves, to be honest, and we are focused on growing in a disciplined manner, and frankly, we have put in a lot of effort over the last year and a half, two years to get this model right, and get it to a level where we can plug-and-play it so that eventually the growth opportunities can be secured, yes. But, maybe we can, Sajjan, leave that for a separate conversation in a separate forum.

Sajjan Kapoor: Sure. I will request one then. Thank you so much.

Moderator: The next question is from the line of Nirav from Anvil Wealth. Please proceed.

Nirav: Yes, sir. Thanks for the opportunity. Just one quick question. Sir, with respect to this EU deal where India and EU has entered into an FTA, is there any raw material which we are currently importing from EU where the duties are probably higher and which eventually could help us in bringing down our raw material cost? Because when I see our annual report, I think last year we imported close to around Rs.350 crores of imports. So that is a). And b), with this deal, have we become more opportunity in terms of getting more business from those geographies where the recent appreciation of Chinese currency and this removal of trade tariffs can enable us to better strengthen our position into those markets? Your views here, sir.

Anish Ganatra: So, I mean, in terms of RM imports from US or EU, very limited, if at all. I mean, in EU, we possibly do something from Turkey, but nothing beyond that, right? So, it is not that. In regard to your second question on whether these trade deals are positive and offer an opportunity, I think they definitely do. There is an absolute leverage that it provides us in terms of making us relatively competitive versus our peers in the region. So, there is no doubt about that. And I think beyond just the pricing side, one should look at these trade deals to effectively ease between geographies. And I think that is the bigger value in the long-term.

Nirav: Correct. And one more thing is, is it possible to share like last year we did something around Rs.2,380 crores of sale and in nine months also the amount was equivalent to that. So, have our exports to the EU gone up in between these years like FY25 and nine months of FY26, can you share your views here?

Anish Ganatra: I think you will definitely find exports going up because, if you are growing at the rate that we are, every geography will supply more and also we will expand into newer geographies. But, our growth

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engine and as you know in this industry, it is an infrastructure-led growth. So, every time we announce a CAPEX, we indicate the path, you guys know the customer. So, it is pretty easy to figure out where the material is going and how it is going. But definitely there would be increase because we have added the Nectar plant as we were talking earlier on the call and a lot of those supplies get into EU. So, you will definitely find those scenarios changing.

Nirav: Got it, sir. Thank you so much.

Moderator: The next question is from the line of Archit Joshi from Nuvama. Please proceed.

Archit Joshi: Hi, good evening, sir. And thanks a lot for the opportunity and congrats on a great set of numbers. So just one question on CDMO. I think the MSA that you have signed with the first EU major, the final product of which continues to access newer geographies with the approvals and countries like China and is as recent as a week ago. Now, should that warrant for a market share to increase over a mid-term time frame, or the projections made for the final product are something that already are baked into what we expect as cGMP4 ramps up? One smaller, a different question to that. We have also spoken of another EU major where possibly future shipments can also ramp up and help us get closer to the \$100 million mark in CDMO.

Any developments that you would like to give us

qualitatively to understand this better, the path of CDMO growth in the future. Thank you.

Anish Ganatra: Sure, Archit. I think CDMO is seeing some significant and good deal wins. I mean, as you talked about the MSA with the European major, where the molecule is continuously seeing product extensions and expansions, you will see that we will be in a position to fully utilize our capacity in the coming year itself, which is a dedicated plant for that. And also, as we have mentioned in our commentary and the slides, with CDMO, I think now we have a solid balance of early and late-stage to commercial molecules. If I remember correctly, it is largely a 50-50 split, which is a great place to be in because every late and commercial stage molecule that we are working on, has the potential to quickly convert into revenues, depending on readouts, etc., But I think with the balanced portfolio that we have and the growth in the underlying European MSA, we are inching closer and closer to that aspirational number.

Archit Joshi: Sure, sir, got it. Sir, just the second part of my question is about the readout. I think you briefly touched upon that. Would there be anything more that we would like to know about it, or given where are we headed to, is there a solid expectation coming on that account as well, which will probably be another feather in our cap, second CDMO contract? So all ears on that, sir.

Anish Ganatra: Yes, so again, like I said, the balanced molecules that we are talking about late and commercial, including the EU major you are talking about, there is more than one molecule that we are expecting a readout coming in the year. And therefore, is a good, good potential to access that growth opportunity. There is no doubt about that.

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Archit Joshi: Got it, sir. All the best for that and the rest of the coming quarters. Thank you.

Moderator: Due to time constraint, that was the last question. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Anish Ganatra: Thank you.

Call: May 2026

(no extractable text — likely a scanned image PDF)